

Biocon Ltd. (BIOCON)

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Call: Aug 2022

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August 3 , 2022

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q1 FY23

This is further to our earlier letter dated July 28 , 2022 regarding presentation and video recording of Q 1 FY23 Earnings Call held on July 28 , 2022 , please find enclosed herewith the transcript of the Earnings Call . The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/#1599024728333-3499b540-46d3> .

Kindly take the above said information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer

Encl. as above

Biocon Limited Q1FY23 Earnings
Conference Call Transcript
July 28, 2022

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Speakers and Participants from Biocon Limited and Biocon Biologics Limited

Dr. Kiran Mazumdar-Shaw – Executive Chairperson, Biocon Limited

Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited

Dr. Arun Chandavarkar – Managing Director, Biocon Biologics Limited

Mr. Shreehas Tambe – Deputy Chief Executive Officer, Biocon Biologics Limited

Mr. Indranil Sen – Chief Financial Officer, Biocon Limited

Mr. M.B. Chinappa – Chief Financial Officer, Biocon Biologics Limited

Mr. Abhijit Zutshi - Commercial Head - Global Generics, Biocon Limited

Mr. Nehal Vora - Commercial Head - Global API, Biocon Limited

Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited

Mr. Paul Thomas – Chief Commercial Officer-US, Biocon Biologics Limited

Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited

Ms. Aishwarya Sitharam – Head - Investor Relations, Biocon Limited

Mr. Nikunj Mall – Head - Investor Relations, Biocon Biologics Limited

External Participants during Q&A session

Damayanti Kerai – HSBC

Shyam Srinivasan - Goldman Sachs

Harith Ahamed – Spark Capital

Neha Manpuria - Bank of America

Prakash Agarwal – Axis Capital

Yash Tanna - iThought Advisory

Sameer Baisiwala – Morgan Stanley

Nithya Balasubramanian - Sanford Bernstein

Surya Patra – Phillip Capital

Sheersh Jain - Apex Capital

Tushar Manudhane - Motilal Oswal

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Prepared Remarks Session

Aishwarya Sitharam:

Good morning, everyone. I am Aishwarya Sitharam from Biocon Investor Relations Team and I would like to welcome you to Biocon's Earnings Call for Q1FY23. I would like to indicate that all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the opening remarks conclude. Should you need to raise any questions, please select the 'Raise Hand' option under the 'Reactions' tab of your Zoom application. We will call out your name and unmute your line to enable you to ask the question. While asking, please begin with your name and your organization. Please note that we will not be monitoring questions on the chat box, but you can raise any technical concerns that you may be facing for our support team to help. I would also like to bring to your attention that this conference is being recorded. The recording will be available on our website within a day and the transcript for this call will be available within next 5 working days.

To discuss the company's business performance and outlook, we have with us today the Biocon leadership team comprising of Dr. Kiran Mazumdar-Shaw, our Executive Chairperson and other senior management colleagues. I would like to take this opportunity to remind everyone about 'Safe Harbor'. Today's discussion may be forward looking in nature, based on management's current beliefs and expectations. It must be viewed in concurrence with the risks that our business faces that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward looking statements. After the end of this call, if you need any further information, or clarifications, please do get in touch with Nikunj or me.
I would now like to turn the call over to Dr. Kiran Mazumdar-Shaw. Over to you, Ma'am.

Dr. Kiran Mazumdar-Shaw:

Thank you, Aishwarya. Good morning, everyone. I welcome you to Biocon's Earnings Call for the first quarter of fiscal 2023.

I would like to start this Earnings Call on a note of optimism on the resilience displayed by India, whilst a large part of the global economy is bracing itself for a potential slowdown next year. Businesses the world over are reshaping their supply chains at a time when the world is fac

ing uncertainties due to various geo-political tensions. Every economy is trying to offset the impact of pandemic spend by lowering healthcare spend.

Backed by strong domestic demand and steady global investments, I do believe that India is on its way to becoming the world's fastest-growing economy in the years to come. As the Pharmacy of the World, India has a key role to play in driving inclusive and equitable growth globally, particularly in healthcare. Policy support such as the 'production-linked incentive scheme' and more recently, the proposed 'research-linked incentive scheme' will boost investment in innovation. Enabled by continued investments in capacities, capabilities and R&D over the last few years, the Biocon Group has a window of opportunity to surge ahead into a stronger leadership position in biopharmaceuticals.

Another important differentiator of global leadership in times of uncertainty is 'ESG'. As we transform into a future-ready leader, the Biocon Group is poised for strong and sustainable growth. Our vision towards environmental stewardship, diversity and inclusion and governance has been articulated in our recently published ESG report for FY22.

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Before I discuss the business performance, I would like to make a few announcements.

Mary Harney and Daniel Bradbury, independent directors of Biocon Limited, have completed their second term of tenure with the Company and have stepped down from the Board at the conclusion of the Company's Board meeting yesterday. On behalf of Biocon's Board of directors and management, we express our deep appreciation and gratitude to both Mary and Daniel for the extensive contribution and stewardship.

I would also like to share a management update. I'm pleased to announce that Michael Cutter has joined Biocon Biologics as the Chief Quality Officer. As part of the executive leadership team, Michael will be responsible for leading the global quality organization across all locations and will be based in Bangalore. Michael brings with him over three decades of experience across quality control, quality assurance and pharmaceutical manufacturing, setting the right quality culture and building credibility with global regulatory agencies.

I would now like to present the key financial highlights of the quarter.

At a consolidated group level, revenues for Q1FY23 were up 23%, on a year-on-year basis, at **₹2,217 Crores**.

Revenues from our Biosimilars Business delivered a strong year-on-year growth of 29%, while that of our Generics Business grew at a healthy rate of 19% and Research Services revenues grew by 8%.

Core EBITDA, which is a very key part of our business performance, grew at 25%, with a margin of 31% versus 30% in the same quarter last year.

Profit Before Tax for the quarter, stood at **₹197 Crores**, up 19%, over **₹166 Crores**, during the same quarter last fiscal.

Net Profit for the quarter stood at **₹144 Crores** versus **₹84 Crores** in Q1FY22, reflecting a growth of 71%.

During the quarter, we also recorded a Forex loss of **₹38 Crores**, primarily due to restatement of Goldman Sachs' OGD investment in Biocon Biologics, as compared to a gain of **₹17 Crores** during the same quarter last fiscal.

Our Gross R&D spend was at **₹223 Crores** versus **₹136 Crores** in the same period in the last fiscal, an increase of 64% and corresponding to 15% of revenues, ex-Syngene. Of the **₹223 Crores**, **₹198 Crores** is expensed in the P&L, while the balance amount has been capitalized. **₹120 Crores** were expensed in the P&L in Q1FY22.

With this, the reported EBITDA for the quarter was **₹478 Crores** versus **₹437 Crores**, reflecting a 9% year-on-year growth, whilst margins stood at 22%, against 24% reported in Q1FY22. EBITDA was primarily impacted by the forex loss as mentioned earlier, higher operating costs, particularly due to the inflationary impact on raw materials and freight, as well as, personnel c

osts linked to new hires and annual increments, which obviously will be at a higher level in Q1

but will get normalized over the year. Furthermore, R&D investments increased by **₹78 Crores**, reflecting pipeline progression for future growth.

Now, let me turn to segmental business performance during the quarter.

Generics Business

The Generics segment delivered revenues of **₹580 Crores** during the quarter, which is a year-on-year growth of 19%.

Profit Before Tax for the quarter was at **₹63 Crores** versus **₹29 Crores** during the same quarter last fiscal, a year-on-year growth of 116%. PBT margins were higher at 11% as against 6% in Q1FY22.

The year-on-year growth during the quarter was primarily due to ramp up in API sales, particularly our statin and immunosuppressant portfolios and the continuing performance of recently launched generic formulations. The corresponding period last fiscal was significantly impacted by COVID related operational and supply chain challenges,

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which are now behind us. However, the business does continue to encounter headwinds in the form of pricing pressure and rising input costs. Sequentially, revenues declined by 19%, largely due to temporary shutdowns undertaken during Q1 to facilitate capacity expansions, which will augment growth for the business in the second half of the fiscal.

During the quarter, we launched our vertically integrated formulation, Mycophenolic Acid Delayed Release tablet, an antimetabolite immunosuppressant, indicated for the prophylaxis of organ rejection in adult patients receiving a kidney transplant. In line with our strategic priority to expand the generic formulations business beyond the US, we have

received approvals for our oncology drug, Lenalidomide, in the EU, Fingolimod capsules in the UAE and Rosuvastatin Tablets in Singapore.

During the quarter, we received a GMP certificate from MHRA, UK, following their on-site inspection of our oral solid dosage formulation facility, located in Biocon Park in Bangalore.

We continue to be on track to qualify and validate our greenfield, fermentation-based immunosuppressant API manufacturing facility in Visakhapatnam, Andhra Pradesh in FY23.

Growth in our Generics business in FY23 is supported by a strong product pipeline, expanded manufacturing capacities, and continued efforts to digitize processes and optimize costs.

Biosimilars

Biocon Biologics recorded a revenue of ₹977 Crores, a year-on-year growth of 29%. Adjusting for the one-off COVID-19 related sales of Itolizumab and Remdesivir in Q1 last year, the business witnessed an even stronger year-on-year growth of 46%. On a sequential basis, however, revenues were flat, impacted by lower realization of European profit share from the Viatris-led business, due to devaluation of the Euro against the US dollar.

Core EBITDA which excludes, R&D, forex, licensing income and mark-to-market movement on investments, stood at ₹361 Crores, up 33% year-on-year. Core EBITDA margin remains healthy at 37% vs 36% last year, in line with our guidance of it being in the mid-to-high 30s. It is also important to call out increased personnel costs this quarter.

We have made good progress on our R&D pipeline with biosimilars Ustekinumab and Denosumab in global clinical trials and advancements in other assets. These are unpartnered assets wherein the full R&D cost are borne by us as compared to the shared cost model that we have had in the past. Consequently, R&D investments for the quarter increased by 120% year-on-year to ₹130 Crores, representing 13% of BBL revenues vs 9% for the full year FY22.

These R&D investments to secure our future growth, coupled with a non-cash foreign currency translation loss of ₹43 Crores on Goldman Sach's OCD investment in BBL led to a 12% year-on-year decline in EBITDA for the quarter to ₹190 Crores.

Profit Before Tax stood at ₹71 Crores.

The Viatris-led business has delivered strong year-on-year performance, underpinned by the successful launch of our 351(k) interchangeable biosimilar insulin Glargine in the US. In Europe, the market share for our biosimilars, Pegfilgrastim and Trastuzumab, continues to grow. In Canada, following the launch of our biosimilar Bevacizumab last year, Viatris will be launching biosimilar Glargine and Apsart later this year, opening new avenues of growth.

The Biocon Biologics-led business continues to see strong demand. In FY22, we had entered 44 new partnerships which will drive growth in the coming quarters.

After a pandemic linked hiatus, we expect site inspections to be conducted by the US FDA in August, which hopefully Transcript - Biocon Limited Q1FY23 Earnings Call Page 6 of 26

will pave the way for our biosimilars Bevacizumab and Aspart approvals later this year. Our new state-of-the-art B3 mAbs facility has recently been EU GMP certified.

Our strategic deals with Viatris and Serum are progressing towards closure as planned. On the operational front, efforts are underway to ensure a smooth integration and transition.

In summary, the business fundamentals continue to be strong, enabling us to ramp up revenues and sustain core EBITDA margins in the mid-30s. There are multiple near-term catalysts including ramp up of biosimilar Glargine, potential approvals of biosimilars Bevacizumab and Aspart in the US and approval of new manufacturing capacities.

The strategic deals with Viatris and Serum will transform Biocon Biologics into a leading vertically integrated global biologics company.

Novels

During the quarter, our partner, Equillium, initiated patient dosing for the pivotal Phase III clinical trial of Itolizumab in patients with acute Graft-versus-Host disease, while recruitment continues for the pivotal Phase 1b clinical study of Itolizumab for Lupus Nephritis, which will read out interim data later this year.

Our Boston based associate, Bicara's lead molecule, BCA101, has demonstrated encouraging safety, pharmacokinetic, pharmacodynamic and efficacy profiles based on the findings from the dose escalation phase of the ongoing Phase 1/1b trial, which was initiated in February this year. The recommended dose has been established at 1500 mg weekly for BCA101, as monotherapy and in combination with Pembrolizumab.

The combination of BCA101 and Pembrolizumab is currently being evaluated in front-line systemic patients with unresectable, recurrent, or metastatic head and neck squamous cell carcinoma and as a second-line therapy in patients with advanced squamous cell carcinoma of the anal canal, who have received prior chemotherapy. BCA101 is also being evaluated, as a monotherapy, in patients with advanced or incurable cutaneous squamous cell carcinoma of the lung, who have received previous anti-PD-1 therapy. Primary results for the dose expansion arm of this study are expected in the second half of calendar year 2022.

Post the first round of seed funding, Bicara continues to secure funding from external investors to support its clinical development activities.

Research services - Syngene

Revenue from operations stood at ₹645 Crores for the quarter, indicating a year-on-year growth of 8%. Profit before tax for the quarter was at ₹93 Crores as against ₹95 Crores in Q1FY22.

The first quarter results were against a strong quarter last year due to sales of COVID treatments, where Remdesivir, in the midst of the second wave of the pandemic was a key product. No sales of Remdesivir were recorded in the first quarter this year. Excluding the impact of Remdesivir, the underlying growth in revenue from operations in the quarter was around 30% year-on-year. The first quarter results reflect strong underlying performance across all our business divisions.

A recent highlight was the signing of a 10-year agreement with Zoetis for the commercial manufacturing of the drug substance for

Librela

®, a first-of-its-kind injectable monoclonal antibody to alleviate pain associated with osteoarthritis in dogs. This deal is expected to start generating revenues in the second half of the fiscal and will be worth up to US\$ 500 Mn over its term of 10 years. This is a strategic move for Syngene's biologics business, providing a pathway towards the FDA and EMA regulatory approvals anticipated later this year.

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The Company continued to invest in infrastructure, including a kilo lab in the Development Services division, as well as a lab housing over 150 scientists and analysts in Hyderabad, dedicated to PROTACs - Syngene's novel cancer drug discovery strategy for its clients.

Syngene has raised its revenue guidance for the year from mid-teens to high teens, taking into account a favorable change in the Rupee/US dollar exchange rate and of course, the recent agreement with Zoetis.

Concluding Remarks I would like to conclude by saying that FY23 will unlock the potential of several of our investments across businesses,

be it in capacities, pipeline, or partnerships. New launches and enhanced capacities will drive growth for our API and generic formulation business, while the strategic transactions with Serum Institute and Viatris, which are on track towards closure, will accelerate growth of our Biosimilars business. We see strong demand, contract extensions and the new inflection point in contract manufacturing, catalyzed by the Zoetis bio-manufacturing contract, that will drive the growth momentum for Syngene. In line with our focus on sustainable growth, we continue to invest in people, policies and processes to ensure value creation for all our stakeholders. And with this, I would like to open the floor to questions. Thank you.

Q&A Session

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Nikunj Mall:

Thank you Ma'am. Should you need to raise questions, please select the 'raise hand' option under the 'Reaction' tab of your Zoom application. We'll call out your name and unmute your line to ask the question. The first question is from Damayanti Kerai from HSBC.

Damayanti Kerai: Hi, good morning. Ma'am, you mentioned that pickup in market share for Semglee will be one of the key near term driver for biosimilar sales. So, what we have seen in last few months is that the market seems to have saturated in low single digit number. So, what will be factors which will improve pickup in Semglee market share from current level. And also, for other two launched biosimilars, Ogivri and Fulphila, again, we see some kind of saturation in the market share. So, just wanted to understand what are the key hurdles which are stopping you to improve market share from current levels? So, this is my first question.

Kiran Mazumdar-Shaw: Damayanti, thanks for your question. I will turn this question to both Shreehas and Matt, to respond to, but all I can say is that we are seeing good pick up of all these products you mentioned, we're tracking in the right direction, and I think what we're really seeing is a strong performance in the second half of this fiscal.

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Shreehas Tambe : Thanks, Kiran and Matt, please feel free to add more to the question. I think, Damayanti, to answer your question product by product in the US. Starting with Glargine, I think your comment was that the market share seems to have saturated. Just to correct the data point, we started this year with a sub 3% market share, and we've moved that towards 9%, just a shade off that 10% which we did in July. So, when we started this fiscal, we guided that towards the second half of the year, we will be seeing this move towards the mid-teens. And the way that Viatris has been progressing, we see that growth from 3% to 9%, moving to 10% and then towards the mid-teens in the direction that we had projected earlier. So, we do see that move happening in

the direction that we have projected. Viatris has also recently added significant plans beyond the Express Scripts and Prime Therapeutics that we had talked about earlier on to be moving to regional pharmacies. We've also got regional formularies. We've also got significant customer addition towards the beginning of this month. And these are all the right steps which will help us get towards that mid-teens market share that we had guided towards the beginning of the fiscal. Now, you've talked about the other two products, which is Trastuzumab and Pegfilgrastim, and we'll talk about them in a bit. Starting with Trastuzumab, there was a particular situation, where in April, May, we've seen the market share kind of dip from that 10-11% to 7-8% and that's because Viatris did lose a customer during the process and they've gained that in June and July and we're again starting to see those market shares move up towards 10% and back to where we are. So, I think

these are normal course of business activities where you win a customer, you lose a customer, you lose some share in a particular formulary or a particular account and effectively what you need to see is that they've been able to be resilient in the market and

held on to its market share despite increased competition. Likewise, with Pegfilgrastim where our market shares held on that 8-9%, even though we've seen the innovator themselves lose market share as well as Coherus, which was a big market player at one time, significantly lose market share to newer competition. So, I think overall, if you look at it, we've held the market and that market is steadily moving towards where we have guided at the beginning of the fiscal year. Anything else, Matt, that you may want to add, then please go ahead.

Matthew Erick: Thank you, Shreehas. That was a really good explanation, I would just call out the Viatri's commercial team, as we continue to look at how this industry especially within the US flows, the team is rightfully situated to address those hurdles. And I think you're seeing that particularly in Trastuzumab. As you know, every company kind of goes through a potential pullback but I think what is important here is you've seen a great comeback, so I would just say that Shreehas, but everything else is exactly what I would say.

Damayanti Kerai: So, do you believe that we have ample headroom to improve on market share from current level? The few factors, which you mentioned should be helping from here on.

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Kiran Mazumdar-Shaw: Yes, I certainly believe that this is the case. I'd also like to sort of draw your attention to the fact that we are in a very strong and pole position to actually drive growth because of all the capacities that we have put into place. And I think now that the worst of the pandemic challenges are behind us. I think growth is something that we will pursue very strongly.

Damayanti Kerai: Thank you, Ma'am. And my second question is on R&D. So, in last two quarters, we had seen a sharp jump in R&D expense, which is due to unpartnered assets, which Ma'am mentioned in the call previously. So, once we are done with major trial for these two assets, should we see some moderation in R&D costs or should continue to increase from this level also?

Kiran Mazumdar-Shaw: So, Damayanti, if we want to future proof our business and if we want to really attain global leadership, I think it would be not very prudent to cut back on R&D. R&D drives growth for us, which is important for us to drive EBITDA growth, which is what we are pursuing. And I think what you must also understand is that the Viatri's deal actually gives us the ability to invest more and faster in the R&D pipeline. So, the pipeline is very fundamental and integral to growth. And pipeline progression is what drives growth. So, to cut back on R&D, I don't think would be prudent

and we should be at these kind of levels of R&D spends, and it might even increase over the coming quarters. But I think for the investors and analysts to expect us to cut back on R&D would not be the right thing to expect because that is why we keep harping on core EBITDA, because I think core EBITDA is always very important to really get to the understanding of where our business is heading. The fact that we're making such good clinical progression, will actually tell you that our R&D is delivering very well for us.

Damayanti Kerai: Sure ma'am. So, R&D should remain in the 10 - 15% range, which you earlier indicated?

Kiran Mazumdar-Shaw: Absolutely. Anything lower than that actually is not something that we would prefer.

Damayanti Kerai: Thank you. I'll get back in the queue.

Nikunj Mall: We request the team to ask two questions so that everyone has the opportunity to go through. Next question is from Shyam Srinivasan from Goldman Sachs.

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Shyam Srinivasan: Good morning, everyone. Thank you for the presentation. I think just first question on biosimilars again. Kiran and team, if you could just help us understand the geographical split of how this business is currently. Where the growth rates are? I think a lot gets discussed about the US market shares, but we know less about Europe, I think you called out Canada in your opening remarks. So, just help us understand geographically how the biosimilars is, you used to give us a split of the rest of the world and developed world, so any color there will be very helpful.

Kiran Mazumdar-Shaw: That's a very good question, Shyam, and I'll ask Susheel to really tell you about how well our emerging markets business is also tracking.

Susheel Umesh: Thanks, Shyam. The emerging countries actually has potential, very often we realize very good returns from the emerging countries. So, the entire emerging country model for biosimilars is growing, it's growing quite fast, that is mainly because of two reasons. One, patients and doctors both are getting aspirational and they want to use the biosimilars more and more. Second, more and

more tenders open up for our biosimilars. So going forward, while we increase our numbers of countries that we operate in, and the depth in the countries that we do business in, the biosimilar business is going to grow significantly and will ramp up. Right now, it is much smaller than the US and the European markets, but in many other places and in many of the countries the prices that we get is much better than even Europe. So, the emerging piece of the countries is quite big.

Kiran Mazumdar-Shaw: And maybe, Matt, you'd like to comment on the non-US markets.

Matthew Erick: Yes, sure. Thank you for the question. I think, we still see continued good growth within Europe, especially from the Viatris clusters, Germany as well as in France. You're going to see those continued launches of new products that we talked about in R&D. And also as we progress within our integration with Viatris, we're going to be looking at new markets and expansion there. So, Europe is still a very key focus for Biocon Biologics and has a tremendous amount of opportunity for us as well as you know, the US and North America.

Shyam Srinivasan: Got it. Second sub question on this, will be brief, is on the pricing dynamics in these different markets, I think EMs was briefly touched upon. But if you can also help us understand, there is market share progress, but there is no value share progress, if I can use that term. Maybe the only data we have is US. So, what has happened to pricing in some of these markets, including the US?

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Kiran Mazumdar-Shaw: Shreehas, maybe you want to take this.

Shreehas Tambe : Shyam, these things will vary for two things. One is from the market and other

is on the

product category that we're talking about. Say, if we were to look at the oncology products in the US, we've typically seen, if you were to take the pre-biosimilar entry launches of products, you would see discounting anywhere in the region of about 50 to 60-62% from that pre-biosimilar days. If you were to move that into Europe, you would see that discounting to be much lower in the range of about 30 to 35% for the molecules that we operate in. And that's also a factor of the competition, of the market, of the tenders, also of the base pricing that these molecules were vis-a-vis where the discounting would be. You'll also see different categories of product attract different discounting like if you were to look at insulin which is in the US, a product which is more of a contracting cycle kind of a molecule and where the way Biocon or say in this case Viatris is able to displace Lantus and move into a formulary position. This discounting will probably be slightly sharper than what we've seen for the buy and bill kind of category in the oncology space. But if you really look broadly across the category of products that we've launched in the oncology biosimilars, as well as the insulins, more or less the pricing discounting has been reasonable. We have not seen any cliff despite the competition. In oncology, you see about 4-5 players per molecule, but there has been pricing sanity overall. It's been in the US, particularly as I said, in that 50% or 60% range. And then in the Europe, probably it's in that 30-35% range. So there has been some respect for the kind of work that has gone in developing the products and it's reflecting in the stability that you've seen overall, that's prevailed.

Shyam Srinivasan: Thank you and all the best. Nikunj Mall: Thank you. So, the next question is from Harith Ahamed from Spark capital.

Harith Ahamed: Good morning and thanks for the opportunity. On Denosumab and Ustekinumab, last quarter you talked about starting Phase 3 trials in the first quarter of FY23. So, can you update us on the status of those two trials and trying to understand if the R&D spend for the quarter reflects the Phase 3 spends as well? And will there be a further step up in R&D in the coming quarters?

Kiran Mazumdar-Shaw: Shreehas, you want to take this?

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Shreehas Tambe : Harith, the question wasn't very clear. I think you were pointing towards saying that the progress of Ustekinumab and Denosumab into the clinic, I think you are looking for an update on where these products are headed. Is that what you were looking for?

Harith Ahamed: Yeah, if we started Phase 3 trials already.

Shreehas Tambe : Yeah. So, we have, I mean, I would like to confirm that those things are progressing as we announced, and we would be looking to move these products further. We have started these global clinical trials, Phase 1 and Phase 3 and we should be looking to get to filing towards the end of Calendar Year 2023 for Ustekinumab and end of Calendar Year 2024 for Denosumab. They are progressing as per plan, and we expect them to move through the quarters as we'll see those R&D expenses come up as we progress these molecules.

Harith Ahamed: Okay, got it. So, my second question is on the fund raise at Bicara. So, what's our

stake? We have talked about continuing to raise funds through the first quarter.

So, my question is on our current stake in this associate entity as of June.

Kiran Mazumdar-Shaw: They have raised \$26 million in the first round and they have managed to raise about \$6 million in the second. They expect to raise an even higher amount, which they believe that they can raise by the middle of September. These amounts, as you know, are really required to see the clinical trials get to a certain level and they're very confident. They have also entered into various business development discussions because

the data is

trending in a very promising direction. So, there's a lot happening at Bicara and we will keep reporting it over the coming quarters.

Harith Ahamed: So, from the disclosed stake in Bicara, which was around 74% at the end of March, has there been a further reduction? I am trying to understand if the share of losses from the associate, which has declined to a lower number in Q1 versus Q4, will reduce further.

Siddharth Mittal: The stake as of June was roughly 67%. And I think as the fund raise continues, we will see the stake further go down below 50%.

Kiran Mazumdar-Shaw: I think he wanted to ask you about the share of loss.

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Siddharth Mittal: So, share of loss, of course, we are taking a 67% share of loss in our P&L. This quarter, because of the fund raise, there was also a step up in the valuation of the investment.

The P&L impact of the step up in the valuation, less the share of loss, was not significant. It was a very low number.

Harith Ahamed: Okay. Last one with your permission, the forex loss of ₹38 Crores at the consolidated level, that includes the loss of ₹43 Crores at Biocon Biologics related to the Goldman Sachs OCB instrument, right?

Siddharth Mittal: That's correct. So, there were gains in other parts of the business.

Harith Ahamed: And the Other Income for the quarter at ₹78 crores - there's been a bit of a spike.

Are there any MTM gains related to Adagio there?

Siddharth Mittal: No, Adagio, there's no gain. I think the main gain is that mark-to-market or the step of the Bicara investment. So that's the main flux compared to previous year.

Nikunj Mall: Thanks, Harith. The next question from Neha Manpuria from Bank of America.

Neha Manpuria: Thank you so much for taking my question. Siddharth, on the Viartis funding, have we decided on what would be the amount that Biocon would have to put in after the private equity and the debt at BBL?

Siddharth Mittal: Yes, so we do have a commitment of \$250 million to invest in Biocon Biologics and we will invest that amount. The rest of course, Biocon Biologics will be raising directly, as a combination of debt and new private equity investments.

Neha Manpuria: And this \$250 million would be a combination of our subsidiary stake sale and debt.

Siddharth Mittal: Yes, there are various options we are working on, and subsidiary means only Syngene.

We do have a couple of other structured fund raise options that we're working on.

Neha Manpuria: Understood. And second question. You know, Shreehas or Chini just wanted to understand from here, while the R&D part of the investment is well understood,

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outside of R&D, is there any incremental investment or large investment that we

would require in the business to get it ready for the Viartis deal completion? How

should I look at the cost structure for BBL let's say over the next few quarters other than the integration that would happen with the Viartis?

Shreehas Tambe : Neha, I think from the overall big expense ticket perspective, we're looking at R&D being a big ticket item, which we've talked about. We're also looking at the capex or investments that we've talked about in the past where we've discussed investments in capacities for our Recombinant human insulin and the analogs. And that's something that we've discussed recently. We've talked about that and we budgeted that. The integration costs that will come as we get the Viartis business coming on board and we further strengthen our commercial infrastructure in various geographies. We could have typically built it out organically. Now, of course, that would be far muted, because a lot of this will come in to us through the acquisition. To dimension this, I will let Chini talk to you about it to see if we can give you a sense of what these investments would

look like outside of R&D. Over to you, Chini.

M.B. Chinappa: Neha, there will be increased investments in people as we do the organization build that will be absorbed by the higher revenue base and the increased profits that will come through post-merger. We have, as Shreehas mentioned, in terms of capex, while most of our monoclonal drug substance capacities will be up and running from this quarter, particularly the B3, which gets commissioned in this quarter, that's July to September. We have increased investments into expansion of Malaysia capacities, and also the

expansion of our drug product capacities for monoclonal antibodies. So, these are the large investments going into the business on top of R&D.

Neha Manpuria: Understood, thank you so much. Shreehas, one last question, any additional update on Aspart, is there a chance that we get the approval before the current contracting cycle or do you think the probability of that is lower now based on your conversation with the agency?

Shreehas Tambe : Thanks, Neha. That's an important part. I think we've been discussing with the group and we've responded to the agency on the CRL that we've received and the agency has indicated that they will visit us in this quarter and there will be an inspection. We are quite confident that we should be able to get the approval once they've visited us. So, we are still hopeful that all of this should be done and Aspart approval should be in the bag towards the end of the calendar year. Yes, there is a contracting cycle which runs from July, through, I would say, September, October and there is that risk that we may not be able to be in the middle of that contracting cycle, taking us away from that big chunk of the commercial business that is available for this asset. But we would certainly have the opportunity to look at any midcycle contracting as well as any regional businesses like we did with Glargine. And now that we've got presence with Semglee, I think there is an opportunity to see how we can get past the main commercial contracting national formularies into a more distributed phase. So yes, it's not the best situation that we could have been in, but we don't also see that as a complete lost opportunity. The focus right now of course is getting the approval in place.

Nikunj Mall: Thanks, Neha. The next question is from Prakash Agarwal from Axis Capital.

Prakash Agarwal: Thanks for the opportunity and good morning. I just wanted to understand a little bit on the margins better. I do understand R&D, you've already guided it will go up, commercials obviously will expand and so the revenue is expanding. More from second half when we add the Serum deal, which is expected to be at 30-33% margin business, as well as Mylan consolidation. So how should we think about margins there? I mean last year margin were good, this quarter, I would say it's softer. How do we see the margins rolling in? And this I'm saying reported margins, not the core margins because R&D has to be there, expansion has to be there. So just a little color would help.

Kiran Mazumdar-Shaw: Chini, you might want to comment.

M.B. Chinappa: Good morning, Prakash. A couple of things, let's start with the core EBITDA margins. The core EBITDA margins this quarter is slightly soft in comparison to the sequential quarter, but it improved over Q1 of last year. The softness in this quarter versus Q4 is because of, as Kiran mentioned, there's an impact of the increased salary costs as increments kicked in which levels off over the quarters. And the second one is they've been impacted by the Euro-dollar movement. So that reduced the profit share and hit our margins during this quarter. If you look ahead, particularly post Serum and Viatri's acquisition we expect to maintain core EBITDA margins in the mid to high 30s. So there, as a consolidated, a

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you look across the three businesses, the core EBITDA margins remain the same, and we expect to remain in that mid to high 30s. Coming to R&D cost, of course, the increased revenues coming both from Viatri's and Serum gives us the ability to invest more into R&D and we have always guided for the 10% to 12% in terms of revenue. So, we'll have to look at it from that range. Of course, it wouldn't be quarterly, it's more on an annual basis or across the program. On a quarterly basis, things could go up or down, depending upon, you know, the progress of the trial. But on an annual basis particularly over the life cycle of the program you will see the R&D cost to be 10 to 12% of the increased revenue, which is indicating that we are investing more into R&D with more of the pipeline products moving into the clinic.

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Prakash Agarwal: Okay understood and secondly on, updates on the vaccines, you have put out COVID related and mosquito borne related. So, I mean, globally, we are seeing that volumes are coming down and mosquito borne apart from Africa, the volume has been coming down. So does the deal include the new range of vaccines, maybe the monkey pox or you know, a lot of new things are happening globally on the vaccine side. So, is the vaccine deal with old and new portfolio, how should we

think about this, as well as the second part to this is you mentioned about Beva inspection poised around August. So Aspart, is there any update? Thank you.

Kiran Mazumdar-Shaw: I think Prakash, first and foremost as you know, viral diseases are becoming very rampant and there's a lot of concerns around viral diseases which wasn't there in the past. So, I think vaccines are going to become a very important segment and I think Serum Institute is well placed to basically develop new vaccines and cater to these global needs. So, from that point of view, I think even

though the COVID vaccine demand has come off, I don't think that it will completely come off because as you can see, COVID is still very much in the air. And I think annual COVID shots, like annual flu shots will become the norm. So, I don't think it's going to completely fall off. And then you have many other viral diseases that are being looked at. Now when it comes to the Bevacizumab and Aspart, I think we have mentioned that we are anticipating inspections in August. So, both these will undergo inspections and that's why we are hopeful that we will get approval for both these products by the end of this calendar year.

Prakash Agarwal: Ok. So, Aspart also in August that's what the clarification is? Kiran Mazumdar-Shaw: Yes

Prakash Agarwal: Okay, perfect. And on vaccine part of the question was on the future vaccines also is it covered in the deal?

Kiran Mazumdar-Shaw: Yes, the vaccine deal is covering all vaccines.

Prakash Agarwal: Okay, perfect. Thank you and all the best.

Nikunj Mall: Thanks, Prakash. The next question is from Yash Tanna from iThought Advisory.

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Yash Tanna: Hi, good morning, team. So, I went through the Annual Report and I wanted to clarify a few things. So Biocon Pharma Inc. USA, which is our US based subsidiary for the formulations of Biocon Pharma Limited. So, it had revenues of ₹472 Crores and a PBT of ₹30 Crores for the year while, last year it had revenues of ₹442 Crores and similar PBT levels. So, is it the right understanding from my side that the US generic formulations portfolio has just grown 7% year-on-year, despite launching Everolimus?

Abhijit Zutshi: We've seen some headwinds on the base business, but the growth will come from new product launches, one of them was Everolimus. While there has been headwinds on the base business due to pricing pressure, with Everolimus, the revenue growth has been based on the market share we are seeing. We've also seen mo

re launches on Everolimus

coming in and even on those accounts, we are seeing that there is price erosion while we've held on to the market share.

Siddharth Mittal: And Yash, let me just add that don't look at the profits of standalone entity because the profits are split between the Indian entity and the US entity. The revenues what you reflected are the correct revenues for our US business.

Yash Tanna: That's the US formulations.

Siddharth Mittal: That's right.

Yash Tanna: Okay. Got it. And just related to that, so Biocon Pharma Limited sales was ~ ₹630 Crores, so does that mean that USA forms approximately 75% of the generic formulation, is that right?

Siddharth Mittal: Actually, revenues from US is 100%. There is also certain portion of API business in Biocon Pharma Limited. So, the delta between what's reported in Biocon Pharma Limited and Biocon Pharma Inc. would be mostly the API business.

Yash Tanna: Okay, so almost the entire one is from US. Siddharth Mittal: Yes. I mean, our Emerging Market revenues and European revenues would start in this fiscal year.

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Yash Tanna: Okay, got it. That's helpful. My second question was, so there was this media article relating that Sanofi has reduced prices for insulin for uninsured patients to \$30 a month supply and there are talks to cap the insulin prices as well in the US. So how does this impact us and our competition, like will it affect the profitability in the US for insulin business?

Kiran Mazumdar-Shaw: Well, I think Biocon Biologics is in a very good position to really play a key role in these market price expectations for insulin and I think that's what we believe will really increase our presence and market share in the US. Maybe Matt, you want to add to this.

Matthew Erick: Thanks. Look the rHIs, there are multifaceted channels. So, you have your payer channel, you have your cash channel, you have even long-term care hospital. Being vertically integrated and well positioned, we're able to play within all those channels, and then also what Viatrix has already done and now moving over to Biocon Biologics allows us to continue to play on that leverage. So we're well positioned within our diabetes therapeutic area, as well as our rHIs as we look at the full market within the US.

Yash Tanna: Got it. Thank you.

Nikunj Mall: Thanks Yash. The next question is from Sameer Baisiwala from Morgan Stanley.

Sameer Baisiwala: Thank you so much and good morning, everyone. Just continuing with the

previous question on rHI. Is it possible to discuss a bit more, what's the addressable market and when do you see the approval cycle begin for you? When can this be a meaningful product?

Kiran Mazumdar-Shaw: Shreehas, you might want to take this.

Shreehas Tambe : Thanks Sameer. As we've said earlier, the rHI franchise is not one product but multiple products, multiple SKUs. So, you have the soluble, you have the mix which is a 70:30 and you have the N formulation, as they call it. Now, they are available as vials and they are available as pens and there's also the highest strength of 500 IU formulations as well. So it's all recombinant human insulin, but there are a whole bunch of products around it. The whole insulin rHI or recombinant human insulin franchise is somewhere in that \$1 billion dollar range, give or take a little bit. And the dominant player of course is Eli Lilly. So they have been running that franchise and they have most of the market share. We have been working with the agency, bringing products from a filing perspective, starting Transcript - Biocon Limited Q1FY23 Earnings Call Page 19 of 26 with the soluble to the mix and then we would of course get the NPH as they call it, we will do that as well, and the high strength. So, we are looking to progressively move into getting the full franchise to the US somewhere in the next year. We have

already got the agencies to agree that we may not need a full blown for Phase 3 trial because we have characterized the product very well. So, we are expecting a waiver of the Phase 3 because of the kind of characterization we have done for the asset and the agency has agreed with our assessment of scientific evaluation of the product. And most importantly they believe that we have confirmation from the agency to say that these can be used interchangeably once launched. So, we believe that the full opportunity that is there currently in the US is available to us, Sameer. And as these products get approved, we tend to launch the full franchise towards 2024, where all of this should get available. Does that answer your question, Sameer?

Sameer Baisiwala: Yes, it does. Thank you. And just on the Shreehas, how is the capacity utilization in Malaysia right now, and related to that is, are we having any capacity constraints, either for Malaysia or for drug substance antibody here in India for near term growth?

Shreehas Tambe : So, in Malaysia if you remember we had invested substantial capacity for drug substance, for drug product. We have also added an additional pen assembly line so, we don't have a capacity challenge at all because we had also planned for the upcoming Aspart launch, which we are expecting this year. And we don't believe that there is an issue on either the drug substance or the pen assembly or the fill-finish. Obviously, we are targeting a much higher capacity and which is why we are looking to invest in the drug substance capacity which we had shared with you in the previous quarter and we are further building up capacity so that further ahead into the decade we should be able to launch more capacity across the world. On the non-insulin side, we've been making investments progressively in drug substance facility which was recently approved. But beyond our in-house capital investment, we have developed an external manufacturing strategy which is an asset light model which is not necessarily something where we invest in but we partner in such a way that our manufacturing is then closer to the market that we supply in and that's a conscious strategy which has begun from India. But then we will of course, expand it to other geographies, so that we don't necessarily have to ship glass and water across the oceans. So that's really how we intend to meet demand which we expect to grow several fold. You heard Susheel talk about it and Matt and I have the same view. So, we don't see a capacity constraint Sameer, to summarize this.

Sameer Baisiwala: Okay, thank you so much. With your permission one final question, what's the timeline to take Toujeo which is Glargine 300 and Pertuzumab into clinical trials?

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Shreehas Tambe : So, again that's a very interesting question because Toujeo is essentially the same drug substance as Glargine drug substance. It's formulated differently in a higher strength which is a 300 unit strength against a 100 unit strength for Lantus. So, it's not a new clinical trial per se from a Phase 3 perspective, but it's a new Phase 1 study that will need to be done. But there's a different device which is very unique and we are making sure that we have that new device covered, so that we can be prepared for a potential approval. Now this product currently has an IP which runs towards the later half of the decade. Now we will have to see what IP strategies that we come up with which will allow us to decide what our launch strategies would be, which would be different than the approval strategies.

Sameer Baisiwala: And for Pertuzumab? Shreehas Tambe : So Pertuzumab, we are progressing well. It's certainly an asset that we have partnered with Viatrix and we are developing that asset. We have very good exchange going on with the agency. We have a position where we believe we can develop this in a

very

economical way. So, we have the opportunity to be amongst the few players who are developing this asset. There are not very many players, and we have the opportunity of probably being there at market formation with this asset and it'll be very synergistic with our other oncology portfolio. So, we are very bullish about that as well.

Sameer Baisiwala: Okay, that's fine. Thank you.

Nikunj Mall: Thank you Sameer. The next question is from Nithya Balasubramanian from Bernstein.

Nithya Balasubramanian: Thank you so much for the opportunity. One question on insulin Aspart. So will you have the flexibility to launch two brands like you did in insulin Glargine, one at a higher price point and one at a lower price point?

Shreehas Tambe: Matt would you like to respond? The high-level response first to that Nithya would be yes. It's an established model in the US to launch an authorized generic so to say in a very broad way, the model exists, the precedent exists. There are other brands and other companies which have followed it. So that's an opportunity we could look at but maybe Matt if you would want to comment on that.

Matthew Erick : Sure, Shreehas. 100% I agree with you. I think we have to look at all those channels, both branded and non-branded. And I think the Semglee set a unique path and one in Transcript - Biocon Limited Q1FY23 Earnings Call Page 21 of 26

which we have great experience. So not ruling out any of those options, I think what we're looking at and always have at Biocon Biologics, is accessibility and affordability. And having those two types of situations drives that initiatives for us in the US.

Nithya Balasubramanian: Thank you so much. My second question is on Europe. I think the biggest challenge in Europe biosimilars has actually been, let's say the lower than anticipated price points for biosimilars because your starting price is already lower. And if I look at the data, your price erosions have been in the range of 70-75%. But now that Biocon is fully integrated and that you don't have to share economics with Viatrix,

should we expect you to, I mean, I'm seeing very low market shares for your current in-market products. So, can we expect you to get a bit more aggressive about price discounting now that you have room in order to gain market share?

Shreehas Tambe : I think we can look at the data points one more time, but I think you are right in the sense that the way Viatrix is currently looked at Europe, there is certainly headroom for improvement and we are collectively looking at what are the strategies that could help us.

As we've discussed previously, Europe is not a monolith - there are several different market archetypes and the therapy areas that we operate in are also vastly different in terms of how you realize these opportunities. Some of those could be, trying to get those opportunities through realizing the retail opportunity in say Germany or in France, in products like the insulins or they could be oncology which is largely a tender driven market

across Europe and then there is of course, the Nordics, where it's a federal tender, where there are bits of all kinds of model, where I think you refer to the 70% discounting which

even the originator companies have kind of subscribed to. So, there are different models, different therapy area of models. The integrated option is now with us that we will be one company, will certainly allow us more headroom to look deeper and closer into this and

Matt and his team are closely connected into this to see how we can we move this forward. Certainly, agree with you there is a lot of headroom there.

Nithya Balasubramanian: Thank you so much and all the best. Nikunj Mall: Thanks. The next question is from Surya Patra from Phillip Capital.

Surya Patra: So just wanted one clarification, let say you mentioned about the margin impact for the Biologics business was largely led by the R&D spend, a

nd also what we are indicating now, that post Viatrix integration, the intensity of R&D spend is likely to continue. So, by that are we indicating even the margin profile of integrated operation will be similar, what we are currently seeing?

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M.B. Chinappa: Yes. So, to clarify I will again start with core EBITDA margins. See that the core EBITDA margins will be sustained post integration, and after all the eliminations. And with the increase in revenue base, we will look to increase our investments in R&D to fund our future growth.

Surya Patra: Okay. Sir, in the initial period is it like that the benefit of this end-to-end integrated operation will that not be incrementally benefiting kind of theme for the integrated organization?

M.B. Chinappa: As Viatris put out the guidance at the time of the acquisition, we had indicated that Viatris business has the potential to deliver \$1.1 billion revenues in 2023 with a \$250 million EBITDA. But as you go through all the eliminations, you look at the final core EBITDA margins, it is still pointing into the high 30s, when you combine the Serum business, the existing BBL business and the acquired Viatris business.

Surya Patra: Okay, sure. Second question is on the biosimilar business again, so in the presentation ma'am you have mentioned that the growth of the biosimilar business excluding the COVID related contribution in the current spending previous quarter, the growth could have been 46% otherwise the reported number is 29%. So, I just wanted to know whether there was any COVID related benefit that the biosimilar business had witnessed in the corresponding previous quarter?

Kiran Mazumdar-Shaw: No, so basically what we're saying is that year on year, if you look at the growth it could have been reported as 46% as opposed to 29% because last fiscal, we had the benefit of COVID related products.

Surya Patra: Okay, but which product would have contributed.

Kiran Mazumdar-Shaw: Itolizumab and Remdesivir.

Surya Patra: But whether that was part of the biosimilar sales, or no?

Kiran Mazumdar-Shaw: It's a part of our branded formulations business, we have an India Business, and that was part of that business.

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Surya Patra: Okay. So, I was relating Itolizumab to the Novel biologics and Remdesivir to Syngene business, so that's why.

Kiran Mazumdar-Shaw: So, Syngene made the drugs substance and drug products and Biocon Biologics through its branded formulation business, marketed the product in India, and also exported the product to many of the emerging markets.

Surya Patra: Okay, sure. Just last one question. So, whether am I right that the contracting cycle for most of the biosimilar for the current season has been done? If that is so, then could we have some clarity about the progress in terms of market share for interchangeable insulin and Peg?

Shreehas Tambe : Yes, it's still underway Surya we should be able to talk to you in due course.

Surya Patra: Sure. Okay. Thank you.

Nikunj Mall: Thanks, Surya. The next question is from Sheersh Jain from Apex Capital.

Sheersh Jain: Good morning, everyone. Just wanted to understand the double counting of revenues that might happen upon the integration of Viatris. So currently based on Q1 numbers, Biocon Biologics run rate is roughly \$400 million and Viatris has guided for \$1.1-1.2 billion of revenue for the whole year. So, upon integration, what shall be the total ballpark range of revenue that might happen eliminating the double counting of deal?

Kiran Mazumdar-Shaw: Chini you might want to answer this question.

M.B. Chinappa: Sheersh, Hi. Roughly about 30% would get eliminated in the intercompany elimination, 30% of the \$1.1 billion.

Sheersh Jain: Okay, understood. So, the ballpark will change and would again come down to \$1.2 billion for the

combined entity, is that correct?

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M.B. Chinappa: Yes. So, on top of the Viatris business, what we have is our sales in the emerging markets and last year we ended with about \$240 million, these are sales directly through the emerging markets and not through Viatris. So, you could model growth on that and then you have the Serum business that we're acquiring which has a potential of \$300 million of revenues.

Sheersh Jain: Understood. Thank you so much.

Nikunj Mall: Thanks, Sheersh. The next question is from Tushar Manudhane from Motilal Oswal.

Tushar Manudhane: Thanks for the opportunity. On Generics, while there has been some temporary shutdown for the quarter, just would like to have your comment on the profitability.

How much has been the impact of pricing erosion and how much would come back with the revival in this?

Siddharth Mittal: Price erosion is a continuing thing. Our gross margins are at still decent levels. We have seen increase in operating costs during the quarter, including the salary increments which

were given in the first quarter. In terms of the overall revenue guidance, we had a couple of brownfield capacity expansion projects going on, which are expected to complete in Q2 for our synthetic manufacturing blocks in Bangalore, and these would lead to incremental sales in the second half of the fiscal. So, Q2 would be more or less at similar levels, like Q1 for the Generics business.

Tushar Manudhane: Got it, that is it from my side. Thank you. Nikunj Mall: Thanks, Tushar. The next one is from Sameer Baisiwala from Morgan Stanley.

Sameer Baisiwala: Yeah, just a quick clarification. Chini just to a participant back, did you see \$300 million from Serum deal? I thought it was closer to \$400 million.

M.B. Chinappa: \$300 million plus. It's all dependent on the pricing of the vaccines.

Sameer Baisiwala: Okay, but your initial communication when the deal happened was closer to \$400 million. So, you are sort of taking it down?

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M.B. Chinappa: It's linked to the pricing of the vaccines not taking anything down which is really went to 300 plus, which could go from 300 to 400. We will have to see, it is really a mix of things, there are products that are at \$3 range, 100 million of which gives you \$300 million, that's kind of minimum assured revenues. And there are products that are priced higher, that will take up the average price.

Sameer Baisiwala: Okay, and for both types of vaccines, your margin profile remains same, which is 33-34%.

M.B. Chinappa: Yes, there's minimum committed margins, which will give us at least 36.67%.

Sameer Baisiwala: Got it. Thank you.

Nikunj Mall: Thanks Sameer. Next one, Nithya from Bernstein.

Nithya Balasubramanian: Hi, a follow up on the vaccine deal. If you can help us understand in FY23 and 24, what is the portfolio of vaccines that you will end up selling? Is it just the COVID vaccines, Covishield and COVAX because I understand the malaria, dengue, etc. are still in the pipeline? Some color please.

Kiran Mazumdar-Shaw: So, Nithya we are entitled to sell any vaccine that are offered or produced by Serum Institute and it goes beyond COVID vaccines. As you know, there are many other vaccines, recently, in fact, they announced the HPV vaccines, there are flu shots, there are pneumococcal vaccines. So, there are a lot of options for the portfolio of vaccines.

Nithya Balasubramanian: Understood. So, you will take a call based on the demand etc. to meet that 100 million doses number.

Kiran Mazumdar-Shaw: Yes.

Nithya Balasubramanian: Thank you so much. Nikunj Mall: Thanks, Nithya. The next question is from Prakash Agarwal from Axis.

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Prakash Agarwal: Hi, thanks for the opportunity again. Question is on, if t

here's any update on the

Sandoz deal that we had done in 2018. We have heard about our unpartnered two molecules coming in but nothing from the Sandoz side for long.

Kiran Mazumdar-Shaw: So, the two Sandoz programs are in a preclinical stage of development.

Prakash Agarwal: Okay, understood and secondly, on the two R&D programs that you disclosed last quarter, and saying that phase three is already started, so these are simultaneous studies, which I understand Phase 1 and Phase 3. But when we see the competition who already started Phase 1 and then now entered Phase 3, how are we different in terms of approval and launch timelines. Are we in the second wave or we should we still have chance to be in the first wave?

Kiran Mazumdar-Shaw: It all depends on the review process, and it depends on how the others are being reviewed and how strong their programs are. I'll just give you one example, for instance, Biocon was probably the third or fourth company developing Pegfilgrastim and yet we were the first to be approved. Similar case was in the case of Trastuzumab, again, we didn't think we would be the first company to be approved but we were, so it's very difficult to predict or project what can happen.

Prakash Agarwal: Okay, fair enough. And one more on the funding of \$800 million, clearly mentioned \$250 million from Biocon, but this remaining \$550, is it largely the existing PE guys or new PE guys or Serum might also pitch in?

Kiran Mazumdar-Shaw: Yeah, so it's a combination of both existing and new.

Prakash Agarwal: Okay, but Serum could add more.

Kiran Mazumdar-Shaw: Yeah.

Prakash Agarwal: Okay. So, thank you so much and all the best. Thank you.

Nikunj Mall: Thank you, Prakash. That was the last question. We thank you all again for joining us today. If you have any additional question, please feel free to reach out to Aishwarya or me. We're looking forward to seeing you again next quarter. Have a good day.

Call: Nov 2022

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November 22 , 2022

To,
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The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject : Transcript of Earnings Call Q2 FY23

This is further to our earlier letter dated November 15 , 2022 regarding presentation and video recording of Q 2 FY23 Earnings Call held on November 15 , 2022 , please find enclosed herewith the transcript of the Earnings Call. The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/> . Kindly take the above said information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer
Membership No.: ACS 18776

Encl. as above

Biocon Limited Q2 FY23 Earnings
Conference Call Transcript
November 15, 2022

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Speakers and Participants from Biocon Limited and Biocon Biologics Limited

Dr. Kiran Mazumdar -Shaw – Executive Chairperson, Biocon Limited

Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
Dr. Arun Chandavarkar – Managing Director, Biocon Biologics Limited
Mr. Indranil Sen – Chief Financial Officer, Biocon Limited
Mr. Shreehas Tambe – Deputy Chief Executive Officer, Biocon Biologics Limited
Mr. M.B. Chinappa – Chief Financial Officer, Biocon Biologics Limited
Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Paul Thomas – Chief Commercial Officer -US, Biocon Biologics Limited
Mr. Abhijit Zutshi - Commercial Head - Global Generics, Biocon Limited
Mr. Nehal Vora - Commercial Head - Global API, Biocon Limited
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited
Mr. Nikunj Mall – Head - Investor Relations, Biocon Biologics Limited

External Participants during Q&A session

Prakash Agarwal – Axis Capital
Shyam Srinivasan - Goldman Sachs
Neha Manpuria – BofA Securities
Damayanti Kerai – HSBC Securities
Harith Ahamed – Spark Capital
Masira Vasana – FSSA Investment Managers
Sameer Baisiwal – Morgan Stanley
Dhruv Singhal – Karmawish
Tarang Agarwal – Old Bridge Capital
Dinesh Mahajan
Vipul Kumar Shah – Sumangal Investments
Tushar Manudhane – Motilal Oswal Securities
Alankar Garude – Kotak Securities
Nitin Agarwal – DAM Capital

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Saurabh Paliwal:

Good morning, everyone. I am Saurabh Paliwal from Biocon's Investor Relations team. And I would like to welcome you to the earnings call for the second quarter of Fiscal '23.

I would like to indicate that all participant lines will be in the listen-only mode and there will be an opportunity to ask questions after the opening remarks conclude. Should you need to ask a question, please select the Raise Hand option under the Reactions tab of the Zoom application. We will call out your name and unmute your line. While asking, please begin with your name and your organization.

Please note that the chat box in the Zoom application is disabled, but you can raise any technical concerns by sending us an email to investor.relations@biocon.com. Please note that this conference is being recorded. The recording will be made available on our website within a day and the transcript of the call shall be made available subsequently.

Today, to discuss the company's business performance and outlook for the quarter, we have Dr. Kiran Mazumdar - Shaw, our Executive Chairperson; Mr. Siddharth Mittal, CEO and MD of Biocon Limited, along with other senior management colleagues across our business segments, including Generics, Biosimilars, and Research Services. Before we begin, I want to remind everyone about the Safe Harbor related to today's earnings call. Comments made during the call may be forward-looking in nature based on management's current beliefs and expectations. It must be viewed in relation to the risks that our business faces that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements. After the end of this call, if you need any further information or clarifications, please do get in touch with me.

Now I'd like to turn the call over to our Chairperson for her opening remarks. Over to you, Kiran.

Dr. Kiran Mazumdar -Shaw:

Thank you, Saurabh. Good morning, everyone. I welcome you to Biocon's earnings call for the second quarter FY '23. I would like to spend a minute to pay tribute to my late husband John McCallum Mars

hall Shaw, former Vice Chairman

of the Biocon Group. John passed away on October 24th in Bengaluru. As a key member of the Board and management of Biocon since 1999, John Shaw has contributed majorly to the transformation of Biocon into a globally recognized innovation-led biopharmaceutical company.

In his 22 years with Biocon, he played a very important role in building the company, ensuring the highest levels of corporate governance, as well as contributing to the financial and strategic development of the Biocon Group. He retired from the Board of Directors of Biocon on July 23rd, 2021, due to health reasons.

John Shaw was a man who stood tall with his values and inspired many. He was a benevolent, erudite and a compassionate person who truly believed in philanthropy and believed that it would make this world a better place. He

was my greatest mentor and my trusted business partner. John's vision for Biocon will continue to guide us towards our purpose of enabling equitable access to healthcare worldwide and for Biocon to become a global leader in its chosen areas.

With that, let me now turn to the earnings call.

Let me start by commenting on some macroeconomic dynamics.

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The global economy is in its steepest slowdown since 1970. The IMF has forecast that global economic growth will slow to 3.2% in 2022 and is likely to slide further to 2.9% in 2023 from the 6.1% that we saw in 2021.

However, India is an outlier in the current geopolitical scenario. The continued war in Ukraine, which seems to be now receding, the alienation of China, and other trade alignments are compelling a shift of manufacturing to countries like India. I therefore believe that India is uniquely poised for strong export-led growth in coming times.

While high inflation continues to make headlines across the globe, spiraling healthcare costs do need to be addressed. Adoption of both generics and more particularly biosimilars is a necessity and not an option anymore. The Biocon Group, with its export-led business profile, is well poised to break out of the economic challenges of both recession and inflation. Research services, manufacturing, and the increasing demand for both generics and biosimilars offer attractive growth opportunities for the group.

While growth is critical, sustainability is amongst Biocon's top-most priorities, and the company is committed to build a sustainable future. On the back of key initiatives undertaken during the past year, I am pleased to share that in the 2022 S&P Global Corporate Sustainability Assessment, released in October '22, that Biocon has improved its ESG score to 52 from the previous year's score of 45.

Let me now turn to some Board updates.

I would like to start by welcoming Peter Bains as an additional director on the Board of Biocon Limited. With over three decades of experience in biopharmaceuticals and a successful track record of building brands, businesses, and companies, we believe that Peter's thought leadership will add tremendous value to the Biocon Board.

Before I turn to key financial highlights of the quarter, I would like to give you an update on the Viartis acquisition.

The acquisition of Viartis' biosimilars business is expected to close shortly. Biocon Biologics will issue \$1 billion of convertible securities and make an upfront payment of \$2 billion to Viartis on closing of the transaction. Biocon Biologics has secured the \$1.2 billion of debt and the balance amount of \$800 million will be funded through \$650 million of equity infusion by Biocon and \$150 million equity infusion by Serum. With regulatory approvals that are required to close the Viartis transaction being in place, it is, we believe, imperative to close the transaction expeditiously in order to realize and recognize the benefits of the deal. This will allow us

to start transition and integration of the business at the earliest.

The equity infusion of \$650 million from Biocon will be funded from \$230 million from its existing reserves, including the stake sale in Syngene, and the remaining \$420 million through mezzanine funding. We are in the process of securing investments to retire the mezzanine finance post deal closure. Biocon's stake in Biocon Biologics will be 68% post the Viartis and Serum transactions.

In terms of integration and commercial success, Biocon Biologics will accrue revenue and profits emanating from the Viartis acquisition. The deal also incorporates a two-year transition services agreement or TSA to ensure seamless business continuity. Under the agreement, Viartis will transfer key commercial teams to Biocon Biologics.

In the meanwhile, key leadership hires have been made at BBL to ensure smooth integration as well as commercial success, particularly in advanced markets, which include, of course, North America, Europe, and other advanced markets.

Key leadership hires include Mr. Matthew Erick, Chief Commercial Officer, Advanced Markets; Stephen Fecho, Jr.,

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Global Head of Supply Chain Management; Stephen Manzano, General Counsel, Advanced Markets, and we also have on-boarded key talents in our Advanced Market Commercial teams to build market access and pricing, US policy and advocacy capabilities. We believe that this team that we have now hired puts us in a good position to address the integration and transition requirements of the deal in a very efficient manner.

Let me now turn to financial highlights.

At a consolidated group level, revenues for Q2 FY '23 were up 23% on a year-on-year basis at ₹2,384 crores.

Revenues from our biosimilars business and research services delivered strong year-on-year growth of 34% and 26% respectively, while our generics business grew at a healthy 18%.

Core EBITDA grew 34% to ₹816 crores, representing healthy core operating margins of 35% compared to 33% in the same quarter last fiscal.

Our gross R&D spend was at ₹252 crores versus ₹165 crores in the same period in the last fiscal, an increase of 52% year-on-year. This of course reflects our advancing pipeline that will drive our future growth. This spend corresponds to 16% of revenues, ex-Syngene. Of the ₹252 crores, ₹242 crores are expended in the P&L, while the balance amount has been capitalized. This is ₹96 crores increase in R&D expenses over Q2 FY '22.

During the quarter, we also recorded a Foreign loss of ₹82 crores as compared to a gain of ₹20 crores during Q2 FY '22. This includes ₹35 crores of foreign currency translation loss on account of the Goldman Sachs OCD investment in Biocon Biologics.

With this, the reported EBITDA for the quarter was ₹535 crores versus ₹551 crores in the same period last year, with the EBITDA margin at 22%.

Profit before tax and exceptional items stood at ₹246 crores, compared to ₹276 crores during the same quarter last

■scal.

The Net Profit for the quarter excluding exceptional items stood at ■168 crores versus ■188 crores in Q2 FY '22.

When it comes to exceptional items this quarter, I would like to basically focus on the fact that a MAT credit balance charge of ■107 crores has been incorporated as an exceptional item. The company has decided to adopt the new tax regime of 25%, which helps Biocon to reduce its tax outflow and P&L charges on a go-forward basis. We believe this is an important step that we're taking, and this is of course a charge to our P&L.

Professional fees, net of taxes of ■14 crores towards the Viatriis deal also comprises part of the exceptional items, and therefore reported net profit for the quarter is at ■47 crores.

Let me now turn to segmental performance discussions.

Generics

The generics segment delivered revenues of ■623 crores during the quarter,

which is a year-on-year growth of 18%.

Profit before tax for the quarter was at ■54 crores versus ■50 crores, a year-on-year growth of 9%. Sequentially, revenues grew by 7%.

This quarter, we had two important API launches of Sitagliptin and Vildagliptin in the EU that were supplied from brownfield capacity expansion at our Bengaluru and Visakhapatnam plants.

The generic formulations business also secured several important approvals for our vertically integrated products in Transcript - Biocon Limited Q2 FY23 Earnings Call Page 6 of 30

the EU and Rest of the World markets, providing further impetus to our geographical expansion in the quarters ahead. In terms of the pricing environment, we are seeing some moderation in raw material and logistic costs. However, the environment continues to remain challenging, especially in the US.

On the CapEx front, the generics business made progress on two important projects with the completion of commissioning and qualification of our Visakhapatnam immunosuppressants facility and our Bengaluru peptides facility. Process validation batches are scheduled to commence at both sites in Q3 of this ■scal.

Biosimilars

Biocon Biologics recorded revenues of ■997 crores, a year-on-year growth of 34%, fueled by the growth of insulin glargine in the US. Core EBITDA stood at ■449 crores, which is up 48% year-on-year and core EBITDA margin improved to 46% versus 42%, primarily on account of the rupee depreciation and accrual of PLI benefits.

We continue to make good progress on our R&D pipeline spearheaded by Denosumab and Ustekinumab, our biosimilar programs which are in global Phase 1 and Phase 3 clinical trials. Consequently, R&D investments for the quarter increased by 142% year-on-year to ■184 crores or 18% of BBL revenues. While this is higher than our guidance of 12% to 15% of sales, we believe it will normalize once we accrue revenues from Serum's vaccines and Viatriis' biosimilars businesses.

This quarter's EBITDA reflects an increase of ■108 crores in R&D investments and a non-cash foreign currency translation loss of ■35 crores pertaining to Goldman Sachs OCD investment in BBL, which I referred to a little earlier.

On a comparative basis, last year's EBITDA included a one-off gain of ■55 crores from a mark-to-market movement on our Adagio investment. Therefore, adjusting for the foreign currency translational loss and mark-to-market gains, EBITDA is at the similar level to last ■scal.

Profit before tax and exceptions stood at ■78 crores.

The Viatriis-led business continues to demonstrate a strong year-on-year performance, underpinned by increasing penetration of our interchangeable insulin glargine in the US. Our glargine's total prescription market share is trending around 12%, while new prescriptions are at 14%. We are seeing an increased uptake of our Fulphila or Pegfilgrastim in the US and its market share has now surpassed 10%. Ogivri's market share has also started to recover following a temporary dip in Q1 and is now around 10%. In Europe, Hulo continues its strong performance in key markets such as Germany and France where it has 18% and 9% market share respectively.

We entered into a strategic out-licensing agreement with Yoshindo in Japan for commercializing two of our pipeline assets, Ustekinumab and Denosumab in Japan.

In summary, the existing business continues to see healthy and profitable performance with an opportunity to ramp up revenues. The conclusion of the strategic deals with Viatriis and Serum will transform Biocon Biologics into a leading, vertically integrated global biologics enterprise driving value for all our stakeholders.

Novels

Equilibrium, our US-based partner, announced encouraging interim data from the EQUALISE study evaluating Itolizumab in patients with lupus nephritis. The study continues to enroll patients, with top line data expected in mid-2023.

An

application for conducting Phase 2 clinical trials with Itolizumab for Ulcerative Colitis was approved by DCGI in October 2022.

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Our Boston-based associate Bicara Therapeutics' lead molecule BCA101, in combination with Pembrolizumab was evaluated in front-line systemic patients with unresectable, recurrent, or metastatic head and neck squamous cell carcinoma with very encouraging response rates. During this quarter, BCA101 as a monotherapy was also evaluated in patients with advanced or incurable cutaneous squamous cell carcinoma who have received previous anti-PD-1 therapy.

Investor interest in Bicara has greatly increased following positive outcomes of the various clinical trials.

Research services (Syngene International)

Revenues from operations grew 26% to ■768 crores over the corresponding quarter last year. Reported EBITDA was

up 22% to ₹232 crores. Profit before tax and exceptional item was ₹130 crores, up 15% over the corresponding quarter last year.

The second quarter results reflect positive performances across all divisions.

Discovery Services experienced sustained demand, and during the quarter, the proprietary integrated drug discovery platform SynVent continued to gain traction with 18 integrated programs.

Development Services benefited from repeat orders of existing clients as well as an increase in the number of collaborations with emerging biopharma companies.

In Manufacturing Services, the long-term biologics manufacturing agreement signed with Zoetis in the first quarter is expected to be transformational for the manufacturing services division in the years to come. The agreement has the potential to be worth up to \$500 million over the next 10 years.

Concluding Remarks

I would like to conclude by saying that our performance during the first half has demonstrated the resilience of Biocon's business model as we build the company of the future with all segments delivering strong revenue growth.

We believe that the second half of this fiscal is on a firm footing as we approach the closure of the acquisition of Viatrix' biosimilars business and the vaccine alliance with Serum. Enhanced capacities and new launches will drive growth for our API and generics formulations businesses while continued business momentum should help Syngene achieve its guidance for the full year.

With this, I would like to open the floor to questions. Thank you.

Q&A Session

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Saurabh Paliwal : Thank you, Kiran. We will just wait a moment for the questions to assemble. As a reminder, please use the Raise Hand icon in Reactions tab in the Zoom application to ask a question. The first question is from Prakash Agarwal. Please go ahead.

Prakash Agarwal : Thanks , and good morning. Just wanting to understand the mezzanine funding that you spoke about. When is it expected to reverse ? In the past we have talked about that we are looking for private equity investors to come in. What is the reason for the delay if you could elaborate it?

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Siddharth Mittal : So Prakash, we are in discussions with various private equity investors, but as Kiran mentioned in the opening remark that we want to close the transaction quickly so that we can realize the benefits of this acquisition and start the transition. And within the next few months, we expect retiring the short-term debt we'll be taking immediately to fund this payout and would be closing raising the funds from private equity to square off the mezzanine finance.

Prakash Agarwal : Okay. And these are rupee debt or ?

Siddharth Mittal : Yes. Rupee debt.

Prakash Agarwal : And around coupon of?

Siddharth Mittal : Around 7 -7.5%

Prakash Agarwal : Okay. Understood. And secondly, if there is an update on Beva and Aspart approval timelines. I read in the

presentation that the CAPA plans are already submitted, but what is our internal thought process in terms of the approvals?

Siddharth Mittal : Shreehas, if you can take that.

Shreehas Tambe : Yeah. Thanks Sid. You're right, Prakash, we have , post the inspection, responded to the agency with a comprehensive CAPA plan for Bevacizumab, and we are awaiting the response from the agency to see that we get that approval so that we can commercialize Bevacizumab in the US as quickly as it's possible. You know that we already have approval from the EU for Bevacizumab for that facility and that site.

Prakash Agarwal : But sir, any timelines that we think so that we can pen in the models?

Shreehas Tambe : At this stage, we have no indication on the timeline, but we are engaging with them to see how we can expedite. Typically post submission of a response, it takes anywhere between 45 to 60 working days for them to respond, but that's usually our past experience because we can't comment on behalf of the agency as to when they will come back to us.

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Prakash Agarwal : And the other product from Malaysia, Aspart?

Shreehas Tambe : For Aspart, as you know, we responded to the inspection with the CAPA plan. We did receive a CRL, a Complete Response Letter in October. The agency did point out that there is no pending or a repeat thing from the previous CRL. There's also nothing that we see on the scientific aspect of the dossier or the science of the development of the product. They wanted to see the completion of the actions that we have committed to in the CAPA plan. They've invited us for a conversation. That is currently being scheduled with the agency, and post having that dialogue with the agency, we should be able to get clarity as to how we will be able to get that product to approval. Again, it's important to note that it's not a matter of 'if', it's a matter of 'when'. And we should be able to provide more clarity once we have an engagement with the agency.

Prakash Agarwal : Okay. Perfect. That helps. And lastly on the timelines, so Serum deal, the vaccines start effective 1st October. So, is that understanding correct?

Shreehas Tambe : Yes.

Prakash Agarwal : Okay. And the Mylan Viatris deal, once the payments are done probably before December, so would the financials be added in the October to December quarter itself or it would go to the next quarter?

Siddharth Mittal : It would be from the date of closure. So, let's assume if the closure happens by end of this month, it will be from December 1.

Prakash Agarwal : All right. Thank you and all the best.

Saurabh Paliwal : Thank you, Prakash. I'll request all participants to limit the questions to two to allow other people in line to ask a question. The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Yeah. Good morning and thank you for taking my question. Just the first one on the operational performance at Biocon Biologics. So, if you could help us understand, I think you talked about glargine market shares reaching on NRx about 14%. So, are we on track for the high teen kind of market share? What are some of Transcript - Biocon Limited Q2 FY23 Earnings Call Page 10 of 30 the dynamics that is leading us to continue the market share gains that we're seeing right now?

Shreehas Tambe : Let me respond to that, Shyam, and maybe Matt can add further color on that. We've seen a very positive growth in the way the US market has responded to our interchangeable Glargine and while we've seen the uptick over a period of time, where we started the year with a little under 3% and moved closer to the mid-teens that we've talked about, it's trending in the right direction. We see Viatris gathering more customers. Almost on a weekly basis, we see them adding

more customers to the list and we believe we're trending in the right direction towards that mid to high teens market share in the US that we have targeted. But I'll let Matt talk a little bit more about that. Matt, over to you.

Matthew Erick : Thank you, Shreehas. In addition to what Shreehas was saying, we continue to on-board new customers weekly in our government business. So that's trending nicely, and we continue to look to secure additional business. And as we go into next quarter, we have some opportunities in which we are pursuing aggressively that could add nicely to the growth that you're seeing in the NRxs, which then will translate into the pull through you see in TRxs.

Shyam Srinivasan: Got it. Just a second sub-question is on pricing. There have been some concerns by market participants around biosimilar pricing, US pricing seems to be also kind of QoQ seeing deterioration. So just your comments on how pricing is trending relative to your expectations. Is that the only lever for market share or you think there are other ways to gain market share?

Shreehas Tambe : Again, to respond to that, of course, pricing is an important element. It's something that has to be looked at. There is no going away from that discussion. But beyond that, I think most customers are looking at reliability of supply to make sure that you have a complete portfolio. They're looking at suppliers who have the ability to stay in the market with an

end-to-end capability to be there in the long run.

So clearly, there are several levers, not just pricing. Pricing is important, but it's also important that the supplier to these customers have a track record, credibility of high-quality products that they are developing, and they have supply ability for these demands that they are creating. So, I think it's a combination of this.

In terms of the discounting that you've talked about, it's, again, a factor of competition and market forces. It's been a very reasonable price decline, I would say. It's trended from that 50% to 60% in most markets globally. Even in the US, it's been in that range. We've not seen a cliff, the moment you have a biosimilar entry or, even if there have been four or five players in a particular asset, we haven't seen an erosion in pricing. So, I think there is pricing sanity overall and we believe that this is likely to be a reflection of the biosimilars marketplace at least in the near term.

Shyam Srinivasan : Got it. And if I may, my last question is on the generic business. So, this quarter has been very mixed for the players. You have seen growth maybe on a smaller base relative to some of the larger incumbents. So Siddharth, what are you seeing in terms of both API and formulation trends for your business for the generics? Thank you.

Siddharth Mittal : So, we should continue to see some growth coming in in our API business as we have the newer capacities both from brownfield and greenfield in the coming quarters. Of course, the brownfield capacity expansion will give immediate boost to our growth and greenfield capacity addition would take some time. When it comes to generic formulation, as we said, we've got a few approvals in emerging markets. We also have a few launches coming up in the US. And the combination of these launches plus the growth in our base business should generate growth in the coming quarters. So overall, the second half of this fiscal, we do expect a high single digit growth compared to second half of last year.

Shyam Srinivasan : All right. Thank you and all the best.

Saurabh Paliwal : Thank you, Shyam. Next question is from Neha Manpuria from Bank of America.

Neha Manpuria : Yeah. Thanks for taking my question. My first question is on the biosimilar business. We've gained market share in all of our products in the last few quarters.

Glargine has particularly been good. Despite that, we've seen flat revenues, which does seem to indicate either pricing pressure not only in the US, but in the other markets. So just wanted to get a sense on when do you see the next step up in the revenue traction that we're seeing. That's my first question. And second, we have heard a fair bit of discussion on biosimilar for Humira from competitors. I know this is a partnered product for us, but if you could give any color on how we stand as the second set of entrants for this product.

Shreehas Tambe : So, Neha, maybe I'll take the first question and I'll let Matt talk about Adalimumab subsequent to that. So, in terms of what we had said on the revenue numbers, we had in the past said that the first two quarters of this year will be around that \$1,000 crore mark, and then we will see it break away from that to a higher level. It will go up in steps and we've moved up from that \$750 crore average to about \$850 crore-ish and then towards the \$1,000 crore mark. We see that changing in the current quarter and moving to an upward trend.

Now, specifically to the market shares and the revenue correlation that you just talked about, two things to discuss there. One is, you're right, most of our products have recovered market share. Specifically, our Trastuzumab franchise in the advanced markets, which had undergone a dip in the beginning of the calendar year has recovered very strongly and we see that trending back towards the double digits. So, it's certainly been a positive trend. In Glargine too, with the NRx, Matt just described, are trending towards the mid-teens. And Pegfilgrastim, we continue to hold that 10% market share, which is a significant threshold that we maintain.

In Europe, we have continued to also grow Trastuzumab in particular, and Adalimumab continues to grow there in certain markets, Germany and France in particular. But we have seen that the euro-denominated business that we've seen there has faced pressure on the currency side, with the euro depreciation to the dollar, and that has had an impact on some of those numbers that you have seen from a correlation perspective. We see a

strong growth in the product, but unless we correct these currency impact, which we believe are transient, we will see the business continue to grow in the current quarter and going forward as well.

But maybe Matt, you can now talk about the Adalimumab preparations for the US.

Matthew Erick : Yeah. Thanks, Shreehas. So , comments on our Hulo product, which is our biosimilar product to Humira. Some key things we're seeing is that no product or no manufacturer has everything to the innovator, but we believe we're in a very good position as we meet with our payer customers and talk with our partner, with Viatris that we have history, we have a significant European history within our supply for this product, which is key to payers, and we've been able to demonstrate that with our launch of products in Europe, especially with our Hulo product in the nice gains that we've seen in that market share. The other thing, we believe, as we look at launching and the timing is that we believe we're in a very good position. As you see, what's going on with the payers now, there seems to be a wait and see with most of them as they are waiting to see what's coming with all the different suppliers at the same time.

We also have a uniqueness in our device itself, which we believe will be an advantage because it's very similar to the innovator. So , patients will be familiar with how they use the device. We've been having nice discussions, preliminary discussions, with payers and we believe we're in a good position because most of the payers are not going to have exclusivity. They will have a N +1 or N + 2 arrangement . So

that means innovator plus

one biosimilar or innovator plus two biosimilars. And with our history that we've demonstrated with our partner, with Viatris, and how we've already been in the market

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with other products , the payers are familiar with, we believe it puts us in a very good position as we get ready to launch our Hulo product.

Saurabh Paliwal : Neha , does it answer that?

Neha Manpuria : Yeah. Sorry. Just one follow -up on Shreehas' question. Shreehas, on the emerging market, how has that been trending quarter -on-quarter? Are we seeing growth in the ex -regulated market business on the biosimilar side?

Shreehas Tambe : Yes, Neha. I think the emerging markets have also been doing very well for us in all the key franchises that we talked about, but I'll let Susheel comment specifically on it and why we believe second half will be stronger given that we're starting to see the tenders, which had moved to the later part of the year moving in the positive direction . But Susheel, maybe you want to talk.

Susheel Umesh : Thank you, Shreehas. In the emerging countries, I think that we have been doing very well over not just quarter, but over the years. If you see in FY '21, we were trending at around ₹200 crores per quarter; FY '22, about ₹250 crores, and this year we would be trending at about ₹300 crores per quarter. Overall, the business of the emerging countries is largely tender dependent. So sometimes it gets a little lumpy in terms of the nature of the business, but overall , we are relatively confident that many of the tenders, which were delayed in the quarter two will get onto quarter three, which we will win. So that way, the overall trend of the B2B business , as we call it in the emerging countries, is very strong for the products that we are in, especially in Insulins and with the Trastuzumab and now with Beva as well.

Neha Manpuria : Thank you so much.

Saurabh Paliwal : Thanks , Neha . The next question is from Damayanti Kerai from HSBC.

Damayanti Kerai : My first question is on Semglee. So , can you talk like how the current prescription is split between commercial and Medicare/ Medicaid patients and how this trend has been moving in recent time because you have seen good pickup? So that's my first question.

Shreehas Tambe : Matt, do you want to take that question?

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Matthew Erick: Yeah. Look, I'll try. That's a very high -level question, but I think it's one of channels and how you're maximizing this. There's not a traditional shift in the way people are put on the plans in the US. It's how we're taking advantage of optimizing the channels within the

payers as well as the price points. So, you're seeing some of these shifts and you can see it shift back and forth. It's really taking a look at where is Medicare Part D, Medicare Advantage, where are the commercial plans and how we go to market and strategically look at that. So, you see some shifts, but we are taking advantage where the opportunity lends itself. And so, you might be seeing some of that growth in some areas versus others.

Damayanti Kerai : Sure, Matt. And in recent contracting cycle for next year, has Semglee gained meaningful contracts compared to where we were last year?

Matthew Erick : Yeah. I think definitely you're seeing those market share growth in the channel. Some of the things we'll have to look at is, as we look at acquiring or partnering with additional customers, some of that data is not in IQVIA, but we'll see nice growth. And I think more that revenue piece is going to continue to watch because the way people report information. But I do see additional partnerships as well as additional pull through which you're seeing that with the NRxs in existing business coming in the future.

Damayanti Kerai : Sure. And my last question is, both your advanced market as well as emerging market biosimilars have picked up. So that's a good update. So, can you just tell us what is the split right now in terms of biosimilar sales between advanced and emerging market?

Shreehas Tambe : Chini, do you want to give a split.

M.B. Chinappa: For the quarter, Damayanti, it's just under 60%, the advanced markets.

Damayanti Kerai : Sorry, 60% -- under 60% for advanced market ?

M.B. Chinappa : Advanced markets and just above 40% for emerging markets.

Damayanti Kerai: Okay. That's helpful. Thank you.

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Saurabh Paliwal : Thank you, Damayanti. The next question is from Harith Ahamed from Spark Capital.

Harith Ahamed: Good morning. Thanks for the opportunity. So, on insulin aspart, the previous CRL in 2019, the FDA had some queries on the diluent you were using, and I believe you had provided information on the same. So does the recent CRL mention anything related to the diluent or is it just pertaining to the inspection and the GMP status?

Shreehas Tambe : Harith, we've been able to respond to the agency on the diluent that they had asked for and we do not see any inquiry, any further points or comments on that. The current CRL only talks about us completing the CAPA actions to their satisfaction and there are of course some labeling, packaging queries which are standard whenever you have to close an application in the pre-approval process. So, we don't see anything beyond just the facility inspection closure in terms of the CAPA actions.

Harith Ahamed : And how should we think of the next goal date? I missed that in case you mentioned earlier.

Shreehas Tambe : So, the agency has asked us to engage with them. They want to take us through what really is needed to close this because there is no outstanding item from the previous CRL as well. So, we've closed those observations as well. So, I think it's important right now to see what is it that the agency is looking for before we can look at the resubmission for a new goal date at this stage.

Harith Ahamed : Okay. And then regarding the licensing of two biosimilar assets, Ustekinumab and Denosumab to Yoshindo in Japan, just trying to understand how biosimilar penetration has been in that market. We've had our Glargine product since 2016 under partnership with FUJIFILM. So how has the experience been? How has the product ramp-up been? And what share do we have in the Glargine market over there, if you could help me?

Shreehas Tambe : Yeah. Absolutely. I think very fair question. Japan continues to be a very important market. It's still the third largest pharmaceutical market in the world and for biosimilars as well. One of the key things about Japan, and it's taken us a while to get familiar with this,

we've been in Japan since 2016 when we've got that approval for insulin glargine through our partner FUJIFILM. One of the key things in Japan is that a lot of the prices there are regulated through an NHI pricing index, and in terms of that, the order of entry and the discounting of biosimilars become extremely critical as products are launched and

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institutions go through contracting for a longer period of time. So, there's clearly been a lot of learning for us in the glargine commercialization process in Japan.

What Japan did for us was establish our scientific credibility that we can develop products of high quality for developed markets. So back in 2016, that was a big credibility mark for Biocon overall. And at this state, I think while we've been able to understand how that market operates and having a strong local partner like Yoshindo, who's already commercialized products like these biosimilars in the past in

that competitive space, and

knowing what is required to be successful in terms of the order of entry, we believe we have a very good opportunity here with these two assets, which between them have an opportunity of almost \$700 million, split roughly equally, \$350 million each, between Ustekinumab and Denosumab. So clearly, we are very excited about this, and we see that we should be able to make a success of this in Japan, Harith.

Harith Ahamed: Thanks, Shreehas. And one on the balance sheet. There is a decline in the tangible CWIP in the consolidated balance sheet by around ₹1,300 crores. So, this is related to which facilities? And then this corresponding increase in the net block. So, which are the facilities contributing to this?

M.B. Chinappa: This pertains to capitalization of one of the drug substance facilities that has gone online in the quarter of July to September.

Harith Ahamed: Okay. And will you be able to quantify the benefit from PLI scheme? You mentioned that in the context of improvement in margins at Biocon Biologics. Was it material, is what I'm trying to understand?

M.B. Chinappa: It is. As you are aware, we've been selected under the PLI scheme, the Biocon Group has been selected under the PLI scheme, which entitles us to ₹250 crores benefits over a five to six-year period. So, this will accrue over time. It will be now a standard in our P&L going forward.

Harith Ahamed: Okay. That's all from my side. Thanks.

Saurabh Paliwal: Thanks, Harith. And the next question is from Masira Vasanwala from FSSA Investment Managers.

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Masir Vasanwala: Hey, thanks for taking my question. Just looking back at the history of the company, the company hasn't usually taken on too much debt or done very large M&A transactions. What's different this time that gives you so much confidence to take on the debt you are taking on or the M&A? What are you worried about as you do this?

Kiran Mazumdar -Shaw: So, let me start by saying that I think this is a unique opportunity for the company to basically become a global leader in biosimilars. I think this is an inflection point and a huge opportunity for us in a business segment that is very, very differentiated. I do not think that this opportunity is something that we can ignore or even feel cautious about because we are very confident about the opportunity and the opportunity to grow. We have products in the market, we have products in the pipeline, and we have products, which are to be approved very shortly. I think with all this in place, I think we have a huge opportunity to be enormously successful. So, I do believe that this is a debt that we have to take on to basically transform the business to the next level.

We also feel very confident that this is not an unserviceable debt. It is not hugely over-leveraging the company and we are also in the process of looking at investments that can even further reduce the debts that we originally have taken on. So overall, I believe that this is a unique opportunity for the company for breakaway growth that we have never been able to see before.

Masir Vasanwala: Thanks. And just one more question. The mezzanine financing that we're taking, is there any collateral or cash flows against which this is secured?

Siddharth Mittal: No. So , it would be secured debt against the underlying assets of Biocon Limited. So , there will be no other collateral that will be there.

Masira Vasanwala : Okay. All right. Thank you.

Saurabh Paliwal: Thanks, Masira. The next question is from Sameer Baisiwala from Morgan Stanley.

Sameer Baisiwala : Yeah. Hi, thanks and good morning , everyone. Shreehas, you must have been through with the contracting cycle for calendar 2023. So , if you can just share your market share outlook, especially for glargine and the other two as well.

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Shreehas Tambe : Thanks, Sameer. So , for 2023, you're referring to the US insulin glargine. I think what we can indicate is that our current customers that we had contracted with, we will continue to retain those. So , we will stay with those markets , and which is why we feel confident about that growth from where we are today. You heard Matt talk about the NRxs. We will trend towards those mid to high teens that we've guided and that seems to be moving in the right direction, Sameer.

Sameer Baisiwala: Okay. That's great. And for Pegfilgrastim and Trastu as well, if you can share your thoughts.

Shreehas Tambe : So, for Trastuzumab, we'd just talk about that franchise first. I think we did go through that dip of around 7.5% - 8% early part of the year, and as you see, we've clawed that back. So , the Vi atris oncology team has really been chipping away at making sure that we gain those accounts. We've got approvals to supplement that market. So, we really believe there is that 10% - 12% market share potential . We continue to build that. Going forward, I t hink there is a lot of focus. We are hoping Bevacizumab gets approved soon. So, we see that happening.

We're looking at Pegfilgrastim being a very resilient product. We've been in that space long. We had an early -mover advantage. The response overwhelmed us. Now we have significant capacity, which should allow us to play whichever segment or channel that is available to us. It's a matter of what commercial strategy Viatris and Matt and the other teams come up with, but we would have the ability to supply far greater than what it is today.

But beyond the US, Sameer, what the team is really looking at , at this stage is to see how we can expand our market shares in Europe as well. And over last year, if I can point out Trastuzumab has increased its presence in Europe significantly. So that's been a good positive and we see Pegfilgrastim also headed in a similar direction in Europe where the market shares will continue to grow. Overall, we see this trending in the right direction, and the team is quite excited to hold the oncology franchise now. And with Matt and team, we feel very confident there .

Sameer Baisiwala : Okay. Thanks. And I just wanted to revisit a couple of key numbers for Viatris. So , \$1 billion CCPS is being issued at what valuations? And post the transaction, the early understanding was that BBL will have \$1.5 billion net debt. So , is there any change to that?

M.B. Chinappa : Hi, Sameer. The CCPS, as we indicated previously, is based on equity value of \$7.7 billion. So , the \$1 billion CCPS will convert to 12.9% equity stake in BBL. There is of course a cap and a floor , so it can range between 12.9% to 14.9%, and is very dependent

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on the IPO valuation. The debt levels, as said, there will be \$1.2 billion of debt on top of the existing \$300 million of debt. So , on BBL's books, the debt target is \$1.5 billion, which we expect to pay down through improved cash flows going forward and of course further equity raised from time to time.

Sameer Baisiwala: Okay. Great, Chini. Also, you had earlier indicated that Viatris most likely will close this year with \$875 million top line and \$200 million EBITDA. So , any color you can share on that. Are we on track for that?

M.B. Chinappa : Yes, Sameer. Viatris did release their Q3, that's the July to September numbers. They are at \$185 million for the quarter. That gives a run rate of \$740 million. We see improvement in the last quarter, which should take us closer. And keep in mind that this year, as Shreehas also mentioned, the overall European revenues have been impacted

by the depreciation of the euro to the dollar, sorry, and some depreciation in emerging market currencies. We also have had a moderate effect or impacted by the delayed launch of Beva and Aspart.

Sameer Baisiwal : Okay. And one final question for the mezzanine financing. Over next few months, will this be then fully replaced by private equity or how will it work?

Siddharth Mittal : Yes. So, the intent is to replace it partially or fully with the private equity round, but we also do have an option to raise additional funds by divesting a few more percentage stake in Syngene. We of course don't want to keep too much of mezzanine finance for long on the balance sheet.

Sameer Baisiwal: Okay. And quite obvious that it would be secondary sales of your stake.

Siddharth Mittal : That's correct.

Sameer Baisiwal: Okay, got it. Okay. Thank you. Thank you so much.

Saurabh Paliwal : Thank s Sameer. The next question is from Dhruv Singhal.

Dhruv Singhal : I just wanted to ask about the potential timeline for the IPO of Biologics and if we can expect a demerger of Syngene and Biologics eventually in the future.
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Siddharth Mittal : I think it would be a bit premature to comment on the timeline, but what we have said in the past, it will be not before the next 12 months or so. And at this stage, we are evaluating various options including demerger, but again, all these things would take some time before we come out with a plan for our shareholders.

Saurabh Paliwal : Dhruv, does it answer your question?

Dhruv Singhal : Yeah. Thank you.

Saurabh Paliwal : Thank you, Dhruv. The next question is from Tarang Agarwal from Old Bridge Capital.

Tarang Agarwal: Hi, good morning, everyone. Thank you for your time. Just a couple of questions from me. It's actually sort of a repeat of what's already been asked. If I look at the Biocon Biologics business for this quarter, on a Q-on-Q basis, the revenue has been largely flat and the core EBITDA has moved up quite nicely. So just referring to the comments explained, euro has probably depreciated about 2% on a quarter-on-quarter basis and given the market share gains that we've made and the fact that emerging markets is roughly 40%, I'm just not able to connect the dots in terms of why the Q-on-Q revenues have been flat. That's number one. Number two, when I juxtapose it with how the EBITDA has actually moved up on a quarter-on-quarter basis, I'm just finding it a little difficult to understand what's been the builder here?

Shreehas Tambe : Chini, do you want to take that?

M.B. Chinappa: Yeah. Just to clarify, as Susheel indicated that the emerging markets performance is strong overall, but for the quarter, it has been lower than the previous quarter. So sequentially, though the underlying business is strong, the revenues booked in Q2 is lower than Q1, and that impacted the quarter or sequential growth numbers. So that is one. And as Susheel also indicated that we expect a pickup of this business in the second half.

Moving to the improvement in the core EBITDA, as we indicated in the opening commentary, we had the benefit of the exchange that reflects in the core EBITDA but gets written off or neutralized by the re-translation of our Goldman Sachs investments. So, while we had ₹56 crores gain on the top, we've had ₹59 crores of loss at the bottom and that's why it's not reflected in our PBT numbers.

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Tarang Agarwal : Yes. Okay. The second is on the Viatrix acquisition. So, you suggested that the mezzanine financing is going to be rupee-linked and the financing at Biologics, I'm guessing that'd be dollar-linked, right?

Siddharth Mittal : The bank debt , Chini, is rupee -linked as well , or dollar -linked , I think that's the question . But the mezzanine finance, which will come at Biocon level will be rupee -linked.

Tarang Agarwal : And

both will be indexed to a particular benchmark in terms of how it's being priced?

Siddharth Mittal : Well, it's all the commercial or the market rates, the lending rates , whether it's NCD or ICD, it's all linked to the current prevailing rates.

M.B. Chinappa: Tarang, just to clarify, the debt in the BBL books will be a dollar denominated debt and as you appreciate the revenue that is coming from the acquisition is also dollar denominated and is benchmarked to the SOFR index.

Saurabh Paliwal: Tarang?

Tarang Agarwal: Yeah. That's it from me. Thank you.

Saurabh Paliwal : Thanks, Tarang. Next question, Dinesh Mahajan.

Dinesh Mahajan : Hello. Good morning. Thanks for the opportunity. I would like to ask two questions. First one is pertaining to insulin glargine. What market share we have in the long - acting insulin market in India? Any number you can provide on the Basalog sales in India? And insulin glargine coming under price control in India, should it impact our margins , or can it help us gain more market share in India?

Susheel Umesh : Maybe I'll take that?

Shreehas Tambe : Yeah. Go ahead, Susheel.

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Susheel Umesh: Yeah. Thanks for that question. Glargine in India, Basalog is doing extremely well, if you compare it versus last year. We are growing at more than 25% in a market that's sort of growing at about 3%. So , most of the market change happening is a switch that is happening from the leader to our brand. And that's a very good sign. In terms of market share, we used to be at 11% market share before and now we are reaching about 13% market share and that's a very good trend going forward for glargine.

So, second question which you asked was on the pricing. Most of the discussion that we have in the marketplace is not really about the price. It's about the services that you offer to a doctor . Because in India, as you are aware, Dinesh, this is not a tender -based market. This is largely a retail market. And doctors prescribe this product to patients. So out there in the market, it is offering your services to the doctor, being present for the patient, helping the doctor treat his patient to target. And I believe we did that quite well and that is why we are growing the market shares of Basalog.

We are very unique in the fact that we have got some SKUs which doctors prefer, which is vials in 10 ml, 5 ml and 3 ml which give significant pricing advantage to the patients as well. So that's the differential we bring on the table to the patients and the doctors in the country. So , I would see that going forward , we would continue to grow market share, continue to be dominant with Basalog in this market.

Dinesh Mahajan : Okay. You highlighted that in Indian market, the procurement is less via tendering, but if you observe procurement in CGHS, Central Government Health Scheme or procurement by various state government , health ministries, is becoming more and more tendered. So , are we addressing that part of the market aggressively?

Susheel Umesh : If you look at it, this market is growing, you are right, but it is still about 10% or 12% of the total market, which is largely a retail market. I know there are sources like the ESIC, the Army, the defense, the railways who procure insulins and we have got a separate team to handle this kind of institutional business as well.

Dinesh Mahajan : Okay. Yeah. My next question is pertaining to the US market. Now with the Viatris acquisition, we soon will be rubbing our shoulders with big corporations like Amgen, Eli Lilly and Sanofi's of the world. Now what are the key hurdles that we face in increasing the market share of our quality products, be it oncology segment or be it Semglee or insulin Aspart, which we will be launching in the US market? Like, is there is more resistance from medical con

sultants to shift to biosimilars or
it is because of the high rebates which are being offered by the innovator
companies to the pharmacies? And how do we plan to address it?

Shreehas Tambe : Matt, do you want to talk to that?
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Matthew Erick : Yeah. Sure. I'll start here. Thanks for the question. Really appreciate it. Look, as we look
at the competition, we see them as any other competition. We feel, with the platform and
the foundation that's coming over particularly in oncology, we have a robust platform that
has these advantages and relationships already established with the physician or
physician clinics, your oncology clinics, your oncology distribution.

So, we are a known entity and those folks that are coming from Viatris over to Biocon are
maintaining those relationships. We do understand how ASP works. So, we know those
advantages, we know those hurdles, in which we can compete very competitively against
any innovator. We've been around for quite some time, even though it is through Viatris.
The payers understand us, and also in the oncology side, the physicians are very
comfortable with biosimilars.

To answer your question on how we look at key winning in these markets, of course, you
have to have the economics. That's the starting point. But you also have to have the payer
contracts, meaning you have to land the formularies. And what's nice that we have the
foundation that we built in the partnership together with Viatris, is then we have the pull -
through apparatus with the sales force.

The other thing that we'll be successful in competing against the innovators, we have the
patient services, patient education and hub services. So, we have the formulary
coverage, we have the ability to pull it through, and we have then the ability for patients
to be able to afford and pay the medications. That's how we'll compete very aggressively.

Dinesh Mahajan : Okay. Coming to insulin Aspart launch in India, is the launch like related to the fate
of the court case or it's a separate thing and the DGCI trial thing should continue
forward?

Shreehas Tambe: At this stage, we are still awaiting regulatory approval. We do not have approval of that
product. So, unless the authorities approve that product, we are very eager to launch that,
but we are awaiting the approval of that.

Dinesh Mahajan : Okay. That's it from me. Thank you.

Saurabh Paliwal : Thanks, Dinesh. The next question from Vipul Kumar Shah from Sumangal Investments.

Vipul Kumar Shah : Yeah. So, my question is, so biosimilar sales, you said 60% is regulated markets.
So, can you split it between US and euro region?
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M.B. Chinappa : Vipul, the audio is not too good, but I suspect that you asked for the split of the developed
markets between US and EU, right?

Vipul Kumar Shah: Yeah. That's correct.

M.B. Chinappa : I don't have that exact breakup, but just our developed markets actually, where Viatris
funds it, we recognize a third of that in our profit share. There's US, there's Europe, there
is Japan, Canada, Australia, New Zealand and also emerging markets. So, the sales are
distributed over a much larger geography, but I don't have the exact split to give you.

Vipul Kumar Shah: Second question relates to our Malaysia plant. So, are we breaking even at EBITDA
level for Malaysian facility? Can you share some numbers?

M.B. Chinappa : Vipul, we have had profits for the last three quarters. From Q4 of last fiscal, Malaysia has
been reporting profit at the PBT, PAT line.

Vipul Kumar Shah: Can you share the figure for the last quarter, if that is possible?

M.B. Chinappa : \$5 million profits for the quarter, July to September.

Vipul Kumar Shah: EBITDA or net?

M.B. Chinappa : In dollars. PAT.

Vipul Kumar Sha

h: PAT?

M.B. Chinappa : Yes.

Vipul Kumar Shah: Okay. Thank you. Thank you and all the best.

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Saurabh Paliwal : Thank you, Vipul. The next question is from Tushar Manudhane from Motilal Oswal.

Tushar Manudhane : Yeah. Thanks for the opportunity. Just if you could refresh on the outlook for the Serum alliance led vaccine business in terms of how do we look at it over the next 12 months?

Shreehas Tambe : Sorry. Saurabh, I didn't follow the question. Was that -- what is the question? Outlook of what? I didn't understand.

Saurabh Paliwal: I think they are asking about the Serum transaction, the visibility on that, Shreehas.

Shreehas Tambe : Okay. Chini, do you want to give some visibility on that?

M.B. Chinappa : Tushar, hi. So , as you are aware, we have a contractual arrangement with the Serum Institute to commercialize 100 million doses of vaccines per annum. Underlying there is a minimum commitment of revenues and profits, which is on a full year basis. So , as we've indicated, we could expect revenues in the range of \$300 million per annum, and with an EBITDA close to our core EBITDA margins, which is the mid to high 30s. So that's the projection for the business. They will accrue on a full -year basis on these lines. I can't give you a quarter -by-quarter breakup or guidance.

Tushar Manudhane : Sure. That's helpful. That's it from my side. Thank you.

Saurabh Paliwal : Thanks, Tushar. We have the next question from Alankar Garude from Kotak Securities.

Alankar Garude : Yeah. Hi, good morning, everyone. My question is on the immunosuppressants facility. Can you share some details on the capacity? Which are the key products being targeted, opportunity size, focus in terms of developed versus emerging markets?

Siddharth Mittal : Alankar, we do not give capacities of our facilities, but it's a very large facility. It's a greenfield facility in Vizag where we'll be manufacturing products like Tacrolimus, Sirolimus, Pimecrolimus and various other products, which are under development will also be manufactured there in the future. And of course, we have our existing facility in Bangalore, which has been running completely at capacity. So , the growth would come in from this new facility and it will be across emerging and developed markets.

Alankar Garude : So, on that Sid, if I look at Sirolimus, Tacrolimus, the overall global market growth itself has been in that 7% to 8% range. I understand we have been capacity constrained because of Bangalore, but going forward, you expect a somewhat similar growth with this new capacity coming in or you expect to gain further market share across your existing markets in some of these products?

Siddharth Mittal : Yeah. I think it will be both. We will gain additional market share. We have been in discussions with various customers whom we have not been able to lock in or supply in the recent years because we did not have capacities to service these customers. Plus, we also expect our existing base business to grow as more and more transplant patients are enrolled by our customers. So , our base business both in formulations and API is also expected to grow.

Alankar Garude: All right. And maybe one final question there. So , we have been present in this space for a very long time. What would be our key competitive advantages compared to some of our global peers?

Siddharth Mittal: I think the immunosuppressant space is less competitive when you look at the global landscape. A few of our products like Tacrolimus, Everolimus, Sirolimus, we have a large

market share globally in the generic space, and of course, it's the quality, it's the science behind these drugs, which makes us differentiated compared to others.

Alankar Garude: All

right. Okay. That's helpful. That's it from my side. Thank you .

Saurabh Paliwal : Thank you, Alankar. The next question is from Nitin Agarwal from DAM Capital.

Nitin Agarwal: Thanks for taking my question. I just had one question on Aibercept . One, have we decided to take on that molecule? And two, with the recent sort of patent litigation outcomes in the PTAB, if we're taking the molecule on, how are we looking at the commercialization opportunity there?

Shreehas Tambe : So, Nitin, as a part of the Viatris acquisition, we have the option to look at acquisition of that asset and we are proceeding with doing that. So , we are exercising that right to Transcript - Biocon Limited Q2 FY23 Earnings Call Page 27 of 30 acquire bEylea. Now, as regards to the ongoing litigation, I think it's in the public domain. Viatris is in litigation with Regeneron. Right now , it's a restricted patent litigation. The court has decided to litigate only on six patents. And as you've seen, the IPRs that have recently been announced have certainly validated Viatris' view on the IP. So Viatris is quite confident about its position on these patents and Viatris believes that it will move in the direction that it has approached it with. So , we are very confident there.

Nitin Agarwal : And just following up on that, if I recall reading somewhere correctly, the goal date for the product was somewhere in the recent past. Is that correct? And where are we on the approval for the product? Any timelines for approval because, I think, the filing was done some time back, I guess.

Shreehas Tambe : So, as a part of the regulatory process, I think it will go through the current patent dance before it can be granted approval. So currently we are in that , not we, but at this stage, it is Viatris until the closure of the deal. It's Viatris which is in that current patent dance regulatory process. And once that is completed, only then will we have clarity.

Nitin Agarwal : Thanks, Shreehas. This is what I had. Thank you very much.

Shreehas Tambe : Thank you .

Saurabh Paliwal: Thanks, Nitin. If you want to ask a question, we have the last few minutes, please raise your hand.

Since we do not have any more questions, I'll take this opportunity to thank everyone for joining us in this earnings call. If you need any further clarifications or have questions, please do get in touch with me. With this , thank you very much and have a wonderful rest of the day, bye.

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability .

Call: Feb 2023

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February 22, 2023

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q3 FY23

This is further to our earlier letter dated February 15, 2023 regarding presentation and video recording of Q3 FY23 Earnings Call held on February 15, 2023, please find enclosed herewith the transcript of the Earnings Call. The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/>.

Kindly take the above said information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer
Membership No.: ACS 18776

Encl. as above

Biocon Limited Q3 FY23 Earnings
Conference Call Transcript
February 15, 2023

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Speakers and Participants from Biocon Limited and Biocon Biologics Limited

Dr. Kiran Mazumdar -Shaw – Executive Chairperson, Biocon Limited
Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
Mr. Indranil Sen – Chief Financial Officer, Biocon Limited
Mr. Shreehas Tambe – CEO & Managing Director, Biocon Biologics Limited
Mr. M.B. Chinappa – Chief Financial Officer, Biocon Biologics Limited
Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Abhijit Zutshi - Commercial Head - Global Generics, Biocon Limited
Mr. Nehal Vora - Commercial Head - Global API, Biocon Limited
Mr. Sibaji Biswas – Chief Financial Officer, Syngene International
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited
Mr. Nikunj Mall – Head - Investor Relations, Biocon Biologics Limited

External Participants during Q&A session

Tushar Manudhane – Motilal Oswal Securities
Cyndrella Carvalho – JM Financial
Damayanti Kerai – HSBC
Dhawal Bhalodia - Individual Investor
Harith Ahamed – Spark Avendus
Surya Patra – Phillip Capital
Shyam Srinivasan, Goldman Sachs
Nithya Balasubramanian - Bernstein
Sameer Baisiwala – Morgan Stanley
Neha Manpuria - Bank of America
Nihal – Individual Investor
Utsav Jaipuria – DAM Capital Advisors

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Saurabh Paliwal:

Good morning, everyone. I am Saurabh Paliwal from the Biocon Investor Relations team, and I would like to welcome you to Biocon's Q3 FY23 Earnings conference call.

I would like to indicate that all participants will be in the 'listen -only' mode and there will be an opportunity for you to ask questions once the management's commentary concludes.

Should you need to ask questions, please select the "Raise Hand" icon under the 'Reactions' tab of the Zoom application. We will call out your name and unmute your line to enable you to ask the question. While asking, please begin with your name and your organization.

Please note that the chat box is disabled, but you can raise any technical concerns by sending us an email to investor.relations@biocon.com.

I would also like to bring to your attention that this conference call is being recorded. The recording will be available on our website within a day and the transcript will be uploaded subsequently.

Today, to discuss the Company's Business Performance and Outlook, we have Dr. Kiran Mazumdar Shaw, our Executive Chairperson, Mr. Siddharth Mittal, CEO and Managing Director of Biocon Limited, along with other senior management personnel from business segments including Generics, Biosimilars and Research Services.

As I move on, I would like to highlight the 'Safe Harbour' related to today's conference call. Comments made during the call may be forward-looking in nature, based on management's current beliefs and expectations. It must be viewed in relation to the risks that our business faces that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

After the end of this call, if you need any further information or clarifications, please do reach out to me. Now, I would like to turn the call over to our Chairperson for her opening remarks. Over to you, Kiran.

Dr. Kiran Mazumdar -Shaw:

Thank you, Saurabh. Good morning everyone.

I would like to start with the national budget which was presented by the Honourable Finance Minister on the 1st of February this year. The budget has a favourable impact on our business especially with respect to Research. While details are yet to be published, the increased focus

on R&D in pharma and healthcare through Centres of Excellence is certainly a step in the right direction.

Now coming to the Viatris transaction

Biocon Biologics successfully completed the acquisition of Viatris' global biosimilars business on November 29, 2022. Consequently, incremental revenues and profits post deal closure are reflected in its earnings this quarter. Viatris continues to provide commercial and other transaction services to Biocon Biologics as part of a pre-agreed Transition Services Agreement. In parallel, Biocon Biologics is designing a bespoke country specific strategy and business model that optimizes for revenues and profitability. This we believe will create value for all our stakeholders. We have also drawn up a comprehensive integration plan and intend to start migrating business operations in a phased manner.

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There are several upcoming launches, including biosimilar Adalimumab, in the US, making 'business continuity' one of the key imperatives of our integration plan.

I would like to take you through our debt reduction efforts.

To fund the acquisition of Viatris' global biosimilar business, Biocon Biologics had made an upfront payment of US\$ 2 billion and issued US\$ 1 billion of Convertible Securities to Viatris. The upfront payment was funded through US\$ 1.2 billion of debt raised by Biocon Biologics, US\$ 650 million of equity infusion by Biocon and US\$ 150 million of equity infusion by Serum.

Biocon had raised US\$ 420 million of mezzanine financing to part fund the US\$ 650 million equity infusion into Biocon Biologics. I am pleased to report that Biocon Limited has entered into definitive agreements with Kotak Strategic Situation Fund, for a structured funding of up to ₹1,200 Crores. This funding together with the recently concluded stake sale in Syngene will help to reduce our net debt.

It is important to point out that Biocon continues to maintain majority control in Syngene at 54.9%, post the divestment. Furthermore, we believe the divestment achieves two key objectives – reduction of the group debt and an increased public float for Syngene.

Biocon Biologics is also in discussion with Private Equity investors for an additional fund raise to pare down its acquisition debt.

I would also now like to touch upon recent concerns around regulatory inspections.

The post pandemic recommencement of facility inspections by the US FDA in India has reportedly seen a surge in the number of Form 483s issued to companies which has caused delayed approvals across the industry.

Biocon's new product approvals post pre-approval inspections have also been impacted with the issuance of complete response letters or CRLs by the agency. However, I would like to mention that Biocon has received facility and product approvals from other regulatory agencies, including EMA.

With the US FDA set to resume face to face meetings from March, we hope that this will allow us for greater engagement to address these issues. In the meantime, we are of course looking at this event as an opportunity for us to upscale and advance our quality management systems, so that we future proof our quality systems.

In terms of a leadership update, I am pleased to share that Shreehas Tambe was appointed CEO and Managing Director of Biocon Biologics in December 2022 following the retirement of Dr. Arun Chandavarkar, who will continue to serve as a non-Executive, non-Independent Director on the Board of Biocon Biologics.

I would like to thank Arun for his longstanding contribution to the Biocon Group and my best wishes to Shreehas for the transformational journey ahead.

I will now present the key financial highlights of the quarter.

At a consolidated group level, revenues for Q3 FY23 were up 36% on a year-on-year basis at ₹3,020 Crores.

Revenues from our Biosimilars Business and Research Services Business delivered strong year-on-year growth of

54% and 23% respectively, and our Generics Business grew at a healthy 18%.

Core EBITDA, i.e. EBITDA excluding R&D expense, licensing income, forex movement, dilution gain in Bicara and market-to-market movement on investments, grew 49% to ₹1,069 Crores, which indicates a very healthy core operating margins of 36% versus 33% in the same quarter last year.

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Growth in core EBITDA was offset by higher R&D investments at ₹337 Crores, an increase of ₹199 Crores compared to the same period last fiscal and representing 16% of revenues ex-Syngene. This is a clear reflection of our advancing pipeline that will drive our future growth.

We also recorded a Forex loss of ₹44 Crores as compared to a gain of ₹19 Crores during Q3 FY22.

Reported EBITDA for the quarter was up 35% at ₹723 Crores versus ₹537 Crores in the same period last year, with EBITDA margin sustained at 24%.

Profit Before Tax and exceptional items stood at ₹246 Crores, compared to ₹269 Crores during the same quarter last fiscal. The drop in PBT is attributable to certain amortisation and interest costs related to the acquisition of the Viatris' business.

The Net Profit for the quarter, excluding exceptional items, stood at ₹140 Crores versus ₹187 Crores in Q3 FY22. It must be mentioned that there is a part impact of stake dilution of Biocon's shareholding in both Biocon Biologics and Syngene in the consolidated results.

I would now also like to turn to exceptional items during the quarter amounting to ₹182 Crores net of tax and minority interest, which primarily pertain to deal related expenses of the Viatris transaction. And this then leads to a net loss of ₹42 Crores this quarter. This, I would again emphasize is a one-off event and we expect it to return to normal from next quarter.

Now coming to segmental performance.

Generics

The Generics business delivered revenues of ₹718 Crores during the quarter, a year-on-year growth of 18%. Profit Before Tax for the quarter was at ₹72 Crores versus ₹67 Crores last year. Sequentially, revenues grew by 15%. The performance during the quarter was driven by an increase in demand for immunosuppressant APIs as well as Generic Formulations, especially statins, as well as recent product launches. Margins compared to previous year were muted on account of continued pricing pressure in the U.S. market.

During the quarter, we entered into agreements with Zentiva, a leading European pharmaceutical company, under which Biocon will manufacture and supply Liraglutide to Zentiva for its commercialization in 30 countries across Europe. And as you know, in Liraglutide we are vertically integrated, this is a complex formulation, and it includes a drug-device combination used in the treatment and management of Type 2 diabetes and obesity.

We have also secured approvals for some of our key formulation products in Europe and we have also entered into a long-term strategic partnership with Farmanguinhos in Brazil for the supply and tech-transfer of an immunosuppressant finished dosage formulation. And collectively these agreements and approvals that we have received, it's important for me to say will actually allow us to drive that mid-teens growth over the next 5 years and beyond.

On the quality compliance front –

We were issued a Good Manufacturing Practice (GMP) Certificate of Compliance by the European Directorate for the Quality of Medicines & Healthcare (EDQM), for our Active Pharmaceutical Ingredient (API) manufacturing facility in Bengaluru, following a GMP inspection of the site conducted in September 2022.

With respect to our Visakhapatnam project, we continue to make progress in terms of our green field

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immunosuppressant API facility and in terms of the

new peptide facility in Bengaluru, this also is on track. We expect to complete the validation batches in both sites by H1 of FY24.

Biosimilars

Biocon Biologics recorded revenues of ₹1,507 Crores with a year-on-year growth of 54% pursuant to the closure of the Viartis acquisition and steady growth in the Biocon Biologics-led business.

Revenue for Q3 FY23 includes contribution from the acquired Viartis' biosimilars business effective from the date of closing of the deal on 29th of November 2022. Previously, Biocon Biologics recognized only transfer price and profit share of biosimilars marketed by Viartis. Post completion of the deal, it now recognizes the full value of sales and associated expenses.

The reported numbers therefore include one-month profit from the acquired business and a provision for interest expense and non-cash amortization charges related to the acquisition.

Core EBITDA for this business stood at ₹663 Crores, which is up 83% year-on-year. Core EBITDA margin jumped from 38% last year to 44% this fiscal.

This of course was then impacted by R&D investments for the quarter which increased to ₹280 Crores or 19% of Biocon Biologics revenues. We will see R&D investments normalize to around 12% levels of sales, as we accrue full revenues from Viartis' biosimilar businesses.

We continue to make good progress on our R&D pipeline. Denosumab and Ustekinumab biosimilar programs have completed recruitment for their global Phase I and Phase III clinical trials. Biosimilar Pertuzumab has entered Phase I trials for global markets. Viartis has initiated an interchangeability study for our biosimilar Adalimumab, allowing us to maximize the commercial value of Humira in the US. We have filed our biosimilar Aflibercept in several global markets, including the US and EU.

EBITDA post the R&D and other expenses stood at ₹361 Crores, which is up 53% year-on-year. EBITDA margin was stable at 24%.

Depreciation, amortization, and Interest expense for the quarter increased by ₹146 Crores year-on-year, of which ₹97 Crores is attributable to the Viartis acquisition.

Profit Before Tax and exceptional items for this business stood at ₹102 Crores.

Advanced Markets continued to see a strong penetration of our commercialized products, holding now double-digit shares in the US. Glargine's total prescription market share is trending around 12% while new prescriptions are at 14%. We continue to see strong momentum in our biosimilar Pegfilgrastim's market share which has crossed 11%. In Europe, our biosimilar Adalimumab continues to see a strong uptake in key markets such as Germany and France where it has 18% and 10% market share respectively. We also saw an uptick in Trastuzumab market performance in Europe achieving 17% and 20% market shares in France and Italy, respectively. We continue to launch our products in new markets with biosimilar Bevacizumab in Australia and biosimilar Glargine and Aspart in Canada last quarter. The Emerging Markets business continues to deliver strong performance underpinned by the insulin portfolio and biosimilar Trastuzumab. We have expanded our reach through 8 new launches across emerging markets and the franchise will be augmented by the integration of Viartis' Emerging Market territories.

On the regulatory front, the US FDA has accepted our CAPA plan pertaining to the pre-approval inspections of

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Insulin Aspart in Malaysia which was cited in the CRL. The Bevacizumab CRL requires us to address the observations made during the site inspection for which we have submitted a CAPA plan and are awaiting a response. We are committed for closure of the actions within the stipulated timeline and we are confident of being able to resolve the asks of the US FDA.

In summary, the business continues to see healthy and profitable performance with

th several catalysts for growth such

as the launch of biosimilar Adalimumab in the US. We believe the acquisition of Viatris' biosimilar business is a very key inflection point for Biocon Biologics as we transform into a unique, leading global biosimilars enterprise which we strongly believe will drive huge value for all our stakeholders.

Novel Molecules

As a part of the on-going pivotal Phase 3 clinical study of Itolizumab in patients with acute graft-versus-host disease (aGVHD), enrolment continues to ramp up. There are now 45 clinical study sites up and running.

Enrolment also continues in the Phase 1b clinical study of Itolizumab for Lupus Nephritis and Equillium expects to announce top-line data later this year.

I think it would be prudent for me to mention that many acute GVHD studies that were being conducted by various companies have actually not succeeded and this particular molecule showing robust data. So, I hope this will actually be able to hold its promise and get approval in the foreseeable future.

Patient dosing for the Phase-2 trial in India for the clinical study of Itolizumab in patients with Ulcerative Colitis, began in December, 2022.

Based on the very encouraging and promising data in acute GVHD, Equillium recently entered into an Option and Purchase Agreement with Ono Pharmaceutical Co., Ltd, Japan, where Equillium has granted Ono the exclusive right to acquire its rights to Itolizumab. We believe this is a very important event as Ono is a highly respected company that has brought several important molecules in the market through partners.

Research Services

Revenue from operations grew 23% to ₹786 crores over the corresponding quarter last year. Reported EBITDA was up 15% to ₹248 crores. Profit before tax was at ₹140 crores, up 9% over the corresponding quarter last year.

The third quarter results saw positive performances across all divisions with solid growth in Research divisions – Discovery Services and Dedicated Centres.

Development Services benefitted from repeat orders from existing clients, as well as an increase in the number of collaborations with emerging biopharma companies.

In Manufacturing Services, the highlight of the quarter was the successful inspection of its biologics facilities by the US FDA, EMA and MHRA. With Good Manufacturing Practice (cGMP) certifications from the regulatory agencies in place, the Company is now well positioned to fulfil its long-term contract with Zoetis and progress its biologics growth strategy.

Concluding Remarks

I would like to conclude by saying that we expect to end FY23 on a strong note, with healthy growth across all our businesses.

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Biocon Biologics will be the key growth driver, as it begins to reflect the full quarter's revenues of the newly acquired Viatris business, from Q4 FY23.

Directionally, Biocon Biologics will be exiting FY23 at a US \$ 1 billion trajectory, excluding vaccines.

Growth in FY24 will come from the launch of Adalimumab in the US and continued growth in Glargine, Trastuzumab and Pegfilgrastim. Launches of Aspart and Bevacizumab in the US, post approval, will provide additional upside.

Biocon also is confident of delivering mid-teens growth in the coming fiscal.

With this, I would like to open the floor to questions.

Q&A Session

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Saurabh Paliwal : Thank you, Kiran. We will take a moment for people to raise their hands to ask a question. I will request the participants to please limit their questions to two, to allow other people in line to get an opportunity. We will start with Tushar Manudhane from Motilal Oswal. Tushar, please go ahead.

Tushar Manudhane : Yeah, thanks for the opportunity. Just on the Adalimumab clarification. So, we have approval for all the strengths, or a specific strength and secondly, with respect to interchangeability

yes, what is the kind of timeline can we expect to get the approval?

Kiran Mazumdar -Shaw: Shreehas, you might want to take this.

Shreehas Tambe : Sure. Thanks, Kiran. Thanks for the question. We've seen that there are several players in the market; there are low strength and high strength formulation players. We have a low strength formulation. We also have a product which really checks the key boxes of being citrate free, latex free and a device, which will really be what the patient experience is all about. So, we believe that we've got what it takes to be competitive in this market, Tushar.

Another important aspect that you're talking about is interchangeability, that is something that remains to be seen. We believe that may not necessarily be a criteria to win. We do not see other biosimilars which are currently taken up in the national formularies having interchangeability at this point.

Nevertheless, it's something that we will pursue, and we will have the right to win when we get our product into the market.

Tushar Manudhane : Interesting. So, for our strength, what would be the market size?

Shreehas Tambe : So, at this stage if you really look at it, the market from an innovator perspective, has been

moved to the high concentration, but we do not see high concentration or a low concentration really being the differentiator. We've seen a similar commentary from other incumbents who have come there and other players who have also looked at bringing products. We've also seen pay or acceptance of other biosimilars, which have been launched. So that may not necessarily be a criteria for success.

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Kiran Mazumdar -Shaw: And maybe should add that we have had a huge success in Europe where we had a very positive patient experience, we believe that would translate to the US market.

Shreehas Tambe: So, true, and I think to add to what Kiran just said, Tushar we are one of the few players who have been very successful, we have got a product launched in Europe, we've got over 18% market share in Germany alone and we crossed 10% in France, some of the big markets in Europe.

So, we come on the back of previous success and we're quite confident in how our product will be received when we launch it in the US.

Kiran Mazumdar -Shaw: Matt, if you want to make any further comments.

Matthew Erick: Just to add that we're already prepping with the Viatris salesforce. So, we're getting ready and already getting out there and speaking to key physicians, so that process is starting.

We're now waiting to be able to talk about the key elements that both Kiran and Shreehas spoke about.

Tushar Manudhane: Interesting, and secondly also if you could shed some clarity or visibility in the business from the vaccine segment?

Shreehas Tambe: Your voice is very weak. But I think if I understood you correctly, you are talking about any visibility on the vaccines business, was that correct?

Tushar Manudhane: Correct.

Shreehas Tambe: Okay. Well, we have said that we've got the definitive agreement done. We are in the regulatory phase right now. We have secured the approval from the Competition Commission of India. The next phase is to get the National Company Law Tribunal approvals, that requires us to get approval in Karnataka where we are based and for Serum to do it in Maharashtra, where they are based. We are in the last stages in Karnataka and Serum has to move their application at the Maharashtra end as well, that is still pending.

Tushar Manudhane: Effectively 2Q FY24 to be the timeline to look for.

Kiran Mazumdar -Shaw: Yeah. So, we have not been able to reflect the vaccine numbers this quarter is what I can say.

Tushar Manudhane: And lastly, if I may on this agreement with Zentiva any commercial outlook or guidance on this business?

Kiran

Mazumdar -Shaw: Maybe Sid you might want to take that.

Siddharth Mittal: So, there is no revenue outlook that I can give. All I can say is Liraglutide for us is a very important product. It is a differentiated product, and we feel we're very well placed to launch this drug along with Zentiva. At the time of market formation, Zentiva has semi exclusive rights, so, we will also commercialize directly, and we feel that the total value of this opportunity will add to the growth in the coming years.

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Tushar Manudhane: Alright sir. Thanks. That it from my side. Thank you and all the best.

Saurabh Paliwal: Thank you. Tushar. The next question is from Cyndrella Carvalho from JM Financial.

Cyndrella Carvalho: Thanks for the opportunity. Just wanted to understand the \$1 billion exiting guidance that you are sharing for Biocon Biologics, can you please help us understand this in more detail.

Kiran Mazumdar -Shaw: Perhaps, Chini you want to explain it. But, let me start by saying that you have already seen that we are at a ₹1500 crores level this quarter for Biocon Biologics and we expect this number when we capture the full financials of the Viatris business in Q4, to cross ₹2000 crores.

M.B. Chinappa: Cyndrella, morning. Just the way Kiran put it, ₹2000 crores is our expected revenues for Q4, excluding vaccines, that translates to a run rate of US\$ 1 billion per annum. And then as you look into FY24 you need to add growth from the existing molecules, the big opportunity in Adalimumab in the US and then the addition of, obviously once you get the regulatory approval for both Beva and Aspart, we seek to see incremental revenues coming through.

Kiran Mazumdar -Shaw: And of course, growth from existing products.

Cyndrella Carvalho: Thanks for that. But how should we understand the facility planning, I mean we are still receiving CR Ls.

Kiran Mazumdar -Shaw: Yes, Cyndrella. But we are already selling products, please understand that we are still marketing Trastuzumab, we are marketing Glargine and we are marketing Pegfilgrastim in the US. Europe has all products being marketed. So please understand that we are

looking at two products that need a pprovals and these numbers exclude those products.

We have actually factored the fact that there may be a delay in that approval, we are hoping that we will get approvals in this calendar year, which will then be incremental to that billion dollars is what we are seeing . So, excluding all those products, we are still at US\$ 1 billion run rate, is what we want you to understand.

Cyndrella Carvalho: Yeah, so that's helpful. Just wanted to understand in terms of where we are, what are the US FDAs requirement, which is taking or creating these delays, any color that you can help us understand.

Kiran Mazumdar -Shaw: I think I had mentioned it in my comme nts, saying that our CAPA plan has been accepted by the US FDA for Malaysia, and we have also provided a CAPA plan for the Bangalore facility, which I'm sure will also be accepted by USFDA. We are in the process of basically implementing th e CAPA plan that USFDA has accepted in Malaysia .

And maybe I will ask my colleague , I don't know whether Michael is there on this call, but I will ask Michael to also add to what I am saying.

Saurabh Paliwal: Shreehas you want to pitch in? Michael is not there.

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Shreehas Tambe: Yeah, so let me just add to what Kiran just said , Cyndrella. I think what is important to note is that all the facilities that we are talking about are supplying product to the United States already, so it's not something that is fundamentally wrong with it , that's the ■rst thing that I want to sta te.

These are also products that have been approved by EMA and continue to be commercial in se

veral parts of the world. The way to look at it is that certainly there is a greater expectation from the agency, which w e're more than happy to upgrade our standards to meet.

And that's the exchange Kiran referred to when she talked about the engagement . We have provided a comprehensive response to the agency to see how we can meet with their expectations. We've got a respo nse back from them saying they accept our proposal . So that's why we are quite con■dent in Malaysia with the Aspart submissions that we have made to be able to resolve it to their satisfaction.

We've recently received the CRL for Bevacizumab in Bangalore earlier this month . We are quite con■dent we will b e able to get that also to the satisfaction of the agency.

These are always standards that we have to work to improve upon. We look at this as an opportunity to improve and strengthen our systems. We do not see this as necessa rily a lac una overall, but an opportunity to strengthen it further.

Cyndrella Carvalho: Yeah , that's very helpful. Just on the timeline for interchangeability and how do we expect the market formation any comments on that.

Shreehas Tambe: Speci■cally any product you're talking about ?

Cyndrella Carvalho: Adalimumab.

Shreehas Tambe: Yeah. So again , interchangeability is an important topic to understand how it really plays out commercially . Now we've seen already contracting happened in the US where the ■rst biosimilar is not an interchan geable product and it's received formulary listing. So clearly , it's not a condition precedent to moving forward, you've seen similar things happen on the insulin end as well, so that's the ■rst piece that it's not mandatory to success on the commercial si de.

The second piece, which is related to how interchange ability plays out in real life is you can have one player who can get interchangeability approval and get some exclusivity post launch for a period of 12 months, which effectively means even if you were to have interchangeability approved , you would probab ly have to wait until that exclusivity runs out.

So again , from a commercial standpoint, it would really be another contracting cycle before you can get there. I would think that interchangeability is something which is nice to have, it is something that w e are con■dent of anyway, but it's a very US speci■c phenomenon. We do not see that in rest of the world, as I said before and Kiran rightly pointed out, we've seen great success with our product Hulio (bAdalimumab), in Europe and we are quite con■dent tha t we will be able to get that success.

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The real piece here is the patient experience and hub services which Matt can talk to you about in more detail. But it's about our device and we are very con■dent about the kind of d evice we're bringing to the market . It's a two click device and which should really be very helpful for the patients. So that really gives us that right to win , Cyndrella.

Cyndrella Carvalho: Thank you so much. Just one last, if I may. And that is on , when do we expect the consolidation fr om the Serum si de timeline, I'm asking, would it be Q1 or as the earlier participant highlighted it is ■rst half of FY24. What should we try and

building in terms of our models ?

Kiran Mazumdar -Shaw: Yes, I think right now we don't have clear visibility of the regulatory completion. But yes, maybe we can look at next fiscal for those numbers to be consolidated .

Cyndrella Carvalho: Thank you so much. I'll join back the queue.

Saurabh Paliwal: Thanks , Cyndrella. Next question is from Damayanti Kerai from HSBC.

Damayanti Kerai : Hi morning. Thank you for the opportunity. My question is again on Adalimumab .

So, you have mentioned , it's not mandatory for you to succeed in this market, but

the interchangeability studies which you have initiated. What is the completion

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meline, which you're aiming for ?

Shreehas Tambe: Damayanti , we can get you the exact dates on the interchangeability study. But as I

said, the BBL dates of this would matter only after the first commercial launch of the

interchangeable product, which we believe will be in July of 2023. So , until July 2024,

even if you had an interchangeable product, it's really not going to make difference .

Kiran Mazumdar -Shaw: And by which time, I think we will have the interchangeability label .

Damayanti Kerai: And this bAdalimumab launch which we are prepping for. So , in the current

contracting cycle, how do you see your positioning so far in view of your

discussion with payors, etc. So , once you ready to launch. So far, like how do

you see your reach within this contracting cycle ?

Shreehas Tambe : Maybe Matt, do you think you want to comment on that ?

Matthew Erick : Yes. Thank you for the question. Yeah, we are right where we need to be in our

preparation. We are currently speaking to key payors and there are really four channels .

In the first channel , we are speaking to the payors and we're having great discussions

as we look for the paying cycle starting in July.

The next piece of this is we're having additional discussions as I mentioned getting out

with physicians and understanding our product and two click as well as being citrate

free, latex free all those key attributes , so they understand our product Hulo.

The other facet here is that we're speaking to and we don't mention a lot but is key to

this is the specialty pharmacies. So, we're starting those discussions with specialty

pharmacies those are ones that send the product to patients and act, it's not really retail

component , they act as that pharmacy to be able to get the products to the patient that

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the doctor has prescribed and then Shreehas had mentioned the other key channel is

really the patient services.

So how do we help the patient and help the physician through the process that they're

used to from the innovator . All four of those will be standing up and as I said, we're

having detailed discussions with key payors right now and our anticipation of our launch

that will occur in July.

Damayanti Kerai: Thank you. My second question is on some of the launched biosimilars where

you have gained notable market share as commented by Kiran ma'am in her

opening remarks. So , I just want to understand how you see pricing scenario for

these products ? Although like we have gained market share, but what's your view

on the pricing situation right now.

Matthew Erick: So, would you like me to start and then jump in. Okay, great again , thanks for the

question. We do see some of that deflation. But as far as to our models and our plan ,

they are aligned and as you look at the different channels the Medical side as well as

the Pharmacy Benefit side . On the Medical side , with Trastuzumab and Pegfilgrastim

you're speaking about , we're seeing nice steady states in our average selling price and

this has allowed us to continue to grow share as well as to be able to maintain that

deflation that is occurring , that you have seen in the marketplace.

Also, we have a n extensive sales force , we're seeing great success in our commercial

plans as well as our clinical side and I think that's attributed definitely to our sales force

and the relationships we have in the understanding of our product in the pull -through.

I feel we're in a very good spot based on our modeling and our plan and also being

vertically integrated, we have the staying power, as well as the broadness of the

portfolio. When we think about oncology and the products we have there, wherein we

are in a good position to be able to compete.

Damayanti Kerai: Okay. So, you expect market share to go up further as you push more on the

commercial efforts ?

Matthew Erick:

We're seeing a nice trend and a continued upside in the market share and it's showing

in the NRx 's and the TRx's that you can see in the IQVIA data, we're making good

progress .

Damayanti Kerai: Sure , my last question is, what's your debt reduction goal ? So obviously effort

again is ongoing there , but anything say in next six months to one year, how

much debt you want to reduce on your books ?

Kiran Mazumdar -Shaw: So, Damayanti if you will give us a little bit of time, we are in the process of raising this equity and we would like to share it with you once the process is complete . But need less to say , that we want debt at a very manageable and low level as much as we can get it to. So , let us share this data with you as soon as we complete the equity raise .

Damayanti Kerai: Sure. Ma'am. Thank you. I'll get back in queue .

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Saurabh Paliwal: Thanks , Damayanti. The next question is from Dhawal Bhalodia . Request to please identify your firm.

Dhawal Bhalodia: Hello. Yes. Hello, good morning. I have two questions. The first question is , for most of our current biosimilar , market share has stuck around higher single digit to lower double digit, except for the Lantus biosimilar , so since we have now full control of sales and contracting . Is there anything we will be doing differently than what Viartis used to do, so we can increase our market share and penetration ?

Kiran Mazumdar -Shaw: Matthew you want to answer this .

Matthew Erick: I had a little hard time understanding .

Kiran Mazumdar -Shaw: I think the question being asked is, are we going to do something different to what Viartis was doing in the market and get better market penetration. And the answer is yes, because, let me start by saying that we are looking at dedicated sales efforts for biosimilars. But I'll leave it to Matt to add to this .

Matthew Erick: Yes. Kiran absolutely we are doing more and we're seeing the opportunities, particularly in additional customers in the conversation that we're having. As we mentioned in previous calls, a lot of this is that we have 100% focus and we have some great opportunities as we look at not only the payor side, but the retail pull -through , our ability to talk to physicians and the integration is going well and we will continue to see that progressing as well as being able to talk to new customers, especially as we look at the vertical integration that we have at Biocon Biologics .

Dhawal Bhalodia: Okay, thank you. My second question is, since most of our new biosimilar like Avastin and Humira , we maybe the fourth or fifth player in the market versus first or second, in case of Neulasta and Herceptin. So , do we have any particular strategy since we are fourth or fifth player to address to come with a particular strategy ?

And the second thing Humira has a wide use like it's a dermatological product , it's a gastro product , it is an autoimmune disease product and most of our biosimilar product is only oncology , so we have the separate sales staff for Humira or any other thing that we are doing for them ?

Matthew Erick: Shreehas would you like me to start and then chime in ?

Shreehas Tambe: Yes, sure.

Matthew Erick: Great so let's start with our product Hulio. We are going to be in that what I would call the first wave , Amgen did launch here over the last month or so, but in the first wave as you know, there is no one going to be exclusive. So, we have a tremendous opportunity to be part of each one of those formularies . Each of the payors have said that they will have at least a biosimilar plus 1 or plus 2 and we'll be in that first wave and have our plans to be able to participate and win with those payors. So being exactly a little bit later than Amgen is not in my opinion a

hurdle because the way the payors have

opened this up and we're well positioned to win these formulary positions.

And then also as I mentioned, we're in a good position after winning the formulary with this sales force that we have , coming from Viartis and adding to it. We have that ability to pull through and then we also have a great understanding of the specialty pharmacy . The specialty pharmacy as I mentioned, is how the products are dispensed and then we're in the process of continuing to stand up and add additional patient services to what we're developing with Viartis to be able to have the patients , have those discounts co-pays or the ability for them to get additional services.

So, we're in a good position with our Hulio product as Shreehas and Kiran also mentioned , we have history, a lot of our competition doesn't have history. We have global history and market leadership in Germany and France , and to be able to talk about it as well as our product that has a two click mechanism and is citrate free which won't cause any pain in the injection site.

As it relates to, I believe you're asking about the oncology products. We are well established in our sales force, as well as our relationships with key physicians. So , as we launch products, even though we're not first which ideally, we'd love to be first we have the mechanism and the understanding of how that Medical Benefit works and to

be able to pull that through on the oncology side with our sales force, as well as our payor as well as our ASP understanding of how the industry works .

Kiran Mazumdar -Shaw: And I might remind Mr. Bhalodia that Biocon was the company that received the first US FDA approval for bTrastuzumab or biosimilar Herceptin .

Dhawal Bhalodia: Yes, yes. Thank you so much. And all the best for the whole year.

Saurabh Paliwal: Thank you . We move on to Harith Ahamed from Spark Avendus . Please go ahead.

Harith Ahamed: Good morning and thanks for the opportunity . You previously guided for US\$ 1.8

bn revenue for Biocon Biologics in FY24 and the US\$ 500 million EBITDA. So , are

we maintaining that guidance given there is some delay in the closure of the transaction with Serum ?

Kiran Mazumdar -Shaw: Yes, maybe Chini you would like to respond to this. But basically, I think we will be focused on these numbers that we have shared with the market and we will basically look at , as you know there have been delayed approvals of bAspart and bBevacizumab.

We are also trying to catch up with that particular gap. But we are looking at how to basically stick to these numbers , of course this does include , as you know, US\$ 300 million of vaccine revenues , so I think we will be looking at all these numbers and making sure that we share with you, any changes to these numbers.

There 's also been an impact I think of the currency , parity between the dollar and euro and dollar and Yen. So , I think that also has impacted some of these numbers, but we are trying to see how close we can get to those numbers.

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Harith Ahamed: Got it. My second question is on the R&D spend at Biocon Biologics specifically

we've seen almost ₹100 Crores delta on a quarter -on-quarter basis and that's just

a month of consolidation of the acquired business. So how should we think about

the spend for next year. Do we still maintain that 12% to 15% of revenues

guidance that we've given in the past on the much higher revenue base ?

Kiran Mazumdar -Shaw: Yes, I think that's what I meant by saying that we will see normalization because this quarter you 've only seen the impact of a month 's contribution from the Viartis business.

But going forward, we expect to basically normalize R&D spends to that sort 12% to 15% levels.

Harith Ahamed: Thank you. And last one with your permission , there is an increase in the share of

from JV's and associates and we were under the impression that given we had lowered the stake in Bicara , this number would be trending down. We've seen an increase on a quarter -on-quarter basis. So how should we think about this number going forward, is this a one-off quarter for that particular line item ?

Siddharth Mittal: I wouldn't call it as a one-off, our shareholding is down to 53.5% and the expenses of

Bicara has gone up as they are in middle of clinical trial and of course the advancement

of the program and we do expect over the next few months further fund raise by Bicara which would further dilute our stake, but on an absolute number, which we are treating as a loss from associate shouldn't materially change because as they progress in clinic , the expenses would go up. They're also spending money on their follow -on pipeline. Of course, that said, at very early stages the expenses will not be significant but just from your model perspective, I do expect something in the similar range over the next few quarters.

Harith Ahamed: Got it. That's all from my side. Thanks for taking my questions .

Saurabh Paliwal: Thank you, Harith. Next question is from Surya Patra from PhillipCapital.

Surya Patra: Yeah, thanks for this opportunity. First question or rather couple of questions to

understand better the integration of Viartis operation. So, in fact see what we

believe that okay with this acquisition of Viartis biosimilar operation , we have seen vertical integration and theoretically, that should have supported gross margin sequentially . But we are not seeing any change this quarter, although this is not a reflection of a full quarter performance of the acquired operations. But is it fair to believe that the gross margin should see a kind of sequential up move post integration ? That is one.

Secondly wanted to understand a bit more on the distribution charges , what we are paying to Mylan , in which line item that is getting captured whether it is .

Kiran Mazumdar -Shaw: You are muted.

Surya Patra: Yeah, so, okay. Sorry for that. Then I'll repeat my question, so about the integration some clarity I wanted. So theoretically, with the acquisition of the

Viartis operation that provides more integrated activity now and hence the gross

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margins should have seen sequential improvement, but this quarter we are not seeing anything like that, it is slightly lower sequentially .

So, can you give some clarity about that, should we see and expect a sequential improvement in the gross margins after the integration ?

M.B. Chinappa: Kiran , can I take that ?

Kiran Mazumdar -Shaw: Yeah, please.

M.B. Chinappa: Surya, just to clarify gross margin, you mean net of material costs or the core EBITDA, which is net of all operating costs ?

Surya Patra: No, net of material cost .

M.B. Chinappa: Yeah. Net of material cost at the BBL level, we have seen that improvement this quarter , improved by 2 percentage points over the same quarter last year .

Surya Patra: Okay, so then possibly at the Biocon consolidated level, it would be pricing challenges or whatever that we would be seeing that could be one reason is that understanding, correct ?

Kiran Mazumdar -Shaw: Siddharth, you want to take this ?

Siddharth Mittal: Maybe Indranil, you can just explain.

Indranil Sen: It is not so much of pricing, but it's also about product mix. So, we will see a quarter on quarter flux because of product mix . This should normalize going forward.

M.B. Chinappa: And just some comments , we really look at the core EBITDA performance, not so much around gross margins , so Biocon Biologics is at 44% , improvement over last quarter .

Surya Patra: Okay. So now practically including the R&D spend. Why, because that is an integral part of our business and in the next couple of your t

ime , we are likely to

see an upward move only , absolute upward number in terms of R&D spend. So , the overall margin profile of Biocon Biologics, how should we see considering also the integration of the acquired operations ?

M.B. Chinappa: The SG&A cost that could come through post-acquisition . So, the full effect of the SG&A cost is absorbed when we report a core EBITDA and as I indicated, we are now trending above 40% this quarter and the previous quarter.

So, we see the overall SG&A cost to be comfortably positioned. As Kiran did mention that we're looking at bringing R&D costs down to about 12%. So , you would see EBITDA now then trending towards the high 20s nearing 30s , from a margin profile , if that was your question.

Surya Patra: Okay. Yeah.

M.B. Chinappa: So that's an improvement as you can see.

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Surya Patra: Okay, just last question, let's say for the biosimilar business , so obviously the key product opportunities what we are having for let's say for FY'24 is Beva, Aspart, Adalimumab, rh Insulin. So how should we think given the kind of timeline that is there and the regulatory clearance that we are waiting for . So, in the contractual cycle also that is considering all that, whether these are considered to be the real FY'25 triggers for us to grow ?

Kiran Mazumdar -Shaw: So, let me answer you Surya by saying that FY '24 certainly is going to be focused on the successful Adalimumab launch and I think we are also looking to see how much we can grow our existing products like Glargine, Trastuzumab and Pegfilgrastim in the US, but also we are focused on making sure that we focus on Europe for all the products that are approved there. As you know, in Europe we have all products approved , in fact we have seven products approved in Europe , of which the real focus up until now has been not all seven . So, we are looking at seeing how we can basically leverage and add to the business in terms of all products in Europe.

So I think that's the way we look at the FY '24 and of course we are hoping that Aspart and Bevacizumab will also be approved this calendar year, in which case, obviously there is some contribution to the FY '24 growth but FY '25 growth will see all these products contributing to strong growth.

Surya Patra: Sure. So, just one on the pipeline front, what is our now progress on the Aflibercept area and what is the timeline that we are expecting given the kind of regulatory progress and our preparedness and our positioning compared to competition , that front? And also , briefly on the generic business front, although this year we will possibly , likely to see a couple of greenfield projects contributing but in terms of the growth visibility for that segment , how should one really build into the model?

Kiran Mazumdar -Shaw: Shreehas, you want to take this ?

Shreehas Tambe: Yeah, sure. Thanks Kiran . On the Aflibercept asset , Surya as you know we've exercised the option when we acquired the asset from Viatri. So, it's a first to file asset, it's undergone review with the FDA and at this stage, we are currently in litigation with the originator of that product. So clearly that's in the public domain. It's going through that entire patent dance cycle, so we will not comment on the proceedings beyond what's in the public domain. So clearly that's an area where we are leading that effort directly. We believe Aflibercept is a sizable opportunity , gets us into the ophthalmology space and we can talk to you more about how we're going about doing it, but we believe that it

would be a nice area for us to build on . Being the first to file does give us the opportunity to look at such a sizable asset of almost US\$ 10 billion in revenues. So , this could be something, which can really be another game changer for us going forward. So, we are really

focused on developing that.

On the second question that you asked. I'll turn it over to Sid to respond .

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Siddharth Mittal: Thanks , Shreehas . Surya , so I think Kiran mentioned in her opening remarks that our immunosuppressants facility is undergoing qualification , also the peptide facility is undergoing qualification and we expect the qualification to complete in first half of next fiscal, following which we will of course file with the FDA to include those sites in our DMF and it would take some time, because we expect FDA to come and inspect these facilities. So , the revenues from these facilities are not expected to commence until FY25.

However, the growth will come from the other products what we have already commercialized, some of the new launches which we're expecting in the US. I'm talking about the generic formulation launches and also additional capacities in our existing facilities that we had increased in the last 12 to 24 months which will drive volume increase for our API business. So, combination of new launches , increased contracts that we've seen recently for statins and immunosuppressants in the US and increased API should drive the mid teen growth for the next couple of years .

Surya Patra: Yes, thank you wish you all the best.

Saurabh Paliwal: Thanks , Surya . Our next question is from Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Hi, thank you for taking my question and good morning , everyone. Just the first one on the billion -dollar run rate again , Chini if you could kind of break it down into developed markets and emerging markets . I remember historically I think emerging market did about \$240 million for us so just where it is tracking now in that \$1 billion number ?

M.B. Chinappa: Of course , so even from the Viatris biosimilars' acquisition, we will have emerging markets in there so directionally as you look forward 70% of our revenues will come from developed and 30% from emerging markets . That was part of your question. Now if you're going back to the building blocks for the \$1 billion and from thereon, so in, in the \$1 billion roughly have about 25% in the emerging markets. But as we look ahead, you will start to see advanced markets pick up to 70% and emerging markets at 30%.

Shyam Srinivasan: Got it. You seem to suggest that the emerging markets will grow faster right , , did I get those numbers wrong ?

M.B. Chinappa: Yeah. Okay, so take Viatris business that up to last quarter, we were roughly 50 :50, next quarter as we get to \$2000 Crores, we will actually go to 75:25 with advanced markets. But as we build on the emerging markets will finally come back at 70 :30.

Shyam Srinivasan: Got it. And Chini, when we look at the margins for these two segments is that different or you don't calculate it that way given the infrastructure could be common , so just help us understand does making , splitting this based on these two geographical spreads , does it make sense or it's one large monolithic that we need to actually look at it.

M.B. Chinappa: From an operating cost structure it is one large monolith because our manufacturing plants supply both the emerging markets and the advanced markets. From SG&A point

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of view, the Viatris acquisition will increase our SG&A cost, which is pertaining to the advanced markets , whereas we would expect advanced markets has a higher revenue profile and with margin and pricing , effectively a higher margin .

Shyam Srinivasan: Helpful Chini. My second question is to Shreehas. I think you briefly touched upon H ulio interchangeability but what about Rezvoglar right , in which Lilly I think has got an approval recently. I think your exclusivity ends in December , if I recollect right but correct me. So, do you expect

13%, 14% NRx share , are we still

on track to do the high - teens market share by the end of this calendar year. Is there any competitive activity even beyond Lilly that you think we need to be monitoring?

Shreehas Tambe: Thanks , Shyam. I think let's first look at where this is coming from. I think this whole question on interchangeability was about breaking that myth about being able to not just have a biosimilar product but given that insulin is a chronic therapy , can the patient who is receiving the dose, using our innovative product, get the same numbers or would there be a difference and could it be used exactly interchangeably.

So I think that entire effort was to go past that hurdle and break the myth that there is any concern at all about this and I think FDA themselves called it a historic moment in

how it approved Biocon Biologics' Semglee as the first interchangeable product, so it needs to be viewed in that lens first. Shyam to say that, why was it needed at that point in time to put to rest all arguments that not only is it a biosimilar but it can be used interchangeably whatever it is, that has been described, you can switch it or stop it at the pharmacy level and you will get the same therapeutic effect. I think that is what we achieved over the course of calendar 2022.

Before we got the interchangeable insulin, of course, there was Basaglar in the market and there was this increased market share that they had got vis-a-vis Lantus and that was there in the public domain. The question was about whether Biocon Biologics and Viatris when we brought our product to do that. We were able to successfully demonstrate that even going past the regulatory hurdle of being an interchangeable biosimilar and the first one at that.

Going forward, what we really see, and you're seeing that in the indices that you mentioned, which is the NRxs, we are already trending towards 14% and thereabouts clearly indicates the acceptance of the product and now you will of course expect competitor action, you would also expect some innovator action, but from here on its laid to rest the argument about efficacy, about the overall effectiveness immunogenicity, all of that is behind you and now it's a level playing field to go and win the market share. So clearly 2023 is about building on all of this and seeing how we can not only grow market shares, get the pull throughs that Matt talked about in existing formularies but also win more accounts to see that we grow that confidence beyond what we have got. So, I hope that gives you a perspective of how we are approaching Glargine overall.

Shyam Srinivasan: Got it. Thank you. And my just last question.

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M.B. Chinappa: Sorry.

Shyam Srinivasan: Yes, Chini. Go ahead.

M.B. Chinappa: Wrongly classified certain markets particularly Germany, Japan, Australia, New Zealand and Canada so if I really look at it, today we are roughly between 60% to 65% advanced markets and that would go towards the 70% -75% particularly with Adali launched and the launch of the new molecules.

Shyam Srinivasan: That's helpful. Actually, last question to Siddharth quickly, if I may, the confidence for mid-teens growth, I think, and maybe I clarify here, we are only talking mid-teens growth for generics right, because every other segment I think Syngene has their own guidance, I'm assuming Biocon Biologics has its own guidance looks like. So, the mid-teens are you referring to only Generics? That is question number one.

And two, what has given us the confidence for this mid-teen's growth. I know this quarter we have done 18%. We have grown QoQ also. But has there, but you mentioned in your opening remarks about even generic pricing pressure. So, what's changed that has given us a little bit better visibility. Is it just a launch momentum from our products?

Siddharth Mittal: Yes, so it's correct that the mid-teen growth is only for the Generics business and the confidence is based on two things as I mentioned, one is we have already got certain additional volumes in the US for the formulations we have launched, and we are going to launch additional products in the coming fiscal.

We do have a couple of important launches coming up later part of this fiscal itself. We know that Generic terbutaline, which is the first to launch opportunity even though it's a competitive market with many players, but we are going to be one amongst others. And we do have a few other filings which were done where we are awaiting FDA approval in the next fiscal. So that would drive growth in the US, but yes, I did mention the pricing pressure does continue. We have seen normalization of pricing pressure more recently with some disruption in the US and supply chain caused by some of these facility issues from other Indian companies. So, what was a steeper price erosion last year, we're seeing normalizing trend and I also mentioned that we are expecting additional volumes to come in from our API businesses where we had expanded capacities in our existing facilities, and there were couple of again important molecules which were launched by our partners in Europe, specifically the latter half of this calendar year 22 and that will drive additional volumes in fiscal 24.

Shyam Srinivasan: And thank you Siddharth and all the best.

Saurabh Paliwal: Thanks, Shyam. Next question is from Nithya from Bernstein. Nithya Balasubramanian: Thank you. So, on Aflibercept, can you tell us what your TAD date is? Because Viatris had communicated that, it's more than three quarters since you said they filed the product. Second would you have already worked with the regulatory agency to ask for a switching study label for this product. Obviously on the back

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of what happened with the Lucentis biosimilar .

Shreehas Tambe: Just a quick thing I didn't follow the second question very well, but the first one. Given that Viatris is the first to file , market formation will not be just linked to patent expiry on the molecule, but also the data exclusivity , so that runs beyond the patent expiry into 2024. So , we will be watching that date and that would be the date that the FDA can grant approval , so technically they can't grant an approval until the end of data exclusivity .

Nithya Balasubramanian: Understood . So, my second question was Coherus was actually able to get interchangeability for the first Lucentis biosimilar on the back of immune privilege argument , have you also made a similar request to the FDA or is this something you will do later just touching on that .

Shreehas Tambe: I think they will grant us that. For competitive reasons, we would not want to share that discussion right now but clearly Lucentis is a precedent for most companies to follow at this stage.

Nithya Balasubramanian: All right. So, one on Adalimumab , Shreehas . I think interchangeability has actually made a difference. It's made a difference for you and bGlargine , it's making a difference for Coherus in Ranibizumab even though it's a medical benefit product. So , I'm just surprised with your commentary that you don't see that as an important factor. But come let's say July 2024 you will have , there are at least four of your competitors who are going after interchangeability for the 80mg version. So, in that scenario , how do you see a 40 mg product is being competitive?

Shreehas Tambe: Fair question and we could argue it in several different ways . First thing I will point you to the success that we've enjoyed , and I'll be limited right now for Adalimumab in Europe where we've seen success, regardless of whether you had or didn't have interchangeability. So that's one

point just to look at.

The next thing to see and classify the US market, also for Adalimumab, you're seeing the first product being put on the formulary does not have interchangeability clearly not a condition precedent to being listed on the formulary. So that is the second piece that I would point you to.

Point number 3, you would have almost five of us launching on, I would say, effectively the second wave of launch or the first wave of real launch after the first innovator , so not everyone and actually other than one company will have , interchangeability and almost every payor in the US has publicly stated that they would have at least an n of two or if not an n of three which means the signal is that it's important to have , it's nice to have an interchangeable product, certainly, it gives you the advantage nobody is saying you shouldn't have it. But it's not going to be the sole determinant of commercial success and that was the context to my comment if it led you to believe anything different then I would like to correct myself.

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Nithya Balasubramanian: Just a follow-up on the fact that formularies are actually not restricted and they're fairly open in terms of the number of biosimilars they're adding so if, let's say, there are two or three biosimilars at parity with Humira, which is a sense you are getting from some of the peers commentary . Then does your commercial muscle therefore become more important ? If there are two biosimilars and Humira at the same out of pocket expense level , what will help you differentiate ?

Shreehas Tambe : I'll let Matt respond to this in a little more detail, because I think there's a lot of questions around this, but I think the first piece is what gets you to the table is price , interchangeability , as we discussed just now is something which is nice to have . But what will really determine success and pulls through is going to be the device that you have and whether it is the citrate free, latex free product that will reduce injectable side reactions and how are you going to be able to provide patient services so that you do not have a push back from the patient or prescribers that they're not comfortable given that they've got so many options now. I'll let Matt talk about the specialty pharmacy piece because given that you've got so many options in the US now there is an opportunity that you can get subbed even if you were to get prescribed . Maybe Matt, you can comment and give Nithya a little more color, on this.

Matthew Erick: Yeah Shreehas , you explained it very well. I'll just add a few other key attributes to that.

One thing to remember , interchangeability is only to the innovator and we're watching very closely how that shapes up and you are correct in your comments that it is an important piece of the commercial side to be able to have those relationships , have the doctor understand the product itself and what we have in our Hulio product when they write their name of Hulio on there , it's in a great position for us . I don't want to underestimate, there is a lot that we have to understand which we are . And there is a key component of this and that's a little different than what we've seen prior, and that is

the specialty pharmacy. And so, there are relationships that we are growing, establishing, and understanding the economics there as well, so we're not subbed at the specialty pharmacy level.

So, I'll reiterate the four key components of winning in Hulio is definitely getting the economics right on the payor side, understanding the ability for the sales force to create those relationships, have the physicians and patients get comfortable with our Hulio product in the two clicks. And the other attribute thirdly, is to making sure we understand, develop and continue to work with specialty pharmacy and at the end

of

this, if you aren't standing up, which we are, the right patient services to support the physician as well as the patient. Then we'll see if people fall down and as we go through these, we have a great understanding, especially with what Viatris has already built. And we're adding to that for that growth to be able to be very competitive, whether it's interchangeable or not interchangeable as we think of the different channels that we have to be successful.

Nithya Balasubramania n: One last quick one, if I may, on the SI I deal, I think your guidance was US\$ 300 million revenues. And that was in the context of CO VID vaccines at US\$ 3 to US\$ 4 pricing. Now we know that the COVID vaccine demand has come off so I'm

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assuming you will be selling a different set of products, that being the case, does the margin guidance of 35% EBITDA still stand on the \$300 million revenue?

Kiran Mazumdar -Shaw: Well, that is the agreement that we have, Nithya. So, I don't think there will be any change to this.

Nithya Balasubramania n: Got it. Thank you so much.

Saurabh Paliwal: Thank you, Nithya. Next in line is Sameer Baisiwal from Morgan Stanley.

Sameer Baisiwal: Thank you and good morning, everyone. Siddharth, can you talk about your positioning on Liraglutide in the US market and second is where do you see the market formation in both the US and Europe?

Siddharth Mittal: Thanks, Sameer, I think, a very good question and I would like to first emphasize our focus on peptides as a company. We see a huge opportunity in peptide. I mean today the peptide market is growing to US\$ 15 bn in sales globally and we expect by 2035 this to be a US\$ 60 bn opportunity in sales and just I'm talking about three or four key peptides whether it's Semaglutide, Liraglutide or Tirzepatide and we are very uniquely positioned. We have already done the filing in the US, we have received our comments from the FDA, and we are working on addressing the questions that FDA has and we expect to hear back from FDA soon.

But the market formation as it's publicly known, there are couple of settlements for launch in the US for Victoza, which is the diabetes indication. There has been no settlement yet, for Saxenda, which is for weight loss and growing steadily. But from whatever at least is available in public domain, we have heard that the launch is expected in the end of 2024/early 2025. We are still under litigation with Novo Nordisk, so Biocon has not yet settled but we expect to be in the market as mentioned, end of Calendar 2024 /early 2025.

Now from a competitive positioning perspective, we have seen couple of other generic companies file this drug starting with 2016 and there have been couple of filings in late 2018 -2019 and 2021 and none of the competitors have received approval and we believe that we are very well positioned with the scientific data that we have provided to the FDA.

Sameer Baisiwal: Okay, great. And you have filed for both Victoza and Saxenda?

Siddharth Mittal: That's correct. We have filed for both Victoza and Saxenda.

Sameer Baisiwal: And what is the market formation date in Europe?

Siddharth Mittal: Europe is around the same time period, end 2024 /early 2025.

Sameer Baisiwal: And broadly for other peptides, have you done the filings or what would be the flow as we go forward.

Siddharth Mittal: So Semaglutide which is the follow-on molecule for Liraglutide is under development.

We're of course late to be in NCE minus one filer but we do expect to file in time to be in

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the market in 181 day or Semaglutide. Of course, there are three different formulations for Semaglutide with the market opening up, starting in '29-30 and the market for some of the formulations is going as late as '32

. The other drug that we are working on and

again at different stages of development is Tirzepatide, as we know this is expected to be contributing almost 25 to 30 billion in sales and we are targeting to file this product as a day 1 on NCE minus one day. So, there's a lot of effort going on. We have a very robust pipeline of peptides, I just discussed three. But we have a pipeline of peptide,

which is more than 10 numbers and that's again at different stages of development. And we are adding incremental capacities to our peptide API manufacturing facilities. So what we mentioned at the beginning of the call, the large volume peptides facilities commissioned and validation is going to start and we are already looking at doubling the capacity of that facility in the next 12 months because we see a huge opportunity in the volume growing globally for peptides.

Sameer Baisiwala: Great. And have you filed any other peptide other than Lira?

Siddharth Mittal: Not yet.

Sameer Baisiwala: And you would be doing third party API sales as well and I think that could be a big opportunity.

Siddharth Mittal: Yes, that would be a huge opportunity. In fact, we have seen some of the early players in the US, they had got API from that peptide specialist companies and the main concern that FDA had was on the characterization of the API and the quality of the data that supported the API. And we've been in discussions with some of these players to qualify our API source in their file and we have seen very encouraging results, when they have, we have supplied them quantity to help them with the analysis and they, of course, have a comparison of our API with the other API and we feel we're very well positioned in terms of the quality of our API.

Sameer Baisiwala: Sorry. Have you crossed that bar with FDA with your API?

Siddharth Mittal: We have received comments from FDA asking certain questions on our API. We are in the process of addressing those questions. And we think every, most of the questions are addressable. We do not see any showstopper in our API quality in terms of the questions that FDA has asked.

Sameer Baisiwala: Okay, great, thank you so much. One final from my side it's on BBL, Kiran, what's the plan for private equity raise. I think you did mention a bit about it, but anything concrete over there and the subsequent IPO that you were thinking of.

Kiran Mazumdar -Shaw: So obviously, we are in advanced discussions with private equity investors and as I mentioned, we will be sharing that information with you, with more clarity and granularity when we are close to signing up because I think it's not right of me to really talk about that at this stage, but suffice to say that we are in advanced discussions for equity raise to lower the acquisition debt.

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The other point is that as far as the IPO is concerned, we are obviously focused on the right timing of the IPO, and it will be based on a number of triggers. So, we will be looking at some of these triggers in terms of either product approvals, market performance and those will really determine the timing of the IPO, because the moment we start seeing a robust growth, I think that is the time for us to go to the market. And in any case, Sameer, as you know, we do need to go through the integration process before we can initiate any IPO activity. So, I think from that point of view, I would like to focus on integration and then start the IPO preparations immediately thereafter.

Sameer Baisiwala: So, it looks like 18 months or thereabouts.

Kiran Mazumdar -Shaw: It could be sooner but definitely not earlier than 12 months.

Sameer Baisiwala: Okay and Kiran if I may, the valuation benchmark which have been set for BBL based on the previous rounds of private equity and the conversion for Viatris, those stand, that

is a benchmark for the new rounds of infusions.

Kiran Mazumdar -Shaw: Well, what I would like to comment is to say that definitely the IPO valuation stands as has been discussed for the Viatris transaction that absolutely stands and we will be raising funding based on how things play out in the market.

Sameer Baisiwala: Okay, great, thank you so much.

Saurabh Paliwal: Thanks, Sameer. Next is Neha Manpuria from Bank of America.

Neha Manpuria: Yeah, thanks for taking my question. Shreehas, could you give us some color on the filing timeline for Ustekinumab, Denosumab and Pertuzumab since we have just started trials for that one too?

Shreehas Tambe: Sure, Neha. So, we are right now in Phase I / Phase III trial for Ustekinumab, we have guided earlier that end 2023, we should be able to get to filing. For Denosumab, we have got Prolia and XGEVA we are again doing combined Phase I and III trials, we're looking at end 2024 filing for Denosumab and since you asked about Pertuzumab, we just announced that we've gotten into the clinic for a Phase I study that we've started with that asset. And as we progress more into that we will be able to give you more clarity on the filing dates.

Neha Manpuria: And on the emerging market piece. Based on the 35-40% that that's contributing currently. What's the expectation of growth given the amount of launches for Trastuzumab and the insulin portfolio that we're making there, would the emerging market piece including the Viatris portfolio grow mid-teens, high teens. What is

the expectation there ? Not emerging market ROW ex -US-Europe rather .

Shreehas Tambe: Susheel, do you want to comment on that ?

Susheel Umesh: Yes sure . Along with Viatris, with both of us put together the growth would be in the range, which you have mentioned. Overall, the good thing should happen right now is between both of us . In the past , Viatris and us we had strengths in different areas, we
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were stronger in the partner -driven insulin market area and Viatris is very strong with its Trastu and Beva portfolio and they also had feet on the ground in different markets. So, both together , I believe that the growth will be quite significant in the emerging countries and we will continue to do well as we are doing . The key focus of the emerging countries will remain what it always has been , we want to create access in more number of countries and we want to go deeper in the countries where we're already present. So, I think with the Viatris portfolio and the existing portfolio that we have the growth will be around the numbers which you mentioned .

Shreehas Tambe: So just to add to what Susheel said Neha , we continue to see significant growth in the, in what we have called as the BBL markets in the past where we were structured prior to the closure of the acquisition, and that trend continues. It of course gets better with the Viatris additions to the markets that we've been leading so far. But the question if you were to now look at what has become , Biocon Biologics now has a sizeable pie which has a larger contribution from advanced markets than we had before. So , as a percentage you may see that change, but in terms of on a standalone basis, these markets will continue to show growth.

Neha Manpuria: And last question on Pegfilgrastim , with one of our competitive biosimilars likely to see the on -body injector launch sometime in the course of the year, does that impact our ability to take incremental market share. Do you see some of the biosimilars probably shifting to the on -body injector along with the innovator shift ?

Shreehas Tambe: See Pegfilgrastim US has been a very different market . Innovator action has been unique where we've seen the very aggressive pricing behavior on behalf of the originator. So that's one aspect. So, it's

a very different dynamic that we're seeing there.

We also had said in the past that given the pandemic, which was an unexpected and unprecedented event , the on -body injector held on to a market share which was disproportional for a period of time, it even went up beyond 56-57%. We are now seeing that come off to about 45 % or lower than that. So, you're clearly seeing that it's certainly a nice to have , the originator continues to hold that market share that you referred to just now , competition is likely to eat into that market share, but we will also release more into the syringe opportunity, which we believe will be for us to look at.

Some of the indicators that you would see from the recent market information that have come in , is many of these market shares that have been lost by players who had discounted aggressively , who had gone for market share . We are seeing that pickup in Biocon Biologics now. So, we will see a steady increase because we've always looked at holding onto a value maximized opportunity, rather than just chasing market shares, which always quote ASPs versus market shares at loggerheads and we've always played that balancing act. We'll continue to do that.

Neha Manpuria: Understood. Thank you so much.

Saurabh Paliwal: Thank you Neha . We'll take Nihal next.

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Nihal: Hello. Good morning, everyone. Actually, I want to speak in Hindi, so everyone can understand. I have been invested in this company for past one year. The share price has dropped from ₹400 to close to ₹230 and has been continuously dropping . Even today, the stock price has been moving around 52 -week low . So, what is the plan? Should we invest? Should we not invest? Because we shareholders are incurring too much losses.

Kiran Mazumdar -Shaw : You are seeing the way Biocon is becoming stronger. But there is little we can do when it comes to the share price. We will continue to focus on business delivery and business growth. The large acquisition should help the shareholders understand our growth trajectory to becoming a global player. We are working really hard to grow our business and drive success . But investors should also have faith in our capability, that what we are doing will be beneficial for India and the world as a whole. I would like to know which other companies are doing what we are doing. How many companies are manufacturing insulin? How many companies are manufacturing world class biosimilars? So, we have been able to achieve all of this with a lot of hard work. Our vision is to provide medicines that are accessible and affordable to the masses. But investors also need to have faith.

Nihal: What you are saying is absolutely right. But there has to be a way out, because

the share price is on a continuous downward trend.

Kiran Mazumdar -Shaw: But there is nothing I can do about it. All I can do is work hard. As you can see, we have reported a revenue growth of 36%, we also mentioned the exit trajectory of US\$ 1 bn for Biologics and all our other businesses are performing really well both generics and research services. I'm not able to figure out the reason behind the drop as we are doing everything possible for the growth of the company.

Nihal: I salute you for the kind of work you are doing. I hope, post your commentary today, Biocon's price shows a good upward move.

Kiran Mazumdar -Shaw: We are putting efforts in building the leadership team and making sure people see our efforts. Our medicines are benefitting so many people across the world. And in India, our company is one of its kind and unique. I hope the investors understand our business and start supporting us in our journey.

Nihal: I hope this positive commentary helps in increasing the share price. Thank you.

Saurabh Paliwal: Thank you, Nihal. We have a follow up from Cyndrella from JMFL.

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Cyndrella Carvalho: Thanks for the follow-up, Siddharth this is for you. You helped us understand the pipeline, especially on the peptide side. I want to understand the commentary on the profitability, EBITDA margin side, how should we look at it and what is the, if any guidance that you can provide on the EBITDA side. We have seen some sequential improvement in this business. However, the formulation business in US still has a lot of pricing challenges. So, what is your view on that?

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And just one more addition to that is the newer facilities which are commissioning, how much of OpEx and depreciation it will add to our P&L over there and is it something significant that we need to consider?

Siddharth Mittal: So, I think, let me answer your second question first. The new facilities will be capitalized once we received approvals from the FDA, which is expected in FY '25. So, I do not expect any significant impact in FY '24 from these large facilities or OpEx coming in. I think I'll be in a better position to quantify and give timelines, I think as we move along, in a few quarters.

In terms of the first question of course, of course the pipeline, we are making good progress, we do see the pricing impact. Our core EBITDA margins were in the range of 21% to 22% for the Generics business and we are investing, roughly 8% to 9% of revenues in R&D. So that reduces the EBITDA to anywhere around 14%, 15% and the PBT which we reported is around 10% -11%. I do expect the margins to continue at these levels. Of course, the margins are also dependent on the product mix we supply to our customers so, we've had few higher very profitable products which were supplied to our customers in Q3. So, for example, Fidaxomicin which we supplied to Merck or Tacrolimus which we supplied to some of our customers in the US, so we had seen a good product mix in quarter three. But going forward, of course, these could be lumpy in some quarters there might be no delivery of higher profitable products. So, we would see a fluctuation, but on a long-term basis, I would still say that we will till we get one of these blockbuster peptides, we will expect the margins to continue in the same range.

Cyndrella Carvalho: That's very helpful and coming to just a confirmation on Serum, whenever the transaction is clear from the regulatory aspect, we will be able to see the booking from 1st October 2022, is that understanding, correct.

Siddharth Mittal: That's correct. The effective date would be October 1.

Cyndrella Carvalho: Yeah. And as ma'am highlighted the tracking of US\$ 300 million is as per the agreement that is also clearly understood right?

Siddharth Mittal: Yes

Cyndrella Carvalho: Any additional CapEx on both the sites that we are seeing, because I see from our Generic business side, you have highlighted we may need to double peptide but any CapEx that you would like to give a number on that? And on the additional site in terms of Malaysia, do we see the second phase beginning or what is the status there from a CapEx perspective? That's it from me.

Siddharth Mittal: So, Generics I expect CapEx to be around ₹700 to ₹800 Crores per year, which includes the incremental capacities on our non-immunosuppressants fermentation plants, peptides, as well as the injectable facilities that we're building, and that should continue for the next one to two years. Over to Chini for Malaysia.

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M.B. Chinappa: We have given guidance of ₹100 to ₹150 million CapEx per annum. This year we have spent ₹70 million. Most of the spend this year and next year is towards the Malaysia Phase II expansion.

Cyndrella Carvalho: Thank you so much. And thank you everyone all the best.

Saurabh Paliwal: Thanks, Cyndrella. We will take the

ast question from Utsav Jaipuria. Please go ahead.

Utsav Jaipuria: Yeah, hi, thanks for the opportunity. So, my question was on the Syngene stake.

Are there any plans for further dilution in the future ?

Siddh arth Mittal : Not in the future. We are down to 54.9 % but we do not have any plans.

Utsav Jaipuria: Okay, thanks .

Saurabh Paliwal: That was the last question for this earnings call. I thank, everyone for joining us today. If you need any further assistance or clarifications, please do reach out to us. Have a good rest of the day. Thank you.

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability .

Call: May 2023

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BIO/SECL/AJ/2023 -24/31

May 31, 2023

To,

The Secretary

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001 To,

The Secretary

National Stock Exchange of India Limited Corporate Communication Department

Exchange Plaza, Bandra Kurla Complex

Mumbai – 400 050

Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject : Transcript of Earnings Call Q4 FY23

This is further to our earlier letter dated May 24 , 2023 regarding presentation and video recording of Q 4 and full year FY23 Earnings Call held on May 24 , 2023 , please find enclosed herewith the transcript of the Earnings Call.

The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/> .

Kindly take the above said information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma

Company Secretary & Compliance Officer Membership No.: ACS 18776

Encl. as above

Biocon Limited Q4 & FY23 Earnings

Conference Call Transcript

May 24 , 2023

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Speakers and Participants from Biocon Limited and Biocon Biologics Limited

Dr. Kiran Mazumdar -Shaw – Executive Chairperson, Biocon Limited

Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited

Mr. Indranil Sen – Chief Financial Officer, Biocon Limited

Mr. Shreehas Tambe – Chief Executive Officer & Managing Director, Biocon Biologics Limited

Mr. M.B. Chinappa – Chief Financial Officer, Biocon Biologics Limited

Mr. Abhijit Zutshi – Commercial Head - Global Generics, Biocon Limited
Mr. Nehal Vora – Commercial Head - Global API, Biocon Limited
Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Sibaji Biswas – Chief Financial Officer, Syngene International
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited
External Participants during Q&A session

Cyndrella Carvalho – JM Financial
Damayanti Kerai – HSBC Securities
Harith Ahamed – Spark Capital
Neha Manpuria – Bank of America Securities
Nithya Balasubramanian – Sanford Bernstein
Nitin Agarwal – DAM Capital
Prakash Agarwal – Axis Capital
Ishita Jain – Ashika Group
Sandeep Joshi – Individual Investor
Shyam Srinivasan - Goldman Sachs
Surya Patra – Phillip Capital
Tushar Manudhane – Motilal Oswal Securities

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Prepared Remarks Session

Saurabh Paliwal:

Good morning, everyone. I'm Saurabh Paliwal from Biocon Investor Relations team, and I would like to welcome you today for the fourth quarter and full year ended March 31, 2023, earnings conference call. I would like to indicate that all participants are in the listen-only mode, and you'll get an opportunity to ask questions once the opening remarks conclude.

Should you have any questions, please select the raise hand option under the reactions tab on your Zoom application. During the Q&A session, we will call out your name, unmute your line, and enable you to ask a question. When asking a question, please begin with your name and your organization.

Please note that the chat box has been disabled for this conference call, but you can raise any technical concerns by sending us an email at investor.relations@biocon.com. I would like to also bring to your attention that this conference call is being recorded. The recording will be made available on our website within a day, and the transcript will be made available subsequently.

Today, to discuss the company's business performance and outlook, we have Dr. Kiran Mazumdar -Shaw, our Executive Chairperson; Mr. Siddharth Mittal, CEO and Managing Director of Biocon Limited, along with senior management colleagues across our business segments, including Generics, Biosimilars, and Research Services. Now, I would like to allude to the safe harbor related to this conference call. Comments made during this call may be forward-looking in nature, based on management's current beliefs and expectations. They must be viewed in relation to the risks that our business faces that could cause future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements. At the end of this call, if you need any further information or clarifications, please feel free to reach out to us. With that, I would like to turn the call over to our Chairperson for her opening remarks. Over to you, Kiran.

Dr. Kiran Mazumdar -Shaw:

Thank you, Saurabh. Good morning, everyone.

Let me start with a high-level summary for FY23. Biocon has delivered a total revenue of **₹11,550** crores, a growth of 38% over FY22. All business segments contributed to the growth with operating revenues in Biosimilars growing

61% to **₹5,584** crores, Research Services by 23% to **₹3,193** crores and Generics by 13% to **₹2,637** crores.

The year gone by saw the completion of the landmark acquisition of Viatris' biosimilars business which has contributed to the year's growth. In fact, Q4 reflects the full contribution of the Viatris acquisition. This strategic investment, we believe, will accelerate our journey to global leadership as a fully integrated biosimilars player.

Syngene delivered a strong performance led by its manufacturing services business, which includes the signing of a 10-year biologics manufacturing agreement with Zoetis, expected to be worth around US\$500 million over the contract period.

The Generics business continued its geographic expansion initiatives with strategic partnerships across markets. FY23

marked the launch of products in a few ex-US geographies such as the UK and other emerging markets. And this coupled with a strong performance in the base business contributed to the segment delivering 13% year-on-year growth. Investments in R&D and Cap ex towards a pipeline of complex products including peptides and oncology molecules are expected to play out positively in the coming years.

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Sustainability is integral to Biocon's business purpose. The company continues to develop a progressive agenda for its ESG practices in alignment with stakeholder expectations as well as of course the company's objectives. Our efforts continue to receive global recognition reflected by our improving scores from leading global sustainability indexes.

Biocon improved its score in the Dow Jones Sustainability Index over 2021 from 45 to 52 and based on this performance, we were inducted into the S&P DJSI's prestigious annual sustainability yearbook under the industry mover category. Biocon was also awarded a Silver Medal by EcoVadis for its sustainability accomplishments.

It has certainly been a transformative year for the Biocon Group. All three business segments are at an inflection point and poised for significant growth in the years ahead.

Let me now come to the Viatris biosimilar business acquisition.

The integration of the Viatris biosimilars business is progressing well. Viatris continues to provide commercial and other transition services to Biocon Biologics as part of a transition services agreement. We remain on track to integrate a major part of the acquired biosimilars business, region-wise, in a phased manner during FY24.

Net Debt reduction - As far as net debt reduction is concerned, we continue to work towards reducing our net debt.

As of December '22, Biocon had a consolidated net debt of US\$1.9 billion. Since then, net debt has been reduced through the following events. US\$270 million was brought in through the stake sale in Syngene, US\$130 million investment by Kotak, US\$150 million conversion of loan in BPL to equity in BBL by Serum, and US\$98 million investment by Edelweiss. Post these investments, the net debt has been reduced by US\$650 million to a level of US\$1.25 billion excluding, of course, structured investments.

Whilst the present debt level can be comfortably serviced, we plan to raise additional equity at the BBL level during FY24 to provide us flexibility for any business development opportunities.

Now coming to the financial highlights, first for Quarter Four and then the Full-year FY '23.

Let me start with the Q4 numbers.

At the group level, total revenues for the quarter were up 59% year-on-year to **₹3,929 crores**.

The Biosimilars segment revenue more than doubled on the back of the acquisition of Viatris' biosimilars business, with Q4 reflecting the first full quarter of consolidation. Research services grew 31% while generics remained flat. The total revenue also included **₹109 crores** of the stake dilution gain in Bicara, pursuant to their Series B fundraising.

Core EBITDA grew by

56% to **₹1,260 crores**, representing continued healthy core operating margins of 35%.

R&D spend stood at **₹342 crores**, which is an increase of **₹152 crores** for the same period last fiscal, and it corresponds to 12% of revenues ex-Syngene.

EBITDA for the quarter was up 75% to **₹1,152 crores** versus **₹659 crores** in the same period last year. EBITDA margins stood at 29% as compared to 27% for the same period last year.

Depreciation, amortization, and interest increased by **₹389 crores** over last year and this is primarily related to the biosimilars business acquisition cost.

Consequently, profit before tax and exceptional items stood at **₹500 crores** up 30% year-on-year.

Net profit for the quarter excluding exceptional items stood at **₹335 crores** versus **₹262 crores** in Q4 FY22 up 28% year-on-year. It must be highlighted here that there is an impact of higher minority interest due to stake dilution of

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Biocon shareholding in both Biocon Biologics and Syngene in the consolidated results.

Now coming to full-year numbers

Total revenue for FY23 was up 38% to **₹11,550 crores**.

Revenue from operations in Biosimilars, Research Services and Generics were up 61%, 23% and 13% respectively.

The total revenue includes **₹217 crores** of stake dilution gain in Bicara pursuant to their fundraising during the year.

Core EBITDA was up 43% to **₹3,807 crores**, representing core operating margins of 34% versus 32% last year.

Now I come to R&D spends for the full year, which were at **₹1,119 crores**. A big jump over **₹524 crores** last fiscal, representing 14% of revenues excluding. We also recorded a Forex loss of **₹160 crores** in FY23 as compared to a gain of **₹58 crores** during FY22.

EBITDA for the year was up 32% at **₹2,888 crores** versus **₹2,183 crores** in the same period last fiscal, with EBITDA margins at 25%.

Profit before tax and exceptional items stood at **₹1,189 crores**, which is up 9% year-on-year. The growth in PBT is not commensurate with growth in EBITDA due to additional depreciation, amortization and interest charges primarily related to the biosimilars business acquisition cost.

Consequently, net profit for the year before exceptional items stood at **₹787 crores** versus **₹722 crores** in FY22 which is still up 9% year-on-year.

For the full year FY '23, there were exceptional items amounting to **₹324 crores** net of tax and minority interest as compared to **₹74 crores** last fiscal. These include deal related expenses of the Viatris transaction and a MAT credit balance charge as Biocon decided to adopt the new tax regime of 25%. As a result, net profit stood at **₹463 crores**.

Let me now turn to the segmental business performance during the quarter.

Let me start with Generics.

The Generics segment reported an operating revenue of **₹717 crores** for the quarter, similar to Q4 last fiscal. Profit before tax stood at **₹75 crores**. For the full-year, the Generics segment recorded an operating revenue of **₹2,637**

crores, delivering a growth of 13% year -on-year, which is in line with our guidance. Profit before tax stood at **■264** crores with PBT margin at 10%, in line with last year.

Now coming to the key highlights for the Generics business.

- Q4 performance was driven by API immunosuppressant sales, as well as growth in the base business of generic formulation products in the US, as well as certain new product launches.
- Margins were lower compared to previous year, mainly due to price erosion in our base business products, particularly Statins.
- During the quarter, we secured four product approvals, one each in the US and EU, and two in emerging markets.
- On the regulatory front, our API manufacturing facility in Bengaluru underwent an EU GMP inspection in February with no critical or major observations. And most recently, last week, the US FDA concluded a pre - approval inspection for site 3 located at Hyderabad, Telangana with no observations.

On a full year basis, the business recovered from a muted performance in FY22.

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- Growth during the year came from API sales, again from immunosuppressants and specialty APIs, as well as generic formulations, where a higher volume market share of products launched in FY22 contributed to revenue growth.
- During the fiscal, we had 32 filings and received 19 approvals for our generic formulation products across US, EU, UK, and emerging markets.
- We continue to focus on the enhancement of our manufacturing capacities and capabilities throughout the year. Our facility in Vizag for immunosuppressants and peptide facility in Bengaluru were commissioned during FY23, with validation batches at both sites expected to be completed by the first half of FY24. We are also investing in a new injectables facility, as well as expanding our largest scale peptide, synthetic, and non - immunosuppressant API manufacturing capabilities.
- To reduce costs and development timelines, various cost improvement initiatives and projects were undertaken and the benefits of these are expected to accrue in the quarters ahead.

In summary, FY23 has been a good year for the Generics business, backed by cost improvement initiatives, strategic partnerships, and product approvals.

Now coming to the biggest segment in our consolidated financials, which is Biosimilars.

Q4 is the first full quarter with consolidated financials from our base and acquired Biosimilars business, representing the new reference point for Biocon Biologics as a fully integrated enterprise. Biocon Biologics recorded revenues of **■2,102** crores for Q 4, ending the year on \$1 billion dollar trajectory as per our guidance.

Core EBITDA, which excludes R&D, forex, licensing income and MTM on financial instruments was at **■742** crores with margins at 39%, demonstrating continued healthy profitability post consolidation of the acquired business. EBITDA was at **■573** crores with a margin of 27%.

Depreciation, amortization, and interest pertaining to the acquisition impacted the quarter's profit before tax, which stood at **■152** crores, which is up 5% year -on-year.

Moving to the full year performance, Biocon Biologics recorded revenues of **■5,584** crores in FY23, a year -on-year growth of 61%.

Core EBITDA for the year was at **■2,216** crores, up 68%.

Net R&D spend for the year was at 16%, which is higher than our guidance of 12% on account of the closing timelines of the Viartis transaction. I might remind you that we concluded this deal at the end of November. We had expected to conclude it a little earlier, but this has impacted the R&D spend in terms of percentage of revenues. The R&D spend we expect will normalize to around 12% in the coming quarters.

Subsequently, EBITDA for the year stood at **■1,338** crores, which is a 32% year -on-year growth. And profit before tax and exceptional items was at **■403** crores, which factors in acquisition -related amortization and interest costs, which actually amount to **■379** crores.

Let me also share some highlights, starting with our vaccines' collaboration with Serum.

We have restructured our original equity structure with Serum under the strategic alliance announced in September 2021. As for the new arrangement, BBL will have access to 100 million doses of vaccines annually, together with distribution rights to Serum's vaccines globally, without any assured revenues and EBITDA. BBL will no longer be issuing the 15% stake to Serum, thereby increasing Biocon's stake in BBL. Serum will now have an aggregate equity investment of US\$300 million in BBL.

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Moving on to business performance.

- We continue to see a strong performance of our biosimilars globally.
- There were more than 35 launches in FY23, increasing the depth and breadth of our

each.

- In the US, Fulphila or Pegfilgrastim achieved a 14% market share, growing from 11% in December. Ogivri continues to maintain its 10% market share, and our biosimilar insulin Glargine's market share has improved to 12% in -line with the new prescription trends or the NRx's trends observed in the prior quarter.
- There is a strong interest in the upcoming launch of Hulio backed with its performance in Europe, which will be a key growth driver in FY24. In Europe, Fulphila, Ogivri and Hulio continue to experience improvement in performance. For instance, in France, each of these products have more than 10% market share. Our Canada

franchise continues to be robust with Ogivri having a 35% market share. Hulio, which was recently launched in Canada has already attained a market share of 6%.

- We continue to see strong demand in demand in our emerging markets business driven by a growing portfolio coverage and several new launches. Through our partners we have won tenders for Glargine in Mexico, Trastuzumab in Belarus, and Bevacizumab in Algeria.
- On the regulatory front, our new B3 mAbs facility received a certificate of GMP compliance for our biosimilar Bevacizumab from Europe's Health Products Regulatory Authority. We have responded to the CRL for our biosimilar insulin Aspart wherein the US FDA had accepted our CAPA plan pertaining to the Malaysia facility and expect this to be followed by a site inspection. We are in discussion with the US FDA on our CAPA plan submitted for biosimilar Bevacizumab.
- We continue to progress our pipeline with biosimilar Denosumab, Ustekinumab and Pertuzumab and we are on track to complete the studies for Ustekinumab and Denosumab by the end of 2023 and 2024 respectively. In summary, FY '23 has been a transformational year for Biocon Biologics driven by the acquisition of Viatris' biosimilar business. This has enabled us to create a unique, fully integrated biosimilars enterprise with clear growth catalysts. The focus in FY24 will be on integration, transition, and execution in the commercial arena.

Coming to Novels.

I will now provide you with an update on the novels business starting with Itoлизumab which continues to make progress. Patient enrollment has ramped up with 70 clinical sites operationalized as a part of the ongoing pivotal phase III EQUATOR study of Itoлизumab in patients with acute graft versus host disease. The Phase 1b clinical study for Lupus Nephritis also remains on track. Equillium expects to report top-line data from the EQUALI SE study on Lupus Nephritis in the first half of 2024 and remains on track for the interim review of Phase 3 equator study later in 2024.

Coming to Bicara Therapeutics, its lead candidate BCA101 continues to make good progress in Phase 1/1b development in head and neck cancer. And based on the promising data generated thus far, Bicara completed an oversubscribed US\$108 million Series B financing, which will help to advance this asset. As mentioned earlier, fundraises during the year resulted in a step-up gain recorded in Biocon's consolidated P&L statement. Biocon's stake in Bicara currently stands at 38%. It is expected to reduce to a little over 23% post receipt of the full amount from the Series B financing in FY24.

Coming to Research Services.

Syngene ended the year on a strong note with positive performance across all four divisions. In fact, it was the strongest Transcript - Biocon Limited Q 4FY23 Earnings Call Page 8 of 29 quarter ever for Syngene.

Revenue from the operations grew 31% to ₹994 crores over the corresponding quarter last year and reported revenues crossed ₹1,000 crores for the first time. Profit before tax was at ₹231 crores, up 29%.

Strong performance in the fourth quarter added to performance over the course of the year and ensured that Syngene delivered full-year results ahead of its upgraded guidance. In fact, it delivered the

highest absolute year-on-year

increase in revenue and EBITDA in the last five years.

Operating revenues were ₹3,193 crores in FY23, a growth of 23% over last year, while reported EBITDA was up 18% to ₹1,005 crores with EBITDA margins at 31%. Profit before tax was up 15% to ₹594 crores.

For the quarter, the research services business, discovery services and dedicated centers delivered sustained good performance and in the manufacturing services, this quarter also saw the start of manufacturing of drug substance at commercial scale for Zoetis, which added to the strong year-on-year growth for Syngene.

To conclude, I am pleased to announce that the Board of Directors have recommended for approval by the shareholders a final dividend of ₹1.50 per share, representing 30% of the face value of each share for the financial year 2023.

I would like to conclude by saying that all business segments in Biocon are well-positioned to grow in FY24. We expect a mid-teen growth trajectory for the Generics business driven by enhanced capacities in our API business, volume growth in our base business, and new launches in generic formulations in the US and other geographies.

With the Viatris transaction concluded in FY23, Biocon Biologics is also well positioned with clear growth drivers in place. The upcoming launch of Adalimumab in the US and the anticipated approvals and launches of Aspart and Bevacizumab should help us to build upon the US\$1 billion revenue run rate on which we have concluded FY23. Syngene sees the healthy demand for its services continuing in FY24 with the start of commercial manufacturing in Biologics spurring the growth momentum.

And with this, I would like to open the floor to questions.

Q&A Session

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Saurabh Paliwal : Thank you, Kiran. We will wait for a few moments before we start the Q&A session. I'll request all participants to please limit the questions to two per person to allow everyone in the line to get a chance to ask a question. The first question is from Cyndrella Carvalho from JMFL. Please go ahead.

Cyndrella Carvalho : Thanks for the question. So, congratulations on consolidating the entire Viatris.

How should we see any synergies do you see from this transaction as we go ahead? Would you like to highlight on the balance sheet size? You said that you have reduced the net debt from December level, but what is the plan for FY24? Could you help us understand what would be the further debt reduction that we

are looking at? On the R&D side, you also highlighted that number should look more close to 12%. Just to clarify, is it ex-Syngene we are looking at? Or is this overall sales that this number should look closer to 12%? These are my questions at this point in time. I have more questions. I'll join back in a queue.

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Kiran Mazumdar -Shaw : So, let me answer your second question and I'll turn over your other questions to both Chinappa and Shreehas. As far as the 12% R&D spend is concerned, obviously the large part of R&D is attributable to Biocon Biologics. And as we said, we would like to be at a 12% of revenue level. As you heard, this fiscal, we've been much higher than that. It's been at 16%. So, we would like to reduce that level. Both Shreehas and Chinappa to answer that question. So over to you, Shreehas.

Shreehas P Tambe : Thanks, Kiran. Cyndrella your question was more about the synergies that we would look at now that we've integrated the Viatris business. Just to bring you back to how we've structured the contract with Viatris, we've of course now started consolidating the revenues and the profits. And you're seeing the first full quarter of revenues and profits flowing in into the Biocon Biologics books. But we've also signed with them a TSA or a transition services agreement through which they provide us services for a period of two

years. So, at this point in time, Viatris continues to provide us services and our numbers factor in the charge that Viatris levies on us for the services that it provides, in the geographies that they operate in.

Going forward, like we've said in the past, that we, being an integrated, a fully integrated player, we would be looking to see how we become more nimble and flexible. But at this point in time, that's not what's changed. We've got a fixed charge through the TSA that flows in into our P&L. But, Chini, if you'd like to add something, over to you.

MB Chinappa : No, you covered it, Shreehas, thanks. Cyndrella, any follow up to these two questions?

Cyndrella Carvalho : Yeah, I mean, the follow-up is, is there any synergies, as you're saying, that there is a charge with us? So, where do you see this charge going beyond two years?

Do you have any, I mean, the numbers that you had earlier shared with us, does that change? And more from a synergy perspective, do you see the market share ramp up giving us, we've seen gross margins being more stable, but do you see any scope of improvement here with Humira launch coming up? Are we prepared for the launch? Are we in the preparation mode already? You can help us understand that.

MB Chinappa : Cyndrella, I'll take the first part of your question and then I'll go to Shreehas. Just to clarify on the charges, Viatris is still running the commercial engine and they cross charge costs at actual towards us. So, it's a cost that currently, they incur and cross-charge us, but once we transition out Viatris, we will be incurring the cost directly on our books.

Shreehas P Tambe : And to answer the other part of it, as we look to get past into this year, into the full fiscal, we are looking at, making sure that we take on the Hulio launch. Viatris is right now the marketing authorization holder, but Matt and his team are fully involved in leading that launch. So obviously, we are looking at a very successful launch that we expect in the US. So, we expect things to move forward. But at this point, the important message is, as we've integrated the full quarter revenues you've seen the health of the business is very strong. The core EBITDA margin is at the same levels at 39%, 40% that we've had in the past. So, it reflects the basic health in a very, very strong position.

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Kiran Mazumdar -Shaw : And we're also seeing some good uptake in some of the market share of key products in the US and other markets.

Cyndrella Carvalho : And on the debt side, if we can have that number for FY24, where do we bring the debt down? Any number?

Kiran Mazumdar -Shaw : I think, we will share this information with you as and when we progress. But at this point in time, I think what we have done thus far is what we can share with you. But we will aim to reduce it further.

Cyndrella Carvalho : Thank you. I'll join back to queue.

Saurabh Paliwal : Thank you, Cyndrella. The next question is from Tushar Manudhane from Motilal Oswal.

Tushar Manudhane : Yeah. Thanks for the opportunity. Just on this licensing income, if you could share further details related to this? Of ₹175 crores?

Kiran Mazumdar -Shaw : Yeah. Shreehas would you like to take this?

Shreehas P Tambe : Yeah. Let me respond to that, Tushar. The licensing income is a part of our routine business. As we develop our portfolio, we've seen opportunities where we in-license products and we out-license some of the assets. There are some assets that we see may or may not be synergistic to our portfolio. We see an opportunity to out-license them. We see an opportunity to in-license some, where we see gaps in our portfolio. Now that we are a fully integrated organization with a commercial engine, there are so many more things that we can do. So, these are things that you will see have

opening during the course

of the year. You'll see some in -licensing asset and revenues, and you'll probably see we see some out -licensing happening during the course of the year.

What's happened in this particular quarter is we saw that there was an opportunity for us to out -license a particular asset in our portfolio. And that's something that has flown through , and these will happen as and when we proceed, when we see opportunities to either out -license or in -license products.

Tushar Manudhane : So, from that perspective, the ■ 175 crores seem to be not to be taken as a sustainable number, right?

Shreehas P Tambe : It will be as and when the things happen, you will see that as and when things will progress .

Tushar Manudhane : And just to add to this, so if this licensing income while considering that as and when it comes, so the PBT margin excluding this seems to be much lower for biosimilar segments.

Kiran Mazumdar -Shaw : So Tushar, I want to interrupt you right here, please understand that our R&D spend has increased significantly and I keep reminding people that this business has to be looked at the core EBITDA level. Please do not look at isolated numbers because if you can see what we have done , we have actually offset some of this increased R&D spend with this licensing income. So , if you look at it in that context you will see that the core EBITDA margin is what you really need to look at.

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Tushar Manudhane : And considering the vaccine or Serum deal going a way but at the same time Adalimumab launch happening. So , if you could refresh in terms of Biologic s' sales for FY24.

Kiran Mazumdar -Shaw : Yes. I did indicate that we were exiting this fiscal at a US\$1 billion trajectory and we believe that we will build on this US\$1 billion trajectory in FY24 and like you point it out yes the Serum income will not be available to us this fiscal and we will look to building momentum on the US\$1 billion trajectory that we have exited out.

Tushar Manudhane : And just lastly on this new debentures which we have raised to the tune of ■800 crores, so would there be any provisioning on account of this in P&L and at what rate, if so?

Kiran Mazumdar -Shaw : Chinappa, would you like to take this?

MB Chinappa : Tushar, hi, good morning. So, yes, the fund raise from Edelweiss is like a quasi -equity. It is a loan but to be repaid to the sale of BBL shares. They would carry an accounting charge but no cash interest cost.

Tushar Manudhane : So, what would be that? So, why you do not consider cash , but the accounting charge would be how much on ■800 crores?

MB Chinappa : It would be linked to the fair value movement of the BBL shares but for modeling you could take 12%.

Tushar Manudhane : Fair. Thank you. Thank you. That 's it for me .

Saurabh Paliwal : Thank you, Tushar. The next question is from Prakash Agarwal from Axis Capital. Prakash .

Prakash Agarwal : Good morning and congratulations on good operating performance. First question, trying to understand the outlook better on the upcoming product, Adali.

So, if I see Amgen's performance, I mean, the first six months, it's been a very slow start on that molecule. So how should we look for us, like modeling in for Fiscal '24 and '25? Is it going to be a slow start and then ramps up or we are better prepared if you could help on that ? And secondly , you mentioned uptake in key products. I mean, if I see, Trastu and the other products, so it seems to be stabilizing and do you expect them to improve and include the Glargine outlook that will be helpful.

Kiran Mazumdar -Shaw : Matt, you might want to take these questions.

Matthew Erick : Yeah. Sure. Thanks. And thanks for the question. I think from a standpoint as we're looking at this, the opportunity still remains very large . As we think about our Hulo product and the time

ing of this launch, I see that from the channels that we have in regard to the payer channel, we see a lot of inquiry about our Hulo product. We see a lot of interest in our product from specialty pharmacy and we also remember we're very well positioned and have been talking to key prescribers about Biocom Biologics, not particularly about our product because of the settlement date. But there's a tremendous amount of interest Transcript - Biocon Limited Q 4FY23 Earnings Call Page 12 of 29

as these new products are coming to market. And I think what we're seeing is a steady state from the payers in waiting. And this is why you're seeing the slower uptake with Amgen . And also, I think, if it was the other way, the size of the opportunity would be much smaller. We feel very confident in our four -channel strategy from payers to our prescribers to the specialty pharmacies and then the end patient. As we look at our position with our portfolio, our patient assist programs are top -notch. Our product from a

standpoint of our auto injector, there's a lot of excitement about our product. And I think when we go forward and start being able to see the recognition at the time of launch, which will occur July 1, you'll see a tremendous amount of interest with our Hulo product as we progress. So, I'm happy that the market is still large, and we have this opportunity from the payer perspective, and then also from a prescriber perspective. And then we'll be able to compete as the market evolves, either on the high rebate side or on the low side from a WAC standpoint, because we will have our Hulo branded product and we'll have the authorized, that would be the Adalimumab. So, we're able to play in all channels and we're in a good position.

Prakash Agarwal : Well. That's great to know. And if you could just give some color on if there could be uptake in the existing large product, the three products we have in the market in the US ?

Matthew Erick : I'm sorry. Could you repeat that question? I couldn't hear you very well.

Prakash Agarwal : Could you give us some outlook on the market share on the three products, Trastuzumab, as well as Glargine?

Matthew Erick : Oh, yes, certainly. So let me talk about this from a franchise perspective. When we look at our Pegfilgrastim, and our Trastuzumab, as well as our Bevacizumab from a therapeutic area, we see tremendous amount of growth.

In the first time in the US on the Peg and Trastuzumab, we're over 10% in market share. Particularly on the Pegfilgrastim, we've crossed that 14% mark. And I think this is attributed to our franchise with our selling team and understanding of ASP and being good stewards of balancing our rebates with the payer, but also understanding how physicians are looked to be incentivized for the work that they do. And then we're seeing tremendous uptick in our insulin Glargine, as you've seen with the market share, as well as the new Rx's and we continue to be optimistic about continue to add new customers with our insulin Glargine because of a lot of interaction that we're getting today with current customers.

When you think about the franchise though of Trastuzumab and Peg across all advanced markets, remember from Trastuzumab, we have over 35% in Canada. In Australia, Germany, and Italy, we are approaching 15% to 20% market share. So, we have a great franchise and the opportunity to continue to grow those not only in North America, but also in our European as well as our JAZZ opportunities.

Prakash Agarwal : Okay. So, you do expect some improvement in the market share versus stability ?

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Matthew Erick : Yeah, I think that what I would say from market share, we've seen continued improvement in our insulin Glargine or Semglee and continuous improvement in our market share with Pegfilgrastim. We see a steady state in the US and other places on our Trastuzumab, but

ab, but

that's where we're seeing the growth in our Peg as well as our insulin Glargine.

Prakash Agarwal : Perfect. That helps. And second question is on the cost side. So, we did fairly well in stabilizing the staff cost. So, is there any one-off there and also outlook on the interest cost? So, you mentioned about trying to reduce the debt, but these are quasi-equity. So while accounting interest would still be there for the quasi equity that we have taken from Kotak and Edelweiss. So, one is on the staff cost and the second is on the interest cost outlook for Fiscal '24. Thank you.

MB Chinappa : Hi Prakash. I'll take that. So, staff cost is about 10% of revenues. We see it in that range. Interest cost has been higher than what we had previously expected, let's say, at the beginning of last year and that's tracking the increase in interest rates. It's roughly 50% more than where we wanted to be. That should largely get corrected through the additional fund raise that Kiran had just said.

Prakash Agarwal : Can you repeat that, sir? How will it reduce?

MB Chinappa : Through the equity fund raise, equity fund infusion into BBL.

Prakash Agarwal : Okay, which is expected in Fiscal '24

MB Chinappa : Yes

Prakash Agarwal : And it would also convert the quasi-equity into equity so that accounting interest will also not be there and you will raise additional fund in the company. Is that right?

MB Chinappa : Yes, but we'll clarify this closer to the fund raise, when we announce it.

Prakash Agarwal : Okay, got it. And staff cost, you said 10%

Prakash Agarwal : No, so this quarter you were 15% and for the year you were 19.5%. So, I don't know. So, you're talking about BBL level, I was talking more from company level, sir.

MB Chinappa : Apologies. Sorry, I was just referring to BBL.

Siddharth Mittal : I think Prakash, this quarter, if you look at ₹529 crores which was the staff cost. Of course, this is time for the annual increments. So, we will see increments come in quarter one.

Apart from that, Chini or Shreehas maybe you can just talk about the incremental absolute staff cost from BBL perspective as the transition happens in FY24.

MB Chinappa : Yeah, I mean, it's really on the consol revenues, BBL is at above ₹188 crores for the quarter, which is a 9%, but you see this at the 10% range for BBL .

Prakash Agarwal: Got it. Thank you. All the best.

Saurabh Paliwal : Thank you, Prakash. The next question is from Damayanti Kerai from HSBC
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Damayanti Kerai : Hi, thank you for the opportunity. Coming back to cost. Actually, I'm not clear on the operating cost movement since the Viatriis integration. So , staff, if you look at the consol level, it remains like flat, more or less, compared to the December quarter, despite the fact that last quarter only had one month of Viatriis cost, right? So, if you can clarify that, and also wanted to understand the TSA cost, which will continue for two years. But right now, I believe it's not part of operating expense, and we are booking as professional expert fee. So, if you can clarify on that part also, please.

MB Chinappa : Damayanti, Hi. I'll just clarify on it, from the BBL perspective. One we will just go on the TSA cross -charge. So , there are two components in the TSA cross -charge. One is a reimbursement of expenses at actuals. So , they're incurring the SG& A, as they're carrying their employees and other contracts on their books, and they cross -charge us. Then there is an additional , for a year , charge of ₹44 million per year, which is a TSA fee that they charge. That's been announced along with the deal. That cost, there's a fair value of that, that gets charged to the P&L, and the balance goes into purchase consideration. So that really is covers for the overheads. Once we absorb the business, we would have, we would incur those overheads

ads directly on our own.

Damayanti Kerai : Just to clarify once, right now like this cost is getting reimbursed by Viatriis and after two years, once it's part of Biocon, it will be coming into your P&L, which is right now not flowing into the numbers .

MB Chinappa : That's right. On TSA exit, we would incur the cost directly. During the TSA period, they incur the cost and cross -charge it to us.

Damayanti Kerai : So, the exception al which we are booking, that include both this cost reimbursement as well as the exit fee, if you can also –

MB Chinappa : Exception that we booked, include both. And we don't really see any savings coming there as we transition out of Viatriis on to BBL .

Damayanti Kerai : Okay. So , any cost synergies which we are looking are looking from this portfolio will likely happen once everything comes into your book and then you see pick up on the top -line etc. to see the better.

Kiran Mazumdar -Shaw : Yes.

Damayanti Kerai : Okay. And then my second question is on ma'am mentioned there are plans to further raise equity for BBL in FY24. So right now, what is parent 's take in BBL and how where you would like to settle it down finally?

Kiran Mazumdar -Shaw : I think Chini, I think the question is what is the Biocon stake in Biocon Biologics at the moment? I think and where could we be expected to finally land.

MB Chinappa : So right now , Biocon stake is 70% , Damayanti, and if you raise additional 10% , you'll get diluted accordingly .

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Kiran Mazumdar -Shaw : But as you know, Damayanti, it all depends on the value at which you fundraise. So it could be maximum 10%, but much lower than that is what we're aiming.

Damayanti Kerai : Okay. So up to 10% stake dilution we can see, but obviously it depends as and when things happen.

Kiran Mazumdar -Shaw : And the valuation you get.

Damayanti Kerai : Okay, and my last question is clarity on your net debt. The current position which you have given is excluding the structured asset, as mentioned in the presentation.

So just to clarify that Goldman Sachs investment is not included here, right?

MB Chinappa : So, at the consol level, no. We have taken out Goldman Sachs and Kotak for the purpose of net debt calculations.

Damayanti Kerai : So, Edelweiss is part of that?

MB Chinappa : Edelweiss is come in only in the May. So , it's not reflected in here.

Damayanti Kerai : Okay. I have more questions. I'll get back in the queue. Thank you.

Saurabh Paliwal : Thanks, Damayanti. The next question is from Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed : Hi. Good morning. Thanks for the opportunity. In your press release, you mentioned a tentative approval for Lenalidomide capsules. So , it will be helpful if you can give some details around launch timelines. Just trying to understand if it's a FY24 opportunity for us or FY25 ? Some color would be helpful.

Siddharth Mittal : It's confidential settlement terms with Celgene , so we cannot disclose the dates. But it's not imminent. Let me just say that it's not definitely in FY24.

Harith Ahamed : Okay, my second question is on Aflibercept. We have a deferred consideration

that's due for this product. Can you refresh on the exact amount and when the payment is due? And any comment again on updated launch timelines and whether we'll have an exclusivity post our launch for this particular asset?

Shreehas P Tambe : Chini, why don't you talk about the amounts and I can take the second question.

MB Chinappa: Yeah, Harith, the consideration that the deferred consideration is US\$175 million payable in FY25. Okay.

Shreehas P Tambe : On the question related, Harith, to the launch, you know, at this point in time, when we acquired the asset from Viatrix, we are the first to file. We are currently in a litigation with the originator, Regeneron. So that litigation

is currently ongoing. Wouldn't be fair on our part to talk about the launch dates at this point in time. But we will update you as things go in the process of the litigation.

Harith Ahamed : Okay. And last one is on insulin pricing. We've seen a lot of developments in recent months around insulin pricing in the US. The major innovator brands have seen a significant price reduction on their list prices. So, does this in any way impact

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pricing for our Glargine product now? And when we think about our future insulin launches, do these developments have any kind of an impact on our pricing?

Kiran Mazumdar -Shaw : Matt you might want to take it.

Matthew Erick : Currently what we're seeing remember some of these don't go into effect until 1/1. So

right now, of FY24. Right now, we don't see a lot in changing in our model. We certainly are taking a look at it, but we're well positioned in regards to our cost structure and well positioned in the market to be able to play with in both the channels, meaning the rebate channels with the payer and then on the lower side, the low WAC channel, so it's pretty much in line with what we're seeing right now, and we don't anticipate a lot of change, but I do want to keep remember we're well positioned and this growth in our market share, and the opportunity really says a lot about our franchise, and particularly in the US on how we are able to play and adjust. And I think it says a lot about our platform, our manufacturing as well as how we're vertically integrated. So well in line with our expectations and we see continued growth as I said, with our market share uptake as well as the new Rx's and interest from customers within the US.

Harith Ahamed : Thank you. That's all from my side. Thanks for taking my questions.

Saurabh Paliwal : Thanks, Harith. We'll take the next question from Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan : Hi, good morning, and thank you for taking my question. Just the first one on the biosimilar overall revenue, ₹2,100 crores, like roughly making US\$250 million.

Talked about the billion-dollar run rate annualized. Can you split this revenue into your top products and maybe it's a request going forward as well that from a disclosure perspective could give us what the top three, four products are and how these are trending. But if you could on this call at least, maybe rank order and how should we look, or should we look at that particular revenue pile?

Kiran Mazumdar -Shaw : Well, there are very few products. So, all of them are key products for us. And I don't think we would be able to give you granular data on each product because there are multiple markets, multiple regions, and it would be very difficult for us to share with you that kind of data. But we've heard what you've said, and we'll try and see how we can give you some indicators going forward.

Shyam Srinivasan : Mrs. Kiran, just maybe getting the rank order also is helpful. So, which are the largest products? Say, is it insulin Glargine? Is it Adali, Europe? You know, you've talked about the Europe market share. So, any sense that we could get, I'm just adding a follow-up here on what are the learnings from Europe, Humalog which will help us gain share. Are the numbers at 18.5% for Germany or 10% in France? Is that the numbers we need to kind of extrapolate in US or it would be a different ballgame?

Kiran Mazumdar -Shaw : I think you have to wait for the business to come into our hands. You have to also wait for the market to actually start shaping up because these are very, very early signals. I

don't think we're the kind of company who wants to forecast things without really

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understanding very comprehensively what we're talking about. So please bear with us for some time this are

early days of our acquisition. We would like to really do a good job of presenting the real business prospects, but please bear with us for a while till we actually integrate the business fully.

Shyam Srinivasan : All right. That's helpful. Second question is on the status of the plants and the pending applications because of plant compliance issues. If you could help us update and is there any refresh timelines around at the Beva or insulin Aspart

please?

Kiran Mazumdar -Shaw : Like I said in terms of compliance , all our facilities are fully compliant with EU -GMP and others. We've got all the approvals that we had applied to EMA . Now the only two pending approvals that we are waiting for is of course , biosimilar Aspart from our Malaysia facility and the Bevacizumab from the Bangalore facility. Now as you know we have already submitted the CAPA plan to the US FDA for Aspart which they have accepted. We are hoping that we will get an inspection soon. We are in the process of providing the CAPA plan to USFDA for Bevacizumab from Bangalore. Again, we hope to be inspected thereafter. So hopefully in FY '24, we are expecting to be inspected and approved. That is our hope. We are in a very high state of preparedness. We have taken all the steps that are required to ensure that we are in a state of readiness and preparedness from a US FDA point of view.

Shyam Srinivasan : That is helpful. My last question is on the mid -teen guidance for the Generics business. Siddharth, maybe if you could help us understand, you said Generics Revlimid is also not there. So , what are some of the drivers? Is it more on API? Is it linked to the capacity that we have added? Thank you.

Siddharth Mittal : Yes. So , Shyam, it's a combination of both the new capacities that we have added. We will also have our immunosuppressants and peptides facility commission , qualified in FY24 and some of the additional capacity enhancements we had done last year. So , we will see a full year impact of those capacities in the coming fiscal. Apart from that, generic formulations as we've got additional contracts on our base business in the US, which will lead to the growth in FY24 plus some of the new launches in FY24. So , combination of these three would drive the growth to that mid -teens level next year.

Shyam Srinivasan : And what is your, what are you penciling in for base business erosion? Is it different versus '23 versus '24? Has it seen an improvement; you think?

Siddharth Mittal : The pricing part is similar. We have not really seen any significant change. So , both on our API as well as formulations business, the price erosion would be anywhere between 7% to 10%.

Shyam Srinivasan : Got it. Helpful. All the best. Thank you.

Saurabh Paliwal : Thank you, Shyam. We'll take the next question from Surya Patra from Philip Capital. Please go ahead.

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Surya Patra: Thanks for this opportunity. First clarification, about the licensing income and the **■109** crore s kind of a stake sale gain. Whether these are two different things, or this **■109** crore s of stake sale gain is part of the licensing income, if you can just first clarify that.

Siddharth Mittal : Let me clarify that. Both are very different, Surya. Bicara had done fundraise of \$108 million, which led to the step up of the investment that Biocon has. That led to the one - time gain. Licensing income, of course, as Shreehas had mentioned, is business transaction. And it was considered in the other income under the licensing line. So that you can see in the factsheet as **■175** crores as licensing income.

Surya Patra : Okay. So , sir then just on the licensing, this is one of the highest ever licensing number that we have seen. So , is it possible t

o kind of indicate what asset that is

possibly bringing in this kind of income? And since now that we are progressing with our pipeline and all that, so any visibility on this licensing front and how focused and serious about this revenue stream?

Kiran Mazumdar -Shaw : I might remind you that we've had much higher licensing deal in the past. So, it's not correct to say that this is the highest licensing deal.

Surya Patra : Yeah. So basically, in the recent past , ma'am .

Kiran Mazumdar -Shaw : Yeah. But I'm just saying that this is part and parcel of our business , and we keep reprioritizing our pipeline and please understand that as I mentioned earlier on, this is to calibrate the R&D spends, which as you know we would like to maintain at a 12% level of revenue. So , when we look at these opportunities and see the ability for us to out license certain assets, we will also calibrate it with in-licensing certain assets, like Aflibercept is a very important in -licensing opportunity for us. So, I think you have to view this business very differently . You will have opportunities to out -license, you will have opportunities to in -license, but overall, we would like to calibrate our R&D spends at a 12% level, by and large.

Siddharth Mittal : And even in the past, we have mentioned licensing income is lumpy. So, you really cannot predict or put a trend on what it would be .

Surya Patra : So, in the sense, just continuing on the Bicara, whether the charges relating to Bicara would meaningfully come down for the '24 or how should we think so?

Siddharth Mittal: Yeah. So right now, we consolidate 35%. I think once the Bicara raises the remaining \$70 million, which is expected sometime this quarter, Biocon would be down to ~23%. So, we will be consolidating only ~23% of their R&D expenses. So , it would keep coming down.

At some point in time, Bicara will also look at raising Series C funding.

Kiran Mazumdar -Shaw : I think it will be fluctuating because it depends at the value at which they raise their Series C funding. So, I think it's very difficult for us to project, but I hope you have also appreciated the value creation opportunity that the Biocon Group has created through this very, very interesting asset.

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Surya Patra: Sure. My other question is on the benefit of this integration. See, in fact, obviously we have successfully completed and integrated the, or in the process of integrating fully the business of this Viatris biosimilars. So sure, like on the revenue side and let's say on the EBITDA side, we have seen progression because of the integration, but because of the multiple divestments and the kind of finance cost, capital cost, what we have witnessed, so that has suppressed the overall earnings contribution by the acquisition.

Kiran Mazumdar -Shaw : Again, Surya, I would like you to focus on the business fundamentals, okay? So, my business fundamentals are about revenue and core EBITDA.

Surya Patra: Yeah.

Kiran Mazumdar -Shaw : I keep trying to remind you that R&D is a very integral part of this business. And under normal circumstances, R&D should be a Cap ex rather than an expense. But unfortunately, accounting systems call, require us to treat it as an expense. So, I would like you to look at it in that context. You know, our pipeline is our lifeline and as we continue to deliver on this pipeline, we actually can surge the growth prospects of our business in the coming years. Now, in the meantime, of course, we are also trying to see how we calibrate our R&D spends and contain them as much as possible. So, I think we've actually demonstrated to you this quarter what is possible in terms of operating performance and core EBITDA performance. Now, of course, because we made that acquisition very recently, there are going to be charges and accounting

treatments of

some of the quasi-equity that we have taken to reduce debt. So, I think if you look at it holistically, it's a very, very good business with huge growth potential. And I think that's the way I would look at this whole business.

Surya Patra : Sure. So, my last question on this.

Kiran Mazumdar -Shaw : Not just looking at the PAT, you know what I mean?

Surya Patra : Yeah. Sure. My last question is on Syngene. So, the commentary in the press release indicates about 1,000 kind of job additions. So, this is for the FY '24 that we're talking about or anything.

Kiran Mazumdar -Shaw : Sibaji, if you can answer that question.

Sibaji Biswas : Yes, I will. So, if you can please repeat what 1,000 you said?

Surya Patra : So, 1,000 more job additions that has been mentioned in the question in the press release. So, is it for FY '24 or is it that you have been talking for the recent past?

Sibaji Biswas : So, this is about the recent past. We added thousand jobs in FY23, but we are an expanding company. So, we'll continue to expand jobs as we expand our both research and development and manufacturing businesses.

Surya Patra : Sure. Okay. Yeah. That is it. Thank you.

Saurabh Paliwal : Thank you, Surya. We'll take the next question from Neha Manpuria from Bank of America.

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Neha Manpuria : Thanks for taking my question. My first question is on the core margins. As we go ahead into next year, with the commentary that you've given on improving, sharing some of our products and new launches possibly, how should we look at the core margins? Is there scope for improvement from the high 39% odd level that we are seeing, or give and take this should be the level that we continue?

Kiran Mazumdar -Shaw : I think we have guided for mid-30% to 40% margins. And I think a 39% to 40% is a very, very strong margin that we think we can find.

Shreehas P Tambe: We've guided, sorry, to add to what Kiran said, we had said mid-30s, mid to high 30s, and we've been able to continuously deliver above that. I think that's really where the range is.

Neha Manpuria : Okay, so more in the 35% to 40% range rather than the 39% that we have done this quarter?

Kiran Mazumdar -Shaw : Well, 35% to 40% is the range we've given. So, anything in that range, I think is a good performance.

Neha Manpuria : Shreehas, is it fair to assume that as we see new launches coming through and probably even existing products ramp up, there is some operating leverage that could come through with the TSA charge, etc. and therefore, there's hope for improvement in margins?

Shreehas P Tambe: Like Kiran said earlier on, Neha, these are things, early days in the acquisition and we are still in the TSA period for a while. So, unless we get past it, wouldn't be fair for us to

comment on how things will move. But we certainly expect things to get better and hopefully we should be in a higher, in a better operating performance range. But we will state that as we get closer to those things.

Neha Manpuria : Understood. And Kiran ma'am, on Biocon's stake in Syngene, what is the comfortable level that we are okay to stay, hold in terms of Syngene's stake?

Kiran Mazumdar -Shaw : So, we've already indicated we do not plan to reduce below this level which is at a roughly 55% level. I think we will stay; we will maintain it at this level. We do not need to divest further.

Neha Manpuria : Got it. Thank you so much, ma'am.

Saurabh Paliwal : Thanks Neha. We'll take the next question from Ishita Jain from Ashika Group.

Ishita Jain : Hi, thanks and congrats on being on the US\$1 billion trajectory for BBL. My first question is on Semglee. We have a US market share you mentioned of 12%. Can you provide some color on how interchangeability helped in this journey? And would the market share look any different without both the interchangeability and the

exclusivity?

Kiran Mazumdar -Shaw : Matt, do you want to take this question?

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Matthew Erick : I'll take it and Shreehas, please dive in here. We look at it from a standpoint, not just interchangeability, but how's the product performed throughout the market.

Interchangeability on this particular product definitely gives us extra opportunities to talk about, but it's really the franchise of the product itself. And this is the power that we have in regard to the Semglee, the insulin Glargine also the power that we've acquired from Viatris in understanding how market access works, as well as all the different influencers in the value chain and how do we position our products. So, the more opportunities we have between interchangeability or existing products, it really helps us within formulary design. And I think this is why you're seeing the success that we're having, rather it be from an interchangeability standpoint with the payers or a straight up more market access that you would see where it's more formulary design with the payers, we are well positioned in both channels.

Shreehas P Tambe : Just to add to what Matt said, if you really look at it, stepping back from it, the interchangeability is just a US specific phenomenon. And the real piece, even when FDA approved Semglee as the first ever insulin, which they had approved as an interchangeable, they said it was a landmark moment overall. That was because they had to break this myth about whether biosimilars can be interchangeably used. And I think to that extent, Semglee or our insulin Glargine, was that watershed moment in the entire biosimilars industry. And it's paved the way. So, it's taken away that whole myth that you cannot use a biosimilar interchangeably. And that's really helped us gain that market share. Suddenly it's broken that barrier for anyone to have any apprehension of whether a biosimilar would be as effective. And I think that's really paved the way. You've seen after that several other products getting approved and now if you see biosimilars have got over 80% acceptance in the launches that we've seen in the US. So, it's really helped, and we see this getting better as we get more products into the US.

Kiran Mazumdar -Shaw : But to your point, I don't think it is absolutely imperative to get an interchangeability label to succeed in the market.

Ishita Jain : Got it, thank you. My next question is, you have given the guidance for percentage of revenue that will be R&D spend. What part of that would be earmarked for the generics segment?

Siddharth Mittal : So, generics R&D will be around 10% of segment revenues.

Kiran Mazumdar -Shaw : No, I think she's asking about the total R&D spend in the group, how much of it is contributed by generics. I would say the large part of the spend would be by biosimilars.

Siddharth Mittal : See, generic's R&D spend last year was roughly ₹220 crores for the full year and will be closer to ₹300 crores next year.

Ishita Jain : Understood. Thanks. And just a final question. I'm not sure if you have already mentioned, but do we have an overall timeline on Itolizumab, which is our novel biologic, and what is our expectation from this opportunity?

Siddharth Mittal : Well, the clinical trial is ongoing for acute graft-versus-host disease, which is the lead indication, it's a global Phase 3 trial is going on, and Equillum, I think, had indicated that Transcript - Biocon Limited Q 4FY23 Earnings Call Page 22 of 29

they expect to complete trial in CY24, end CY24, and then do a BLA filing in CY25. And of course, the Lupus is getting into a Phase 2. We also have an India Phase 2 trial for Ulcerative Colitis which is going on. And in terms of expectations, of course, the Equillum had given an option agreement to the Japanese company Ono to license this asset. Ono

is expected to exercise that right by end of this calendar year, after which the commercialization in the US and Canada would be done by Ono. We do not expect a

commercialization in the near term. As I mentioned, the filing is expected somewhere in CY25, followed by a review process. It's under a fast track review by the FDA. So, the launch definitely is not until CY26 at the earliest. And we will have supplies which will be done by us as well as we'll get royalties and milestone payments once the asset is commercialized in the US.

Ishita Jain : Will this be a partnered asset?

Siddharth Mittal : It's already partnered. Right. Equilibrium is a partner for US, Canada, Australia and New Zealand. We still retain full rights on Europe, which we will license out at a later date.

Ishita Jain : Understood. Thank you and all the best.

Saurabh Paliwal : Thank you, Ishita. Next question is from Nithya Balasubramanian from Bernstein.

Nithya Balasubramanian: Yes, thank you. First question is on Glargine. So, we didn't really see the needle move much in terms of higher number of covered lives in 2024. Please correct me if I'm wrong. So, it seems like you're capitalizing on the payer wins you had last year. And now come 2025, Lantus is expected to lower their list price quite significantly on the innovator product. Can we expect this to be a meaningful opportunity for Biocon, given that their ability to rebate at a lower WAC level will be much lesser than before?

Matthew Erick : I'll take that, Shreehas, and then please chime in. So, I want to make sure I totally understand your question here. Come in FY25, the changing of the WACs of the other three companies, I think there remains an interesting opportunity in covered lives. When you think about the payers, how they look at their portfolio, it's just not always the low WAC strategy. It's an important one for key customers that they have within their portfolio that has covered lives, but there's still a lot of customers on the other side in which we're talking to every one of the payers of looking at opportunities as this market is changing of having more shots on goal in regards to getting payer coverage, especially as we're seeing this market start to switch. So, I think you're going to see this play out. And also, to remind you, remember some of the things that you're seeing in the data, IQVIA data or their sort of lives, some of it's not totally reported. When you think about closed door pharmacies, things like that. And this is another opportunity for us. So, just covered lives is something definitely, but we're looking more in regard to positioning our insulin Glargine, Semglee with the payers as we continue through this year and the following year, but also maintaining the lower WAC opportunity. And thinking about Biocon's platform, where we make this product, we're in a good situation, I believe, to play in the US on both the rebated side as well as the low WAC, where you're seeing some of these pricing components that are being indicated from the other diabetes company. But I'll stop there, Shreehas, anything to add?

Shreehas P Tambe: I think you covered it comprehensively, Matt. My only comment would be the financial years that were mentioned. I think we probably were talking about, Nithya, fiscal '23 was your commentary, and what we've responded to is what happened in the year went by and fiscal '24 is where we are currently, and that's what Matt's talked about. So just correcting for fiscal '25, so.

Nithya Balasubramanian: Yeah, I think I was talking calendar year. I'm sorry, I'm just going to follow up because I don't really get an answer here. When Lantus lowers its WAC price, their ability to compete on the rebating channel comes off. They will not be able to give the same level of rebating to the peers. Do you see that as a

significantly important

opportunity when that happens? Because you can play both.

Shreehas P Tambe Let me respond to that so we get a straight answer to that. If you look at how we priced our insulin Glargine in the US, and I will not right now comment on the competitive play because a lot of that is also to do with the US, the way the US overall system and the market is structured, and how the compensations are passed on back from CMS. So I think there's a little bit of that to the action that competitors have taken. But our insulin has been priced always with the high WAC and the low WAC strategy, which allows you to play on both segments, which allows us to be in the commercial space with that higher rebate opportunity that you talked about, Nithya. And also, those with direct purchases of the like the hospitals or the veteran affairs where you have the lower WAC product. And we've been always very competitive. So, we do not see a challenge like Matt said of the lowering of the prices because we've always been amongst the lower price products in the US and quite competitive at that. It does place us in a good position with the payers given that everyone else has probably moved to a lower WAC position and we would have that opportunity. But we really leave it to the buyer and the channel that is procuring product from us to make that decision. But we've been basically pricing it in such a way that every stakeholder in the US market has an opportunity and we have an offering for all these channels. I don't know if that gives you clarity, but we're happy to elaborate if you need later.

Nithya Balasubramanian : Thank you, Shreehas. Quick one on Ustekinumab. We now know that the market formation is in early 2025. You had indicated earlier that your development is slightly behind, and you'd probably be in the second wave. Can you help us understand when do you expect to participate in that market? And I have one more on margins, if you'll allow me.

Shreehas P T ambe : Yeah, just to respond quickly on Ustekinumab and we've seen the 1 -1-25 settlement date that's there. We've said in the past that our products are ready to file end of '23. We're on track with that. I wouldn't speculate at this point how it places that, but clearly, I think there were discussions about an earlier market formation date. Now I think there's more clarity on that. I think there's more clarity on where market formation is, which certainly gives us an opportunity to play in that space and brings more clarity on when the market is really going to open up. So, it's not '24, but it's more '25.

Nithya Balasubramanian: Understood. Thank you. A quick one on margins. I think we were, there was an earlier question about whether the 39% can move up. I actually have a different question, which is that as you're building your commercial infrastructure to support both the Adalimumab as well as maybe Afibercept, will we see those numbers actually slide down and to what extent?

Shreehas P Tambe : I think we've always said, Nithya, that we will be in that mid to high teens, sorry, mid to high 30s. And that's what Kiran was also referring to, 35% to 40% is where we see ourselves. We've continued to perform in that range even after we fully integrated the full quarter business from Viatris. As you know, the Hulio launch, the Adalimumab launch in the US is something that Viatris is leading and in the numbers as we pay the TSA fee that we talked about earlier in the call. And we expect things to be in that space. But as we fit out, stand up the business in the US and other markets, you will see us in that range of mid to high 30s is our expectation.

Nithya Balasubramanian: Got it. Thank you so much.

Saurabh Paliwal : Thank you, Nithya. We have a follow-up from Cyndrella. Please go ahead.

Cyndrella Carvalho : Yeah. Thanks for

asking the follow-up. On the rh-insulin, can you share the timeline for the approval?

Shreehas P Tambe : As said before Cyndrella, the rh-insulin is not one product. We've got three products and multiple presentations. There's the R, the N, which is for the NPH, and the mix, which is the 70 -30. We are developing all these products. And at this point in time, we had filed the R formulation, which is the soluble one. We've received the CRL, which we've talked about in the past. So, we are at this point in time working with the agency to see what is the best way forward in bringing in the other two products, the NPH and the 70 -30 to the US market? We are waiting for their views on Aspart, and then we will be in a position to take the RHI product and a decision on that, which we will share with you shortly.

Cyndrella Carvalho : On Aspart, we shared that we'll have an inspection, right, somewhere in Q1 FY24 right? So, is there any TAD along with it or how should we read that? And would that lead to missing the formulary cycle with interchangeability?

Shreehas P Tambe : Yeah, so, at this point in time, what we had said is we've responded to the CRL, the agency has accepted the CAPA plan, and they've said that an inspection is needed for them to approve us. There is an indication that the agency will inspect us in Malaysia. We are trying to get clarity whether that will cover both Glargine and Aspart as we get on past this year. So, we should have full clarity on that, on whether they will cover Aspart and Glargine both, and then we should be in a position to do that. We are quite optimistic that we should be able to get both these products covered in the inspection and should be able to be in time for the contracting cycle. There is a lot of interest, as we've said, given that Aspart, when approved, will be the first biosimilar insulin Aspart rapid acting analog in the US and the customers were really looking forward to us getting that approval and launching it in the US.

Cyndrella Carvalho : CRL is not pending anything on the study side or anything, right? It is just for the plant inspection. Is that understanding, correct?

Shreehas P Tambe : That's accurate.

Cyndrella Carvalho : Okay. One more question. And this is how should we look at our BBL top-line guidance for FY24, given that now we have Serum out. So, what is the number range that we should be looking at? And would you be able to share on BBL, what is our ROW and reg market? And if we can start getting the split between US, Europe and ROW, if that is in future which we can incorporate?

Shreehas P Tambe : I think first off, I think let me respond to your first question on the FY24 piece. We talked about when we left the last earnings call, Kiran had guided about the quarter run rate being at a US\$1 billion as we exit Fiscal '23. And I think that's what we've delivered on. So, we're building off that base of a US\$1 billion in revenue. We certainly have a lot of

upsides coming up. We just talked about at Adalimumab a few minutes ago. There is certainly a big upside coming up with that is the way we see it. It's a big opportunity for sure. We are looking at Aspart and Bevacizumab getting approved through the course of the year. Now we could fit this out and put that up together and see where that leads us to. But at this point, it's best to wait for these approvals to come through and the launch to play out before we can give more guidance and as we get closer there. We also know very clearly that the vaccine integration of the numbers won't happen, and we had said that would be about 300 to 350. So those clearly won't be happening. So, if you look at the math, it's clearly upwards from a billion. As we progress through the year, we'll see how far that can go and how much we will achieve. But clearly, it's a build up from here, Cyndrel

la, towards where we want to be.

Cyndrella Carvalho : Just a clarification, will Q1 reflect our preparedness for launch for Ad i?

Shreehas P Tambe : And just to understand your question, what does reflect mean?

Cyndrella Carvalho : Our preparedness, I mean the launch quantities, and all should start seeing it from the Q1 results?

Kiran Mazumdar -Shaw : I think you should realize that the launch itself is after Q1. It's on July 1st.

Cyndrella Carvalho : Yeah. So, I'm asking if we will be seeing some preparedness.

Kiran Mazumdar -Shaw : But how can you look at Q1?

Shreehas P Tambe : So, what we've got right now is, it's in the public domain that we have a settlement date where July 1 is our launch date. And given that now we will start accruing revenues only post-secondary sales, I think the supplies to the channel stocks is when you can actually do that only starting Q2 is when you will start seeing it. You effectively won't see that in June 1, but you will see a lot of preparation which is going on right now where the teams Transcript - Biocon Limited Q 4FY23 Earnings Call Page 26 of 29 are getting ready for the launch. But we can't really divulge more than that because of the terms of the agreement that we've got with that.

Cyndrella Carvalho : Thanks. That's appreciated. And can we give the break-up on reg and non-reg for BBL?

Shreehas P Tambe : Sorry, again, my apologies.

Cyndrella Carvalho : Regulated market and non-regulated market share. The split, do you want to call out the split? The way we used to call it.

Shreehas P Tambe : Yeah, maybe the advanced market and emerging market is that I can paraphrase that. And then maybe Chini, you can respond to that.

MB Chinappa: Cyndrella, yes. It's about 70 -30, 70 developed and advanced markets, 30 emerging markets.

Cyndrella Carvalho : Thank you so much for all this clarification.

Saurabh Paliwal : Thank you, Cyndrella. We have the next question from Sandeep Joshi, an Individual Investor.

Sandeep Joshi : Sorry, can you hear me now?

Shreehas P Tambe : Yes.

Sandeep Joshi : Okay, thanks for taking my question. Just two of them. One is on the Serum deal.

It was mentioned at the beginning that the equity would be taken back. Can you explain for the US\$300 million that you are getting from Serum, what is the consideration that they get back?

Kiran Mazumdar -Shaw : So, let me try and start with answering your question by saying that the original strategic alliance deal, if you recall, was about issuing Serum 15% equity in return for assured revenues and EBITDA pertaining to 100 million doses of vaccines. And thereafter, of course, Serum infused an additional US\$150 million and gave us a loan of US\$150 million towards our Viatris acquisition. As you know, we were expecting certain court approvals for completing this deal, the original deal, which didn't come through. So, the two companies decided to withdraw from this alliance and instead convert the US\$150 million loan into equity, thereby giving Serum a US\$300 million equity into BBL at an average valuation of US\$6 billion. I think this entails them to about 5% equity stake in the company. And the original 15% is no longer required to be issued.

Sandeep Joshi: Thanks for the clarification. Is would that be considered pure equity, or would this be quasi-equity?

Kiran Mazumdar -Shaw : It's pure equity.

Sandeep Joshi: So, we would take this as a 5% equity being taken by Serum.

Kiran Mazumdar -Shaw : Yeah, so \$300 million would be pure equity.

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Sandeep Joshi : Okay, thank you. And the other question is on the additional borrowing. If we look at the P&L and add back the tax, it looks like you had a cash flow of over ₹700 crores on the quarter. And I'm just trying to understand, what would be the driver to raise additional equity? Because on an annualized basis, you seem to

o be

generating over ₹2,500 crores in cash.

Kiran Mazumdar -Shaw : I don't know whether either Chini or Siddharth wants to take this question.

MB Chinappa: So, the intent to raise additional equity is to lower the net debt, but there is definitely no concern on cash flow and servicing of debt. We have strong cash flows, as you pointed out, and we can easily service the debt. I think it's an overall improvement in the net debt position, which we'd like to bring down.

Sandeep Joshi : Okay. So, this would not impact the debt load, the new ₹800 crores that was mentioned to be raised?

MB Chinappa: The ₹800 crores that we just raised from Edelweiss, that's a quasi-equity. I think it is to be repaid to the sale of BBL shares and doesn't have a cash interest charge on it. Not really following your questions, Sandeep, and the audio is not the best. Maybe you want to take this offline.

Sandeep Joshi: Okay. Thank you very much. Thanks for your response.

Saurabh Paliwal : Yes. Thanks, Sandeep. We'll take the follow from Surya.

Surya Patra: Yeah, thanks for this opportunity. Just a last clarity. So, in fact, since we would be approaching a contracting cycle for the subsequent period for most of our products, as well as for the Adalimumab. So, given the facility or the pending observations at our plants, whether it has impacted our contracting capability with the customers either in the recent period or for Adalimumab?

Kiran Mazumdar -Shaw : Let me answer that question by saying that Adalimumab is not impacted at all because it is not from the facilities that I mentioned earlier on.

Surya Patra : Yes.

Kiran Mazumdar -Shaw : Okay. As far as our facilities are concerned, we expect to be inspected and we hope to clear these current queries at the next inspection.

Surya Patra : Okay. So basically, my question was that okay, since the sustained supply of the materials that is the key for procurement by the customers, so whether it has impacted our volume flow in the recent period and whether we are likely to see improvement on that with the clarity that we might see for our facilities from the regulators in the subsequent period.

Kiran Mazumdar -Shaw : So, to answer your question, none of our current supplies are impacted by any of these CRLs or pre-approval inspections. And obviously, we are hoping to clear the pre-approval inspections which will only add to our supply ability for these other products, which is Bevacizumab and Aspart.

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Surya Patra : Okay. And just on the PAI approval for the Telangana facility, is it possible to say what was that product or for which API product that we are?

Siddharth Mittal : There were multiple filings in the US, ANDA filings, which triggered the PAI, one of them was Copaxone.

Surya Patra: Sure sir. Yeah. Thank you.

Saurabh Paliwal : Thank you Surya. We'll take the last question for today from Nitin Agarwal from DAM Capital.

Nitin Agarwal: So, Chini, we said Biocon now owns 70% in BBL. So, if you can give us a broad sense of the cap table for BBL right now.

Saurabh Paliwal : Chini you need to unmute please.

MB Chinappa: Thanks. Hi, Nitin. Yeah, that's on a fully diluted basis after taking into account stake dilution in favor of both Edel and Kotak. That's clarification one. I think the next largest shareholder would be Viatris with close to 15% stake. We have Serum close to 5% and other shareholders largely representing the balance.

Nitin Agarwal : So, this takes into account, I just want to rephrase, both Kotak and Edelweiss conversion as into equity is what, that takes us to 70%.

MB Chinappa: That takes it to 70%, yes. That's a fully diluted basis, assuming dilution for GS, Kotak, Edel et c. Viatris is more closer to 14%.

Nitin Agarwal : Okay. Thanks. And secondly, Chini, in the press release, we talk about the core EBITDA and the net EBITDA.

ITDA. Can you just explain how you sort of, what you include in core EBITDA and what is it that is subtracted to arrive at the net EBITDA number for the Biologics business?

MB Chinappa: So, core EBITDA truly reflects the operating performance and that excludes R&D cost, we exclude licensing income, we exclude FX gains or losses and any MTM movement. So, these are the exclusions that we don't take into account when we calculate the core EBITDA. EBITDA is calculated after all these items.

Nitin Agarwal: So, the ₹742 crores that we reported in the quarter on ₹2,100 crores of revenues did not include the licensing income?

Kiran Mazumdar -Shaw : No.

MB Chinappa : Yes, doesn't include the licensing income.

Nitin Agarwal: Okay. That gets netted off. When you're computing the net EBITDA number is when

we take the licensing income , and we net off the R&D from there.

Kiran Mazumdar -Shaw : Yeah.

Nitin Agarwal: Okay. Thank you.

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Saurabh Paliwal : Thank you, Nitin. This was the last question for today's call. I thank everyone for joining us today. If you have any follow ups, please do get in touch with us. Thank you very much and you can hang up now.

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability .

Call: Aug 2023

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BIO/SECL/AJ/2023 -24/79

August 21 , 2023

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON
Dear Sir/Madam,

Subject : Transcript of Earnings Call Q1 FY24

This is further to our earlier letter dated August 11 , 2023 regarding presentation and video recording of Q1 FY24 Earnings Call held on August 11 , 2023, please find enclosed herewith the transcript of the Earnings Call.

The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/> .
Kindly take the above said information on record.

Thanking You,
Yours faithfully ,
For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer Membership No.: ACS 18776
Encl. as above

Biocon Limited Q1 FY24 Earnings
Conference Call Transcript
August 11, 2023

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Speakers and Participants from Biocon Limited , Biocon Biologics Limited and Syngene

Dr. Kiran Mazumdar -Shaw – Executive Chairperson, Biocon Limited
 Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
 Mr. Indranil Sen – Chief Financial Officer, Biocon Limited
 Mr. Shreehas Tambe – CEO & Managing Director, Biocon Biologics Limited
 Mr. M.B. Chinappa – Chief Financial Officer, Biocon Biologics Limited
 Mr. Abhijit Zutshi – Commercial Head - Global Generics, Biocon Limited
 Mr. Nehal Vora – Commercial Head - Global A PI, Biocon Limited
 Ms. Rhonda Duffy – Chief Operating Officer, Biocon Biologics Limited
 Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
 Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
 Mr. Sandeep Athalye – Chief Development Officer, Biocon Biologics Limited
 Mr. Michael Cutter – Global Head of Quality, Biocon Biologics Limited
 Mr. Sibaji Biswas – Chief Financial Officer, Syngene International
 Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Damayanti Kerai – HSBC Securities and Capital Markets (India) Private Limited
 Surya Patra – Phillip Capital (India) Pvt. Ltd.
 Harith Ahamed – Spark Capital Advisors (India) Private Limited
 Neha Manpuria – BofA Securities India Limited
 Nithya Balasubramanian – Sanford C. Bernstein & Co.
 Shyam Srinivasan – Goldman Sachs Group, Inc.
 Tarang Agrawal – Old Bridge Capital Management Private Limited
 Yash Tanna – Ithought Advisory
 Masira Vasanwala – FSSA Investment Advisors
 Cyndrella Carvalho – JM Financial Institutional Securities Limited
 Vishal Manchanda – Systematix Shares & Stocks (India) Ltd .
 Nitin Agarwal – DAM Capital Advisors Limited
 Ishita Jain – Ashika Stock Broking
 Sai Priyanka – Medsphere

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Prepared Remarks Session

Saurabh Paliwal:

Good morning, everyone. I am Saurabh Paliwal from Biocon's Investor Relations team and I would like to welcome you to Biocon's earnings call for the first quarter ended June 30, 2023.

I would indicate that all the participants will be in a listen -only mode, and there'll be an opportunity to ask questions after the opening remarks conclude. Should you need to ask a question please raise your hand in the reactions tab on your Zoom application. We will call out your name and unmute your line to enable you to ask a question. While asking please begin with your name and organization. Please note that the chat box is disabled, but you can raise any technical concerns by sending us an email to investor.relations@biocon.com. I would also like to bring to your attention that this conference call is being recorded. The recording will be available on our website within a day, and the transcript will be made available subsequently.

Today, to discuss this quarter's business performance as well as the future outlook for the Company, we have Dr. Kiran Mazumdar -Shaw, our Executive Chairperson and other Senior leaders from different businesses including Biocon Generics, Biocon Biologics and Syngene.

I would like to also take this opportunity to remind everyone of the Safe Harbor for this call. Comments made during this call may be forward -looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that our business faces that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements. After the end of this call, if you need any further information or clarifications, please do get in touch with us. With this, I

would like to turn the call over to our chairperson for her opening remarks. Over to you, Kiran.
 Dr. Kiran Mazumdar -Shaw:

Thank you, Saurabh. Good morning, everyone.

I welcome you to the earnings call for Q1 of FY 2024. And let me start by saying that the Biocon Group has started fiscal year 2024 with a strong revenue driven first quarter across all our businesses.

Before I dive into financials and business performance, I want to reiterate our commitment to delivering on Biocon's mission of enabling global health equity through affordable access to essential and lifesaving therapeutics. We engage on this mission primarily through the three principal business growth pillars of our enterprise model – Biocon Generics, Biocon Biologics, and Syngene.

While each of these pillars are at different stages of business maturity, we are very carefully and deliberately planning, building, and executing on strategies to ensure that each pillar is well positioned for differentiated and competitive growth to build true global leadership in the years ahead.

As we do this, we keep at the forefront of our commitment to our four principal stakeholder groups .

- The patients we seek to serve
- Our people , whose talent and capability aim to deliver our products and services
- Our investors , for whom we strive to repay their risk and patience with superior returns; and
- Our business partners who support and collaborate with us to achieve our mission.

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Let me now begin the business review and turn to our three pillars, the first being Biocon Generics . In line with our business priorities, our Generics business continues to focus on growing its product pipeline, creating and capturing value through vertical integration with a clear focus on innovation and digital transformation. Building on its widely recognized strength in fermentation -based products, we are adding capacities and capabilities in new growth areas, such as peptides, high potent drugs and injectables. We will also continue to direct our efforts towards forging strategic partnerships to accelerate our expansion into key global markets.

I would now like to turn to Biocon Biologics , which is the next and biggest growth pillar for Biocon. We are building a unique fully integrated global biosimilars platform, driven by the depth and breadth of our portfolio, R&D excellence, cost -effective manufacturing, global quality standards, flexible supply chains, and growing global commercial muscle.

We have embarked on a transformational journey with the acquisition of the Viatris' biosimilars business. To remind you, this strategic acquisition creates a unique fully integrated lab -to-market and globally scaled biosimilars enterprise. It is well -positioned to compete in the exponentially growing biosimilars market. In a recent market review by McKinsey, the global biosimilars market is predicted to quadruple by 2030, benefiting from more than USD 200 billion of originator biologics losing exclusivity. In its new fully integrated form, with 8 in the market and 12 pipeline products, totaling to a portfolio of 20 assets, Biocon Biologics has become a truly global player and is well positioned to fully capitalize on the enormous future opportunity.

Having closed the acquisition in November last year, fiscal 2024 will see us complete the operational and organizational integration of Viatris' biosimilars business into Biocon Biologics, establishing the foundation of our fully integrated global biosimilars model .

I am pleased to report that we're making good progress against our plan, and I would like to provide you with some key updates.

To ensure business continuity

we had entered into a transition services agreement with Viatris to provide ongoing operational services for a period of two years to complete the integration in a phased manner. I am happy to report that we are tracking well ahead of this plan. On July 1, 2023, we successfully integrated over 70 countries in emerging markets into Biocon Biologics. This successful integration coupled with a strong leadership team, gives us the confidence to accelerate the transition of North America and Europe, and I can report that we'll integrate all markets into Biocon Biologics before the end of this fiscal.

Coming to Syngene , the third growth pillar for Biocon, with almost 30 years of experience, Syngene provides end-to-end therapeutic discovery capabilities, including differentiated research technologies and platforms across many disciplines, disease areas, and therapeutic modalities. Its extensive experience and deep expertise have made it a trusted partner to many leading multi -national startups and medium -sized enterprises as well as non -profit institutions and academic institutions.

With an established track record in discovery, research and development for small and large molecules, Syngene is now building its capabilities in commercial manufacturing, offering clients a one stop shop capability from drug discovery to commercial manufacturing for clients and more balanced model for investors. In fact, Syngene is now the premier and leading company offering biologics manufacturing capabilities.

Now coming to our FY 2023 integrated report. Having reviewed our operational pillars , I would now like to highlight Biocon's ongoing commitment to ESG. Biocon's ESG agenda continues to advance. We engage with our 16,500 strong work force to make progress towards our ESG -focused goals, including building a diverse, equitable, Transcript - Biocon Limited Q1 FY24 Earnings Call Page 5 of 27

and inclusive workplace. In FY 2023, we evolved a core growth strategy to integrate environmental, social, and governance factors. Embedding sustainability into our corporate culture and day-to-day operations enabled us to continue developing life -saving medicines in an environmentally and socially responsible manner.

Having closed an eventful FY 2023 on the business as well as the sustainability front, we are proud to have released Biocon's maiden GRI -aligned Integrated Report. I'm also happy to share that Biocon Biologics has also separately released its first Integrated Report. I would encourage you to read the reports and provide us with your feedback.

Before I discuss the business performance, I would like to start with a Board update . I am pleased to welcome Rekha Mehrotra Menon and Nicholas Robert Haggart as Independent Directors on the Board of Biocon. Rekha is a leading industry voice on technology -fueled innovation and socioeconomic progress. She was a key player in

Accenture's growth for nearly 20 years, including over seven years as Chair of Accenture in India. She was the first woman to serve as a Chair of NASSCOM.

Nicholas has over 30 years of experience in leading and building pharmaceutical and healthcare enterprises. He has held the position of Chairman of Zentiva, CEO of Insud Pharma, President of Medicines for Europe, and Regional Director, Sandoz. He is currently the CEO and Founder of HealthQube Ltd and a Non-Executive Director of Zentiva. I will now present the key financial highlights for Q1 FY 2024.

At the group level, total revenue for the quarter was up 59% year-on-year to ₹3,516 crores.

The Biosimilar segment revenue more than doubled as compared to the previous year on the back of the acquisition of Viatri's biosimilars business. Research services grew 25%, while Generics

had a healthy growth of 15%.

Core EBITDA, which is the EBITDA before R&D, licensing income, forex, and market-to-market movement on investments, grew by 42% to ₹936 crores, representing a healthy core operating margin of 28%.

R&D spends for Q1 stood at ₹315 crores, which is an increase of ₹117 crores as compared to last year and corresponds to 12% of revenues ex-Syngene.

EBITDA for the quarter was up 69% at ₹808 crores versus ₹478 crores last year. EBITDA margin stood at 23% as compared to 22% last year.

Depreciation, amortization, and interest increased by ₹353 crores over last year. This is primarily related to the biosimilars business acquisition cost.

Consequently, Profit before tax stood at ₹184 crores, and Net profit for the quarter stood at ₹101 crores.

I will now discuss the business performance in a segmental manner, and I will start with Generics.

The Generics segment reported an operating revenue of ₹700 crores for the quarter, a growth of 15% over the same period last fiscal. Profit before tax for the quarter stood at ₹64 crores with a PBT margin at 9%.

Revenue growth for the quarter was primarily driven by our US generic formulations business, where we have benefited from additional contracts that were secured last quarter. There were also new product launches in key ex-US markets. And on the API side, we continue to see traction with our immunosuppressant API's portfolio.

We received one key product approval from the US FDA – a tentative approval for Lenalidomide capsules, indicated for the treatment of multiple myeloma.

On the regulatory front, we had a successful outcome of a GMP and pre-approval inspection of the oral solid dosage Transcript - Biocon Limited Q1 FY24 Earnings Call Page 6 of 27

facility in Bengaluru, which concluded in June with zero observations. This is an addition to the successful outcome of the Hyderabad API facility's pre-approval inspection in May, reported last quarter. Both inspections are now officially closed by the FDA, and we have received EIRs for them with a 'no action indicated' status.

Coming to investments being made for capacity expansion. During the quarter, we broke ground on a new injectable facility at Biocon Park in Bengaluru. This facility will cater to the long-term sterile fill and finish requirements for our Generics business. Work has also commenced on the expansion of our peptide and fermentation capacities in Bengaluru. These expansions are expected to be completed over the next two years.

Now, coming to Biosimilars.

First of all, I am pleased to report that the market share performance of our key commercial products has significantly improved across key markets. This positions us well as we complete the transition and build on the positive momentum. Looking first at the US market, we continue to see increasing demand for one of our key commercial products, Semglee, our branded Biosimilar's Insulin Glargine and unbranded biosimilar Insulin Glargine, translating to a market share of 12% in June versus 8% last year.

The higher NRx or new prescription shares of over 15% demonstrate strong ongoing adoption of our product. We continue to add significant new customers in the US with exclusive status for our Insulin Glargine, which includes a large managed care network from July 2023 and, more recently, another large payer, effective January 2024.

Ogivri, our biosimilar Trastuzumab in the US, has also steadily increased market share to 11% in June versus 9% last year with growth coming from new customer contracts. Fulphila, our biosimilar Pegfilgrastim, continues to gain market share in the US, capturing 16% share against 8% last year. The weekly market share in July has crossed 19%. It is now the biosimilar

market leader, demonstrating physician and payor confidence.

We launched Hulio, our biosimilar Adalimumab, in the US on 1st July, representing a key milestone for the business.

The US Adalimumab market comprises several channels, including Commercial, Medicare, Medicaid, Veterans' Affairs, Department of Defense, and many more with each requiring different strategies for success. Biosimilar uptake for Adalimumab has been more gradual than expected across the industry. Our dual pricing strategy is expected to enable Biocon Biologics to participate in all these segments and we are in active discussion with relevant stakeholders.

On the European front, we continue to see strong demand for our products in major markets. Our Adalimumab garnered market share of over 18% and 10% in Germany and France, respectively. We have also seen a strong uptake of Abevmy, or our biosimilar Bevacizumab, in Europe with a market share at 5% in May versus 1% last year.

Biocon Biologics' Emerging Markets business continues to see strong uptake of our flagship products, recombinant human insulin, Insulin Glargine, and Trastuzumab. The integration of 70 countries from Viatri's biosimilar business allows us to expand our reach and portfolio within emerging markets.

Now, coming to financials. These increases in market share and the consolidation of the Viatri's biosimilar revenues have led to Q1 revenues doubling over last year. On a sequential basis, we have seen revenues remain largely flat at ₹2,015 crores due to the phasing of the tender business in emerging markets and a one-off impact of rebates in the

US for our Peg[®]grastim. This has translated to a Core EBITDA of ₹513 crores with margins at 28%. It is important to note that in the case of Peg[®]grastim in the US, the revenue and margin for the quarter were impacted due to higher rebates based on legacy contracts with select customers, which will normalize in the coming quarters. Post-transition by the end of this fiscal, Core EBITDA margins are expected to return to the mid-30s. EBITDA margin
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consequently for the quarter was at 23% with R&D investments at 13% of revenues. PBT stands at ₹24 crores. Moving on to regulatory updates.

Yesa[®]li, our biosimilar A[®]ibercept was the first biosimilar to receive a positive opinion from EMA's CHMP recommending approval. We are also the first company to receive conditional approval for A[®]ibercept biosimilar from Health Canada with the final approval linked to ongoing litigation.

The clinical trials for biosimilar Ustekinumab and Denosumab are progressing well, and we are on track for filing by the end of 2023 and 2024, respectively.

In July, US FDA conducted two cGMP inspections of our Malaysia facility, issuing six observations for drug substance and drug product units and two observations for the delivery device units. The inspectors did not identify any systemic non-compliance. We have submitted a comprehensive CAPA plan to the agency and expect to resolve this expeditiously.

We continue to strengthen our global leadership team as we transition the operations of the acquired business. We have appointed industry veterans Rhonda Duffy as the Chief Operating Officer, and David Gibson as Global Head of Business Development. These appointments are in line with our commitment towards operational excellence and focus on new growth opportunities.

In summary, we are pleased to see strong uptick in market shares of our products across geographies with a line of sight on multiple growth catalysts. Our business continues to grow with:

- A. better performance of our products in existing markets, such as Glargine in the US;
- B. geographic expansion of our commercial products, such as Adalimumab, Aspart and

Bevacizumab;

- C. regulatory advancement of our pipeline assets, such as A[®]ibercept, Ustekinumab and Denosumab.

Finally, coming to Syngene.

Revenue from operations grew 25% to ₹808 crores over last year. Reported EBITDA was up 25% to ₹235 crores with margins at 28%. Profit before tax was at ₹123 crores, up 33% over last year.

The performance during the first quarter was strong, led by Development and Manufacturing Services, and well supported by Discovery Services and Dedicated Centers.

During the quarter, Syngene took important steps as part of its strategic priorities.

Earlier this month, it announced a deal to acquire a multimodal Biologics plant from Stelis that added an additional 20,000 liters of installed manufacturing capacity along with a high-speed fill and finish facility. The proposed acquisition strengthens Syngene's position as a leading biologics contract manufacturer and development service provider.

Syngene completed the acquisition of additional land in Hyderabad to support the long-term growth ambitions of its research services business divisions.

Together, these actions reflect meaningful progress on Syngene's strategy to straddle both research and manufacturing services and give it the capacity it needs for the next stage of growth.

In conclusion, I believe the Biocon Group of companies has delivered a strong business performance this quarter, essentially a very robust revenue-led performance and established clear pathways for exciting new growth in sections.

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Building on their shared heritage in Biocon's manufacturing and scientific excellence, Biocon Biologics, Biocon Generics and Syngene are now emerging as uniquely differentiated world-class players in the global biotechnology products and services markets.

I firmly believe that these are very exciting times for the Biocon Group, and I look forward to reporting our progress in the coming quarters.

With this, I would like to open the floor to questions. Thank you.

Q&A Session

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Saurabh Paliwal: We will start with the first question from Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hello. Hi. Good morning. My first question is understanding the pricing environment for biosimilars a bit better. So, ma'am mentioned about Fulphila seeing an impact of higher rebates during the quarter, but can you talk a bit about how you're seeing pricing for other biosimilars? Say, Semglee or Ogivri. Because in terms of prescription, we have seen pickup in all the products, but when I compare the reported sales, excluding licensing income, we have seen sequential moderation. So, want to understand the pricing part better.

Kiran Mazumdar-Shaw: Matt, Shreehas, over to you.

Shreehas Tambe: Matt, you can start, then I can jump in after you're done. Go ahead, Matt.

Matthew Erick: Yeah. So, the pricing that we're seeing in discount trends, they've not been uniform. So, when you think about your medical side or your pharmacy benefit side, they vary by

product and therapeutic area and by channel, and there is a difference in between each one of those. So, taking a similarity that you would see in one product and comparing it to another does not necessarily translate. And so, I think what Kiran had said in the beginning, particularly around Pegfilgrastim, there is a change in how we're looking at the rebates that were legacy. And what we're seeing on the other products, we are seeing very active growth and good growth in those other channels like Semglee, Trastuzumab, etc.

Damayanti Kerai: So, specifically, on insulin, what we have been hearing, I guess, there has been a lot of focus on lowering the prices from all the stakeholders in the industry, so from Semglee's perspective, did you see any such pricing pressure coming in?
Matthew Erick

: So, I believe, you are talking about the WAC's that are changing on 1/1/24. So, as we're seeing it right now, no, there is not that pressure. And, remember, on Semglee, particularly there are two channels, you have your branded and your unbranded products, and we're playing in both of those. So, there is a mixed variation on those rebates between low WAC and high WAC. But the mix continues to be in a positive manner that we're seeing with our Insulin Glargine and Semglee.

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Damayanti Kerai: Okay. Thanks. Thanks for your response. My second and last question is, post Hulio launch, can you update us on what you're hearing from payors or what has been their response, and any discussion which is currently ongoing for prices, etc.? And how do you see your share moving up in this particular market?

Matthew Erick: Thank you very much for the question. These are very, very early days, and the payors' landscape is still developing. I think, what's important that you've seen is early announcements - let me remind you, the overall size of the pie is extremely large with the multiple opportunities we have and then co-existing with multiple players. So just these early announcements that you've seen come out on the commercial side and, as Kiran said in her opening remarks, there are multiple channels. Not only do you have commercial, but you have Medicaid, you have Medicare, you have government, you have GPOs, you have IDNs. So, these multiple channels allow us to continue to participate in many aspects as this market is continuing to develop, which is slower, the overall market has seen the payors taking their time.

But I think what's important to remember, the attributes of our products and our relationships and sales force are very strong with our two-click Hulio product, which payors as well as physicians like. We do have a strong sales force. We are supporting hub services and patient services. And so, we're in active discussions with all the payors as this market continues to develop, which you'll see through 2023 and into 2024 as this market continues to develop and we're well positioned to participate.

Damayanti Kerai: Okay. Thanks, Matt. I'll get back in the queue.

Matthew Erick: Thank You!

Saurabh Paliwal: Thanks, Damayanti. We'll take the next question from Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed: Thanks for the opportunity. My first question is on the Core EBITDA margins that you disclosed for Biocon Biologics. It's at 28% this quarter and I see that it was around 39% last quarter. So, there is a sharp decline and you called out the timing of some tender business supplies in EMs and higher rebates for Pegfilgrastim. But if you can quantify the impact of these, that'll be helpful, because it's a fairly sharp decline?

Kiran Mazumdar Shaw: Yes. I think, Shreehas, you should explain this.

Shreehas Tambe: Thanks, Kiran. Thanks, Harith, for that question. As Kiran said in her opening remarks, we've seen strong growth in our products, overall, in North America, in all our products we've shown the year-on-year growths that we've had. So, clearly, the business is trending in the right direction and our market shares are growing. We've had a situation with one product, where we've had these managed care customers, where the legacy Viartis contracts had a higher rebate, which is offered to select customers. Now, that was in the region of around USD 15 million. That has been since reset and most of those resets happened beginning of this current quarter, which is starting July. So, what we are seeing from here on is that we expect these to basically recover over the coming

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quarters and we

see business recovering to normal margins over the course, as we take these contracts again.

Important to note, Harith, is that, July onwards, we've seen Pegfilgrastim market share

grow to 19% and we are now the largest biosimilar Peg■lgrastim in the US market. So, clearly, that is a good recovery from where we are, and we expect this to get better over the coming quarters.

Harith, does that answer your question?

Harith Ahamed: Yes. I was on mute. That's helpful. My second question, if you can share the breakup between regulated markets and emerging markets for Biocon Biologics revenues for the quarter .

Shreehas Tambe : So, that breakdown we can offer. Chini, do you have that breakdown overall between advanced markets and emerging? I n the past, Harith, we've given a guidance that it's been roughly around that 70:30 mark. Chini, what's the breakdown for this, we can share with Harith.

MB Chinappa : Harith , good morning, it's 75% advanced markets, 25% emerging markets.

Harith Ahamed: Okay. And a follow -up, the licensing income that you booked for the quarter, that is related to the regulated market geography or the emerging market segment? And one more question around the licensing income, this ■gure of ■167 crores, this licensing income pertains to deals that were signed during the quarter or these are deals that we've partnered in the past and the revenue booking is happening now?

Shreehas Tambe : Harith, as we said, even in previous quarters, we've had this discussion. In-licensing and out-licensing is a part of our business, and we will see this as we decide on our portfolio and we will in -license product s and you will see that happen in a particular quarter and you will see out -licensing of certain assets that we may not see particularly wanting to develop or in a particular geography and we will see that happen across a certain quarter. We saw some of that happening this quarter and that was the recognition of that ■167 crores that you talked about. So, you will see t his happen in a particular quarter, may not necessarily happen in every quarter. As these opportunities mature or we make a strategic decision on what and how we want to pursue our portfolio, you will see these occurring over and around every quarter.

Harith Ahamed: And it's a mix of emerging markets and regulated markets, that's the way to look at the numbers ?

Shreehas Tambe : Yeah. I mean, it could be emerging markets, it could be in advanced market, depending on how we are looking to license the portfolio and commercialize it going forward.

Harith Ahamed: All right. Thanks, Shreehas. That's all from my side.

Saurabh Paliwal: Thanks, Harith. We'll take the next question of Surya Patra from Phillip Capital. Please go ahead.

Surya Patra: Yeah. Thanks for this opportunity. The ■rst clari■cation about this US \$15 million

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charge relating to the Peg■lgrastim. So, is it fair to believe that this is a charge because of the new contract and relating to the next 12 -month period? And depending upon the pricing situation and rebate situation and competition, a similar charge on the product would come in the subsequent period or subsequent contract? That is one. And, also, whether this kind of enhanced rebate and charge can come relating to other products li ke Herceptin and all that?

Shreehas Tambe : Let me respond to you Surya on this. I think, what we had clari■ed even in the opening remarks and now, this is about the past. So, there are legacy contracts that were signed in the past as Viatrix is running the business today, and what we realized is that certain select customers in the Managed Care segment had been offered higher rebates. So, this is for a business that is in the past and those rebates are then passed on, our discounts are passed on as they book

the revenues and those had to be reset. What we've done now is we've reset these contracts. So, going forward, that's why you will not see those things come in and hence we are saying that, in the coming quarters, these things will get better. Big part of this has changed starting July 1 and hence we are seeing these improve right away.

Did I clarify that part Surya?

Surya Patra: Yes. Certainly, sir. But it will not be related , means, we will not see any kind of charge like this relating to ot her products?

Shreehas Tambe : We are not aware of any charge at this point on any other product. This is related to Peg■lgrastim, and we've corrected that charge and reset those contracts and, going forward, we will be seeing those margins coming back to normal.

Surya Patra: Okay. Now, sir, just one another clari■cation I wanted to have . When we talk about this market share for any product, in the US, let's say, so is it the total prescription that is really written or it is the prescription that is billed ?

Shreehas Tambe : Matt, do you want to respond to Surya's question?

Matthew Erick : Yes. Sorry, Shreehas, I couldn't really understand the question, I apologize.

Shreehas Tambe : Let me respond to that, Surya, a little bit and then see if, Matt, you want to add on.

Surya, these are market shares that are reported today for say Glargine, since you asked about it, our market share between the branded and the unbranded products, we have two of them and that is a little under 12% today, and that's what we're saying has grown. The new prescriptions are trending at around 15%, so that's a leading indicator of where things are going. And Kiran did mention in her opening remarks that we also have on-boarded a large closed or managed care customer. Those numbers don't get necessarily accounted for in the market shares that are reported, and we believe that's also a very strong indicator in terms of how our Glargine will drive growth starting from the current quarter, moving forward.

But, Matt, if you want to add anything further to that.

Matthew Erick : Well, I think you covered it, Shreehas, and I apologize I couldn't hear that question. Thank
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you.

Surya Patra: My question was, sir, so recent studies indicate that the prescription generated or retained for any product in the biosimilars are meaningfully different than the prescription filled by the patient actually. So that is why, in terms of the market share when we are mentioning, so is it based on prescription written or based on prescription filled?

Matthew Erick : I think, you're asking about what we can see as current prescriptions and then what's being written new. And if I'm hearing you right, so new prescriptions give you an indication for refills or continued prescriptions in the future. And I think what you're looking at it, particularly in Semglee or Insulin Glargine, if you're looking at the IQVIA data, you're going to see the trends of the prescriptions that are being filled and then you can look at the new Rx's. Normally, the indication of new Rx's will give you a good read on how the trends of the prescriptions are going to continue to grow.

Now, as Shreehas said, when we won this large closed network in July, those do not report in IQVIA and that can vary your market share and understanding, but what we're seeing is growth not only in new Rx's but growth in our partners, which will be closed door networks as well as payors.

So, hopefully, that answered your question. If not, I will try again.

Kiran Mazumdar Shaw: I think Surya to just simplify it, the 12% is the prescription filled and NRx's are the prescriptions written. 15% is trending towards how much extra is being written and 12% is really indicating how much is filled.

Surya Patra: Oh, that is really helpful. My third question is relating to the

integration thing what

you mentioned in the opening remark, ma'am, about the Viatris strategy and the integration in the US and that is likely to be completed by second quarter, so what practical changes that we mean by this? Because we know that the marketing arrangement or the marketing support, we are currently taking from Viatris for next kind of one and a half year or so more, so this integration will bring what kind of a benefit, let's say, in the US?

Kiran Mazumdar Shaw: So maybe, Shreehas, you would like to take that question?

Shreehas Tambe : Yes. Thanks, Kiran. I think, Surya, as you know, that we had signed up with Viatris for a two-year transition services agreement. And as you rightly said, the commercial team that Viatris had is a part of that deal that we had, which will be coming over from Viatris to us. However, the reason we had signed up this two-year transition services agreement is because there were functions that we needed to get ready outside of commercial, so that we can actually run a successful business in the US, and we had given ourselves a two-year window to be ready with that infrastructure.

Today, we feel confident having moved over 70 markets in the emerging market space.

We're feeling quite confident with the leadership that we've put in place under Matt's leadership and the other leaders that we have brought on board in the US and in North

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America and Canada, so we believe that we are in a good place to move the business over to be led by Biocon Biologics by the end of this quarter and we also have a very good alignment with the team that's coming over from Viatris to us and that's why we believe that we can accelerate this transition, bringing greater focus to the business that will now be only focused on the biosimilars, which should then benefit what we're trying to achieve as a company.

Surya Patra: Okay. Sure. Yeah. Thank you, sir. Thanks. Thanks a lot.

Saurabh Paliwal: Thank you, Surya. We'll take the next question of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Yeah. Thanks for taking my question. My first question is on, I think in the presentation you made a comment about core margins going back to the mid -30s

by the end of FY 2024. Based on your comment that the one -off that we saw in rebates should normalize, any reason for why we should see a more gradual improvement in core margins versus our full -year guidance of mid -30 to high -30 margins?

Kiran Mazumdar Shaw: Neha, I said before the end of the quarters - I mean end of the fiscal, so I think we expect to see it sooner. But, basically, I'm guiding for the fact that to we have reset the rebates and hope that over the coming quarters, we get back to normalcy, as Shreehas mentioned.

Neha Manpuria: Apologies, I was on mute. So, ma'am, just to understand this clearly, we're still holding a mid-30s guidance for FY 2024, the core margin guidance that we've given for biosimilars?

Kiran Mazumdar Shaw : Yes.

Neha Manpuria: Understood. And my second question is on Hulo. Shreehas, based on the contracts that have been announced so far and given that there has been a more gradual uptake in the entire Adali biosimilar market, what's your sense on when we can get clarity on how payors think about allocating volumes? And when would we get a better sense on what the opportunity could be for Biocon?

Shreehas Tambe : Thanks, Neha, for that question. And, as Matt answered earlier, the opportunity is very sizable. So, the Humira opportunity in the US is a very sizable opportunity. We believe that this decision making will happen over the course of this calendar year, so we should have that clarity on how things will evolve. There are commercial plans, commercial health plans, which we'd make a decision, which is about, I would say, a part of t

hat business, a

large part of the US market. But outside of that, as Matt and Kiran in her opening remarks addressed, that there are several other pieces of the market, which would be the managed care market, the Medicare market, and I think basically while these decisions will be made during the course of the year, you will see, and we've said this in the past as well, that the business will track forward from 2023, yielding up to 2024 and you will see most of these things really consolidate towards 2025. I think this is what we've heard from all other industry players as well and that opportunity remains intact. And even from our perspective, we're very well positioned to realize that opportunity given the kind of product Transcript - Biocon Limited Q1 FY24 Earnings Call Page 14 of 27

that we've developed, the success that we ride on the back of what we've achieved in Europe, and the kind of team that we've got, which is very well aligned to commercialize Hulo in the US with the product and the patient service programs that we've got. So, we feel quite confident Neha, as the decisions get made over the course of the few months ahead of us.

Neha Manpuria: And in your assessment, Shreehas, what portion of the market, the commercial contracts that have been announced that we've seen. I assume this would be for the next 12 months, and what portion of the market do you think has already locked in and probably not available for us?

Shreehas Tambe : So, the two things that I want to draw your attention to, and I'll respond two things separately. One is, if you look at the overall US market, the commercial space is roughly 50% between the large payors and then a bunch of other smaller players as well. What we have seen made public so far are two commercial payors, two large commercial made announcements. And if you noticed that announcement, they've said that they continue to look at these as an evolving thing, it's not like this is it, and no one else will be looked at. So, we don't see this as a definitive position. What we see is what is announced at this point is a set of players who have been enrolled on two health plans and we see most of the other things still evolving as we go around. So that's why the commentary that Kiran had.

Neha Manpuria: Understood.

Saurabh Paliwal: Thank you, Neha. We'll take the next question from Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Good morning and thank you for taking my questions. Just the first one on the sequential run rate for the Biocon Biosimilar segment. How should we look at this as we go forward? We were expecting a faster ramp -up, I know you talked about the reset in Pegfilgrastim as well as the tender business change, but how should we look at it as we move through the quarters? And a related question is just on some of the market shares that we had aspirations for, especially Semglee, both branded and unbranded. You talked about the fact that in MCOs don't get added in IQVIA, I get that, but the high -teens market share that we were talking about earlier, is that something that we can certainly do? So, that's the first set of questions.

Kiran Mazumdar Shaw: So, Shyam, let me answer that by saying that, yes, the USD 15 million impact that we see in the rebate on Pegfilgrastim has also impacted our topline as it has impacted our Core

EBITDA and EBITDA as well. So, it has basically run through our financials. So, yes, that is the reason why you have not seen an uptick (in revenue) in terms of increased market share.

The second thing is, of course, we are very encouraged and confident that our performance in the US and many, many other markets is showing good growth, and we expect that to translate into both revenue and bottom-line growth. So, that's what I would

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say at this point in time, but maybe Shreehas you'd like to add something.

Shreehas Tambe : Sure. Thanks, Kiran. I think, Shyam, to your question, two things, I would say. One is, we also partly responded on this to what Neha had said, if you were to look at that USD 15 million and if you add that back even in the current numbers, I think, like Kiran said to the revenues and to the Core EBITDA, the quality of earnings is already at that mid-30s. So, the business that is trending today is already quite strong, both in terms of the revenues that we're looking at and in terms of the margins that it's trending towards. I think, where the aspect of the uptick is also expected is in the emerging market side, which, as you know, a large part of that business is dependent on tenders and, as Kiran also alluded to in her opening remarks, some of this is going to be different from quarter-to-quarter. As you see those tenders realize in effect, you will see those move between quarters. But, otherwise, the emerging markets business has done well, but the advanced market business has really been driving that growth. And we see that in place.

And your second question, which was related to Semglee. I think, the closed-door managed care market, that customer will certainly add a huge muscle to that number, because that's a single supplier situation, which means there is no other competitor, and we are seeing a very high degree of conversion from the incumbent to us. We expect to see that driving growth for us. We also see that driving market share. And outside of this, Kiran also referred to the large commercial payer, so this is the managed care player, but there is also a large commercial player who's signed this on. Some of this will play out towards the beginning of calendar year 2024, which will then drive growth for us in the last quarter of this fiscal, Shyam.

Shyam Srinivasan: Shreehas, so is there a change to the market share guidance on Semglee, I think that is where I was trying to arrive at?

Shreehas Tambe : I think, we're still tracking to that mid-teens that we had said, Shyam. I don't think we are moving from that just yet. So, no reason for us to think differently.

Shyam Srinivasan: Got it. And just going back to the opening on Hulo and the gradual progress and expectations have been or rather the actual has been slower than expectations and the ramp up over 2023, 2024, 2025. Just wanted to understand your experience in Europe, some of the numbers that you're sharing for Germany or France are pretty good numbers. So, do you think that is something that over time gets replicated in the US? Or you thinking dynamics are very different? So that was my second question.

Shreehas Tambe : Matt, would you like to respond to that?

Matthew Erick : Look, thank you for recognizing Europe as being very strong and I agree with you. What we're seeing there is good, strong, steady growth. And as we go through this integration, as Kiran talked about, and fully transitioning away from Viartis by the end of the year, I see that continue to grow, because we are going to have that 100% focus and we'll be able to drive additional Adali built off of a great base of what we're already doing in Germany and France and Belgium, and then taking that into expanding that

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focus into other European countries. So, we are very optimistic around maintaining that strong, steady growth in Europe and maintaining our lead positions within Europe, France and then gaining traction in other countries within the European Union.

Shyam Srinivasan: Helpful. Last question is for Siddharth, just on the Generics business, I think 15% growth, if you can just help us disaggregate that into what is happening in API versus formulation? There's been lots of commentary around the generic pricing

. I

think you, in your press release, talked about new contract wins, so help us walk through that, please? Thank you.

Siddharth Mittal: Sure, Shyam. So, we've seen many new contracts, I mean, in the formulations business in the US. We have seen disruption in the US coming from other generic players and as a fully vertically integrated player, especially in the statins and immunosuppressant space, has led us to garner additional market share. I think, when you track the IMS for some of the products that we have in the market, it's doing very well. We are getting closer to between 30% and 40% market share in the statins and, soon, we expect that

we will be able to get the additional market share for immunosuppressants.

And the bulk of the growth is from formulations. But as I mentioned that we've also seen a good traction of immunosuppressant APIs, which continues to be a focus area and a growth driver for us.

As far as the pricing is concerned, I think there are mixed trends. We've seen the pricing pressure taper down. We have seen our prices stabilize over the last few months and we just hope that this trend continues and at least in that way we are able to grow sustainably.

Shyam Srinivasan: To that data point, just a split of, API and formulations? Thank you.

Siddharth Mittal: See, our formulations business actually touched ₹200 crore this quarter. So out of ₹700 crores, ₹200 crores is formulations and little over ₹400 crores is API and the remaining is other income.

Shyam Srinivasan: Got it. Thank you, and all the best.

Siddharth Mittal: Thank You.

Saurabh Paliwal: Thank you, Shyam. We'll take the next question from Parth Shah from Bernstein. Please go ahead.

Nithya Balasubramanian: Hi. This is Nithya from Bernstein. Quick one on Glargine. If you can indicate what is the incremental lives covered that you can now address with the new payor coverage wins that you've had?

Matthew Erick: Are you talking about the lives?

Nithya Balasubramanian: Yes. Incremental lives that is now being covered with the new payor wins you have had in Glargine?

Matthew Erick: Yeah. As far as these are confidential right now from a standpoint of these closed-door in a large payor, I think what we continue to say is that it's really about the market

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share.

Number of lives, because we've seen at one of the closed-door, if you're familiar with them, they will do pretty close to 90%, 95% conversion. And as we get into the latter half of this year or the last half of our quarter, in FY 2024, this is where the second payor will come on. And we're anticipating there, we will also be exclusive. So, we'll start seeing additional pull-through. But the number of lives do vary. That's why I didn't answer directly. It's really about the revenue and pull through. And we are exclusive on both of those contracts. So, you'll see that pull through over a period of time and the closed-door will pull through already and continue to grow as we go forward. Not trying to dodge your question, just lives aren't particularly the indicator. It's really the pull through with market share and are you exclusive on these contracts.

Nithya Balasubramanian: Got it. I think, I'll wait for whenever you're comfortable talking about the payer.

Matthew Erick: Thank you. Thank you very much.

Nithya Balasubramanian: On Hulio, if you can let us know what is the status of your interchangeability study? When are you filing it? When should we expect an approval? BI should lose their exclusivity in July, so will you be ready by then?

Shreehas Tambe: So, I think, Nithya, thanks for that question. Let me respond to that. I think, interchangeability - we are working on that study. We should be in a position to give you more details about when we

we'll have it.

We won't have it in July, since you have a direct question there, but we will have that study in play and as long as you have that information together, we believe it will work to our advantage.

Nithya Balasubramanian: Got it. One last one, if I may. On Amlibercept, I understand there is a litigation that's ongoing between Biocon, Viartis and Regeneron. Early August was when the closing arguments are supposed to be read, can you give us an understanding or understanding of when you are expecting the judgment to come through?

Shreehas Tambe: So, as you know, we are in an ongoing litigation on that. We feel as that is undergoing right now, there's not a specific date which has been set out and wouldn't be fair to comment anything further on it. But to say that we remain quite confident, and we feel good about how things have progressed.

Nithya Balasubramanian: Got it. Thank You.

Saurabh Paliwal: Thank you, Nithya. And we'll take the next question from Tarang Agrawal from Old Bridge Capital.

Tarang Agarwal: Hi. Good morning. Two questions from me. One, Chini, in terms of accounting, would there be any intersegment sales between the Hold Co and Biocon Biologics?

If so, what would be the nature of these sales?

And, second, if you could give us the business-wise CapEx outlook for FY 2024 between Generics, Biologics, and Syngene? Thanks.

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M.B. Chinappa: Tarang, most of the sales of Biocon Biologics is to third parties, the ₹2,015 crores, largely third parties, very little support services we provide to Biocon Limited or any of the other group companies.

Tarang Agarwal: Okay.

M.B. Chinappa: On CapEx, I'll let Indranil take the group, but BBL's CapEx projections for the year is US D 150 million, largely for the Malaysia expansion as we are ramping up our insulin capacities.

Indranil Sen: I'll take it for the Generics and maybe, Sibaji, you can talk for Syngene. So, Generics, we will be seeing close to US D 100 million CapEx for next year, between US D 80 million to US D 100 million.

Sibaji Biswas: Thanks, Indranil. And for Syngene, we will be spending close to US D 85 million and close to US D 50 million of that will be in research business, rest of it will be in development and manufacturing.

Tarang Agarwal : Thank you.

Saurabh Paliwal: Thank you, Tarang. We'll take the next question from Yash Tanna from i Thought Advisory. Go ahead.

Yash Tanna: Good morning. My first question is on Biocon Biologics. So, if I see the capital employed, it has grown at a much faster rate versus the profitability, which has led to ROC Es coming down for the BBL business. So, my question is, in the next two to three years, do we expect this trend to sort of reverse? Because, I believe, we are largely done with our expansions and acquisitions and profitability going ahead should support our return ratios?

Kiran Mazumdar Shaw: Yes. That is the intent and that is what we're working towards .

Yash Tanna: Right. And do we have a target number in mind, ma'am, for the next, let's say, three years down the line now, we have our internal benchmarks set for the business?

Kiran Mazumdar Shaw: So, you do know that we are in the midst of the capacity expansion in Malaysia and as you know the sort of payback on that will happen once it's commissioned and, as you know, all these CapEx projects in the Biologics business is a multi -year kind of commissioning process and so, obviously, we will start seeing the ROCE reflected at a much healthier level, probably at the end of the fiscal year 2025 and beyond.

Yash Tanna: Yeah. Got it. That's helpful. On the insulin side, I believe since we are in a position now to offer higher rebates to the pharmacy benefit. Have you seen any impact benefit of that because the other innovator companies have reduced the prices, right?

Kiran Mazumdar

Shaw: I've not understood your question, but maybe Shreehas, if you understood it, you could answer it.

Shreehas Tambe : Yeah. I think, what Yash is referring to is the high WAC and a low WAC dual pricing strategy and the opportunity to do that. I'll let Matt respond to it, and then if there is anything
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more, I'll come back. Matt, would you want to respond to Yash's question?

Matthew Erick : Yeah. Yeah. Sure. So, look, like I said before, it's a mixed play with the rebates and, look, I just want to say this before we start on just the economics. I mean, we do provide additional value with our products like Semglee or Insulin Glargine, but we will remain competitive. But the rebates between the high and low based on pay or contracts can vary. So, as we look at the mix, it's very important how we consider when we did this process, what's of the branded Semglee and what's of the low WAC Insulin Glargine. We do see variations and these variations are by pay or PBM or by customer. So, what I would say from a standpoint, we're in good COGS position to maintain and compete with competitors.

And, also, to point out and, lastly, to remember, the WAC piece is just the list price. It's not the net. And so, when you see these WACs lowering, there is all kinds of things that can go into this. But, in closing, Biocon Biologics maintains a good cost position, and this is why you're seeing that maintain growth in the growth of that profitability.

Yash Tanna: Right. That's helpful. Finally, on the debt side, is there any target number we want to reach by the end of the financial year 2024?

Kiran Mazumdar Shaw: So, we are basically looking at our debt covenants and seeing how we can basically align with that, and we will raise funds accordingly .

Yash Tanna: Sure. All right. Thank you, and best of luck.

Saurabh Paliwal: Thank you, Yash. We'll take the next question of Masira Vasanwala from FSSA Investment Advisors. Please go ahead.

Masira Vasanwala: I wanted to ask about the facility inspection in the biosimilar business, just maybe could you help us understand why we are having another round of observations in Malaysia , do we need to make more investments in people, processes, etc.? And then, yeah, just how are you thinking about this?

Kiran Mazumdar Shaw: Yeah. So, maybe, I'll get our Quality Head, Michael Cutter, to answer this question.

Michael Cutter: Yeah. Thank you very much, Kiran. So, yeah, thank you very much for this question. I think it's a very important question and I'm sure many people have this. So, the inspection that we had in Malaysia, was a routine inspection. We had our previous inspection some three years ago and we had some observations, six observations for the drug substance to the drug product and the laboratories, so it covered that as the scope, and we had two observations for our devices. So, there were two parts to the inspection. The nature of these observations were not systemic. There was no data integrity. And I think the way that I would characterize these observations, they were really demonstrating that we are making good progress in this facility. So, there were no upgrades to the facility. In any case, we have the expansion project going on there, which is in-line with best practices in the industry. So, there are no infrastructure changes that we needed to make out of this. This is mostly procedural. They were training of some of our support people. This was the nature of the inspection observations. So, to that extent, there was nothing

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that we intended to do in terms of structural modifications to the facility.

Does that answer the question okay?

Masira Vasanwala : Yeah. I mean, the fact that our launches are getting delayed, because we're still

waiting for the approvals on these facilities, is there more that needs to be done to sort of accelerate that?

Kiran Mazumdar Shaw: So, let me answer that question, Masira, we have actually provided a CAPA plan, which has been accepted for those launches and approvals, of course, there are two approvals, as you know, one is for Insulin Aspart and the other one is for Bevacizumab. The Insulin Aspart CAPA plan has already been accepted by US FDA, and we're hoping that that is adequate. But we remain engaged to make sure that this is our understanding.

The second thing is, of course, as far as the Bevacizumab approval is concerned, that is in India, and that CAPA has also been given, the CRL response is also about to be given. So, that should also get resolved hopefully very, very soon. But beyond that, we can't really predict when it will happen, it's up to US FDA to really look at what we have provided them. We are hoping that the inspection in Malaysia will also further strengthen and address any concerns they have about approving Aspart, so that's as best as we can hope for.

Michael Cutter: Thank you for that, Kiran, and I think it summed it up very well. Masira, is that okay for you?

Masira Vasanwala : Yeah. That answers my question. And just one more question, what is the net debt today or as of the latest quarter?

Kiran Mazumdar Shaw: For the full company, Siddharth?

Indranil Sen: Can I answer that, Sid?

Kiran Mazumdar Shaw: Yeah, please go ahead.

Siddharth Mittal: Yeah, please go ahead.

Indranil Sen: Yeah. So, excluding the structured investments, we're at US D 1.2 billion net debt.

Masira Vasanwala: Thank You.

Saurabh Paliwal : Thank you, Masira. We'll take the next question from Cyndrella Carvalho from JM Financial. Please go ahead.

Cyndrella Carvalho: Thanks for the opportunity. Just a little more clarification on Aspart and Bevacizumab approval. Beva you mentioned that we got a CRL. Was it related with the plant only that we are responding? Can you just clarify?

Kiran Mazumdar Shaw: Yes.

Shreehas Tambe: Yes.

Kiran Mazumdar Shaw: It was actually because of the facility in Bangalore. There were some observations. We

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have basically provided a CAPA plan and a CRL response, so that is what I was referring to.

Cyndrella Carvalho: Okay. And in terms of our Beva approval, do you see anything pending from our end, apart from the facility?

Kiran Mazumdar Shaw: So, there's never been ever any scientific concerns about any of our programs. So, as far as the CMC and others are concerned, this has never been a question. In recent times, the only observations we've had in a pre-approval inspection is pertaining to the facilities and that's what we've been addressing.

Cyndrella Carvalho: Yeah. And, on the Aspart approval, do you think we wouldn't require a PAI sort of inspection again followed or, in your mind, it's not necessary? Because in my mind, it's not necessary, but I just need to clarify the same from you?

Kiran Mazumdar Shaw : Well, that's what we also hope.

Cyndrella Carvalho: That's really helpful. And just to Siddharth, how do we see the Generic growth given

that you alluded to pricing being more stable in US, how should we expect our overall growth trajectory from the Generic side of our business?

Siddharth Mittal: We guided for a mid-teen growth this fiscal. We would, of course, see a better second half, because some of our facilities which were commissioned last year and we've kind of doing the validation at this time and we expect the additional supplies to start from the old facilities, and these were brownfield capacity expansions, so does not necessarily need FDA to come and inspect as compared to the new greenfield facilities, which requires inspection and that adds more time for commercialization. And we also are looking at locking in

additional business in the US on our formulation side and launching few new products as we go along. We've already got few approvals and I think this quarter itself we have two new launches that are there.

Cyndrella Carvalho: So, should we look for a closer to a double-digit growth rather than a mid-teens, like a higher double-digit growth, is that right?

Siddharth Mittal: That's what we hope for, quite honestly. It's high teen. I mean, the high double-digit, but the visibility that we have as we stand in the fifth month of the fiscal, I think, I'm confident on the mid-teens. But, of course, we would see what we can do to get to the higher double-digit.

Cyndrella Carvalho: Thank you so much, and all the best, team.

Siddharth Mittal: Thank You.

Saurabh Paliwal: Thank you, Cyndrella. We'll take the next question of Vishal Manchanda from Systematix. Please go ahead.

Vishal Manchanda: So, my question is on the Generic business. On the peptide facility that's going to come up in the first half, can you guide how many filings we have on the peptide front? And, if possible, the total market that we're addressing through these filings?

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Siddharth Mittal: So, we have around 15 peptides at various stages of development, of which we've already filed Liraglutide in the US, Europe, and many other markets, both the strengths, Victoza and Saxenda, and they are being reviewed by FDA as well as the European Agency. And if you look at the overall peptides' opportunity, even though these 15 molecules are addressing diabetes, weight loss and other indications, but just the weight loss and diabetes management market size is expected to be over USD 100 billion in the next 10 years or so. So, we definitely see this being a huge, huge growth driver for the Generics business over the next decade or so.

Vishal Manchanda: So, the other filings will follow up, so Liraglutide is done and the others will follow up from here?

Siddharth Mittal: That's right.

Vishal Manchanda: And second on the immunosuppressant facility, could you guide on the peak sales potential and the investments made there, the facility at Vizag?

Siddharth Mittal: See, we've invested close to see 600 crores on that facility and we already have a significant capacity in Bangalore. So, this was an add-on facility and now we would be looking at locking in more customers, mainly in the emerging markets, where we also see a huge opportunity. But since our capacities were locked in primarily for US and few large markets, we were not able to address these opportunities and we definitely think that we will have a much bigger market share in markets like -- even China, where we are looking at addressing that market in the years to come.

But in terms of revenue guidance, I think it will be difficult to give right now, because we've of course been selling both the API as well as the formulations, which we will be commercializing in these emerging markets.

Vishal Manchanda: So, the Vizag facility also houses our formulation facility?

Siddharth Mittal: No, the formulations would be done in Bangalore. We've only one formulation facility for potent molecules.

Vishal Manchanda: Right. So, if you could just guide us on the peak sales for the Vizag facility, the API business?

Siddharth Mittal: That's what I've said. It will be a little premature to give that. I think we expect the revenues to commence sometime in second half of calendar 2024 and we are, of course, in discussions with customers to lock in and even with regulators where we're going to file from this facility. And I think we'll have a better sense, I would say, sometime next year in terms of the sales. We, of course, have internal numbers, which I don't want to communicate at this stage.

Vishal Manchanda: Okay. And final one on Aibercept, whether we are seeking interchangeability on

the product?

Shreehas Tambe: So, Vishal, the Aibercept product we will be looking forward to that interchangeability.

exclusivity there?

Shreehas Tambe : Sorry, I didn't understand the question, Vishal.

Vishal Manchanda: So, will you also be eligible for an exclusivity on Amlibercept considering that you are first to file ?

Shreehas Tambe : So, under the regulatory interchangeability guidance itself, the first interchangeable product has an exclusivity offer of one year since that launch. So, as an interchangeable product, you will have an exclusivity to claim interchangeability.

Vishal Manchanda: Got it. Understood. Thank you. That's all from my side.

Saurabh Pawal: Thanks, Vishal. The next question is from Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Hi. Thanks. Siddharth, on the Generics business, there are future investments that you're making in the plants as well as in the R&D. Now, we are talking about 15% growth for this year from a growth revenue perspective. But if you can just do some sort of crystal gazing on where, I mean, how do you see this business over the next three to five years with the kind of investments we're making and what is the big picture story on the Generic business? Given the fact that we started out this business very late versus maybe a lot of the other peers?

Siddharth Mittal: So, let me answer your latter question first, before I come to your first question. So, I think, in terms of the overall big picture for the years to come, we continue to invest in our fermentation, which has been our core in what we've been doing as a differentiated offering for more than two decades and we are building on to our portfolio in fermentation. So, that would continue to be one of our focus areas.

The second is peptides, I think the opportunity that peptides offer -- I had mentioned sometime back that over the next 10 years we look at almost US D 100 billion addressable market and, again, this has been, while many companies are attempting peptides, I think this is really about science, cutting edge science, and we think that the capabilities and the experience that we have had in developing molecules like peptides, we do have a good head start and we'll be able to play in this area very competitively in the years to come. And, of course, we are looking at injectables as one of the focus areas where we would continue to forward integrate some of these peptides as well as the fermentation-based APIs in to injectables and offer thereby continuity of supply and vertical integration to our customers.

And we will, of course, continue to invest in our synthetic pipeline, both onco as well as non-onco, because whether it's in the statin's basket, we will see us. I mean, you know that we have a leadership position in the statins globally both in the API and now in formulations in the US and we would continue to invest selectively also in the synthetic area.

Now, combining all the core strategies, which I mentioned, over a period of next four to
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five years, on a CAGR basis, I definitely expect a high double-digit growth, so somewhere between, let's say, 17% , 18% to 20% kind of growth over a period of five years.

Nitin Agarwal: And, Siddharth, on fermentation apart from the business you highlighted, peptides I understand, but on the fermentation barring immunosuppressants are there any large sub-segments you're focusing on, that can become bigger going forward?

Siddharth Mittal: See, there are two ways to look at it. In the existing capabilities that we have here, we have not really worked on any new molecules over

the last few years, and then we are

working on handful of molecules. I mean, let me remind you that fermentation universe is not very large, there is still a limited number of molecules. So, some of the important molecules which we did not previously develop, we are working on it now.

The second aspect is, we are also looking at other areas of fermentation like potent fermentation, which we have never done in the past. There is precision fermentation, so there are other areas of fermentation where we can expand and we are evaluating what else can we do, including things like microbial fermentation.

Nitin Agarwal: Nice. And last one from an infection perspective, at what stage do you see the profitability in infection in the business?

Siddharth Mittal: I think, I mean, of course, when I dissect our existing business, our fermentation business is quite profitable, but, of course, it's being cannibalized by the synthetic products, which have been under pressure for last few years. Now, from an infection point, I think, the margin expansion should happen again from peptides, both API as well as formulation and majority of the profits are going to be driven by few molecules. And I think Copaxone, or

glatiramer acetate is one drug which are hoping that we'll be able to get the approval soon. And, of course, the Liraglutides and all. these blockbuster s launches are going to drive the profitability to higher levels.

Nitin Agarwal: Thanks. And just last one on, what is debt that is there in the generic s business ex. of what is sitting in Biologics?

Siddharth Mittal: The Generics business is cash positive. I think, it's almost ₹1,100 -1,200 crores of cash, actually it's almost ₹1,000 crores and there'll be some dividend paid out immediately after the AGM, but we'll still have ₹700-800 crores of cash in the system.

Nitin Agarwal: And so, just, Chini, on Biologics, what would be the net debt situation right now?

M.B Chin appa: It's just above USD 1.4 billion, Nitin.

Nitin Agarwal: And this is taking the structured debt as equity .

M.B Chinappa: Excluding structured debt. This is the bank debt that we talk about.

Nitin Agarwal : And earlier you mentioned something about the covenants, so do the covenant will require any specific fund infusion during the year or next year?

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Kiran Mazumdar Shaw: We'll calibrate it.

Nitin Agarwal: Okay, ma'am. Okay. Thank you.

Saurabh Paliwal: Thanks, Nitin. We'll take the next question from Ishita Jain from Ashika Stock Broking.

Ishita Jain: Hi. Good morning. Thank you for taking my question. My question is on Semaglutide, specifically. Novo Nordisk in their earnings commentary have mentioned shortage in the molecule and the demand is pretty strong, so is there a CMO opportunity for us in Semaglutide?

Siddharth Mittal: Well, that's for, of course, Novo to decide if they want a CMO. There have been already couple of players in the US, so we were not amongst the first to file for Semaglutide. We have it under development and we, of course, expect that will be on the 181-day of Semaglutide, but at this stage, honestly, we have not explored being the CMO, because typically you know that when these innovators look at CMOs, they don't look at competitors. So, since we do have a generic product under development, it's unlikely that they will pick any generic players as a CMO. If at all, then they will bar the generic company to launch their own drugs. So, I mean, Novo is already working with pure play CDMOs or CMOs to manufacture Semaglutide and I think that's what would be more apt for them rather than looking at a generic company .

Ishita Jain: Got it. And can you talk about the strengths we have for Semaglutide that we will be looking for?

Siddharth Mittal: Well, I think it's the science.

As I mentioned that these are complex peptides to develop, characterize these molecules does require a lot of understanding of these molecules in the amino acids and how you kind of link them and synthesize these molecules and that's the..

Kiran Mazumdar Shaw: She was asking about the strengths , so I think we will develop both strands for weight loss and the diabetes.

Siddharth Mittal: Okay. There are three formulations for Semaglutide - Wegovy, Ozempic and Rybelsus – the oral , so we will be developing all three.

Ishita Jain: Got it. Thank you so much.

Saurabh Paliwal : Thank you, Ishita. The next question is again from Nithya from Bernstein. A follow -up.

Nithya Balasubramanian : Thank you. This is again on Semaglutide. So, Semaglutide, the registered process is a recombinant process, but if you look at during discovery, it was actually done using a synthetic process. And I can fully imagine players trying to figure out a synthetic process because your COGS and operating efficiency is much better. So, do you see that as a threat to your cost position? And a broader related question which is that, if I look at Tirzepatide, I think it's a synthetic process? I know there are lot many more peptide s in the pipeline, but do you eventually see synthetic route of synthesis being figured out for most of these and therefore your fermentation capacity is not really having long -term growth potential, how do

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you think about it?

Kiran Mazumdar Shaw: Contrary to your perception, actually recombinant processes are more effective and cheaper to produce.

Siddharth Mittal: Yeah.

Kiran Mazumdar Shaw: I think, the big question is the clinical trials that might be needed to establish the immunogenic similarity. I think, that's why people prefer to go down this synthetic route.

But we have capabilities in both, and we will basically, closer to the timeline, decide how do we approach this particular opportunity.

Siddharth Mittal: So, we will have both the products, synthetic as well as recombinant. And I think that's what will be the differentiator compared to other competitors, who mostly have only synthetic product. And the regulatory path today, especially in the US, is more driving towards the synthetic than towards recombinant. And, as Kiran mentioned, if it's a recombinant product you need extensive Phase 1, Phase 3 kind of trials .

Kiran Mazumdar Shaw: Or at least Phase 1.

Siddharth Mittal: At least Phase 1. And COGS, I think, Kiran already mentioned , in fermentation , is lower than synthetic . But when you look at the overall cost of the drug product, it's not a big differentiator in cost, because the majority of the cost comes from devices and drug product ■■■ling than from the API alone.

Nithya Balasubramanian: Thank You!

Saurabh Paliwal: Thank you, Nithya. We will take the next question of Sai Priyanka from MedSphere. Please go ahead.

Sai Priyanka: Hello. Good morning, everyone. Thank you for the opportunity. I would like to ask about Yesa■■li. And what were the key points presented in the closing arguments of the BPC IA patent dance case between Mylan product and Regeneron? And how might these arguments impact the approval and launch of the Yesa■■li? Thank you.

Shreehas Tambe: So, let me respond to that question. See, there are things on the argument that I won't comment on, which is in the litigation, but I will tell you that this has been a very different litigation in terms of an expedited request that was made, where we are litigating on a number of patents which are limited. And we will look to see how the interim judgment comes through. As I've responded earlier, there is a guidance date, but we don't know exactly how that will play through.

Now, as regards to whether it has an implication on the approval, the answer to

that is only

for the ■■■nal approval. The approvability through a conditional approval, like we talked, and Kiran referred to in her opening remarks, where Health Canada has already approved conditional to the outcome of the litigation or the loss of exclusivity basically. So that is where it does not affect. You've also seen the European Authorities recommend the CHMP for approval and we're looking forward to the FDA to do the same. So, we look at that conditional approval, subject to LOE.

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Sai Priyanka: Okay. Thank you.

Saurabh Paliwal: Thank you, Sai. Ladies and gentlemen, that's was the last question for today's call. I thank you for joining us today. If you have any further questions or need clarifications, please do get in touch with us. With this, we will conclude . Have a wonderful rest of the day. Thank you.

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability .

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BIO/SECL/SP/2023 -24/122

November 20 , 2023

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q2 FY24

This is further to our earlier letter dated November 11, 2023 , regarding presentation and video recording of Q 2 FY24 Earnings Call held on November 10 , 202 3, please find enclosed herewith the transcript of the Earnings Call .

The same is also available on the website of the Company at [https://www.biocon.com/investor -relations/financial -information/earning -call-transcripts/](https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/) .

Kindly take the above said information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer
Membership No.: ACS 18776

Encl. as above

Speakers from Biocon Limited , Biocon Biologics Limited & Syngene International

Dr. Kiran Mazumdar -Shaw – Executive Chairperson, Biocon Limited & Biocon Biologics Limited
Mr. Peter Bains – Biocon Group CEO
Mr. M.B. Chinappa – Strategic Finance, Biocon Group
Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
Mr. Shreehas Tambe – Chief Executive Officer & Managing Director, Biocon Biologics Limited
Mr. Indranil Sen – Chief Financial Officer, Biocon Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Shibaji Biswas – Chief Financial Officer, Syngene International
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Dhaval Bhalodia – Individual Investor
Yash Tanna – Ithought Advisory
Surya Patra – Phillip Capital (India) Pvt. Ltd.
Jainil Shah – JM Financial Institutional Securities Limited
Nithya Balasubramanian – Sanford C. Bernstein & Co .
Shyam Srinivasan – Goldman Sachs Group, Inc.
Rumel Dahiya – Individual Investor

Prepared Remarks Session

Saurabh Paliwal:

Good evening, everyone. I'm Saurabh Paliwal from Biocon Investor Relations team, and I would like to welcome you to Biocon's Earnings call for Q2 FY '24.

I would like to indicate that all the participants will be in a listen -only mode, and there'll be an opportunity to ask questions after the opening remarks conclude. Should you need to ask a question please raise your hand in the reaction tab of the Zoom application. We will call out your name and unmute your line to enable you to ask a question, while asking please begin with your name and organization.

Please note that the chat box is disabled, but you can raise any technical concerns by sending us an e -mail to investor.relations@biocon.com

I would like to bring to your attention that this conference call is being recorded. The recording will be made available on the website within a day, and the transcript will be made available subsequently .

Today to discuss this quarter's business performance and future outlook for the company, we have Dr. Kiran Mazumdar -Shaw, our Executive Chairperson; Mr. Peter Bains, Group CEO ; Mr. Siddharth Mittal, MD and CEO of Biocon Limited; Mr. Shreehas Tambe, MD and CEO of Biocon Biologics, along with other senior management colleagues across our business segments.

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Before we begin, I would like to point out to everyone the safe harbor related to today's call. Comments made during this call may be forward -looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that our business faces, that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

After the end of this call, if you need any further information or clarifications, please do get in touch with the team. With this, I would like to turn the call over to our chairperson for her opening remarks. Over to you, Kiran.

Dr. Kiran Mazumdar -Shaw:

Thank you, Saurabh, and good evening , everyone. Let me begin by wishing everyone a very happy Dhanteras and a very, very happy and prosperous Diwali. Let me wish you all health, happiness and prosperity in your homes and let's hope that the year ahead is going to be very prosperous for all of us and for our country.

I would now like to provide you with a broad overview of the group's financials .

Total revenue for the quarter was **₹3,620** crores, up 52%year -on-year.

Revenue from operations increased by 49% year -on-year to **₹3,462** crores with biosimilars' revenue at

most

doubling, of course, reflecting the acquisitions from Viartis. Research Services delivered a strong revenue growth of 18% while Generics grew by a modest 4%.

Core EBITDA grew by 35% to **₹1,100** crores, reflecting a healthy core operating margin of 32%.

Let me now introduce two senior executive appointments , Mr. Kedar Upadhye, who joined Biocon Biologics

as the new CFO. Kedar brings over 23 years of global financial leadership in the pharmaceutical industry. His deep experience and expertise will enhance our ability to unlock and drive future value in Biocon Biologics. Secondly, I would like to welcome back Mr. Peter Bains, who, as you know, assumed the role of Group CEO in September. Peter will be responsible for supporting me in evolving strategy and driving synergies between the three group companies. And this is with the aim of maximizing the combined value for all stakeholders. Peter's comprehensive understanding of the Biocon group, coupled with his extensive global leadership experience and successful track record across the biopharmaceutical sector will enable us to capitalize on the shared value of our three businesses and add impetus to the group's growth strategy.

On that note, and as a part of Peter's new role, I would like to hand over the floor to Peter, who will lead the earnings ' calls going forward. Over to you, Peter.

Peter Bains :

Thank you, Kiran, and good evening, everybody. And , let me first say how delighted I am to be rejoining Biocon. It's a real privilege and pleasure and I'm very excited to be rejoining the group at such an exciting and dynamic stage of its evolution.

Before discussing business performance, I want to take this opportunity to welcome other new leadership hires in the group . In Biocon Biologics, we have three appointments. Dr. Uwe Gudat joins as the Chief Medical Officer. Dr. Arlene Wolny joins as Global Head of Regulatory Affairs and Mr. Ramprasad Bhat joins as Head of Branded Formulations in India. At Biocon Limited, Mr. Nitin Tiwari has been appointed as the Head of Quality for the Generic business.

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Q2 FY2024 Performance

Let me now expand on Kiran's opening view on the performance for the quarter.

As Kiran stated, Total revenue and core EBITDA for the quarter were **■3,620 crores** and **■1,100 crores** respectively. R&D spend s for Q2 stood at **■264 crores** as compared to **■242 crores** last year, corresponding to 10% of revenues, excluding Syngene. The R&D investments are largely attributable to advancing BBL's strong pipeline of biosimilar molecules as well as developing new peptides with a focus on GLP -1s in our Generic business. The benefits of these investments in research and development are expected to play out in the coming years.

EBITDA for the quarter was up 68% at **■900 crores** versus **■535 crore s** last year with an EBITDA margin of 25% as compared to 22% last year.

Depreciation , amortization , and interest increased by **■376 crores** over last year, primarily related to the biosimilar business acquisition costs.

Consequently, Profit before tax and exceptional items stood at **■238 crores**, marginally down from last year.

Net Profit for the quarter before exceptional items stood at **■142 crores** as compared to **■168 crores** in the previous year.

Exceptional items during the quarter amounted to **■16 crores**, net of tax and minority interest. These relate to the reversal of production -linked incentive scheme accruals of the last fiscal consequen t to the cap on annual claim allocation as well as transaction cost of the proposed Stelis facility acquisition by Syngene.

Exceptional items last year amounted to **■122 crores** . And therefore, reported Net Profit stands at **■126 crores** as compared to **■47 crores** last year.

Let me now turn to discuss the Generics business segment's performance . Generics reported an operating revenue of **■6**

76 crores for the quarter, a growth of 4% over the same period last fiscal. Core EBITDA margin for the quarter stood at 23% with a Profit before tax at **■66 crores** , representing a Profit before tax margin of 10%. Revenue performance for the quarter was driven by continued traction in the U.S. Generics Formulation business through additional volumes in statins and recently launched products and most -of-the-world market expansion.

On the API side , performance was muted due to the phasing of supplies because of a planned maintenance shutdown for one of our key products as well as pricing pressures.

We made two significant announcements during the quarter. First, we announced a partnership agreement with Juno Pharmaceuticals, a specialty pharmaceutical company in Canada for the commercialization of Liraglutide for the treatment and management of Type 2 diabetes and obesity in Canada.

And secondly, as part of our plans to strengthen our foothold in the North American market, Biocon acquired the oral solid dosage U.S. manufacturing facility of Eywa Pharma located in New Jersey. The acquisition of this U.S. FDA - approved facility, our first in the U.S., will strategically enhance and complement Biocon's existing manufacturing capabilities. The facility will enable the immediate addition of oral solid dose capacities for new products earlier than planned and ensure continuity of supply throu gh the diversification of our manufacturing infrastructure. The facility's

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employees have transitioned to Biocon and the process of qualifying the site for some of our products has already been initiated.

We are pleased to see positive outcomes on the regulatory front with several generic formulation approvals obtained in the quarter, one in the U.S., two in Europe and four products in most -of-the-world markets. Further to this, we've received two API product approvals each in the United States and in Europe.

Regarding our capital expenditure program , we crossed an important milestone in the quarter with process validation of the company's greenfield immunosuppressant API facility in Visakhapatnam, which is now successfully completed. We now expect commercial supplies to begin in FY'25, post qualification of the site by global regulators. This new

capacity for immunosuppressants will enable us to diversify our manufacturing footprint and address the growing demand for these products globally.

In the second half of the year, we see a mix of both opportunities and challenges. On the generic formulation side, we expect a sustained performance supported by a gradually improving environment in the U.S. market. On the API side, we anticipate some recovery. However, pricing pressure and higher inventory stocking at our customers could impact offtake.

The recent and successful outcomes from inspection of two of our sites by the U.S. FDA reiterates our commitment to quality excellence as we continue to work on strengthening our mid - to long -term proposition with increased investments in portfolio, R&D capabilities, and infrastructure to deliver on our strategic plans.

Moving now to Biocon Biologics .

Let me start by providing an update on the transition of the acquired business from Viatris to Biocon Biologics. Our accelerated integration plan has been progressing well. In addition to the 70 emerging markets transitioned in July, we have now fully completed the integration of the North America business resulting in seamless commercial operations in the region from September 1 st. We remain on track to transition the business in Europe, Japan, Australia and New Zealand and the remaining emerging market countries later during the year, which will complete the integration of the acquired business.

The transition and the integration of the two businesses is a critical milestone in our journey as it enables the mo

st

important strategic rationale of the acquisition and that is the creation of a globally scaled and fully vertically integrated lab-to-market biosimilar enterprise.

Turning now to the business performance and starting with the United States. We continue to see good momentum across our oncology and our insulins portfolio. Fulphila, our biosimilar Pegfilgrastim , market share has grown to 19% in September versus 11% last year.

The market share for Ogivri, biosimilar Trastuzumab , stands at 12% versus 10% last year. We continue to add new customers for these products . A large benefit provider covering 100 million lives has added Ogivri and Fulphila to their 2024 medical drug list enabling further market share growth in the coming year.

The market share for our Insulin Glargine is at 11% in September. The volumes supplied through a large managed care network contract , not captured in these market shares, are over and above the IQVIA data. Furthermore, starting on January 1, 2024, we have added two large payors to our Insulin Glargine customer base, which should help further

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enhance our market share.

These strong market performances of our products demonstrate the commercial capability of our U.S. team and continued addition of new customers for these products enables volume growth accommodating for price erosion.

Turning now to Adalimumab . The market adoption of biosimilars has very clearly been slower than anticipated across the market. And of course, this has also affected Hulio, our biosimilar Adalimumab. Notwithstanding these early market dynamics, our focus remains on expanding market access to drive adoption. We remain engaged with customers to add our product to their formularies , and I'm pleased to share that our product has been enlisted with the commercial standard opt -out formulary of a large purchasing organization and corresponding Managed Medicaid business, covering over 8 million lives. It has also been added to the National Preferred Formulary for Medicaid members of one of the largest Medicaid managed care organizations - covering 7 million lives.

Turning now to Europe . Our products continue to make steady gains. The market share of Fulphila has grown to 8% against 5% last year and Abevmy, our biosimilar Bevacizumab, has grown to 7% against 1% last year. Hulio continues to have market shares of 18% and 11% in Germany and France, respectively. As we complete the transition of the business in Europe to a single fully integrated model, we see the potential to improve business performance.

In emerging markets, Biocon Biologics remains on a steady growth trajectory supported by continuing strong demand for insulins. We continue to increase the depth and breadth of our emerging market franchise.

In quarter 2, there were four new launches and eleven new approvals laying the foundation for future growth. Aligning with our global product focus, we announced the divestment of two non-core branded formulations India business units in dermatology and nephrology to Eris Life Science for ₹366 crores , representing a revenue multiple of around 4 x.

Now coming to the financials of Biocon Biologics .

On a sequential basis, we have seen revenues marginally down by 2% at ₹1,969 crores despite significantly lowering licensing revenues versus last year. Excluding these licensing revenues, sequential growth stands at 6%, reflecting the underlying positive performance of our commercial products.

This has translated into a core EBITDA of ₹660 crores with margins of 34%, in line with our mid -30s guidance.

EBITDA margin for the quarter was 23%, with R&D investments at 11% of revenues.

Profit before tax stands at negative ₹15 crores , driven by an increase of ₹35 crores depreciation, amortization, and interest costs. PBT is expected to improve with future growth in revenue.

No

w moving on to regulatory updates .

The European Commission has granted marketing authorization in the European Union for YESAFILI®, our biosimilar Aflibercept indicated for macular degeneration and diabetic retinopathy. As per IQVIA, Aflibercept had EU brand sales of approximately US\$1.8 billion last year.

The U.S. FDA has issued a CRL for the BLA of our Insulin Aspart, which did not identify any outstanding scientific issues with the product and references the requirement for satisfactory resolution of deficiencies from the pre -approval

inspection of our Malaysia facility.

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Separately, the FDA conducted the cGMP inspection of the Malaysia facility in July 2023, leading to observations primarily related to enhancing operational procedures and strengthening training programs. We are fully engaged with the agency to resolve all outstanding concerns.

In summary, we are pleased with the accelerated progress in transitioning the acquired business and with the growth in market share of our commercialized products. While there has been delay in the activation of our immediate near-term catalysts, biosimilars Adalimumab, Aspart and Bevacizumab, these remain to be future growth drivers and beyond these and reflecting the strength of the Biocon Biologics pipeline, other future growth catalysts include biosimilars Aflibercept, Ustekinumab, Denosumab, representing total original sales opportunities of US\$25 billion.

Turning now to Novels.

On the novel side, Bicara recently presented updated and positive interim data from its ongoing open-label Phase I, 1B dose expansion study of BCA101 at the European Society for Medical Oncology (ESMO) Congress. There was strong investigator interest shown in these data and Bicara is now well positioned to execute on its next round of funding, advancing BCA101 and progressing its pipeline.

To remind you, Bicara had announced a US\$108 million Series B financing earlier this year, which is being realized in a staged manner. Because of this, during the quarter, we recorded a step-up gain of ₹75 crores in the consolidated P&L statement.

Turning now to Research Services.

Revenue from operations for the quarter was up 18% to ₹910 crores over last year.

Reported EBITDA was up 19% to ₹276 crores with an EBITDA margin of 30%.

Profit before tax was at ₹158 crores, up 22% over last year.

The performance during the second quarter was bolstered by strong performance in development and manufacturing services and supported by sustained momentum in the dedicated sentence. In Manufacturing Services, Syngene continued to make good progress on the long-term biologics manufacturing partnership with Zoetis.

Coming now to some concluding remarks.

I think that overall, we are very pleased with the progress the group has made in the quarter. Biocon Biologics is on track with its accelerated transition program to create a fully integrated and globally scaled leading biosimilars enterprise. This will advance our ability to leverage the benefits of the fully integrated model and to expand our footprint in the United States, in Europe and most-of-the-world markets in addressing the growing global demand for biosimilar products.

The sustained momentum we've seen in the market share gains with our commercialized products in the United States and Europe, as we complete the transition, demonstrates the effectiveness of our commercial engine as well as driving currently commercialized products. This provides a strong foundation for our future as we look to bring to market a rich pipeline with new product launches planned almost every year through to 2030.

Finally, and looking ahead to the full year, we remain on track to deliver US\$1 billion revenue for Biocon Biologics, mid-Transcript - Biocon Limited Q 2 FY24 Earnings Call Page 8 of 23

teen constant currency

growth in Syngene and an improved second half performance in Generics.

That concludes my opening remarks. And before I hand over the floor to questions, let me end by wishing everybody a very happy Diwali and all the very best for the year ahead. May I now turn the floor over to questions.

Q&A Session

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Saurabh Paliwal : First question for this evening is from Dhaval Bhalodia.

Dhaval Bhalodia : I have the question regarding the U.S. biosimilar industry landscape. Currently, there are three largest PBM and specialty pharmacy holding majority share in the biologic product market. And our brand Hulio is on the formulary of one of the largest PBMs. However, this particular PBM is planning to introduce their own biosimilar brand in collaboration with Sandoz. So given this competitive landscape, I'm curious to understand the strategic approach we are adopting. Could you please shed some light on what strategy we are implementing to negate this competitive environment and how we anticipate the sale of our Hulio brand to fare in the year 2024?

Peter Bains : Shreehas, do you want to take that?

Shreehas Tambe : Thank you, Dhaval, for the question. And I think between Matt and me, we'll respond to your question. Maybe, Matt, you can start and then I can add to this. Do you want to go ahead?

Matthew Erick : Yes. Sure, Shreehas. Thank you. Thanks for the question. I think as we continue to watch the evolution in this whole biosimilar industry as it relates to Adalimumab and our Hulio product. This is a significant, what I would call, a change, but one in which it's not the full portion of everything that we see in the market and the opportunities. This is a position in which a large player has taken, but it's still playing out. What we've seen is them

announcing this. We have not seen the large payor now start looking at all formularies, both commercial and non-commercial formularies. So, we continue to look at our biologics and our platform in regards to the total market itself as it relates to Adalimumab and Hulo, and we're seeing good progression in what we call low-cost sensitive payors. So, just because they've announced this on the commercial side, doesn't limit us to playing in the rest of the full market. So, we're going to continue to watch how this plays out with the company you mentioned and the third party that they have set up. We have been in active discussions with them. We do understand exactly how this market is shaping up. And I think, in my opinion, it's something that we need to continue to focus on, but not something that would limit us to the rest of the market as we go through this. And remember, biosimilars, it's just not an exclusive. Most of the payors will be looking at this, we believe, going forward in a situation where they won't have just one biosimilar, once on Humira the payors decide what they're going to do or release this. We believe the market will reopen up again, and there'll be opportunities no matter what certain payors or

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partnerships are looking like. So, we remain positive about the future and how we're looking at our products, especially our Hulo products. So, I'll turn it over to you, Shreehas, for additional comments.

Shreehas Tambe : Thanks, Matt. I think the only point I'll add to what Matt said was, these are strategies that payors will come up with and I think we will respond to these as the market progresses. I just want to point out that the payor that you referred to also has formularies outside of commercial. And those would be in the Managed Medicare space and the Medicaid space. And you've seen our product being listed on those. So, you will see outside of the particular collaboration that you pointed out, the same payor making selections depending on what prioritizes their decisions on those for

formularies. So as Matt said, we are aware of these things, and we remain in connection and contact with customers engaged in seeing how these decisions are made.

Dhaval Bhalodia: Okay. And my second question is there are a couple of concerns recently that have come out due to the current environment. Firstly, with the 85% of the price erosion on the biosimilar product compared to the brand, in case of Humira and secondly, the higher interest cost on our current debt in the prevailing high interest rate environment. So, I just want to check, I know this is something that recently came up, this was not the case at the time of the Viatris acquisition. But I just want to check if this negative factor was adequately considered or factored into the decision-making process during the Viatris acquisition, and it would be helpful to know if our current debt has fixed or floating interest structure. And where we hedge our interest rate exposure for our debt.

Peter Bains : Thank you for the question there. I think perhaps, again, Shreehas, if you'd like to address the first question and maybe, Sid, you can address the question on interest rates or Chini.

Siddharth Mittal: Yes, I think, Chini can address that as well.

Shreehas Tambe : Yes. I think the question Dhaval is very valid. I think from the time we've announced the Viatris acquisition back in February of '22, obviously, things have changed, then interest rates have revised overall.

As Peter mentioned, even in his opening remarks, we've seen Adalimumab behave differently in terms of the slower ramp up than expected. We had obviously guided for a slower 2023 with pick up beginning in '24 and '25 being the real opportunity. Things will probably play out in that manner, but '23 has been slower than what we had initially planned.

So, to that extent, you're right, things have moved a little bit. But the opportunity remains intact. And this moves by a couple of quarters into 2024. To your question on what these interest rates have been and how they've moved, I'll defer to Chini. Chini, do you want to take that up?

M. B. Chinappa : Yes. So as far as the US\$1.2 billion loan is concerned, we've kept 1/3 rd open to allow for early prepayment, 1/3 rd has been hedged and 1/3 rd is open for the pre-interest rate movements. So that's how we manage the...

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Shreehas Tambe : It provides enough flexibility to accommodate for how we are moving forward Dhaval, if that's what you're looking for.

Saurabh Paliwal : The next question is from Yash Tanna.

Yash Tanna: So, my question, sir, I'm trying to understand the PBT number for Biocon Biologics.

So last quarter, we said that there is a one-off US\$15 million expense due to the legacy contracts. And before that, I mean, if I add that back, and in Q4 we did about ₹150 crores. So, I'm not able to understand even with the ₹35 crores increase Q-on-

Q, the number on the PBT side .

Peter Bains : Again, I think that's Shreehas, Chini .

Shreehas Tambe : Chini, why don't we explain this to Yash, and then we'll walk him through. I think we've had a healthy performance in the business and how the PBT is impacted, maybe you can explain that.

M. B. Chinappa: As you noticed that there's been a strong improvement in our core EBITDA performance for the quarter. We have moved from ■513 crores to ■660 crores whereas the EBITDA is kind of flat at ■450 crores mark, ■457 crores in Q1 and ■453 crores in Q2. And that's largely because Q1 had the benefit of licensing income, which played out and that help improve the EBITDA for the quarter. This quarter, you've seen strong sales performance, no licensing income or meaningful licensing income. And EBITDA is back up at ■450 crores despite no licensing income. And as I indicated earlier, the strong performance at the core EBITDA line.

When we go to the PBT line, we have

kind of moved from plus 24 to minus 15, and that's largely because of the increased amortization cost consequent due to the launch of the biosimilar Adalimumab in the U.S. So, there's been a step up or increase in the amortization charge.

Yash Tanna: Got it. And my second question is related to the growth, at least in the near to mid-term . With observations on the Malaysian facility , are we anticipating Aspart for FY '24? And if not, how are we planning to grow above the US\$1 billion target that we had set at the start of the year?

Shreehas Tambe : Let me respond to that, Yash. I think from Aspart perspective, I think the development has been positive in terms of the engagements that we've had with the agency, and we will be in active engagement with the FDA early next year. So, once we have clarity on what exactly it is that they expect you to do, we will be able to give you more color in terms of when that opportunity is realized , whether it is early '24 or it's later. But I think it's important to see what the growth drivers were when we began the year. We exited Q4 of the last fiscal with an exit run rate of US\$1 billion, and we were looking to grow that business with the growth drivers, particularly driven from the commercial products. And as you heard in Peter's opening remarks, all our products have grown in market share over the last year. So, one of the most reassuring things is in the major geographies both in the U.S. and in Europe now, we're seeing very strong growth in all our commercial Transcript - Biocon Limited Q 2 FY24 Earnings Call Page 11 of 23

products. Now as U.S. still moves on with these approvals with the FDA, one of the important things for commercial products and we've got seven products approved in the EU.

And Adalimumab has done well in Germany and France, but we have a lot of headroom in the other products where we could grow from the base that we've got. And we're starting to see that with Bevacizumab, which has moved from a low base of 1% to 7%, and we are starting to see that in other products as well.

So clearly, there's an opportunity to grow from the base that we exited last fiscal , to where we are now. We also do look forward to the opportunities with Hulio. Like Matt said, we haven't given up on that or it's not a closed opportunity. We believe that this is an opportunity which is intact, but just shifted at this point in time. And as payors and as markets outside of the commercial channels open up, we will look at that also driving growth into calendar '24. So that's where we are in terms of where we see this growing from the base that we exited last fiscal.

Saurabh P aliwal: We'll take the next question from Surya Patra .

Surya Patra: My first question is about the like -to-like growth that we will be seeing in the biosimilars operation. So, in fact, the specific question is that we have seen a kind of good ramp -up and good adoption of our biosimilar s by payors in the recent period. And also, the integration has provided some kind of additional foothold in the U.S. market and simultaneously, we have seen some kind of incremental pricing pressure for the biosimilar. So, net -net, if you see on a Y-o-Y basis we have almost doubled in terms of reportable revenues in the biosimilar business. But is it possible to share what is the like -to-like growth that we would have seen? And the extension to that is that, see whether we are doing better in the non -U.S. market compared to the U.S. market at the current juncture, if you can share that?

Peter Bains : Shreehas, I think, again, to you.

Shreehas Tambe: Surya, I think one of the things that we've not done so far is give product by product details. So that's something that we've not disclosed at this point. I think one of the things when we look at better over last year, and we see almost all geographies performing better over last year. We've

put out the major geographies in the U.S. and EU by product. And we've shown that growth in terms of how we performed over last year. So, I think it's been a very clear pattern that in the U.S. as all products have performed well, and we are seeing that growth across the EU as well. So, we are seeing that move up. Price erosion, as I've said even in the past, is an outcome of competition. So that's something that you will continue to see. And that's where volume growth is extremely important. So, these market shares have come at a stage where we've looked at preserving ASP. So, we haven't gone chasing market share at a crazy ASP. So, we've been able to conserve, preserve value and build those market shares in a very steady, measured manner so it's grown over time in a profitable way as we've offset the price erosion that's happened over the course of time. But to go and look at every product by geography, I don't think we've shared those details

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so far.

Surya Patra: In fact, the basic point I was trying to draw from my question is that, see the spend on the U.S. biosimilars, it is obviously significantly higher compared to the emerging market. Basically, we are utilizing the same dossier for the other markets, non-U.S. market. And non-U.S. market, it seems is growing better than the U.S. market in the current juncture, because of a branded play and all that. So, my sense is that, see, unless until we cover up the R&D spend, the incremental R&D spend after the integration of Viatris operation, what we have seen, from the incremental U.S. revenue, we may not see much ramp-up in or increment in the margin profile. So that is why I was trying to assess that whether the current performance has been supported by the non-U.S. market, which is branded business growing relatively better compared to U.S., but U.S. possibly we'll see the ramp up only after the commercialization of the pipeline products.

Shreehas Tambe: Chini, do you have any additional color for Surya in terms of the margin profile by regions?

M. B. Chinappa: We don't disclose margin by geography or product lines.

Surya Patra: Sure, sir. Okay. My next question is on the large Medicare payors who have adopted our products in the recent period. So, with that, what is the kind of theoretical market share that we can see for our Glargine as well as Herceptin.

Shreehas Tambe: Matt, you want to go ahead?

Matthew Erick: Yes. I'll take it, Shreehas, and then I'll pass it over. I think what this demonstrates is good demand for Biocon Biologics' products. As we bring on these new payors, certainly, we are looking for that market share increase, and we anticipate that. But right now, to say exact numbers, it's early. All we know is what Peter highlighted in his opening comments is that we have won 2 significant payors that will be starting in the first of the year or have started that will be a nice contributor to our insulin franchise.

And then also we continue to see additional traction, and this is what we are excited about, in North America, additional traction in our Trastuzumab, in our Pegfilgrastim as we continue to win those payor awards as well as adding new ones. And then we've also seen, as Peter said in his opening comments, some nice wins in regard to our Adalimumab and our Hulo. So, to say exactly what those market shares will be, it would be hard to project, but we are anticipating that growth because the additional wins and the demand for our products across the board, whether that be in our insulin or oncology or even in our immunology.

So, I think it shows and demonstrates as Peter and Shreehas shared as we are cutting over and we say this, and I've said it before, biosimilars is not just what we do, it's all we do. And I think that's really the focus that allows us to continue to see this p

rogression as

well as our manufacturing and our vertical integration to continue to compete.

Lastly, I'll say across our products and why I think we continue to see this uptake is (No audio @ 45:55) can come back in, but we are dedicated to the market. And I think that

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shows in our value to our customers and the ability to maintain the products that are needed for patients that rely on all of our products and our commitment to the market, both in North America and Europe, as you can see, market share continues to increase there.

Surya Patra: Sure. Sir, just with your permission, one last question from my side related to regulatory compliance. So, my sense is that insulin Aspart possibly was the low-hanging fruit on that regulatory compliance or advancement front. And subsequently, we were thinking about Bevacizumab linked to the Bangalore site. So, is it fair to believe, with the CRL what we have achieved for Malaysia site, the development of this Bevacizumab and the plant related development regulatory in the Bangalore site will only happen post Malaysia plant's clearance or both are happening parallelly?

Shreehas Tambe: Surya, let me respond to that question. The Aspart CRL is an independent issue from the

current status that we have with the FDA at this point in time. The Aspart CRL is an outcome of the inspection that we received in August -September of last year. And they had already accepted our CAPA. They found it to be adequate, and they had written to us that they would need to verify the completeness and the effectiveness of those CAPAs when they do that in a follow -on, pre-approval inspection. That inspection was to happen before the goal date in October of this year. That pre-approval inspection was not scheduled. So, the Aspart approval is linked to us having that inspection, which has not been scheduled. The status in Malaysia is linked to the surveillance GMP inspection which was scheduled for products approved and commercial, which is not related to Aspart at all. So, these are 2 de-linked activities. And as far as India site is concerned, we continue to supply the commercial products. The pre -approval inspection is for Bevacizumab and for additional capacity for Trastuzumab. So those are different requirements. And at this point, we wait that inspection, which is scheduled for Q4 of this fiscal year. Obviously, whenever you have a regulatory observation, you want to make sure that globally, all your sites and all your networks benefit from whatever actions you take. And our quality team, led by Michael and then our Chief Operating Officer, Rhonda, who are also on the call, they've put in place a very comprehensive program to make sure that we've implemented these practices, so that the agency continues to see the upgrades that we've made on our quality maturity journey that we have been on. Clearly, it's a step up in terms of what we are looking to do. And that's a process, that's a part of our business, which we continue to invest in.

Saurabh Paliwal: We have the next question from Jainil Shah from JM Financial.

Jainil Shah: My first question is on Aflibercept. So, is there an update on the litigation? And if all goes well, when is the earliest we can launch this product?

Shreehas Tambe : So, Jainil, the litigation update is as we've shared in the past. We do not have any further updates. The trial is completed and at this point, we await the decision from the judge to see what the next steps would be. That's where we are on Aflibercept. In terms of launch date, I think at this point, since we are in an IP litigation, it wouldn't be fair to comment on what that would be.

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Jainil Shah: Sure. And at the time of acquisition, there were certain deferred payments to be made in FY

'25. So, is it linked to any milestone? And what is the quantum payable?

And how do you plan to pay that?

Shreehas Tambe : I don't think there's any milestone. Chini, is there any milestone linked to this? Not to my knowledge.

Jainil Shah: Okay. But it is payable in FY '25, right?

Shreehas Tambe : That's correct. Right, Chini?

M. B. Chinappa: Yes, it is payable in FY '25.

Jainil Shah: And we'll be paying from our internal accruals, or we'll be raising money for that?

M. B. Chinappa: Combination. We have different ways to pay down the deferred payments. Largely, yes, internal growth, and we could have some other fund flows that we planned for.

Jainil Shah: Okay. And just on the filing status. So, we were supposed to file Stelara by this year end, Denosumab by next year and Humira interchangeability. So how are the trials progressing?

Shreehas Tambe : So, Jainil, happy to share with you that we are on track for both Ustekinumab, which is before the end of this year, and for Denosumab at the end of next year. So that stays on track. And we have passed the trial, but we, of course, talk about it only once the applications are made and the dossiers are submitted and accepted by the agency.

Saurabh Paliwal: We take the next question from Nithya Balasubramanian from Bernstein.

Nithya Bala subramanian: First question is on Glargine. You had alluded to two new payors now adding Glargine to their formulary. If you can tell us what number of commercial lives or I'm assuming it's commercial, but what number of lives that it represents?

Shreehas Tambe: Matt?

Matthew Erick: This point, this remains confidential on these lives. But I can tell you, they are large payors. And why it remains confidential, we're still on track to be able to announce this. But at this point, we are not disclosing that.

Nithya Balasubramanian: Understood. You had spoken about managed care organization where you were expecting to see better traction in insulin glargine this year. However, if I look at the data, I'm actually seeing a slight slippage in market share. So, what's happening there? Why haven't we seen progress?

Matthew Erick: Yes. Shreehas, would you like me to answer?

Shreehas Tambe: Yes, please go ahead.

Matthew Erick: Yes. Some of the IQVIA data, there are some large payors, closed door networks that don't report. So, you're seeing some quarter -over-quarter buying patterns but you're not

seeing the full picture because of the way folks in IQVIA report or don't report, but we continue to, as Shreehas said, maintain that mid - to high teens. And I think with the new large payors coming on board, we'll definitely have something to be able to hit that target with.

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Shreehas Tambe: Just one thing to add, Nithya, to what Matt said, when you have a closed -door network like Peter referred to also in his opening remarks, when they do not report in the IQVIA data, one of the good things about this is that it's an exclusive channel, which also sees a very high degree of conversion to the brand. So, it straightaway comes to Semglee or insulin glargine with an over 90%, 95% conversion in a quarter's period.

Nithya Balasubramanian: How do you see the adoption of GLP -1s impacting insulin volumes? Do you see that as a mid- to long -term trend?

Shreehas Tambe: At this stage, and again, this is just to be qualified appropriately, but we see this as complementary treatments, things that will co-exist over a period of time and I will defer to Peter. Peter, if you would want to give an overarching view on GLP -1s and insulins together?

Peter Bains : So, I think you take the nature of the answers, Shreehas. I mean I think they would be complementary. Insulins would be, obviously, for Type 1 diabetes. GLPs would be more to the Type 2. And of course, beyond that, the weight loss opportunity. And thi

s talks to

the investments that we're making in the Generics business and building a peptides technology capability and capacity to take advantage of what could be a very, very strategic peptide opportunity with GLPs at the center. Analyst estimate s of what the loss of exclusivity for GLPs could look like over the next 10 years, hover around the \$100 billion mark. So that's a very big opportunity for the Generics business and very complementary to the Biologics business with insulins.

Nithya Balasubramanian: Got it. And finally, any updates on your interchangeability study for Adalimumab, when might you be expected to file the product? And for Stelara, again, would you again be going after interchangeability? We know that a peer now has an interchangeable designation for their biosimilar .

Shreehas Tambe: So, two things. On the Adalimumab study, we've already said it's underway, and we should have the outcome to discuss in the coming calendar. So that's one. On the Stelara piece, we feel quite confident on the interchangeability discussion. We're starting to see that come through. The agency believes that it can happen, and we feel very strongly for our product as well.

Nithya Balasubramanian: Sorry Shreehas, do you mean an interchangeability designation of S telara without doing a switching study or...

Shreehas Tambe: We don't want to disclose, Nithya, specifics of our strategy, but we feel good about how our interchangeability should work.

Saurabh Paliwal: The next question is from Shyam Srinivasan from Goldman Sachs.

Shyam Srini vasan: Just want to reflect on the last 12 months from a Biocon biosimilar perspective. I remember when we were talking about the acquisition or even in the first quarter of the acquisition, we were talking about this US\$1 billion run rate. We are talking about the same US\$1 billion for this fiscal as well. So, I just want to understand, which are the pieces that we think did not materialize for us to see growth over a 12-or a 15 -month period?

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And underlying profitability for the business, I remember at that time, it was roughly 25% is what was kind of thought of and I'm including R&D, not looking at core EBITDA or something. Net debt to EBITDA at that time, it probably looks like now closer to between 4 and 5. What are the plans for us ? If you remember, as cash flow gets generated, we wanted to pay down debt. So just the overall piece of doing the transaction at that point of time and 12 months out, how does it look? And which are the pieces tha t are probably not working, maybe which are working?

Shreehas Tambe: Let me take it, Peter. Is it okay?

Peter Bains : Yes, please do, Shreehas. I'll comment at the end.

Shreehas P Tambe: Okay. Shyam, I think that's a very fair question in terms of where it is. And I think you're right, some things have worked well for us , and some things have not gone well. And it's not just gone well for us, probably not gone well even from an industry perspective, so more like a class effect. From what's gone well, we've talked about it, where we've seen that off the base that we came off from last quarter last year, we've been able to do what's in our direct control, where we've been able to gain market share as we've transitioned that business sooner than what was there.

So, we are more in control of our destiny than before. So, in terms of value, more than

50% of the value of the business is now transitioned to Biocon Biologics. So, these are all the good things that's allowed us to gain control of it. Things what surprised us and what didn't go well in terms of the legacy contracts that led to rebates, which we had to accommodate in the P&L, some of which hit us in a big way from a quarterly perspective. We have better control on that now.

The growth drivers that we looked at have certainly deferred.

So, what didn't work very

well was the Hulio launch, which we expected on July 1. We were able to launch the product as planned, but from the entire industry segment itself, none of the biosimilars have been able to win market share in 2023. And I think that's something that's to be looked at, because the opportunity moves and remains intact at this point in time. We have some work to do because we've taken over the business post the launch. But our teams are working and engaging with customers to see how we can get into formularies because that's an area that we haven't been successful in yet. So clearly, we are doing that for the commercial formulary.

Aspart is something that has indeed surprised us. The pre-approval inspection, we believe that we have a very strong quality management system in place. But of course, given that we've got approvals in almost every other geography, we still have to win the confidence of the FDA. And at this point, that's the process and we are just going to be working to see how we can win credibility with the agency.

We have approvals with EMA, with Health Canada, TGA, Anvisa, Cofepris, you name the agency. But I think what's not gone well for us yet is that we haven't been able to get across the line from an FDA perspective. And that's something that I can tell you, our entire leadership is focused on, and we should see success sooner than later, because of the efforts that we are putting in and the discussions we've had.

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So, I think if you do a full SWOT of it, there are things that have gone in our favor, and there are things that we could have done better. But the important thing is that these are opportunities which have shifted, and we believe they're still to be realized in the coming quarters. But I'll pause, and I'll see Peter, if you want to add something to that.

Peter Bains : Sure. Thank you, Shreehas. I think the only thing that I would add to which I think you've given a very comprehensive answer is, the progress made in the transition. As Shreehas has alluded to, we have not yet got our hands around 50% of the business, only just in the United States.

So, it's not a steady state. We're going through a complex transition and we're doing it in an accelerated shortened period of time and there are a lot of things that we need to do. Shreehas has alluded to very many of them. And again, I think the entire team is focused on navigating through the transition, getting our hands around the full business and our hands on the steering wheel.

Once that integration is complete and we've consolidated, as I think many of the questions have provided point us to, we see a very healthy growth future ahead, driven by the market share gains where we've got into commercial products. Of course, those are offset to some extent by price declines. But by a very healthy pipeline that once we get through the FDA discussions, augur well for the future. So, it's not, I think, the right way to look at this is a steady state at this point in time. I think in another 2 quarters, we will be really gone through the integration and consolidated and then we'll be steady state and have the kind of trajectory that we're looking at.

Shyam Srinivasan: Got it. Very helpful. Just a second question to Siddharth on the Generics piece. I think API business, I think you mentioned that there were pricing pressures, muted growth, I think one product where you have taken pause perhaps. So just want to understand what's happening there. We already had some guidance for Generics but looks like we have not mentioned anything except that 2H will be better. So just that color on both API and Formulations.

Siddharth Mittal: Thanks, Shyam. Yes, we've had a H1 growth of 9% in the Generics business. In quarter 2, specifically, we have also seen a very good growth in the For

mulations business, which

continues to perform well. We continue to gain market share in statins, and we also expect to launch a couple of new products, and that's what is going to probably drive the growth in the coming quarters. Of course, it will take some time before we see this ₹200 crore odd number per quarter that we are clocking in the Formulations business go up significantly.

But in the API business, the reasons you mentioned, we have one of the plants which underwent a planned shutdown. Hence, there were capacities that we could not manufacture, and we expect to cater to that customer's demand in the coming quarters.

So, it has just moved to the next quarter.

But at a macro level, when I look at it, there has been an impact, seen as a result of the pricing pressure that some of our customers have faced and either they have asked for much lower prices, which we are not able to cater to those demands at that price or our

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customers in certain cases have lost the business that they had with their end customers which has led to lower offtake.

Directionally, I do not see a huge change for the kind of products we have, the genericized products, in the coming quarters. Of course, a lot will depend on when we launch new products, especially peptides in the coming quarters. And that's where we'll see growth kicking into that mid-teen level in FY '25.

Just to reiterate, H2 will be better than H1. We will see a steady performance of Formulations at the level which we had in H1, which is around ₹400 crores and H2 API business should pick up compared to H1. But on an overall basis, the guidance that I had given last year of mid-teens might be more titrated down to low teens to high single digits.

Saurabh Paliwal: We have the next question from Mr. Rumel Dahiya, a retail investor.

Rumel Dahiya: I speak as an investor, a long-term investor in Biocon and with a large number of concerns to share. I have been on social media. I've been interacting with the chairperson. She has very kindly been replying also from time to time. Also, with your Investor Relations team. But I thought the concerns are still not addressed. I thought they would have been addressed in the presentation by Mr. Bains, but no, they were not. So, I thought let me just bring them up front. And I have a couple of questions. I'm sure you'll update me with this.

My first question is, has there been an analysis, the cost benefit analysis or, let's say, the opportunity cost that we have lost because of poor inspection records, particularly in our Johor Bahru plant? And has there been anybody held responsible for that loss that has been caused because of poor things like sterile scissors not being there, or an exhaust pipe being blocked and things of this nature. If we take pride in quality consciousness and quality readiness, how can we have such things and repeatedly multiple observations, then CRLs, then official action indicated, how can that happen? And what are we going to do about it? And whom are you accountable for this? And what is the total loss that would have occurred. Opportunity cost that we had to incur. That's my first question.

Peter Bains: I'll happily start that. Others may want to contribute. Thank you very much for the question, Mr. Dahiya. Let me start by saying that the Biocon Group has a long, strong and a very proud track record in terms of quality and compliance. And you can see that in very, very many dimensions, including some of the comments made on the call today with FDA approvals. And of course, the CRL in Malaysia, Shreehas has explained the background to that. And the current situation in which we are actively in a very focused manner, engaged with the agency. Shreehas said that the next meeting is scheduled for Q4 this fiscal year, and we can update then.

I think i

t's also entirely reasonable to pull the lens out a little bit, look at the wider picture and the FDA in terms of post-COVID activity, the bar on quality has been lifted a little bit.

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And we do not have any fundamental issues there. We've described the nature of the findings in Malaysia related to Aspart in this call. And we're working expeditiously to resolve them.

Again, as Shreehas has alluded to, any learnings that we gained from this exercise will be cross fertilized across the entire network, and we will be looking at doing that to ensure that going forward, we're ready and compliant across the lessons learned from there in all our sites and to further build, I think, the very proud reputation that the company has in terms of agency inspections. Shreehas, do you want to add anything to that?

Shreehas Tambe: Yes. Thanks, Peter, and thank you, Mr. Dahiya, for your question and for your long-term association with the company and your belief in us. I think we share your frustration to a large degree because there are situations where despite efforts, we are not able to move past the FDA hurdle, like I said, at this point in time. We've had an exceptional track record with global regulators. So, I just want to balance that, and this is not to justify that we haven't been able to work across the FDA right now. There is, of course, a heightened expectation of the Biologics facility and picking out a particular observation and discussing it would be a little challenging.

But I think it's important to note that we've been able to work with global regulators, we're able to show them what are the developments and improvements that we've made across our facilities, across the network. But as I said, it is not enough. At this point in time, there

is an effort ongoing to make sure that we can work with the expectations that FDA has. And I'm very confident that the team that we have put together, and we have them on the call and the efforts that have gone in, into putting this together will yield results and success. So, it is a matter of time, I believe, when we will start seeing the results of these efforts that are going on.

Rumel Dahiya: That's helpful. And I'm glad that there is an acceptance of the need to do more. Now my second question is about a deep discomfort as far as the shareholders are concerned. Now Mr. Tambe mentioned about got more control of destiny of its own country, but probably the shareholders of Biocon do not have the control over their own destinies. People like me have lost 40% of their investments over the last 4 years, 3 years and sit on large, huge losses because the share prices haven't moved up. I remember in one of the meetings last time, the Chairperson said we can do nothing about the share price.

But I think it's a listed company and the management has to be responsible for it and answerable to the shareholders for bringing down their value. We seem to be the only people whose concerns are not being taken care of. Every time I hear strong growth, growth in EBITDA, but what matters and what investors are more concerned about is net profit and net profitability percentages have been low. Even in this quarter, where one expected thing will be better, the net profit is only 4.6% of the revenue, which is low by industry standards and the company of this nature.

May I know if the agony of the shareholders concerns management at all? And if

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yes, what are they going to do about it? And when are things likely to improve going forward?

Peter Bains : Sure. Let me start again, Mr. Dahiya. And certainly, the management are concerned about shareholders' concerns and the feedback that we get. Our job is to build our business in a profitable manner and to play in the market. And the markets will ultimately

set price,

but that's not an abrogation of responsibility. I can assure you that everyone in the Biocon Group is working extremely hard to drive profitable growth in the business models that we're engaging in.

I mean, quite clearly, we are in the midst of a transformational initiative with the Biologics business. And I think as I alluded to before, we're not yet at steady state. And quite clearly, the Research Services business has continued to grow very profitably as has the Generics business, but when you take on an undertaking of this global nature and transform the business into very much a top-tier global integrated operation, it does take a little bit of time. We've accelerated that timeline, and we're making very good progress. And of course, we recognize that we have a lot more to do, and you've put your finger on several of those areas. And I think Shreehas has very comprehensively described what we're looking at, what we're doing and the timelines on the regulatory front as he has on many other aspects of drivers for growth.

So, we are extremely focused on building a profitable and growing company. But right now, we're in the middle of this transformational shift and the steady state, as I alluded to, I think, is a couple of quarters away.

Rumel Dahiya: Although it does provide hardly any comfort and the ball is just kicked to the next quarters. But that notwithstanding, simple things like foreign exchange losses. I mean the company hedges foreign exchange, but 4 out of 5 times, at least it makes losses in foreign exchange this thing. Is there a lack of understanding of the dynamics of foreign exchange? Or is there less effort being put into that or what?

That's one part of this question.

And the second part is that, what are we going to control our expenditure? I think our expenditure is too much as a result of which, obviously, net profit will go down. Have we bitten more than what we can chew? Have we taken on far too many things on which a lot of expenditure is incurred simultaneously without consolidating? Is there any thought about managing the finances? Is there any plan, please?

Peter Bains : Maybe Shreehas or Chini or Sid, you want to address the hedging question, and then we can come back and talk a little bit more about cost control.

Shreehas Tambe: No, I think we should look at that data in terms of foreign exchange. Maybe I think it's best to look at the data with Indranil and Chini and maybe see what the reference at BL level is, overall, what is the comment that Mr. Dahiya has and what is the reference. So, we can address it with facts.

And then we'll, of course, certainly address your comment, Mr. Dahiya, in terms of how

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we are looking at this and what kind of a transformation we are on. Because when you are

looking at these kinds of transformational opportunities , which are once in a lifetime, I think it does take a bit of time to get this ongoing and firing in the way you want.

So yes, I can understand that there is frustration along the way. So , I completely appreciate what you're trying to say. But let's get the facts first on the forex and then we will address that concern, if it's okay with you.

Okay. So Indranil, Chini, do you have anything on the forex and then we can move on.

M. B. Chinappa : Yes, I think we need to present that as a Group , combined gain or loss, and we will clarify that.

Shreehas Tambe: We can also do this with you, Mr. Dahiya, offline with our finance team just so that you get the facts proper because we can look at the data and then where we are on the policy. I can tell you, our finance team looks at this very closely. And we will look at the concern that you've raised and see how best we can respond to your concern.

Rumel Dahiya: I was just saying that if you're spending some money on hedging and stil

I making

losses, is it worthwhile hedging thereafter? We might as well not do hedging. And then take on the profit or loss whatever comes. So why are we suffering losses on both counts, paying fees and yet suffering losses. That was my main concern. So obviously...

M. B. Chinappa : I'll just clarify. So really, I mean whatever, gain losses includes the hedging costs. We have largely seen the gains play out. But there are some things in our books, particularly the Goldman Sachs investment basically is getting retranslated. These are the products you can't hedge and that reflects as book loss, that's not a cash loss. Largely, if we've seen robust forex management and gain ed.

Siddharth Mittal: And maybe, Sibaji, can also add because there is also a large component of loss coming from Syngene. So Sibaji, maybe you can give a context there?

Sibaji Biswas: Sure. Sid, thank you. So , Mr. Dahiya, we hedge to manage risk forward. So, if you look at Syngene's hedging losses and gains, in financial year '21 and '22, we had hedging gains simply because the Rupee did not depreciate and the banks were giving higher forward rates. The case has been different in the last 2 years. In '23 and now in '24 also because, for example, in Syngene, our hedge rate was ₹81, the current is ₹83. So, we are booking hedge losses.

However, why we hedge, because it's a policy, because we have to bring certainty and don't want to leave our top line and the profit number exposed to uncertainties coming out of the forex market, we do that. Having said that, whenever we have a hedge loss, we have equivalent higher revenue over there. Because if, for example, the rate is ₹83, our revenues will be higher. So, we'll book a higher gain in forex on the revenue line, and we have a hedge loss on the expense line. The profit impact is neutral. So, it's more optic and it brings certainty to the financials, and that's why the hedging policy is over there.

So, I can assure you there is generally very little profit impact and cash impact coming out of hedging, but it provides some certainty.

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Indranil Sen : Yes. And also at a group level, just to -- I think one of your questions was that do we pay cost to get these hedges. So as a group policy directionally, I think most of our hedges are range forwards or forwards where we do not pay cash to acquire these co ntracts. And just at an H1 level, just for 3 businesses, the Generics business is largely forex neutral this year, so far. And like Chini mentioned, there is a certain instrument in Biocon Biologics, which is getting notionally restated and there is no cash loss, but there is a restatement effect which is why you see that loss. And the third aspect is on the research business, which my colleague Sibaji just clarified.

Rumel Dahiya: And another question about how do we manage the expenditures, what are we doing about that, so that our net profits increase?

Shreehas Tambe: This is an open question in terms of how we are looking to control costs. And I think that is signified in terms of and we can respond to this as 3 different companies as well. But let me respond on Biocon Biologics to you, Mr. Dahiya. And I think one of the key indicators of how the business is performing and the health of the business. If you leave aside all these exceptions that we've been discussing is to look at the core performance of the business of what we're looking at as core EBITD A, where you've taken out all these onetime things and say, okay, if this is what I'm operating , what is the gross profit I make? What are the staff costs that are included? And what is it that I see as my margins? And if you look at that, that's always been in that mid -30s regardless of where we've been. And that is clearly very, very comfortable. It is better than most other peers in the Indian pharma. Now this

is not a signal to say that we are the best, but this is something we've been consistent about, and we have been staying to that extent.

We do invest a significant portion of our revenues in R&D because, as you know, that's our lifeline as Kiran has been saying all along. And that is something that is higher than most of our industry peers, which has been usually around that 6%, 7% range. We have been in the past, up to 14% as well.

So, we've capped that at around 11% to 12%, so that brings our EBITDA margins, which is at this transformational stage, a reflection of what the business is doing, even if you take the investments in R&D, which is at the mid -20s, now that's remained more or less consistent and a true reflection really of the health of the business. As long as you accommodate for these transformational costs, which will be more transitional in nature until you settle down and get to a steady state that we were talking about .

We do expect to get to a steady state. There are, of course, these pluses and minus that I was responding to earlier when Shyam asked that question. We are fully aware of what has worked, what hasn't worked, and we will make sure that these things even out over time. So , I think at this stage, as you've been patient and long -standing with us, I think what is really required is to have that patience to clear this out. And we believe that going forward, this will play out the way we're all expecting it to.

Rumel Dahiya: My final question then...

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Peter Bains : Mr. Dahiya, if I may, because we're running out -- we're on the hour and about to close. We'd be very happy to take this -- to take your questions off-line. If with your permission, I propose that we do that. I hope we've answered some of your questions. You clearly have more. We'd be happy to pick them up off -line, as I've said. With your permission, I'll then hand it over to Saurabh to close the call.

Saurabh Paliwal: Thank you, Peter. Ladies and gentlemen, this was the last question. For any further clarifications or questions, please do get in touch with us. Nikunj and I are available to answer any of the follow -ups which we may have missed today. With this, I wish you all a happy Dhanteras, a very happy Diwali and a prosperous new year ahead. Have a good night.

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability .

Call: Feb 2024

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February 16 , 2024

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON
Dear Sir/Madam,

Subject : Transcript of Earnings Call Q3 FY24

This is further to our earlier letter dated February 9 , 2024, regarding presentation and video recording of Q3 FY24 Earnings Call held on February 9 , 2024, please find enclosed herewith the transcript of the Earnings Call.

The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/> .
Kindly take the above said information on record.

Thanking You,
Yours faithfully ,
For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer Membership No.: ACS 18776
Encl. as above

Biocon Limited Q3 FY24 Earnings
Conference Call Transcript
February 9, 2024

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Speakers and Participants from Biocon Limited and Biocon Biologics Limited

Mr. Peter Bains – Group CEO, Biocon Limited
 Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
 Mr. Indranil Sen – Chief Financial Officer, Biocon Limited
 Mr. Shreehas Tambe – Chief Executive Officer & Managing Director, Biocon Biologics Limited
 Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
 Mrs. Rhonda Duffy – Chief Operating Officer, Biocon Biologics Limited
 Mr. Abhijit Zutshi - Commercial Head - Global Generics, Biocon Limited
 Mr. Nehal Vora - Commercial Head - Global API, Biocon Limited
 Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
 Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
 Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited
 Mr. Nikunj Mall – Head - Investor Relations, Biocon Biologics Limited

External Participants during Q&A session

Neha Manpuria – BofA Securities India Limited
 Damayanti Kerai – HSBC Securities and Capital Markets (India) Private Limited
 Surya Narayan Patra – Phillip Capital (India) Pvt. Ltd.
 Shyam Srinivasan – Goldman Sachs Group, Inc.
 Vipul Kumar Shah – Sumangal Investments
 Tushar Manudhane – Motilal Oswal Securities
 Pranav Tendolkar – Rare Enterprises
 Yash Tanna – ithub Advisory
 Harith Ahamed – Spark Capital Advisors (India) Private Limited

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Prepared Remarks Session

Saurabh Paliwal:

Good morning, everyone. I am Saurabh Paliwal from Biocon Investor Relations team, and I'd like to welcome you all to the Biocon Limited Earnings Call for the Third Quarter FY 2024.

I would like to indicate that all the participants will be in a listen -only mode, and there'll be an opportunity to ask questions after the opening remarks conclude. Should you need to ask a question please select the raise hand option in the reaction tab of the Zoom application. We will call out your name and unmute your line to enable you to ask a question . While asking a question please limit your questions to two and begin with your name and organization.

I would like to bring to your attention that this conference call is being recorded. The recording will be made available on the website within a day, and the transcript will be made available subsequently .

Today to discuss this quarter's business performance and future outlook for the company, we have on this call Mr. Peter Bains, Group CEO ; Mr. Siddharth Mittal, MD and CEO of Biocon Limited; Mr. Shreehas Tambe, MD and CEO of Biocon Biologics, along with other senior management colleagues across our business segments. Before we begin, I would like to remind everyone of the safe harbor related to today's call. Comments made during this call may be forward -looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that our business faces, that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements. After the end of this call, if you need any further information or clarifications, please reach out to the investor relation team.

With this, I would like to hand over the call over to Mr. Peter Bains for his opening remarks. Over to you, Peter .
 Peter Bains:

Thank you, Saurabh. Good morning, everybody, and thank you for joining this call. I'll start with a broad overview of the consolidated group financial results, before discussing each of the business units in more detail.

Total group revenue for the quarter was INR 4,519 crore s, up 50% year -over-year. This growth was supported by income from divestiture to non -core branded formulation

in India business units in Biocon Biologics for INR 350

crores and a gain from Biocon stake dilution and Bicara Therapeutics of INR 456 crores. Revenue from operations increased by 34% to INR 3,954 crores, with biosimilars revenue growing 65%, research services growing by 9% and generics declining by 7% year -over-year.

Core EBITDA for the quarter stood at INR 983 crores, reflecting a group core operating margin of 27%. It's important to note here that core EBITDA excludes the impact of asset and stake sales, as I just described, and of course R&D. R&D spend stood at INR 329 crores corresponding to 11% of revenues, excluding Syngene. Group EBITDA for the quarter was up 106% at INR 1,492 crores versus INR 723 crores last year, with an EBITDA margin of 33%. Excluding the 2 nonrecurring items, group EBITDA for the third quarter stands at INR 686 crores,

with a margin of 18% as compared to 24% last year.

Depreciation and amortization and interest increased by INR 260 crores, year-over-year to INR 681 crores, Transcript - Biocon Limited Q 3 FY24 Earnings Call Page 4 of 19

primarily associated with Biosimilar's business acquisition costs.

Consequently, Profit before tax and exceptional items stands at INR 787 crores, up 220% from INR 246 crores for last year. Reported net profit for the quarter before exceptional items stands at INR 644 crores as compared to INR 140 crores in the previous year.

I want to note here that we recorded a net exceptional gain during the quarter of INR 16 crores. This is net of tax and minority interest. This exceptional gain comprised of a gain on carrying value of an existing contractual receivable arrangement, which was offset by impairment of intangibles associated with the product in certain territories from some inventory provision and transaction costs related to the Viatris transaction and Stelis facility acquisition. This gain contrasts with a loss of INR 182 crores last year. And consequently, reported net profit after exceptional items now stands at INR 660 crores as compared to a loss of INR 42 crores last year. And finally, as part of our efforts to reduce debt, we have repaid \$200 million of biosimilars acquisition-related debt.

Generics business

Let me now turn to the business segment and start with generics. The generics business reported an operating revenue of INR 703 crores, delivering sequential growth of 4%, while declining 7% year-on-year. The business performance for segment reflects the generic formulations component, which is showing consistent and steady growth; and the API business, which is affected by market dynamics of pricing pressure and variable update, resulting in a lumpiness in performance. Core EBITDA for the quarter was INR 154 crores with a margin of 22%. Profit before tax stood at INR 50 crores, representing a PBT margin of 7%.

Moving to the generics business updates. Let me start with product approvals. And here, I'm pleased to report that we've received our first generic product approval in China for Mycophenolate Sodium. This approval paves the way for the entry of our products into this large and strategic market. In addition to this, we have also received 4 product approvals across API and formulations, including 1 approval in the United States, 1 in the U.K. and 2 in Most of the World markets.

Moving on to an update of our manufacturing programs. I'm pleased to report we've made good progress in our investment in new platform capabilities and capacities to underpin future growth. During the quarter, the company's greenfield Immunosuppressants facility in Vizag received a certificate of suitability, or CET, from EDQM, the European regulator. We now expect the facility to be inspected and subsequently qualified for commercial supplies by other major regulators in the next fiscal. These new approvals, as they are received, will help build upon the established scientific and commercial capabilities of Biocon in fermentation products and help

address the growing demand for immunosuppressants across global markets.

Also, during the quarter, our peptide API facility in Bangalore successfully completed process validation activities. As the business model of Biocon Generics evolves in the coming years, we expect peptides, and particularly GLPs, to play a major role as a future growth driver. In Hyderabad, process validation of products has begun in our new and modernized synthetic API facility. We approach the close of the current fiscal, the business performance will remain a balance of API business lumpiness underpinned by sustained performance in generic formulations, supported by recent contract wins and upcoming product launches.

Biocon Biologics

Let me now move on to Biocon Biologics. And let me start by providing an update on the integration of the acquired Viatris business. During the quarter, we completed the operational integration in more than 30 European Transcript - Biocon Limited Q 3 FY24 Earnings Call Page 5 of 19

countries, Japan, Australia and the remaining emerging markets. With this, we have now successfully completed the full transition of the acquired business in about 120 countries, fully 1 year ahead of schedule to become a globally scaled and vertically integrated lab-to-market biosimilar enterprise.

Turning now to the business performance, I'm starting with the United States. In the first quarter, post integration, our products have maintained momentum and showed resilience in the dynamic market environment. Fulphila, our biosimilar Pegfilgrastim, demonstrates continued strength with 80% market share in November; while Ogivri, our biosimilar Trastuzumab, has been resilient with a market share of 12%. Reported market share for our biosimilar, Glargine, continues at 12%. However, these numbers do not capture the uptake for our unbranded Glargine to a closed-door pharmacy network. New wins during the quarter included 3 contracts for Fulphila, including a sole-source contract with a large GPO organization; and 3 contracts for Ogivri, including a large GPO arrangement. We also secured 2 contracts for unbranded biosimilar Adalimumab commencing this month. Turning to Europe. And here, our products have made steady gains. The quarterly market share of Fulphila has grown to 8% against 5% last year. And Abvemy, our biosimilar Bevacizumab, has grown to 6% against 1% last year.

In emerging markets, the highlight was the launch of Abvemy in Brazil with an originator market opportunity of \$175 million. This was a landmark launch, being the first major launch post-completion of the integration of the acquired business.

Now coming to the financials of Biologics. The revenue from operations was INR 2,483 crore, up 65% year-over-year. On a sequential basis, the growth stood at 26%. As mentioned last quarter, we divested 2 non-core branded formulations India business units to Eris Lifesciences, aligning with our global product focus. This has led to an

increased operating income for the quarter by INR 350 crores. Excluding revenues from the divestiture, the sequential growth stands at 8%. This translates into a core EBITDA of INR 587 crores with a margin of 28%. This margin is lower than our guidance of mid -30s on account of the series of integration -related expenses and one -off costs. Adjusting for these, core EBITDA margins would be 5% higher. EBITDA margins for the quarter were 29% with R&D investments at 11% of revenues. Profit before tax stands at INR 196 crores. Debt reduction and strengthening of the balance sheet remains a continued focus for the company, and we are pleased to report that during the quarter, we received \$220 million from an existing contractual receivable arrangement, \$200 million of which we used to reduce our acquisition -related debt. With this paydown, net debt at Biocon Biologics, excluding structured

financing instruments, was reduced to \$1.2 billion. And overall, at the Biocon group level, net debt now stands at \$1.1 billion.

Moving on to Biologics' regulatory updates and following the receipt of marketing authorization for Yesafili, our biosimilar Aflibercept, in the European Union, we have also received marketing authorization from the U.K.'s MHRA in November. In the United States, we have been in litigation with the originator for our biosimilar Aflibercept, where the court issued a mix decision in December '23. And as a next step, we will appeal the West Virginia Court's decision on the 865-formulation patent.

On the clinical front, we have initiated Phase III studies for our biosimilar Pertuzumab, advancing another medium -term catalyst. We continue to engage with the FDA and have had progressive discussions regarding our Malaysia OAI status and biosimilar, Aspart BLA. The next step would involve a site inspection in Malaysia, in the near term.

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We have received a CRL from the US FDA for our biosimilar Bevacizumab or Abevmy filing as the agency was not able to visit the site for a pre -approval inspection. To reiterate here, the CRL did not identify any outstanding scientific queries on the dossier, and we continue to engage with the agency to facilitate an inspection of the earliest possible opportunity.

In summary, this has been an extraordinarily busy quarter for the Biologics business completing the transition and integration, as well as maintaining robust business continuity. We see strong demand continuing for our products across the markets. The opening of the Adalimumab biosimilar market, along with the regulatory approvals for biosimilar Aspart and Bevacizumab to come will be additional growth drivers. Debt reduction and strengthening of our balance sheet remains a key focus.

Novel Biologics

Let me now move on to an update on our Novel Biologics statement.

And here, Boston -based Bicara Therapeutics successfully closed \$165 million Series C financing in December 2023. With this latest close, Bicara has, to date, cumulatively raised \$355 million from a syndicate of biotechnology investors. As a result of Bicara's fund raise, Biocon reported a gain of INR 456 crores in the consolidated P&L statement during the quarter, mainly arising from the fair valuation of its holding in line with the Series C financing. Biocon shareholding in Bicara has now reduced to 14%, and as such, Bicara ceases to be an associate company for the Biocon Group.

Syngene

Coming to Syngene. In Syngene, revenue from operations for the quarter was up 9% over last year to INR 854 crores with reported EBITDA up 5% to INR 261 crores with an EBITDA margin of 30%. Profit before tax was INR 142 crores, up 1% over last year. Syngene's performance during the third quarter was affected by reduced funding in the U.S. biotech segment, which impacted demand in its Discovery Services division, while Dedicated Centers and Development and Manufacturing divisions performed well. In manufacturing services, Syngene's long -term biologics manufacturing partnership with Zoetis continued to make good progress. During the quarter, Syngene concluded the acquisition of the multimodal biologics manufacturing facility from Stelis Biopharma. And once operational, the facility will add 20,000 liters of biologics drugs' manufacturing capacity to Syngene's existing capacities. The acquired facility also includes a commercial scale, high -speed fill -finish unit, providing an essential capability to Syngene for drug manufacturing. The facility is expected to be operational in the second half of FY '25, subject to regulatory approvals.

Summary

In summary, the highlight of the quarter has been the completion of the transition and integration of the acquired biosimilars business. The sustained momentum for its product portfolio

across markets augurs well as it focuses

on improving market penetration for its commercial products, launching new molecules and working to reduce debt. The generics business is making progress on expanding its portfolio and geographic reach as well as strengthening its manufacturing base, both for today and for future growth opportunities.

Syngene continues to perform well, driven by Development and Manufacturing services, and the demand environment and the U.S. biotech segment is expected to recover over the next quarters as the funding environment normalizes. And with that, I'd like to conclude my opening remarks, and now open the floor to questions.

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Q&A Session

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Saurabh Paliwal : Thank you, Peter. We'll wait for the questions to be assembled . We'll give the first question to Neha Manpuria from Bank of America.

Neha Manpuria : Thanks , Saurabh . Hi Peter , thanks for the opening remarks, a couple of questions.

First, I missed your comment on Aflibercept. The line wasn't very clear at my end.

If you could just tell us the next steps that Biocon is looking at in terms of Aflibercept? And could this still be an opportunity for us, given our first, to filing status in the product?

Peter Bains : Hi Neha, Thank you for the question. Let me ask Shreehas if he'd like to answer that, please. ?

Shreehas Tambe : Yes. Thanks, Peter. And Neha, thanks for your question. As you know , at this point, we are evaluating all the options available to us. And certainly, our appeal is one of the options that we are looking at, we are confident about the position that we've got. And as we progress with this, we will update you on the next steps.

Neha Manpuria : Understood. My second question is on the BBL business. We have seen traction in terms of revenue quarter -on-quarter. You did seem to indicate a lot of contract wins across products. So, is it fair to assume, even though there is still uncertainty on the approval timeline for Aspart and Beva, what should be the traction of the biosimilar revenue? That's number one. And second, when will that start reflecting in terms of margins? Because we have these one-off costs for a while now. When do we start seeing that one -off cost getting sort of annualized and seeing a clean number in BBL going forward?

Peter Bains : Shreehas, again, will you take that?

Shreehas Tambe : Yes. Thanks, Peter. Neha, I think that's a very fair question. I think what Peter alluded to in his opening comments was we've just come off a very massive global integration 12 months ahead of schedule. So clearly, it's been a huge focus right now to integrate and go from being present in 2 countries to being present in 120 countries or so. So, I think that's been really the focus. And as we've done that, we've made sure that business continuity is the top focus. And that's what you've seen us do. The market share for all products across have continued to be stable or growing, and that's been very important for us. Now coming to your question, which was related to how we see this. I think the new products are awaiting inspection at site. There's been good progress on that. But until then, certainly, we are going to look at growing the business through existing products and that will come from increased market share. So, there is that piece, until we get new approvals, we will have to work through.

One-offs, anywhere, whenever you have this kind of a transition, you do see that. And that is what we are seeing at this point. But the business will see changes as you see new products getting approved. And then like you asked, it moves to that steady state.

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Neha Manpuria : And when do we expect these new approvals, Shreehas? Would it be this second half or FY25, FY26? I mean, what's your sense on when do

we eventually see this

approval given the long wait already?

Shreehas Tambe : Yes. No, I wish I had a firmer answer for this. As Peter rightly alluded to earlier, we've made good progress in terms of how we've approached the agency. There are conversations going on and Rhonda can elaborate later in the discussion. She's our Chief Operating Officer. I think at this stage, we are at a point where we are awaiting the FDA to come to our sites and inspect us, and we should be able to move this forward. There is no outstanding question on the science. So , once we get past that and schedule that inspection, Neha, we should be in a better position to answer that question.

Neha Manpuria : Understood. And sorry, I'm going to squeeze in one more. If I look at the BBL net debt -to-EBITDA, we're tracking over 4x net debt -to-EBITDA. What's the sense of the net debt deduction part that we have for BBL? And what's our comfort level, let's say, 12 months from now?

Peter Bains : So, Neha, maybe I'll take that one. Clearly, we've identified strengthening the balance sheet, and debt reduction as a priority. As I said earlier, we've reduced that by \$200 million in the quarter. It will remain a focus. The levels that we have, we're comfortable, at a BBL level and BL level. But clearly, we'll be working our way to reduce that over the coming quarters.

Saurabh Paliwal : We'll take the next question from Damayanti Kerai from HSBC .

Damayanti Kerai: My question is again on biosimilars. So, you obviously are seeing good contract wins in some of the key launches. So, I just want to understand the pricing part of these contracts also, whether we are gaining volume, but how is the scenario on

the pricing part, because competition definitely has risen in all the products? So that's my first question. And then what kind of discussions you are undergoing currently for Adalimumab, I guess, maybe not for this year, but for future? And what are the key queries which you might be getting from your channel partners and -- which you believe can help you to gain better access there? So that's my first question.

Peter Bains : Thank you, Damayanti. Again, I'm going to ask Shreehas and Matt to answer those questions.

Shreehas Tambe : Yes. Thanks, Peter. Maybe, Matt, can start that, and then I can add on to this.

Matthew Erick: Sure. Thank you very much. Look, let me explain the U.S. a little bit from a standpoint of what we've actually seen in market share and growth. And I'll explain to you, during this time, the pressures that we're seeing in winning these. But for Fulphila, if you remember, we're at that 19% market share, which is up 12% over the last month. So, we've seen a great run in our market share and with even potentially new players coming into the market ; as well as we're seeing Ogivri, we're seeing wins in that opportunity. When it's in the Part B, Part B deflation is much slower because the way in the U.S., it's attributed to the ASP.

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So, this business continues to have pricing pressures, which we're seeing it uptake in addition to volume in which we're winning in our Fulphila, in our Ogivri. But our no.1 piece of this is to make sure we're looking at price optimization and not driving this down as we prepare for additional products within our oncology space.

Let me also remind you that on the insulin Glargine side, which is the Part D, we've seen great progress in the market share. As Peter alluded to, even though you're seeing that 12%, a couple of key things there is that closed -door network or pharmacy that attributes additional of about 3% to 4% in the overall growth of our insulin Glargine. The second piece of this is we've had 2 large payer wins that started at the beginning of this year that's going to add additional opportunities within our insulin portfolio. We are also anticipating, in the insulin portfolio

folio, after everyone knows of the WACC reset that we saw by the large insulin players, we're anticipating the pricing of this through the next year to hold pretty steady. As you asked about Adalimumab, we are seeing wins. We're seeing them steadily progress. It's about 10% of the total U.S. lives, and we continue to see this opportunity, primarily in some commercial as well as in Managed Medicaid and Medicaid FFS. And so , these are continuing.

As you know, the bidding cycle is starting, especially for Adalimumab with what has been announced by CVS Health in those aspects. Let me comment too on Europe really quickly, and then I'll turn it over to Shreehas. We've seen nice growth in our Bevacizumab and also continued growth in our Peg as we look at tenders and opportunities in our retail sector. That's adding on to our strong position already with our Adali in Germany as well as in France. So hopefully, that was clear on answering your questions there, but I'll turn it back over to Shreehas for more clarity or any other insights.

Shreehas Tambe : Thanks, Matt. I think that was comprehensive. I'll hand it back to the questioner.

Damayanti Kerai : My second question is on update on Malaysia plant. So, what are your expectations? And what kind of timeline we should be looking for resolution of issues there? And just another question on Bevacizumab. So, do you think it's still a meaningful opportunity for you to pursue given we are, like, seeing delay in approval and launch there?

Peter Bains : So, I think perhaps, Rhonda, you can lead on the Malaysia question? And Shreehas, maybe you can pick up the Beva question?

Shreehas Tambe : Yes. Rhonda, go ahead.

Rhonda Duffy: Thank you very much, Peter and Shreehas. Yes. So , the Malaysia facility is -- now we're awaiting reinspection from the FDA. We have been actively engaged with the FDA and discussing with the agency on a number of occasions. We are patiently waiting for them to arrive for the inspection.

Shreehas Tambe: In terms of the Bevacizumab question that you had asked, I think Rhonda can respond to that as well. I think we are in that same position that she just described for Malaysia as well, where we filed everything , we do not see any questions on the science, and we are waiting for the agency to come and inspect us. So that's where we stand at this point.

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Damayanti Kerai : But is it still a meaningful opportunity as for you to pursue it?

Shreehas Tambe: Yes, certainly. I mean, Aspart in the U.S., we continue to be the in the pole position with the opportunity to be the first interchangeable biosimilar Aspart in the U.S. market, so clearly, we remain excited there. And on Bevacizumab, Matt has, in the past, alluded to

the uniqueness of the market. And while there are clear opportunities for those who come in early, there's also opportunity for companies which can come in at a deferred time point given the way the Part B market is structured in the U.S. So yes, I do not see us being -- or let me put it this way, we see us being excited about both these products as well .

Saurabh Paliwal: We'll take the next question Surya Patra, Phillip Capital.

Surya Patra: My first question is on the BBL performance. So, while we have seen post integration and all that, we have seen a ramp up in the market share for most of the biosimilar that is currently there on the market . But in terms of the revenues, it looks like that, on a like -to-like basis, we have seen a downward trend only. And particularly this quarter, if I adjust for the one -off gains, it looks like it is a loss -making operation, while this is the biggest component of our business. So, my question is that , so till that time that we are not seeing incremental revenue from the newer pipeline, so should you be worried about the performance of BBL in the near term?

Peter Bains

: Let me ask Kedar to pick up on the financials on that first. And maybe Shreehas, you and I can comment once Kedar addressed the core of the question.

Kedar Upadhye : Thanks, Peter. So, Surya, we hear your feedback. See, there are 2 or 3 adjustments you need to make before you compute steady -state PBT margins. Firstly, the gain from sale of brands in the revenue line is INR 350 crores. But if you account for the costs in all the items for that, in the PBT, it's about INR 330 crores. So that's one adjustment you need to make. Secondly, in the SG&A line, you will see a step -up from quarter 2 to quarter 3. What has happened is this quarter, across the countries, we had deployed multiple consulting experts and professional services for IT, for people, defining various SOPs, for regulatory, for customer service, invoicing and collections. So, all of that is a chunky value, which is coming this quarter. So that's almost 5%. So, I mean that is something that one needs to add. And if you see R&D, which is the third one. Please take a quarterly average. This quarter is 12% or 13% of revenue. We don't spend at that rate. So, if you make these adjustments, you will get to something which is a more steady state, and that will give you an appropriate idea as to the margin profile. So that's the right way to look at it, Surya.

Surya Patra: So just an extension to that, we have also seen that the company, as well as BBL , signing an agreement, which is an equity support agreement, how should one read this? Whether it is indicating any challenge to BBL because of the upfront cost that is involved for the business? Or how should we practically read it?

Kedar Upadhye : No, in fact, there is no cost to it, Surya. See, these are the letters which are provided by the parent to the ir subsidiaries. And this kind of comfort letters actually help to enhance the credit profile and negotiate the cost of capital. So , this is quite positive. These are quite common where a parent gives this kind of letters to the ir subsidiaries.

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Surya Patra : Okay. Just the last one from my side. This is about Adalimumab. See, what we have understood from the various other participants to the opportunity in the U.S., so they are commenting now Adalimumab is an opportunity of calendar '25, because even after signing contracts, nobody is expecting any great kind of a ramp -up for Adalimumab. So, is it fair to believe that this opportunity is getting extended or delayed to CY '25 even for us?

Peter Bains : Surya, I can start, and Shreehas, please come in and expand. The broad answer to your question is, yes, I mean it's very clear that the market for Adalimumab is not going to open up in a big way in calendar '24 and the expectation is that will happen in a structured fashion in calendar '25. The opportunity perhaps hasn't gone, it's just been shifted in time a little bit. And we are working hard, and Matt can talk about that, and we're making gains and wins in some of the contracts. It's going to be a slow build, not a big bang. And we're going to be building our position from a starting point to build foothold. And then from a foothold, we will build onto that towards a stronghold. So, I think it is going to be a much slower evolution than the market originally anticipated, but I think that's a market phenomenon more widely. Shreehas, do you want to add any other comments ?

Shreehas Tambe : Yes, thanks. I think Peter, that was well covered. I'd just add one piece to this, Surya. If you note what we had said, even in the past, that we see the market opening up in '23, but it'll be '24 that you will start seeing some movement. But it's really ' 25 that you will really see the market opening up. And the reason we had said this is because this is the first Part D product that has lost exclusivity in that sense. And it's a very large asse

t. So,

there is this part of the U.S. market that's still figuring out how this is to be done. So, we see this happening as more commercial payers take the brand off, and then biosimilars see a greater traction. We've seen that happen in Europe where biosimilars have a sizable

portion of the market. We've seen that happen in the Part B space in the U.S., where many of the oncology products, you are seeing more than 80% of the market move towards biosimilars. That's not happened with the Part D drug, which is in the immunology space. And we were expecting to see that anyway in '25. But to a greater extent will start showing as more products come into this space. I would just add that to what Peter said. But otherwise, I think Peter's response was quite comprehensive.

Saurabh Paliwal : We'll take your next question from Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan : Just the first one on Semglee and the competitive dynamics around it, right? I think your press release talks about unbranded Glargine along with Semglee at 12%. And then there is, I think, a 3-4 percentage point on top of that. Just correct me if I'm getting those numbers wrong. But I just want to understand, when we look at the pipeline for 2024 calendar year, I think 2 Chinese insulin guys are likely to be in the market. I know they have different front ends like Sandoz, I think, and King-friend, so how do you think about the competitive landscape for Semglee? Is there still upside? Sorry, I missed the opening remarks. Have we signed some more contracts for Semglee, specifically?

Peter Bains : Thanks for the question. Maybe, Matt, you could pick up on the sort of competitive position and our position. And again Shreehas, pick up as well on any additional asset?

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Matthew Erick : Thank you, Peter. To your question, we're continuing to see progress, nice progress with our market access with insulin Glargine. As I mentioned in my opening remarks, we have won and secured 2 large players that started 1/1 of 2024. We watch any competitor's movement or possibility. We remain determined. Diabetes is our franchise. We will be competitive if these folks launch. Remember, in the U.S., we do have significant agreements. Now can these players open them up. Possibly. But it's also timing based on formulary, and they're normally 1 year. So, as you mentioned, these 2 new competitors that could possibly, they're not here today, but we are absolutely planning to move forward. We defend our portfolio in other areas, and we plan on defending our portfolio if any new launches do occur. I do think that being the first to the market in establishing these relationships and the stickiness of our insulin and Semglee in the marketplace holds well for us as we look at these potential new competitors that could be coming into the U.S. market.

Shyam Srinivasan : And sorry, Matt, this is a clarification. So, how much percentage points should I be on top of the 12% for this closed-door pharmacy?

Matthew Erick : We're estimating between 16% and 17%, and then as compliance continues to ramp up, but currently, right now between 16% and 17% for our fiscal year as we see these run rates increasing.

Shyam Srinivasan : Helpful. Just a second question is on the Generics side of things. I think the readout talks about pricing pressure on the API side. If we could get an update on this. I think we had earlier aspirations to grow double digit, but we seem to be struggling. So just an update on Generics, please.

Peter Bains: Thanks again. Siddharth, can you take that one?

Siddharth Mittal : Yes. So, Shyam, yes, I mean, we are looking at double-digit growth. Unfortunately, in FY '24, that looks unlikely. Our formulations business is doing very well in the U.S. and in other markets, we have started receiving approvals. We have started launching these products,

and that's driving a high double-digit growth. But unfortunately, we've had some challenges in the API business, and the pricing pressure in the U.S. and other markets continue to be a challenge. And that, of course, impacts the offtake from our customers. And I think that we believe that this is just temporary because we are working on necessary steps like cost reduction, bringing in more operating efficiencies to be more competitive for some of our synthetic products. And directionally, I do not see any challenge and we should be able to get back to the mid-teen kind of growth level in the next fiscal. And I think I did mention earlier that, of course, there's a lot of focus on peptides, and starting next fiscal year, we should start seeing the revenues of coming in from peptides.

Shyam Srinivasan : Siddharth, a little confusing here because any formulation company we talk to is talking about U.S. generic being in a sweet spot, like, low single digit. Is our portfolio so dramatically different that we are seeing this price erosion even now in, like, first quarter, calendar 2024.

Siddharth Mittal : Yes. So, I think what you've heard is, correct, that there is stability in the U.S. market. As I mentioned, that we have also gained market share and new business for our formulations

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business, but when it comes to the API, which, of course, API customers have options buying from us versus other competitors, and that's where we are seeing a little bit more

stringent competition where there are a lot of capacities, the Indian companies, the Chinese API suppliers have created. And there is a bit of a price war, I would say, between these companies and the generic formulation companies where they are winning the business, they are, of course, passing on pressure or the heat to the API suppliers. Shyam Srinivasan : Okay. Just the last question and I'll stop. It's just on the deleveraging plan, again, just going back to an earlier participant. Just trying to understand the acknowledgment that when we reduced the \$200 million net debt number, is it an acknowledgment that our current cash flows are slower than anticipated, which is why we have to do these divestments? Is there more that we need to think of shareholding in Syngene? I'm throwing it all in there. But how should we look at the path ahead?

Peter Bains : Let me start and then Indranil Sen you may want to come in. So, as I said in my opening remarks, I mean, clearly, looking at the balance sheet, it is a focus that you can see that in the last quarter, we've reduced acquisition -related debt in BBL by \$200 million. We want to reduce it further, and we will be looking at a range of options. Clearly, cash flow will be one from the operations, and that will be a focal point. But there are other options that we could employ as well. Shyam, it's going to remain a focus. We do look to bring it down. Cash flows from operations would clearly be a preferred way to do it, and then we'll be focusing on that, but there will be others as well.

Saurabh Paliwal : The next question is from Vipul Kumar Shah from Sumangal Investments .

Vipul Kumar Shah: So, my question is regarding this contractual arrangement of \$220 million, I think, in your opening remarks, what is this regarding?

Peter Bains: Right. This is regarding a contractual receivable arrangement that we had that's matured. And because of the confidential nature of the arrangement, we can't disclose any further details .

Vipul Kumar Shah: And I want net debt figures, including structural instruments at BBL level . Is it possible?

Peter Bains: I see. Okay. Indranil, can you address that?

Indranil Sen : Yes. I think the number at BBL level is \$1.2 billion. And there could be another \$100 million of structured, so around \$1.3 billion would be the number. Kedar, I think that's directionally right

, right?

Kedar Upadhye : Yes. So, Vipul, we can connect offline . This number is in line with what we disclosed as of date. So, we don't understand what you mean by structured debt. I think let's take it offline.

But this \$1.2 billion is in line with what is classified on balance sheet as debt.

Vipul Kumar Shah : My last question is, what should be the cumulative integration cost as it is coming every quarter? So, from the date we acquired the Viatris business, what should be the cumulative total integration costs so that we can have some idea what is going on?

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Kedar Upadhye : So, Vipul, we don't have that number handy with us. As I mentioned, this quarter, by virtue of multiple contractual arrangements for many activities which were important to integrate ahead of time, that number is roughly 5% to revenue of BBL. But cumulative numbers , we don't have it handy. Again , we can take it offline.

Vipul Kumar Shah : Should I contact offline?

Kedar Upadhye : Yes, please .

Saurabh Paliwal: We'll take the next question from Tushar Manudhane from Motilal Oswal .

Tushar Manudhane : Sir, just one more clarification on the notes. The impairment of almost INR 380 crores is with respect to which product?

Kedar Upadhye : I can take that, Peter. So, Tushar, this is with respect to RHI for the U.S. So currently, we have paused this program because we feel pretty excited about the opportunity of Aspart and other analogs. So, since we have paused it, as required under the standards, we have taken this impairment charge. And there have been, as you know, policy pronouncements and things like that. So, I think our prioritization for analogs has required us to take this as required in the accounting, so that's the charge. But Shreehas if you could follow up , please .

Shreehas Tambe: I think, Kedar, you covered it. If there's any clarification, I can provide it .

Tushar Manudhane : No, so that's fair. And secondly, even the provisioning is also there with respect to a certain product. If you could also comment on which product, are we taking this provision ?

Kedar Upadhye : Tushar, we are not calling out products. This was the inventory, which was acquired as part of the acquisition. And these are not expired products, but our assessment of the pending shelf life and ability to liquidate, again, has required us under the standards to create a provision. So, it's pertaining to the inventory, which was acquired, and this is approaching expiry, but had not yet expired. So , we still have some chance to liquidate.

But on a conservative basis, we have provided it in this quarter .

Tushar Manudhane : Understood, sir. And just lastly, given that certain potential approvals, because of inspections, are getting delayed, but we do have multiple contracts. And at the same time, certain price erosion because of competition . In fact, quarter -over -quarter, if I exclude Eris income, the biosimilar sales have been stable to slightly declining. So given these circumstances, how to think about growth, particularly for biosimilars business over the next 12 to 15 months?

Peter Bains : Shreehas, I'll give that to you.

Shreehas Tambe : Thanks, Peter. I think the first piece that I would look at here is that going forward, particularly, we see opportunity in the existing products growing through market share. We've talked, in the earlier part of this call, about awaiting approvals due to the inspection delays. So, while we await that, what we are very focused on is to grow the business through increased market shares. And I think that is what you are seeing at this point, Transcript - Biocon Limited Q 3 FY24 Earnings Call Page 15 of 19

Tushar, where almost all our products in every geography that you see are gaining market share, so that is one aspect of it. The second aspect that you should see is what Matt talked about e

arlier is in Europe, where earlier, the business was focused only on a couple of countries with 1 or 2 products. I think the focus will be to see now that we have approval in Europe with 7 of our biologics biosimilars. We would look to see a two -fold strategy there. One is to see if we can penetrate the couple of countries that we are present in with more products. And second is to see if we can widen our reach beyond the 2 countries into at least the big 5 or the EU5.

The only piece I will put there is that our control of the European business is a month old. So, Matt and the European leadership are putting that commercial strategy in place, but that is how we are going to be looking forward to grow the business even as new products come into the forth.

Saurabh Paliwal : And the next question is from Pranav from Rare Enterprises .

Pranav Tendolkar : Sir, can you just highlight about the debt that we have taken for Viatris? You referred to it that 30% of it is fixed rate, 30% of it is payable and 30% of it is hedged in the last quarterly con call. So, can you just let us know what is the reset time? And has the interest rate actually come to current interest rates? That is one. And also, is interest payments in that actually going to affect our various other research programs? Because if we just remove one -offs and include the expenses that we have incurring in BBL, then actually, BBL margin looks negative. So, I know there are many one -offs. So how are we going to manage cash programs because I fear that it can affect our other research programs .

Peter Bains : Perhaps, Indranil, you can address the first question on the interest rates related to the debt. And I think, Shreehas, you already touched on how we're looking at one -off costs related to transition freeing up even further margin going forward, and maybe you can follow up on that part of the question. But Indranil, on the interest rates, please?

Indranil Sen : Yes. So, I'll cover a part of it, and let Kedar maybe confirm some of the facts. But from an interest rate perspective and acquisition it was somewhere around 6%. The current market environment, we still see the SOFR levels pretty high. And while there are indications of tapering down, at current market levels, they are hovering around 7%. But there are indications with IRS that this would come somewhere around 5.5%. And so, our current debt profiles are still kind of at that level, I'll let Kedar confirm in terms of the strategy that we have in terms of the mix of our debt and how do we plan to hedge the balance.

Kedar Upadhye : Yes. So, you're right, Indranil, I think the SOFR linked facility, and as the SOFR moves, obviously, the effective rate that we have gets addressed, so that's fine. And yes, while there's an indication that there will be a reduction, current rates are high. But let's wait for the news in the 6 to 9 months. So that's on the rate and the way we capture interest in books. Sorry, what was your next question?

Peter Bains : I think the second part of the question was looking at the BBL margin opportunity for expansion. And I think Shreehas has covered it both in terms of looking at the growth of Transcript - Biocon Limited Q 3 FY24 Earnings Call Page 16 of 19

existing products and existing markets and existing products in new markets. And also, the recognition that in this quarter, there is, as Kedar has explained, roughly 5% of revenues that's related to onetime one -off costs related to completing this accelerated transition.

Pranav Tendolkar : So, my question is that is cash flows limiting our development and product research programs? Are we pausing something to prioritize something else? Are existing biosimilar products facing pricing pressure so that the revenue Q -o-Q is a little bit less than expected in spite of volume ramp -ups.

Peter Bains : Shreehas, I think, perhaps, you can start on that .
Shreehas Tambe

: Thanks, Peter. And I think, Pranav, I've consistently talked about this, even in the past, that pricing is always an outcome of market competition. And you will see competition challenge pricing in the market as products mature. We've seen that kind of a behavior where you've seen a very mature price erosion on the medical benefit side in the U.S. and you've seen that hold steady for the last 5, 6 years. We are seeing a reasonable price erosion over a period of time. You've seen very different behavior on Part D product where you've seen the first such product in Adalimumab, which lost exclusivity. So very different behavior, same market, different influences, and that is going to happen given there is competition.

Now whether that is reflective of what will continue to happen going forward, I think one of the things we should be prepared for is competition will challenge pricing. The key thing to look out for, which Matt talked about earlier, is policy changes. And those are the ones that can dramatically change how pricing is looked at. IRA in the U.S. is one such policy change that has recently come into play, which, of course, changed the insulin landscape starting 1/1/24, where the administration talked about \$35 co-pay for any insulin, no matter which product it is.

So, some of these things we need to look out for and the business needs to have the resilience to be able to combat this. And that's where our strength in portfolio, our strength in process development, our strength in having done this for a long period of time, and now more importantly, being fully integrated gives us the levers to actually combat this. And there will be quarterly aberrations, which, I've said even in the past, should normalize over a period of time. But yes, it will require you to look at a broader horizon.

Saurabh Paliwal : Pranav, does it answer your question ?

Shreehas Tambe : I think, Yash has something, Saurabh you could allow.

Saurabh Paliwal : The question is from Yash Tanna from Ithought Advisory .

Yash Tanna : My question is on the BBL IPO, if we can have an update on the same, on the timelines of the IPO? And are there any prerequisites that we need to fulfill before we have to go ahead with the IPO? So that's the question.

Peter Bains : Thanks, Yash. I think Shreehas has spoken about the ideal time and timing on several occasions. But Shreehas, perhaps, you could emphasize the insight again.

Shreehas Tambe: Yes. Thanks, Peter. Yash, thanks for your question. I think one of the things that I've
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always talked about is that there are certain things that are very critical to focus on right now, is to create value for all stakeholders. And one of the key things, after we went through the large acquisition that we did, was to make sure that it was not just acquiring the business but gaining control of all the business across the countries, which we didn't have when we were operating under a TSA.

And it was important that even before we talk about any IPO, we first focused on gaining control across all geographies. It was a 2 -year TSA. We focused on gaining control as soon as possible, so we can be in a better control of our destiny. So that is now complete. As of last quarter now , we are now able to make our own decisions, have full visibility going forward, even though it's just 1 month old today.

The second thing is from a prerequisite that you asked, I think it is extremely important that we focus on the FDA approvals. This is an enabling provision which allows us to unlock value in the portfolio that we have been investing in. And I think it has dodged us for quite some time, which I think all the leadership has been very focused on, engaged with the agency, and we are awaiting them to come and inspect us. So, we are very focused on making sure that we have the FDA unlocked before we talk ab

out th at.

The third very critical piece is we need to move from an integration acquisition phase to a more consolidated and growth phase, which is how our strategy has been focused. First was to preserve value, and you heard Peter talked about it, that we are focused on the business continuity, not drop any customer, any order, any patient supply. So that was first.

Now we consolidate the business, bring it to a steady state. So, we don't have these one-offs that we are talking about at this stage. And we can then talk about what is the appropriate time for an IPO, and Peter and the leadership team, we can all discuss what that would be. But I would lay out some of these things as very important for us to focus on in the near-term priorities at Biocon Biologics. Peter, back to you.

Peter Bains : Yes. No, I think you've covered that, Shreehas. I think clearly, we would look at an IPO when we have the right story and shape. And a big part of that is going to be related to momentum that we have with existing products in existing markets. And as Shreehas and

the team have described, pushing that into new markets. Of course, the new products is going to be a new driver and that relates to Shreehas' comments on the regulatory time line. So, we'll be looking at that through those lenses.

Saurabh Paliwal: Thank you, Peter. We take the next question from Harith Ahamed from Avendus Spark. This will be the last question for this call.

Harith Ahamed: So, first question is on Ustekinumab filing. Previously, we had talked about completing the filing for this in the near term, so any update there?

Peter Bains : Thanks, Harith. I think that's a question either for Shreehas or Rhonda .

Shreehas Tambe: I think the answer to that is yes .

Harith Ahamed: So, we have completed the filing. Okay. And the second one is on the integration - related costs that we've seen in this quarter as part of other expenses. You said that

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this is roughly 5% of Biocon Biologics' revenue. So, can we assume this is a one - off? And to this extent, we'll see an improvement in Biocon Biologics' EBITDA margins starting the fourth quarter?

Kedar Upadhye: So Harith, I would be -- sorry, Peter, if I can take the question .

Peter Bains: Go ahead.

Kedar Upadhye: I think for doing margin analysis of the quarter, those 2, 3 adjustments, Harith, which I referred to, I think, that, you should consider. So, the gain in the P&L, not in the revenue line, on the sale of brands is about 330 -ish; SG&A is 5%; R&D, just take quarterly average rather than this quarter, because this quarter is a slight bump up. So that will give an idea about the margin for this quarter.

And with respect to steady -state margins, we would like to be in the same range, right?

And your question is whether 5% will go up, it will go up next quarter. The question is whether we have to invest on that something else. So, I think we would like to reserve our comment on that part. But for this quarter's margin analysis, I think these are the adjustments that you need to make.

Harith Ahamed: Okay. Got it. And Shreehas, on the RH insulin comment that you made that we have suspended our activities there. So, I was a bit surprised given that we have completed trials and we've done a filing there. And I see that it's a fairly large opportunity and with very limited visible competition out there. So, can you explain a bit more on the thought process there?

Shreehas Tambe: Yes. No, fair question, Harith, and Kedar did talk about it in the beginning. The color that I would like to provide on that is, see, we have been always very committed to insulins globally, particularly in the U.S. as well. And today if you look at it, Glargine has been a big success. We are seeing Aspart at a point where we are awaiting inspection. So, science has been well developed.

We've also seen our RH insulin where it's not one product , it's 3 different products. We've filed for insulin R. There is also insulin NPH, there's also insulin 70 -30, which is a mix. And you must develop all 3 as different products and do clinical trials for all of them, at least Phase I, Phase III we have a waiver right now. Now once you've done that, that 3 products put together is roughly a little under \$1 billion as a franchise in the U.S. Now in light of the recent policy changes which I talked about to a previous question, I think it's important to see how this shapes up and which is why we have paused that, like Kedar said, because right now, the policy advisory is that it's \$35 no matter which insulin is prescribed as a co -pay. So, we just want to make sure that we understand this, we see how the market evolves. We have 2 great products in that market. You heard Matt talk about us gaining market share, gaining customers. So, we first want to capitalize on the investments we've made before we can embark on further development and take on further costs . I think that is really the rationale.

Harith Ahamed : Okay. Got it. And last one, with your permission, on our B3 facility. Can you talk a bit about whether we have started commercial supplies from there? I understand that we have an EU GMP certification for the facility. But in terms of U.S. FDA timelines and our supplies to the U.S., can you comment a bit?

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Peter Bains: Shreehas, do you want to comment on that?

Shreehas Tambe: Yes. Thanks, Peter. I think the B3 facility is an exceptional facility, Harith. It was awarded the ISP E Facility of the Year award, so it's really one of the most awarded facilities in the country for biologics. It has been approved and we continue to supply products from that facility to Europe and several other parts of the world.

We are awaiting the agency to inspect us, so that we can supply to U.S. as well from this facility. But I will let Rhonda comment on this just a little , just so that you get a flavor, because she has been the one leading the entire operations efforts . So over to you, Rhonda.

Rhonda Duffy: Thank you, Shreehas. Yes, the B3 facility is definitely something that we're really keen to make sure that we actually utilize for the U.S. also. However, it's not a case that we're not utilizing it. It's certainly very active and very much used right now in terms of supplying Trastuzumab, Bevacizumab to the rest of the world. So, it's very much in use, very active in that sense. And of course, we need to approve every new facility for use in whichever region it is, and we are awaiting that inspection from the FDA for the site in Bangalore, so that we can put it into use for the U.S. also. But remember, we have B1, very much active in terms of supplying the U.S. So, there's neither a challenge to supply nor is there a delay in actual utilization of the facility overall.

Saurabh Paliwal: Thank you, Harith. That was the last question of the day. Thank you, everyone, for joining us. If there are any further questions or clarification you need, please get in touch with us. Have a good rest of the day .

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability.

Call: May 2024

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BIO/SECL/SP/2024 -25/26

May 23 , 202 4

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q4 FY24

This is further to our earlier letter dated May 17 , 202 4, regarding presentation and video recording of Q 4 FY24 Earnings Call held on May 16 , 202 4, please find enclosed herewith the transcript of the Earnings Call .

The same is also available on the website of the Company at [https://www.biocon.com/investor - relations/financial -information/earning -call-transcripts/](https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/) .

Kindly take the above said information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer
Membership No.: ACS 18776

Encl. as above

Biocon Limited Q 4 FY24 Earnings
Conference Call Transcript
May 16, 202 4

Speakers and Participants from Biocon Limited, Biocon Biologics Limited & Syngene International Limited

Mr. Peter Bains – Group CEO, Biocon Limited
Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
Mr. Shreehas Tambe – CEO & Managing Director, Biocon Biologics Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
Ms. Rhonda Duffy – Chief Operating Officer, Biocon Biologics Limited
Mr. Abhijit Zutshi – Chief Commercial Officer, Biocon Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Manoj Pananchukunnath – Chief Scientific Officer, Biocon Limited
Mr. Sandeep Athalye – Chief Development Officer, Biocon Biologics Limited
Mr. Sibaji Biswas - Chief Financial Officer & Executive Director, Syngene International Limited
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Damayanti Kerai – HSBC Securities and Capital Markets (India) Private Limited
Jainil Shah – JM Financial Institutional Securities Limited
Surya Narayan Patra – Phillip Capital (India) Private Limited
Neha Manpuria – BofA Securities India Limited
Ankush Mahajan – Axis Securities Limited
Nitin Agarwal – DAM Capital Advisors Limited

Prepared Remarks Session

Saurabh Paliwal:

Good evening, everyone. I am Saurabh Paliwal from Biocon's Investor Relations team, and I would like to welcome you to today's earnings call for the fourth quarter and full year fiscal 2024.

I would like to indicate that all the participants will be in a listen-only mode, and there will be an opportunity to ask questions after the opening remarks conclude. Should you need to ask a question please select the raise hand option in the reaction tab of the Zoom application. We will call out your name and unmute your line to enable you to ask a question. While asking a question please begin with your name and organization. Please note that the chat box is disabled but you can raise any technical concerns by sending us an email to investor.relations@biocon.com

I would like to bring to your attention that this conference call is being recorded. The recording will be made available on the website within a day, and the transcript will be made available subsequently.

As part of today's presentation, we have Group CEO, Mr. Peter Bains; Mr. Siddharth Mittal, CEO and MD of Biocon Limited; Mr. Shreehas Tambe, CEO and MD of Biocon Biologics Limited, along with other senior management colleagues from across our business segments to discuss this quarter's business performance and outlook for the company.

Before we begin, I would like to remind everyone of the safe harbor linked to this conference call. Comments made during this call may be forward-looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that our business faces, that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements. After the end of this call, if you need any further information or clarifications, please do get in touch with us.

With this, I would like to turn the call over to Mr. Peter Bains, our Group CEO, for his opening remarks. Over to

you, Peter.

Peter Bains:

Thank you, Saurabh, and good evening, everyone, and thank you for participating in this review of Biocon Group's Fiscal '24 quarterly and full year financial results. Before presenting the results in detail, I would like to start with some opening remarks.

Overall Performance

nce

Overall, '24 has been a year of balanced progress in which each of Biocon's three core business verticals, Biocon Generics Biocon Biologics and Syngene have delivered significant operational successes and made clear advances in preparation for the future growth while at the same time, facing and addressing a range of operational challenges. Overall, the balanced momentum has been positive. Let me now expand a little on each of the verticals and start with our Generics business.

Generics business

On the Generics front, we have seen encouraging growth in our formulations business expansion, driven by new
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product launches, strengthening of our U.S. business footprint, and further traction in our wider geographic expansion initiatives through both our direct -to-market and strategic partnerships model. Momentum in our formulations business balanced the challenges we faced in pricing pressures on our API business, which witnessed a contraction over the year, resulting in Generics delivering a modest 1% year -on-year growth.

We were very pleased with our recent landmark success in our peptide portfolio through securing approval for Liraglutide, a GLP -1 receptor agonist prescribed for diabetes as well as obesity in the U.K. This was the first generic approval of a GLP in a major regulated market, represented another first for Biocon and represents a clear signal of our capability in development and manufacturing of complex GLP drug device products.

Biosimilar business

Turning now to our Biosimilars business, where during this fiscal and in what has been a transformational year, we completed the full transition of the acquired Biosimilar business globally. We maintained strong revenue growth momentum, delivering robust volume growth, evidenced by improvement in market shares of our products in all regions, especially in the United States, and we expanded our geographical reach, accessing new markets and patients and cross the USD 1 billion revenue threshold. All in all, this was a hugely eventful start to the new post acquisition, Biocon Biologics era.

Along with our peers, we faced inertia in the formation of the biosimilar Adalimumab market in the United States, which we do not see materially opening until calendar year '25. During the year, we prepaid USD 250 million of acquisition-related balance sheet debt. And as stated in earlier calls, reducing debt will remain a management priority.

Syngene business

Moving on to Syngene. Syngene delivered a 9% year -on-year revenue growth while absorbing a research services sector -wide funding slowdown in the fourth quarter. Syngene's rapidly evolving contract research, development and manufacturing platform provided revenue diversification to offset what is already expected to be a transitory slowdown in research funding, with its development and manufacturing divisions, especially Biomanufacturing, delivering a strong performance.

All three of Biocon Group's major business segments are at exciting inflection points and are developing improved positions for growth opportunity in the near term and beyond.

Q4 FY24 Financial highlights

I will now move on to present the key financials. And turning now to the financial highlights. I will start with quarter 4 at group level .

Total Revenue for the quarter was INR 3,966 crores, up 1% year -on-year. Revenue from operations at INR 3,917 crores came in slightly more strongly, up 4 %. At the verticals level, Biosimilars revenue from operations grew a robust 12% year -on-year while Research Services and Generics saw sequential growth of 2% and 7%, respectively. I will elaborate more on this later in my remarks.

Group core EBITDA for the quarter stood at INR 1,176 crores, representing a core operating margin of 30%.

Quarterly R&D spend stood at INR 246 crores, corresponding to 8% of revenues, excluding Syngene

ne. EBITDA for the

quarter stood at INR 964 crores with a margin of 24%, with Profit before tax and exceptional items stood at INR 328 crores versus INR 500 crores last year.

Net Profit for the quarter, excluding exceptional items, stood at INR 144 crores versus INR 335 crores last fiscal last
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quarter. Reported Net Profit for the quarter was INR 136 crores.

FY24 Financial highlights

Now if I move on to the full year and start with those numbers. In fiscal '24, Total Revenues at the group level came in at INR 15,621 crores, a growth of 35% year -on-year. Total revenues included INR 530 crores of stake dilution and fair valuation gain in Bicara pursuant to their December fund raise and an operating income of INR 350 crores from the divestment of the two non-core business units in India to Eris Lifesciences by Biocon Biologics in Q3 . The Biologics segment contributed the bulk of the full -year growth with operating revenues growing 58% to INR 8,824 crores. The

Research Services segment grew by 9% to INR 3,489 crores, while Generics came in with 1% growth at INR 2,799 crores. Group core EBITDA was up 10% to INR 4,195 crores, representing a core operating margin of 29%. R&D investment for the full year was INR 1,154 crore, up 3% year -on-year and representing 10% of revenues, excluding Syngene. EBITDA for the year was up 44% at INR 4,164 crores versus INR 2,888 crores in the same period last year, with an EBITDA margin of 27%. Adjusting for the step-up gain in Bicara and the Eris transaction, EBITDA would stand at INR 3,284 crores with an EBITDA margin of 22%.

Profit before tax and exceptional items stood at INR 1,537 crores, up 29% year -on-year, with Net Profit for the year before exceptional items coming in at INR 1,030 crores versus INR 787 crores in fiscal '23, up 31% year -on-year. For the full year, exceptional items amounted to INR 8 crores net of tax and minority interest compared to INR 324 crores last fiscal. Consequently, reported Net Profit after exceptional items for fiscal '24 is INR 1,022 crores versus INR 463 crores last fiscal.

Let me now turn to the segmental business performance during the quarter and let me start with the performance for Generics.

Generics business

In Q4, the Generics segment reported an operating revenue of INR 719 crores, a 3% decline year -over -year, but a sequential quarterly growth of 2%. Core EBITDA for the quarter was INR 155 crores, representing a margin of 21%. Profit before tax stood at INR 50 crores and on a full year basis, Generics recorded an operating revenue of INR 2,799 crores, up 1% year -on-year. Core EBITDA was INR 627 crores flat versus last year with a margin of 22%. Profit before tax stood at INR 230 crores with a Profit before tax margin of 8%. Overall, the full year Generics' performance came in below expectations due to pricing and demand challenges in the API business as well as the impact of some regulatory delays. Notwithstanding this, we are pleased with the traction that we've seen in the formulations business, which grew 36% year -on-year, reflecting the investments we've made in building our formulation capabilities, capacities, and product range over the past few years.

Statin and Immunosuppressant formulations led the growth momentum, which was also seen across all major geographies. During the fiscal, formulation share of product sales increased to approximately 35% from 25% last year, and it is expected to increase and overtake APIs as a share of our business mix in the coming years. It's also important to note that despite the challenges faced in our API business, we were able to maintain core EBITDA margins at the same levels as last year due to cost control and saving initiatives.

On the regulatory front, the approval for our generic Liraglutide in the U.K. was a notable highlight with Biocon becoming the first

company globally to receive a generic GLP approval in a major regulated market. This approval is not only important as a step towards entry into the U.K. market itself, but also reinforces our technical and development Transcript - Biocon Limited Q 4 FY24 Earnings Call Page 6 of 19

capabilities in bringing complex GLP drug device products to the market. This augurs well for Biocon's ability to access and capture future GLP opportunities that will be a major driver of growth momentum in the coming years as we develop and look to bring to market our extensive pipeline of GLP products across global markets.

Over the full year, we made filings for 38 drug products and 37 APIs and received approvals for 24 products and 20 APIs across global markets. I am also pleased to report that during the year, we had multiple facility inspections from international regulatory agencies across various sites, all with positive outcomes.

On the manufacturing front, in fiscal '24, we continued our focus on enhancing our capacities and capabilities to support ongoing and future growth, particularly in Formulations and Peptides. To strengthen our foothold in the North American market, Biocon acquired an Oral Solid Dosage U.S. manufacturing facility located in New Jersey. The acquisition of this FDA -approved facility, our first in the United States, will strategically enhance and complement Biocon's existing manufacturing capabilities and is expected to begin commercial operations in fiscal '25, subject to regulatory clearance. In India, our Immunosuppressant facility in Vizag received a Certificate of Suitability or CEP, from the European regulator EDQM. We expect the facility to be inspected and subsequently qualified for commercial supplies by other major regulators during this fiscal. Our Peptide facility in Bengaluru also successfully completed process validation activities, an important step in preparation for future product launches. Enhancements to our synthetic capacities in Hyderabad, non-immuno fermentation capacities as well as a new sterile injectables facility in Bengaluru, remain on track. We are continuing to expand our product pipeline with a clear focus on formulations and peptides to cater for our mid- and longer -term business opportunities and requirements.

Coming to leadership updates in the generic business, I am very pleased to announce the appointment of Vishal Nayyar as Head of Supply Chain Management and Amit Kaptain as Head of Commercial for our global API business as well as for Generic Formulations in select emerging markets. Overall, and despite the revenues coming in slightly below expectations to the pricing pressures in the API business, fiscal '24 has been a year of important progress for the generic segment with strong momentum in the formulations business, strengthened footprint and capabilities in the United States, enhanced reach and partnerships across global markets and a key first registration in our GLP market ambitions.

As we look ahead, formulations are expected to be the key growth driver for fiscal '25, and we would expect performance to build throughout the year with a stronger second half pull -through. Our GLP portfolio, including Liraglutide, Semaglutide and Tirzepatide is expected to play a major role in the mid - to longer term. We see GLPs as

the major growth driver of the business from fiscal '26 onwards. Market data here indicate the market opportunity of GLPs to reach nearly USD 100 billion by the end of this decade, and we have a comprehensive pipeline to address and compete in this major strategic market opportunity.

Biosimilars business

Turning now to the Biosimilars segment. Let me start by providing an update on Q 4 business performance. With the full transition of the acquired Viartis business successfully completed in December '23, 1 year ahead of schedule, this was the first quarter where Biocon Biologics direc

tly managed a fully integrated business across all geographies globally. We have been able to achieve this while ensuring a seamless experience for our patients, our customers, and our partners and at the same time, maintaining significant in- market growth momentum.

A clear highlight for the quarter has been the performance i n the United States where only 2 quarters post transition, we can report strong demand and enhanced market share performance across all our commercial products, Fulphila, Transcript - Biocon Limited Q 4 FY24 Earnings Call Page 7 of 19

our biosimilar Pegfilgrastim increased its market share to 21% from 14% in March'23 and was the only product in the category increasing market share. Ogivri, our Biosimilar T rastuzumab increased share to 18% from 10% last March and is seeing increased pull -through at the physician level.

We have also secured 4 new commercial formulary agreements, including United Healthcare's Commercial Medical Benefit Drug Policy effective 1st of May this year as a United Healthcare preferred oncology product. Semglee and insulin Glargine franchise has increased its share to 15% and is the fastest -growing brand in the segment. As you are aware, IQVIA reported share does not include close -door networks, which would add an estimated 3% additional market share.

Overall, the continued momentum of market share performance of our Biologics products in the United States since transition has been very encouraging and positions us well as the market dynamics continue to evolve in the U.S. private and government sectors .

I would now like to comment briefly on our b iosimilar Adalimumab franchise. Adalimumab has been a significant success for our Biologics business product portfolio and our franchise in Europe has been very successful and continues to be a key value and growth driver for us. We have earned market shares of 20% in Belgium, 18% in Germany and 11% in France, which reflects the strong confidence patients and prescribers have in our product since we launched in 2018.

In the U.S., as you will all know, the b iosimilar Adalimumab market formation has emerged significantly slower than anyone had anticipated. As previously advised, we think that while the market will begin to open in CY'24, it will not really develop fully until CY' 25 as formular ies start excluding the originator , and biosimilars secure exclusive or preferred coverage. Biocon Biologics intends to leverage its relationships with U.S. customers and PBMs to pursue opportunities across all channels but expects that this will take some time to fully fructify and translate into sales.

Turning now to Europe. We are pleased to report that our market shares remained robust and stable across all major markets in the first quarter after completing full transition in December. Fulphila held 8% shar e, Ogivri 10% share and Abvemy, biosimilar Bevacizumab remained at 6% at the end of December'23. We are also seeing significant success in capturing new market opportunities and expanding reach in the top 5 European countries.

On the Emerging Markets front, Biocon Biologics posted its highest ever quarter revenue led by strong growth across its major regions in Latin America, Africa, the Middle East and Turkey and the Asia Pacific regions. Revenues were driven by the consolidation of the self -led and the partner -led business models and supported by 7 product launches during the quarter. We have seen strong demand for our recently launched biosimilar B evacizumab in Brazil and we have expanded patient reach in Mexico with additional insulin supplies to our partner there to address the unmet needs of insulin -dependent patients grappling with market shortages of insulins.

Turning now to the Eris transaction. As we have previously announced, Biocon Biologics entered a long- term commercial collaboration with Eris Lifesciences to expand access to our portfolio of Met

abolics, Oncology and Critical

Care products in India. This was for a total transaction value of INR 1,242 crores representing a value accretive multiple of 3.4x revenues and 18x EBITDA. This strat egic collaboration with Eris aligns with Biocon Biologics commercial strategy to maximize patient reach and market potential while unlocking value from its Branded Formulations business in India, built up over the past 2 decades. We have also signed a 10- year supply agreement with Eris for these products as part of the collaboration.

Turning now to the full year financial update for Biosimilars . Revenue from operations was INR 2,358 crores, up 12% Transcript - Biocon Limited Q 4 FY24 Earnings Call Page 8 of 19

year-on-year. Excluding the onetime INR 350 crores income from the divestment of the 2 non-core business units in India to Eris in Q3, this would have translated into sequential growth of 10%. Core EBITDA was INR 698 crores with a

margin of 30%. EBITDA margin for the quarter was 24%, with R&D investments at 7% of revenues.

On a full year basis, Biocon Biologics crossed the USD 1 billion revenue mark with revenue from operations at INR 8,824 crores representing a 58% year -on-year growth driven by the step-up from the acquisition, along with robust underlying growth in the core businesses. The business delivered INR 2,190 crores in EBITDA, representing a healthy margin of 25%. We also continue to invest in our pipeline to support future growth with an R&D spend at 10% of revenues.

You would also have noticed a reduction in operating expenses versus Q3 in fiscal'24, reflecting the decrease in costs linked to the integration and one-time related costs. Reducing our acquisition debt remains a key priority. And as I mentioned, we were able to allocate USD 250 million to this end over the full year.

Turning now to regulatory updates on the Biosimilars front. We are pleased to share that the U.S. FDA has accepted our Biologics License Application for Biosimilar Ustekinumab for review under the 351(k) pathway and we have signed a settlement and license agreement with Janssen Biotech Inc., and Johnson & Johnson that clears the way to commercialize the product in the U.S. , subject to regulatory approval , no later than February 22, 2025.

This now positions us to be amongst the first wave of entrants into the U.S. market. Biocon Biologics has also signed a settlement agreement with Bayer and Regeneron that paves the way for the introduction of YESAFILI, our biosimilar Aflibercept into the Canadian market no later than July'25. The product has already been approved by Health Canada.

Also on the regulatory front, the FDA was unable to undertake an inspection of our Bengaluru facility that manufactures our Biosimilar Bevacizumab within the initially proposed goal date timeline and therefore, issued a supplementary CRL. The CRL did not identify any outstanding scientific issues and we have submitted all required documentation to the agency.

Turning to our Malaysia site. Here, we have completed the implementation of all the corrective and preventative actions (CAPA), as per the committed timelines and have provided the U.S. FDA with a comprehensive update. As a next step, we are now anticipating the agency to visit and to inspect both the Bengaluru and Malaysia sites, which subject to outcome, would pave the way for approval of our biosimilar A spat from the Malaysia site and our Biosimilar Bevacizumab from our Indian site. It is important to note that the same facilities are already c GMP certified by leading global regulators, including the EMA and Health Canada.

With regard to biosimilars leadership updates, delighted to announce the appointment of Dwight Hanshew as its new Chief Quality Officer this quarter. Dwight brings with him over 30 years of global leadership, experience and expertise across Operations, Quality and R&D. And most r

ecently , he was the Head of Quality for Cipla in the United States.

In summary, fiscal '24 has been a truly transformative year for Biocon Biologics with the company emerging as a unique, fully integrated, and leading global biosimilars player. The business delivered strong in-market performance, crossing the USD 1 billion revenue threshold, grew share in all its products in the key U.S. market, had its highest ever quarterly sales in Emerging Markets while simultaneously maintaining business continuity and integrating a highly complex geographically diverse business across 120 countries, 1 year ahead of schedule.

Looking ahead, we will consolidate and strengthen our focus on leveraging the advantages of our fully integrated model to accelerate growth for existing products and continue to expand our geographical footprint. Preparing for new product
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launches will also be a major focus. A flow of new product launches is now on the horizon, and these new launches will be key catalysts in the near to medium term to drive both sustainable growth and margins. Behind this, we will continue to invest in advancing and building a highly competitive global pipeline and expect R&D investments to be in the 8% to 9% of revenues range.

Novel Biologics

Let me now give a brief update on our Novel Molecules. These are novel assets targeting autoimmune disease and cancer. Let me start with Itolizumab, a first -in-class novel anti -CD6 monoclonal antibody licensed to Equillium for certain markets. Itolizumab is being developed by Equillium for acute graf t versus host disease and for systemic lupus erythematosus and lupus nephritis.

During the fiscal, Equillium presented positive data from Phase 1b EQUALISE study of Itolizumab in patients with lupus nephritis at the annual meetings of the American Society of Nephrology and the American College of Rheumatology. In April, it also announced positive top line data from a Phase I b EQUALISE study in patients with lupus nephritis, where the study demonstrated clinically meaningful response in highly proteinuric patients with more than 80% of subjects achieving over a 50% reduction in urine protein creatinine ratio. Itolizumab also demonstrated a favorable safety and tolerability profile. Equillium has entered an Option and Asset Purchase Agreement with Japan 's Ono Pharmaceuticals, granting them an exclusive option to acquire Equillium's rights for Itolizumab . Their option decision is expected in the second half of CY'24 .

Boston-based Bicara Therapeutics is developing BCA101, a first-in-class EGFR TGF β -trap bifunctional antibody. During the fiscal, Bicara presented positive interim data from its ongoing open-label Phase I and Ib dose expansion study of BCA101 at the European Society for Medical Oncology evoking strong investor and investigator interest. In December 2023, Bicara closed a Series C funding of USD 165 million. Post this fundraising, Biocon's shareholding in Bicara has now diluted to 14% and the company is no longer considered an associate company of the Biocon group. Syngene

Let me now turn to Syngene, our Research Services segment. Syngene's fourth quarter Revenue from Operations was INR 917 crores, a growth of 7% on a sequential basis, while degrowing 8% year-over-year. For the full year, Revenue was up 9% over fiscal '23 to INR 3,489 crores. Revenue performance during Q4 and the full year was impacted by lower demand for research services stemming from a reduced capital funding environment in the United States.

On a full year basis, Syngene delivered 9% year-on-year growth with reported EBITDA growing 10% to INR 1,105 crores, with stable EBITDA margins at 31%. Profit before tax was INR 632 crores and up 6% year-on-year. This performance was underpinned by Syngene's diverse business platform with its development and manufacturing services, especially in biomanufacturing delivering strong growth throughout the year and more than compensating for the slowdown in research revenues.

During the year, Syngene successfully concluded the acquisition of the strategic biologics manufacturing facility from Stelis Biopharma, which will add 20,000 liters of manufacturing capacity, trebling Syngene's biomanufacturing capacity and providing the basis for future growth opportunity. The completion of the facility modifications and qualification remain on track and are expected in the second half of fiscal '25.

Syngene also acquired 17 acres of land in Genome Valley in Hyderabad to support long-term growth in the Research Services division. The recent step-up now seen in new funding in the U.S. biotech is encouraging and is expected to drive a recovery in demand for Research Services and Development Services in the coming quarters. Syngene's guidance for fiscal '25 includes revenue growth at single digit to low double digits on a constant currency basis. Operating EBITDA margin to be similar to fiscal'24 levels and Net Profit growth in single digits.

So, in conclusion, as I said, for Biocon as a group, fiscal'24 has been a year characterized by both significant operational successes and clear progress in preparation for future growth opportunities across our businesses, while at the same time, facing and addressing a range of operational and market challenges, which I have described in my commentary.

On balance, we have made good progress. Two important elements of fiscal '24 have been the traction seen in our base businesses and the progress made on investments to underpin near-term growth. For Generics, these include the manufacturing capacity investments, primarily for formulations and peptides in Vizag, in Bengaluru, and in our Hyderabad sites as well as the acquisition of the Oral Solid Dose facility in the United States.

In Biosimilars, we have made investments towards capacity enhancements of our Malaysia Insulin facility to ensure we can meet the increasing demand we are seeing right across the global markets. We are also realizing the benefit of past investments to meet increased demand for our monoclonal antibody portfolio. And in Syngene, we have had the acquisition of Stelis Biologics facilities, which adds substantial biologics drug substance capacity and a commercial scale high-speed fill-finish unit. Syngene also acquired land in Genome Valley in Hyderabad, as I mentioned, to support the longer-term growth in our Discovery Research Services. These investments on top of the existing base businesses opportunities and our new product flow, put the businesses in a good position to capitalize and deliver on the market opportunities ahead.

So, looking to fiscal '25, we expect it to be a year of both consolidation and of transitional and accelerating growth. Consolidation will build off the recent business model expansions and capacity and capability evolutions we have invested in behind our businesses. Transitional accelerating growth will come from revenue growth building off these enhanced models, that will start modestly and pick up in the second half of the year, driven by growth from existing products in existing markets supported by accelerating growth from existing products in new markets and, of course, from new growth from new product introductions into new markets.

In Generics, while we expect continued pressure on the API business, given the current business environment, we also expect growth driven by formulations, especially new formulation launches in the second half of the fiscal. Transition and acceleration in the Generics business will come from the new flow of GLP opportunities with the impact becoming visible in fiscal'26.

In Biosimilars, our base business is expected to deliver robust volume

growth through its strengthened vertical model

and expanded global footprint. Favorable FDA inspections of our biologics facilities in Malaysia and Bengaluru would be key transition events; subject of course to agency review and decision, and any favorable outcome would likely have limited impact in fiscal'25 with more material impact in fiscal '26.

For Syngene, the long-term demand drivers for the sector are positive, and with the expected recovery in U.S. biotech funding, Syngene is very well positioned to capitalize on demand recovery across research, but also from the tailwinds in biomanufacturing and the fallout from the U.S. Biosecurity Act, which will gradually accelerate the China +1 opportunity.

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Overall, Biocon group companies have strengthened business models with greater global reach and scale and are increasingly well-positioned to take advantage of significant and emerging market growth opportunities.

With this, I would now like to open the floor to questions.

Q&A Session

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Saurabh Paliwal : Thank you, Peter. We will wait for the questions to be assembled. We will take the first question from Damayanti Kerai from HSBC.

Damayanti Kerai : So, my first question is on your commercial biosimilars in the U.S. So good pickup seen in all the 3 products, Ogivri, Fulphila and Semglee. So, it appears that upcoming launches will most likely make a meaningful impact a year later from now, whether it is Bevacizumab or Aspart or other biosimilars. So just want to understand in the commercial biosimilars, what kind of further headroom do you see for growth? And how should we see this biosimilar growth trajectory from USD 1 billion mark?

Peter Bains:

Thank you, Damayanti, for the question. I'll start with my response, but perhaps Shreehas and Matt can add to this. I think, first of all, we're very pleased with the momentum we're seeing only 2 quarters out from taking the business over in the United States, we're seeing some very robust market share increases. These are, of course, driven by volume demand for our products, and they are coming along with some pressures on pricing, but we see sustained demand in volume for our products, I think, both in the private and the government sectors. And we see that coming across our full range of products in market today. And I would also comment that I think you are right, Damayanti, that I think the new product launches while they could have some impact in this fiscal, the major impact would be seen in fiscal '26.

Shreehas, maybe you want to build upon that and Matt probably with some details on the end market demand profile in the United States, in particular.

Matthew Erick: Yes, sure. Absolutely. Thank you for the question. Look, what we are seeing is really the ability to understand in the U.S, the Part D side, and Part B in our portfolio. And we are building upon this through this relentless focus we have, not only with our sales team, but building those relationships with market access. So, we are building on the foundation and setting ourselves up for a nice portfolio in Oncology, Diabetes and even Immunology as we prepare to launch new products as we go into the latter half of FY'25 and then continue to set us for success in FY'26. Maybe we have Shreehas now, but those are my thoughts there, Peter.

Peter Bains: Thank you, Matt. Shreehas, did you want to add anything? I think Shreehas may be struggling with technology. So, Damayanti, does that answer your question?

Damayanti Kerai : Yes, it does. My second question is on your progress in first to gain market access and payer coverage for Adalimumab. So, you basically commented the market will

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notably start opening up in calendar year 2025 or maybe bit later. So meanwhile,

le,

can just update us on your effort on the payer coverage side.

Peter Bains: Sure. And let me start again. I mean I'll repeat that Adalimumab for Biocon Biologics has been a real success story, as you can see from our positions in Europe. We are going to look to build on that experience in the United States. And as I said in my commentary, we don't really see the market opening up in calendar '24, but we'll see it begin to open up more materially in '25 as formularies take the originator off their lists. And we will be

working to establish our foothold as that opens and then build from there towards a stronger position through calendar '25.

Matt, again, can comment a little bit more on the channel details and the model on that and our strengths that we are putting to work.

Matthew Erick: Yes. Thank you, Peter. We are still seeing the foothold of Humira on most of the formularies. As Peter stated in the opening remarks and just data, too, this will start opening up in 1/1/25. What we've been able to do is secure some positions within our market access team in regard to having not only Humira but having Biosimilars on there. So as the payers start to transition Humira off, we will start using our sales force to start pulling our products through to increase that market share.

The other thing I would say is that we have tremendous relationships. As you know, we

have been working market access since we launched our products in 2018. So, the payers are very familiar with Biocon. We are aggressively pursuing these opportunities, and we do see some opportunities lifting and will be in position in 1/1/25 to be able to take those advantages in which the payers decide.

Saurabh Paliwal: We'll take the next question from Jainil Shah from JM Financial.

Jainil Shah: My first question is on Denosumab. Sandoz has settled with the innovator. And do you believe that we will be in the first wave of launches because we will be filing by the end of this year. So, what are your thoughts on that?

Peter Bains: Yes, as I said in my opening remarks, we think we will when we are delighted to have secured that opportunity and are working, as you'd imagine, toward that, very aggressively. And again, this is an opportunity where we can put some of our existing capabilities and strengths to work in that market.

And again, perhaps, Matt, you'd like to pick up on that and maybe on the regulatory status as well.

Sandeep Athalye: Matt, this is Sandeep. If...

Peter Bains: Yes, Sandeep, that would be helpful.

Sandeep Athalye: Yes. Certainly, I mean, I can confirm that we are in a good position to make the filings in the next few months. And we will be the first cohorts that can launch in the U.S. and Europe as well.

Jainil Shah: And any timelines for approval for both Denosumab, Stelara, and any risks that you see to those timelines?

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Sandeep Athalye: Our package looks good. The data is looking fine. I think I am very optimistic in terms of going through the approval. It takes a regular cycle of about 12 months for the FDA and about 15 months with the clock stop for EMA. So that will be standard as expected for all the molecules.

Jainil Shah: Sure. And just one on the CapEx that we are planning for the next 2 to 3 years?

Peter Bains: Let me take that. I think that what you will see is that CapEx will taper down, calibrate down from recent levels, but we will be maintaining the necessary investments to support the capacities that we are building to underpin both the existing near-term growth opportunities and mid-term opportunities that we are moving towards. So, you will see some calibration down, but we are not going to stop investing behind the very substantial near-term mid and longer-term opportunities that we've been building towards over the last few years.

ards over the last few years.

Jainil Shah: Sure. And just one more, if I may. In the Generics business, what is our growth guidance? And how many launches do we expect next year? We have alluded towards being stronger, but if you can give us some guidance on how many launches are there? How do we expect Vizag to start contributing? So, your thoughts?

Peter Bains: Sure. I will ask Sid to provide more detail. But again, I will comment that what we are looking at is transitional acceleration, and we see that picking up in the second half of this fiscal, built on the new product launches, especially in formulations that we have invested in over the last years. And as I said in my commentary, we have made a large number of regulatory submissions. We have had good success and approvals, and we expect to see that momentum continue and that will underpin the growth that we'll be looking for in the Generic business over fiscal '25.

Sid, do you want to add anything more to that?

Siddharth Mittal: I think the only optics, which I would like to give is, of course, this is a combination of products that we have filed in the U.S., which includes a few injectables and few OSDs, which are either approved by the FDA and waiting for launch or they are under final review with the FDA and we will launch during the course of the year. Plus, as we mentioned earlier that Liraglutide in U.K. will be launched by our partner, Zentiva and by us by end of this calendar year. And our file is also in the advanced stages of review with European authorities. And once we receive those approvals, that product could be launched as well in the second half of this fiscal year. So, a combination of the launch of Liraglutide in U.K. and Europe, plus a few products in the U.S. will drive that growth. I cannot give you the exact number of products. Our portfolio continues to be limited in terms of total number. But of course, these are differentiated high-value products that we are working on.

Saurabh Paliwal: We'll take the next question from Surya Patra from Phillip Capital.

Surya Patra: My first question is on the Biosimilar business. So having seen strong volume growth in the recent quarters, for the already marketed products. The like-to-like

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growth in Biosimilars looks either muted or declining for FY'24, versus last year. So given that and the kind of price competition, although there is volume ramp up that

is visible. And also likely the ramp -up in the key products in FY'26. So, what growth one should really think of for the Biosimilar portfolio in FY'25?

Peter Bains: Surya, I think that there's strong momentum in the in- market products in the biosimilars business. As I have said in my opening remarks, this includes market share gains that are not insubstantial market share gains across all our products in the United States. Robust market share performance in the quarter that we transitioned the business in the United States, leading market shares in many instances in Europe. And the highest ever quarter that we have seen in the Emerging Markets business. So, I think there's positive growth momentum in the Biosimilars business. And we would expect that growth momentum to continue during fiscal '25 .

Matt' s given some comments on some elements of that. But we have seen extremely robust demand for our products, and that 's reflected in very high-volume pickup in the last 2 quarters of the prior fiscal and we expect that momentum to push through into this fiscal. So, I do not quite see the market starting point, as you' ve described. But I think we are

building off a very encouraging momentum and we 'd look to see that push on through.

Shreehas, you can put a little bit more color on that?

Shreehas Tambe: It's pretty comprehensive, Peter. I just say, Surya, that if you look at the products that we have br

ought in the market in the United States, which is a very large market, each of those products now com mand a fifth of the market share, a fourth to a fifth . And I think that is something which will clearly demonstrate that we have got a sizable piece of the opportunity there.

In Europe, you are seeing us move from the 2-country approach that we had in the past to the other countries, the other large countries in Europe and Emerging Markets, Peter just talked about the strong response we are seeing from our key emerging markets. The current immediate focus is on the products that are commercial. But if you want to look at how things are shaping up in the near -term future, that will be on the back of new product launches.

We talked about 2 in the opening remarks, and we also have the risk -free launches that we're looking at from new products into major geographies. So, I would think it is a very strong expectation in terms of how we are moving things forward. We have good momentum, and we expect to drive this in the years to come.

Surya Patra: Sure, sir. The second question is on the, let's say, about Humira to be specific end of the pipeline products, including Ustekinumab. So, starting with Humira. We have seen Humira has seen some kind of revenue decline in the recent quarters, but that has not translated to any kind of improvement in Biosimilars. So, does that mean Humira is losing out business to some competing products and if that is the case, whether Biosimilar opportunity is likely t o be shrinking for adalimumab?

Peter Bains: Shreehas, do you want to pick up on that? I think we have covered some of it.

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Shreehas Tambe: Yes. Thanks, Peter. And Surya, that is a very fair question. Just to index this properly, Adalimumab in the U.S. was the first product that in that sense, saw Biosimilars coming up in the -- in what the U.S. market calls as the pharmacy benefit space or the Part D space. And that operates very differently than the previously launched products that we have seen in the oncology space. So, to understand that space a little bit different than how the oncology products, which are more buy -and-bill operate. So, this was, I think, in many ways for all the players, including the payers and the PBMs to understand how this opportunity unravels itself. And I think what we have seen is that everyone's trying to understand how a USD 20 billion asset eventually plays out. And like Peter mentioned in his opening comments, we had always said that '23 is when it may open up, but it will only begin in '24 and some meaningful progress on the Biosimilars will only happen in 2025.

And I think we have probably seen that starting to happen in '24, where you're seeing 1 or 2 Biosimilars players starting to get some market share through some innovative models that the PBMs have come up with. And '23 essentially was where the innovator continued to hold more than 98% of the market. Now this is something that was a first experience for everyone in the pharmacy benefit space for such a large asset. Stelara will, of course, play out following this. There will be some learnings of this including things like product attributes, including interchangeability, including our ability to negotiate, all of this will help the industry, the biosimilar players as well as the PBMs to help shape this as we go forward, Surya.

Surya Patra: Okay. Sir, just last clarification from my side, sir, in fact about the marketing arrangement what we had with Viatris at the time of acquisition of the Biosimilar business in U.S. Whether -- when we are saying that we have now integrated ourselves. So, wh ether that marketing arrangement is effective for FY'25, that is there or not?

And secondly, about R&D spend, the fourth quarter have seen some kind of moderation to around 8% of the revenues, excluding of Syngene. So,

whether it is

the kind of fair run rate that one should build for next year?

Peter Bains: Let me start with that. I will start with the second question first on R&D. As I said in my remarks, Surya, I think you'll see -- as you've identified in Q4, a calibration down from previous levels. But this is in part due to the cyclical nature of where assets sit in our R&D and particularly the development pipeline, it is not a constant spend. It does modulate as you move assets from early stage and into later stage development, which is more expensive. So, there is a natural curve there. But the other comment I want to make is we are going to continue to invest behind building a very globally competitive pipeline of assets. And that has been something that Biocon Biologics committed to many years ago, and it is a theme that we're going to persist with.

We are confident about our ability to build a competitive global pipeline that will serve our
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growth aspirations in the mid and the longer term. And as I said also, we now have an exciting and visible flow of new products on the near-term horizon. I'm sorry. Sorry, your first question was...

Surya Patra: Marketing arrangement was...

Peter Bains: Marketing arrangement, yes. I'm going to ask Shreehas to comment as well. The marketing arrangements with Viatris have now all successfully completed, and the handover is complete. We have no lasting marketing arrangements left in terms of marketing and commercial capability. Obviously, within that transaction with Viatris, we have got some great people that have come over and join Biocon Biologics. And their expertise, their capabilities are helping underpin the exciting growth momentum that we're seeing in these early quarters as we complete the full transaction. But just to be clear, Surya, on this one, there are no marketing arrangements left here.

There may be some small peripheral support activities related more to administration, but there is no marketing legacy contractual remains here. This is now fully the Biocon Biologics team driving this momentum.

Surya Patra: Okay. Sure. So, will this lead to some absolute increase in either employee cost or any other cost element for us?

Peter Bains: I mean the short answer to that is yes, because in the previous collaboration model with Viatris, they had those costs. But of course, they took a lot of the profit as well. So now we have those costs, and you will have seen that reflected in some of last year's numbers. So, we are now carrying the cost of that commercial marketing team and activity. But now we are capturing the full value of those efforts. And it is, as I said, very encouraging to see the market share gains and the momentum building, and we are capturing all the value now in this fully vertically integrated model.

Shreehas, do you want to add anything to that?

Shreehas Tambe: No, Peter, I think you covered it well. Perfect.

Saurabh Paliwal: The next question from Neha Manpuria from Bank of America.

Neha Manpuria: Just a follow-up on the Humira -- the biosimilar Humira that we talked about. The 2 private label launches that we've seen by biosimilar companies seem to be gaining good traction, at least that's what the initial data seems to show. So, as we talk about the market opening up in 2025, does that put our ability to then get in and get meaningful share at risk with these existing players probably scaling up over the next few months?

Peter Bains: Neha, I think it is a very interesting question. It is one that the team have been looking at for some time, and I think are advancing our own thinking on that, not simply for Humira but beyond. I am going to ask Matt here to comment a little bit more on that and perhaps develop a little bit our thinking there.

Matthew Erick: Sure. And I will let Shreehas, please chim

e in as well. So, you are correct. We are seeing the private labels starting to migrate. And the reason is, is that recently, C VS announced
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that they were transitioning from Humira. And remember, as we look at this, we look at a commercial piece, we look at Medicare, Medicaid, there's multiple channels. And also, there's 2 other large commercial entities that are available to play in which we are bidding now for 1/1 start dates. So just as we are seeing these private labels migrate, that does not leave all the market out for Biocon.

The market is open in the commercial, in the Medicare and the Medicaid business. So, we are actively set up in pursuing those opportunities, and we are also keeping a close eye

and understanding how the private label and how that's switching and the progress there. But we still believe we have an opportunity in which we are currently bidding on for more growth in FY'25 starting in 1/1/25.

But anything, Shreehas, you would like to add?

Shreehas Tambe: No, perfect Matt. I think this is good.

Neha Manpuria: That's very helpful. And my second question is, Peter, you mentioned in your opening remarks that debt reduction remains a priority for the company. Given that a lot of the launches are going to be back ended with bulk of the benefit in FY'26, how should we think about net debt reduction for BBL and Biocon in the next year?

I mean, what avenues are we looking at to reduce debt? Or if you could give any number, that would be great.

Peter Bains: Right. So, Neha, let me start by saying that we are -- while debt reduction, as I said in my opening remarks, is a priority. We are comfortable with our ability to service all our obligations. We will be looking to reduce debt. And as you have seen in the last fiscal, we allocated USD 250 million to acquisition -related debt reduction. We have an extensive range of options, and we are going to explore all of them, and we'll look to make the right decision at the right time on that. We have bank opportunities, we have equity opportunities, we have hybrid opportunities. There are a pretty extensive range of levers that we can look at, and we are exploring, and we will make debt reductions during the course of this year. We will do them, I think, at the right time, and I cannot give any specific quantitative guidance on that. But for sure, you will be updated as and when we become active there.

Saurabh Paliwal: We will take the next question from Ankush Mahajan from Axis Securities.

Ankush Mahajan: So, my question is what's the outlook for the debt on, sir?

Peter Bains: Was that question on the outlook on debt?

Ankush Mahajan: Yes, sir, outlook on debt.

Peter Bains: Okay. Ankush. As I have said, I think the starting point is to understand that we are comfortable in servicing in the debt that we have. But we are also going to be looking to reduce the debt levels. And we have a wide range of options to explore. As I said, we can look at bank options on debt, we can look at equity options, we can look at hybrid options.

There are other levers. We are exploring that. We will be looking to reduce debt this year, but I can't give details of when and how much we will be looking to make those decisions

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as appropriate during the year. And of course, we will be updating you as and when we do.

Saurabh Paliwal: We take the next question from Nitin Agarwal from DAM Capital.

Nitin Agarwal: I have two questions on Generics. What are you thinking about the approvals for the U.S. market, which...

Peter Bains: I am sorry, I didn't hear that question.

Siddharth Mittal: Where are we on the approvals for GLP -1 in the U.S. market was Nitin's question.

Peter Bains: Sid, why don't you take that?

Siddharth Mittal: Yes. So, the file is under r

eview with the FDA, and we are quite positive that we should hear back from the FDA. Of course, this requires a facility inspection as well because this product was filed from Biocon Biologics Injectable Facility. And as Peter alluded to in his opening comment, we are expecting FDA to inspect the facility in the coming months. And hopefully, when they come to review the facility, inspect the facilities, they will look at it for Liraglutide as well.

So, I think Peter also alluded to the fact that we expect Liraglutide to meaningfully start contributing to the growth from FY'26. And even if the approval comes through later part of this year, we will see a meaningful difference coming in from both now Europe and U.S. in FY'26.

Nitin Agarwal: And secondly, if you can provide some clarity -- some color on how would the immunosuppressant new facilities scaling up? What kind of capacity utilization do we have? And how do we see that part progressing?

Siddharth Mittal: So, the existing capacities, of course, we have done a lot of process optimization to enhance the capacity while we qualify Vizag and again, as you know that we have got the CEP from the European authorities, so we can already start commercializing part of those quantity capacities in Europe. But of course, for us, the bigger market is the U.S. and Latin America, and we are expecting FDA to come in and inspect the facility, after which we will be able to address the demand. Of course, when you look at our current facility and Vizag, we will have a huge opportunity to capture a much larger market share for immunosuppressants at a global level.

Nitin Agarwal: And so, with your capacity of the increase scale coming through, do you foresee a

situation of increased sort of pricing competition in this space? I mean is the demand there to absorb such a large capacity that you are going to bring on board.

Siddharth Mittal: Well, the demand is growing because the volume share is going up. Now of course, there is competitive pressure. Whether it is from rest of the world or India and in some cases, other companies who has their own immunosuppressant fermentation capacities. So, we are also working with a lot of 505(b)(2)s.

As you know that we have a large customer, which was based out of U.S., they have their own 505(b)(2). And overall, when we look at the Immunosuppressants market, it is expected to grow. So, we of course, have to participate in the market going up and compete with others on the market share and winning additional business. I think last Transcript - Biocon Limited Q 4 FY24 Earnings Call Page 19 of 19

quarter, we also got a very important approval in China for Mycophenolic sodium. And we also have other immunosuppressants, which are under review with the Chinese authorities. And China, as you know, is also a large volume market.

So, we would look at geographical expansion. We would look at increasing our wallet share. In our core markets like U.S. and Latin America and overall, the market share is growing up as the number of transplants grow.

Saurabh Paliwal: Thank you very much for your questions. That was the last question of the day given the timelines we are at. For the question that will remain unanswered, I request the participants to please send us an e-mail, and we will be happy to take them offline. With this, we will conclude today's presentation. I thank every one of you for joining us today and have a great rest of the evening. Good night.

-Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability.

Call: Aug 2024

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BIO/SECL/SP/2024 -25/71

August 19 , 202 4

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q1 FY25

This is further to our earlier letter dated August 10 , 202 4, regarding presentation and video recording of Q1 FY25 Earnings Call held on August 09, 2024 , please find enclosed herewith the transcript of the Earnings Call .

The same is also available on the website of the Company at [https://www.biocon.com/investor - relations/financial -information/earning -call-transcripts/](https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/) .

Kindly take the above said information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer
Membership No.: ACS 18776

Encl. : as above

Aug 9, 2024

Speakers and Participants from Biocon Limited , Biocon Biologics Limited & Syngene International Limited

Mr. Peter Bains – Group CEO, Biocon Limited
Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
Mr. Shreehas Tambe – CEO & Managing Director, Biocon Biologics Limited
Mr. Sibaji Biswas – Chief Financial Officer & Executive Director, Syngene International Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
Ms. Rhonda Duffy – Chief Operating Officer, Biocon Biologics Limited
Mr. Abhijit Zutshi – Chief Commercial Officer, Biocon Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Amey Chalke – JM Financial Institutional Securities Pvt. Ltd.
Tushar Manudhane – Motilal Oswal Financial Services Limited
Neha Manpuria – Bank of America Securities India Limited
Surya Narayan Patra – Phillip Capital (India) Private Limited
Manoj Bahety – Carnelian Asset Management & Advisors Private Limited
Kunal Randeria – Axis Capital Limited
Ashish Thavkar – JM Financial Asset Management Private Limited
Jamsheed K – Individual Investor
Rahul Jeewani – IIFL Securities Limited
Dhaval Bha lodia – Individual Investor

Prepared Remarks Session

Saurabh Paliwal:

Good morning , everyone. I am Saurabh Paliwal from Biocon's Investor Relations team, and I would like to welcome you to Biocon's earnings call for the first quarter of fiscal year 2025.

I would like to indicate that all the participants line will be in a listen -only mode, and there will be an opportunity to ask questions after the opening remarks conclude. Should you need to ask a question , please select the raise hand option under the reaction tab of the Zoom application. We will call out your name and unmute your line to enable you to ask a question. While asking a question please begin with your name and organization. Please note that the chat box is disabled but you can raise any technical issues by sending us an email at investor.relations@biocon.com

I would like to bring to your that this conference call is being recorded. The recording will be made available on the website within a day, and the transcript will be made available subsequently.

Moving to discuss the company's business performance during this quarter and future outlook, we have on this call, our Group CEO, Mr. Peter Bains; Mr. Siddharth Mittal, CEO and MD of Biocon Limited; Mr. Shreehas Tambe, CEO and MD of Biocon Biologics Limited, along with other senior management colleagues across our business segments.

Before we begin, I want to remind everyone about the safe harbour related to today's investor call. Comments made during the call may be forward looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that our business faces that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements. After the end of this call, if you need any further information or clarifications, please reach out to the investor relations team.

With that, I would like to turn the call over to our Group CEO, Mr. Peter Bains, for his opening remarks. Over to you, Peter.

Peter Bains:

Thank you, Saurabh, and good morning, everyone. Before presenting the results in detail, I would like to start with some opening remarks. As you will see and hear , on a reported basis, the comparable or year -on-year first quarter group financial performance has come in very strongly, with total revenue up 30%, EBITDA up 117%, and PBT up over 500%. This performance has been

driven by the impact of the Eris Lifesciences business transfer consummated in the quarter. After adjusting for the Eris transaction, underlying group financial performance, while relatively subdued, has come in line with our expectations and our previous guidance. And this is reflecting a mix of headwinds and tailwinds across our businesses. The highlight was the Biosimilars business, which has delivered a strong like-for-like operating revenue growth, which has offset degrowth in the Generics business and in Syngene. In line with our previous guidance, we expect the quarter 1 trends to continue into quarter 2 before we see a transition toward accelerating growth across the businesses through the second half of the fiscal year and into next year.

Financial Highlights – Q1 FY25

I will now move on to present the financial highlights for the quarter.

At the group level, Total Revenue was INR 4,567 crores, a growth of 30% year-on-year and 15% on a sequential basis. This included proceeds amounting to INR 1,057 crores from the strategic business transfer agreement with Eris Lifesciences, which is classified as other income. Revenue from operations, which excludes income from the Eris transaction was INR 3,433 crores, largely flat as compared to last year. As I have just said, this reflects a balance of performance across the segments where Biosimilars revenue from operations grew 11% on a like-for-like basis while Research Services and Generics saw declines of 2% and 6%, respectively. Group core EBITDA for the quarter stood at INR 903 crores, down 4% year-on-year and representing a core operating margin of 26%. Quarterly R&D investment spend stood at INR 228 crores corresponding to 9% of revenues, excluding Syngene. Reported EBITDA for the quarter stood at INR 1,755 crores, up 117% year-on-year with a margin of 38%. Adjusting for the income from the Eris transaction, EBITDA for the quarter was INR 698 crores with an EBITDA margin of 20%. Profit before tax and exceptional items stood at INR 1,114 crores versus INR 184 crores last year. Adjusted for the Eris transaction flow through, PBT for the quarter stands at INR 57 crores. Reported Net Profit for the quarter was INR 660 crores while adjusted Net Profit stands at INR 19 crores. Let me now turn to the business segment highlights and start with Generics.

Generics Business

Revenue from operations in Generics was INR 659 crores, a degrowth of 6% year-on-year. Core EBITDA for the quarter was INR 123 crores with a margin of 18%. R&D spend at INR 64 crores, and representing 10% of segment revenues, was up by INR 10 crores from the same period last year, reflecting continued investment in our strategic peptide and injectable portfolios. EBITDA for the quarter stood at INR 59 crores with a margin of 9%, reflecting lower sales, price erosion and the increase in R&D investments seen during the quarter. Profit before tax stood at INR 17 crores, with a PBT margin of 3%. Overall, while the performance for the quarter was muted, it was in line with our expectations, reflecting the anticipated pricing and demand challenges across our API and formulations base business.

Moving to the business updates, let me start with business development. And here, our preparations for entry into the GLP market opportunities are continuing to build momentum, and we were very pleased to sign an exclusive licensing and supply agreement with Handok, a leading specialty pharmaceutical company in South Korea for the commercialization of our Synthetic Liraglutide for the treatment of chronic weight management. This is consistent with our commercial strategy of expanding our global footprint beyond our direct presence in the United States into other important geographies, including the U.K., Europe, Latin America, Asia, and Australia, either through a direct presence or working with strong local strategic partners.

On the regulatory front, there has been significant activity and progress. With 17 market filings, including 2 ANDAs in the United States, and we have received 3 approvals including our first generic injectable drug product approval for Micafungin in the United States.

In June, the U.S. FDA conducted GMP and PAI inspections at 2 of our API facilities, Site 5 and the new Site 6, both located in Vizag. These inspections resulted in the FDA citing 4 and 3 observations, respectively, which were procedural in nature. The company responded to the agency's observations within the stipulated timelines for both inspections, and I am happy to report that earlier this week, the FDA issued an establishment inspection report for Site 5 and classified the inspection as 'VAI' or Voluntary Action Indicated. We now await agency feedback for Site 6. In June, the Brazilian Health Agency, ANVISA, conducted a regulatory audit of our oral solid dose facility in Bengaluru, which concluded with no major or critical observations.

Looking ahead for the Generics business and consistent with previous guidance, we expect the second quarter to continue to be relatively muted with performance then building in the second half of the fiscal led by new generic formulation launches across multiple markets. Importantly, this includes the launch of our Liraglutide formulations for diabetes and obesity, both in the U.K. and in other markets where preparations are well underway. Our extensive GLP portfolio led by Liraglutide will be the major growth driver for Generics in the coming years and has strong synergies and complementarity with our global Insulin business in our Biosimilars vertical, providing Biocon a unique positioning in addressing the strategic diabetes and obesity global market opportunities ahead.

Biosimilars Business

Let me now move on to our Biosimilars vertical. While our focus in fiscal 2024 was on ensuring business continuity and preserving value during the transition phase post-acquisition, our focus in FY25 has now shifted to consolidation and leveraging our unique vertically integrated model to drive profitable growth. And I am pleased to say we began the year on a positive note with a robust 11 % like-for-like growth in Q1 and achieved several key regulatory milestones.

In the United States, we continue to see strong demand across our product range. In our oncology franchise, Fulphila, our biosimilar Pegfilgrastim and Ogivri, our biosimilar Trastuzumab, continue to hold strong market shares of 20% and 19%, respectively, with several market access agreements coming into effect and increased pull-through at the physician level from our marketing team. Our Semglee and Insulin Glargine franchise serving the diabetes market segment also holds mid-teens shares on the back of strong formulary coverage, including a large managed care network. The U.S. insulin landscape continues to evolve dynamically, and we believe we are very well positioned with our extensive heritage and expertise in insulins to exploit and capitalize on the emerging opportunities.

In Europe, our market shares have remained stable at the regional level with some strong performances in several key markets. Hulio, our biosimilar Adalimumab is the market leader in Germany and on the oncology front, our Ogivri, Fulphila and Abevmy (biosimilar bBevacizumab) products have captured double-digit market shares in key markets such as France and Italy. We are also making good progress on our business expansion strategy in Europe with new launches and tender wins at national and hospital level in markets such as the United Kingdom and Italy.

Our Emerging Markets business reported a strong performance on the back of higher sales of our biosimilar Bevacizumab, recombinant Insulin and Etanercept. During the quarter, we expanded the depth and breadth of our reach through 12 new product market launches.

es.

Now coming to the financials for the first quarter of fiscal 2025, Biosimilars revenue from operations was INR 2,083 crores, up 11% on a like-for-like basis, adjusting for revenues in Q1 fiscal 2024 from the branded formulations unit in India. Revenue from operations does not include the income from the Eris agreement, which is booked as other income.

This growth translated into a core EBITDA of INR 614 crores with a margin of 30% and an EBITDA of INR 474 crores or 23%, reflecting the strong underlying profitability of the core business. We continue to invest in our pipeline with R&D spends at 8% of revenue to drive the mid and long-term growth of the business. Profit before tax is INR 1,065 crores, including the gain from the Eris agreement.

Moving on to regulatory updates, there have been significant activity and progress. The U.S. FDA-approved Yesafili, our biosimilar Aflibercept as the first interchangeable biosimilar, which marks our entry into Ophthalmology, a new and exciting therapeutic area. Our biosimilar Denosumab global clinical trial has met the required endpoints, and we are currently on track to submit regulatory filings later this year.

The European Medicines Agency (EMA) has renewed its Good Manufacturing Practice (GMP) Certificates of Compliance for both our Bengaluru and Malaysia sites. We have also received EMA approval to manufacture our biosimilar Bevacizumab at our new monoclonal antibodies drug substance facility in Bengaluru. The same facility has also received GMP certification from the Therapeutic Goods Administration (TGA), Australia.

The U.S. FDA recently concluded a combined GMP and Pre-Licensing Inspection at our facilities at Biocon Park Bengaluru, in July 2024, spanning 6 manufacturing units and the associated quality labs and warehouses. The 10 observations noted in the Form 483 were procedural in nature. There were no observations related to data integrity or on quality oversight at any of the facilities and no repeat observations were noted by the agency during inspection. We will submit a comprehensive, Corrective, and Preventative Action (CAPA) plan to the agency within the stipulated time frame and are confident of addressing these observations expeditiously. We do not expect the outcome of these inspections to impact the supplies of our commercial products.

Syngene

Finally, coming to Syngene. In Syngene, we saw Revenue from operations for the quarter down marginally over last year at INR 790 crores. Reported EBITDA was down 20% to INR 188 crores with an EBITDA margin at 23%. Profit before tax at INR 69 crores was down 44% from last year. Overall, Syngene's first quarter performance is in line with its guidance and commentary given in its Q4 fiscal results presentation.

The Dedicated Centres reported steady performance while there was continued growth momentum in biologics manufacturing, driven by both commercial as well as clinical scale projects.

Performance in Discovery Services was impacted by the dip seen in U.S. Biotech funding that has impacted the sector over the last 2 years. However, green shoots are now on the horizon as the value of funding to U.S. biotech saw remarked increase in the first half of calendar 2024, which will generally flow into outsourcing demand with a lag of a few quarters. Requests for proposals are up 50% year-on-year with the first quarter of fiscal 2025 being the best first quarter for RFPs for Syngene in 4 years. This quarter also saw the start of several pilot projects from pharma

companies. Successful delivery of these projects is expected to build a foundation for larger scale future collaborations, and Syngene expects to win its fair share of these pilot projects.

Increased visits by companies exploring outsourcing options beyond China, add to the positive future outlook and provides long-term tailwinds for Syngene. The repurposing of the Biolog

ics Manufacturing facility acquired from Stelis

Biopharma remains on track for completion of qualification and facility modifications in the second half of fiscal 2025.

So, to conclude, overall, the underlying operational group performance delivery in the first quarter while largely flat has reflected the balance of a strong Biosimilars performance, offsetting transitory degrowth in Generics and in Syngene. This is consistent with our earlier stated guidance and is in line with our expectations. Performance in the second quarter is expected to largely mirror that seen in the first quarter. In the second half of the year, and as previously guided, we expect to see a transition to accelerated growth underpinned by continued traction in Biosimilars, new product launches in Generics, and Syngene being in a strong position to capitalize on the emerging trends in its business to hit its guidance range for the year, and with momentum expected to build in the second half.

I would now like to conclude my opening remarks and open the floor to questions.

Q&A Session

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Saurabh Paliwal: Thank you, Peter. We will wait couple of minutes for the question queue to assemble. We will take the first question from Amey Chalke. Please go ahead.

Amey Chalke: The first question I have is on the Biosimilars. I agree that we are increasing market share quarter-on-quarter in the existing products in the U.S. But should we assume the similar improvement happening on the value of these products? Basically, how is the pricing tracking in these Biosimilars so vis-a-vis the market share gains?

Peter Bains: Thank you for the question, Amey. I am going to ask Shreehas to lead the response for that question, please.

Shreehas Tambe: Thanks, Peter. Thanks, Amey, for the question. I think the good part is that the Biosimilars opportunity that we are seeing overall in all markets, whether it is North America, Europe or in Emerging Markets, seems to be very strong. It has shown strong growth for all our products in all geographies.

And if you specifically ask on the pricing front, we are looking at a more stable pricing across regions. In the U.S., we have seen that Biosimilars have held on to their price, particularly those in the oncology space for over 5 years and this will continue to hold value. So, there is, of course, a competitive dynamic, which will play out. But we expect a much more stable pricing regimen than the other markets that are there. We expect this to be a very stable market overall, Amey.

Amey Chalke: Should we assume the value gain in these products correspondingly the market share gain, which is happening in these products, basically. Should we assume that sales to be increasing?

Shreehas Tambe: Yes. I think the way you would expect is that their competitive dynamics will play out across markets as products mature. But we really feel that given the increased market shares there will be a growth in the products and the revenues. Pricing will, of course, erode over time. So that the expectation that we should all have of any market for any product, but it is gradual price decline. And market share should be a good indicator of product acceptance and performance.

Amey Chalke: Sure. So, a second question I have is on the Humira, basically our expectation was in FY 2025, the market landscape will move towards generic. If you can give some colour on the market development here in the Humira biosimilar market.

Shreehas Tambe: Peter, if I can just go into this and then I will have Matt join me as well for this answer.

Amey, if you go back to the commentary that we had shared on how we see this market evolving, we have said it's a 3-stage evolution, where we have said calendar 2023 is when the market opens up, which is when everyone got in. 2024 is when we set the market, and that was calendar 2024 is when we said market will start to see traction

towards

Biosimilars, and 2025 is when the opportunity really opens up from a calendar year

perspective. What we are seeing right now in the U.S. is that you are seeing Biosimilars starting to take market share, although still a large part of the market is with the originator, but we clearly see that it will move in the direction that we have guided in the past.

I would like, Matt, of course, to add more colour to this in terms of how it shaped in 2024, and how we see this evolving in 2025. So Matt, would you like to please comment on?

Matthew Erick: Sure. Thank you, Shreehas. So, a little more colour around this is that we are starting to see the Biosimilars, you can see this starting to take off. But it is relatively just with 1 large U.S. payer, and that large U.S. payer is primarily using their private label, which is very publicly what's going on. The other 2 large U.S. payers currently still have Humira on their formulary. As Shreehas stated, we do see this as a second half of FY 2025 opening up, and we are in a position right now of bidding these products. And we feel that we have got a great opportunity as we look towards the second half in meeting our expectations that we've laid out.

Amey Chalke: If I can add the supplementary question. So, assuming that the Humira will get developed in the second half, is there any change in our guidance for this year, considering if there is any delay on the new product launches?

Shreehas Tambe: Amey, we have not provided any guidance on the numbers at this point to my knowledge. And the way we see this is that given that for Adalimumab, we are in a very good position that we are integrated, we have a history of commercializing this product since 2018. I would like to point you towards our leading market share position in Europe where we have successfully had this product in the market for a very, very long time. So, we believe

that this will play out in our favour as the market in the U.S. matures, and we see this market consolidating over a period of time.

Saurabh Paliwal: We will take the next question from Tushar Manudhane from Motilal Oswal.

Tushar Manudhane: Sir, with respect to this inspection at Bengaluru, while the response has been submitted, can you share the timeline for implementation of the measures?

Peter Bains: Thank you, Tushar. Let me again give that to Shreehas to perhaps get someone from his team to reply.

Shreehas Tambe: Tushar, thanks for your question. As Peter explained in his opening comments, we did have the inspection from the agency last month. And we are in the process of responding to the agency with a very comprehensive CAPA plan and that is within the stipulated timelines. So, once we have done that, we should be in a position to outline next steps.

Tushar Manudhane: Any broad timeline you would want to share to implement this and how is the approvals of the product will be subject to the implementation of the CAPA?

Shreehas Tambe: Like every inspection, once the inspection is done, the company is expected to provide a response to the observations. These observations are what the inspectors note during their time at the facility. We have noted those observations, and we will be responding to this. The agency typically reviews this in a time frame, but there is no guidance that they have in terms of when they will revert back to us. We expect them to come back typically in the 60 to 90-day time frame, but there is no real time frame that is defined for this. So, it would be incorrect to comment on behalf of the agency.

Tushar Manudhane: And progress on the Malaysia side from a compliance point of view?

Shreehas Tambe: On the Malaysia side, we have responded to the observations that the agency had made, and we will be looking forward to them scheduling an inspection for us to move forward on that.

Tushar Manudhane: Effectively that would also as a timeline, 3

to 5 months can be considering the inspection timeline for Malaysia side?

Shreehas Tambe: Tushar, it would be hard to comment on behalf of the agency when they would come or whether they would need an inspection once they have concluded on the Bengaluru inspection. So, I wouldn't draw right now a timeline on it. But I can tell you that we are in constant conversation with the agency, and we will provide them with whatever is required for them to assess the readiness of the site to supply new products. I should also point out to you that we continue to supply large amounts of products to the United States from this site and all other regulatory agencies, including EMA, most recently, have approved our facilities in Malaysia and in India.

Tushar Manudhane: And just lastly on the Generic Liraglutide and considering the business prospects for Biocon Generics, how do we see like what kind of scale up can we expect if you could quantify, let's say, second half FY 2025, we expect this business to scale up. And if you could also elaborate on the Liraglutide opportunity per se.

Peter Bains: Thank you, Tushar. Sid, perhaps you could address that question.

Siddharth Mittal: Sure. Tushar, I think as we have indicated earlier, and Peter mentioned in his opening comments that we have various markets where we have done the filings, we expect approval from European authority in later part of this fiscal. We have already got a launch

coming up in the U.K. through our partner, Zentiva as well as under our own label. And there are various other markets, which, where we expect to launch the product during this fiscal year. GLP-1 franchise is a very important part of our growth story. For next couple of years, as you know, there is a huge opportunity in GLP -1 space, both in diabetes and obesity management, and we are very well placed in capturing the benefits of this large opportunity. In terms of specific numbers or guidance in terms of what the growth is, I think it will be a bit difficult for us to give that. But definitely, the first half will continue to be muted as we have seen in first quarter. But second half, we will see significant growth over first half. For the overall year, we still expect like a high single -digit kind of growth levels for the business.

Peter Bains: Tushar, if I may, then just add in a little bit on top of that to amplify something I said in my opening remarks. Obviously, the GLP peptide opportunity is the strategic growth driver for Generics in the coming years and will play into a huge market opportunity being formed by the innovators over the coming years and decade. I think it is important for me just to emphasize here, this is an area of very, very strong group complementarity and synergies as the peptides where we are scaling for global market opportunity complements and has many synergies with the global insulin franchise that we have built in the Biosimilars. And quite clearly, as we look at this opportunity in both diabetes and obesity, we see Biocon being very uniquely positioned with its heritage position in insulin and its leading position in the generic peptides business to look at leveraging the synergies, these complementarities, these convergences to drive a unique opportunity here for the group.

Tushar Manudhane: Just one more on this. As far as API capacity is concerned, do we have sufficient capacity to cater at least for next couple of years or would we need further investment for Liraglutide API?

Siddharth Mittal: We do have initial set of capacities that we had created, and we are expanding those capacities, which will be sufficient for the next couple of years. But of course, the big drug, which is Semaglutide goes off patent beyond 2030 in many of the large developed markets. And for that, we will, of course, add on more capacities over a period of time. But the volume of business that we are targeting over the next

5 years, we will have capacities by end of this year.

Saurabh Paliwal: The next question from Neha Manpuria from Bank of America.

Neha Manpuria: Just to understand the BBL business a little bit more on a quarter -over -quarter basis. There seems to be a sharp decline. I am assuming a large part of this is because of the divestment. So, if you could just give us some colour in terms of how much of that decline that we are seeing quarter -on-quarter because of the India business divestment versus, let's say, underlying business trends?

Shreehas Tambe: Neha, thanks for pointing it out. Kedar, please feel free to jump in on that. I think Neha as Peter outlined in his opening comments, the quarter -on-quarter decline, which you are seeing is, one is to adjust for the branded formulation business, which is a discontinued business that we have seen, and that's a clear change that the baseline is different. The other piece, of course, is that you will see a cyclical nature in terms of how tenders will open up over the different emerging markets. And we will see a strong growth usually in the quarter 4 before you get into quarter 1. So that is what you are seeing. But I do want to point you towards the performance of the business over the comparable quarter in fiscal 2024. And there, you can see that there's a very strong growth in the product performance. And that is a 19% increase over the product performance and market share that has driven it. So, if you look at how the products have performed in the market, there's a very strong uptick. The cyclical nature of this will mean that between quarters you will have movements where quarter 4 could be higher than quarter 1, particularly in emerging markets. But in North America, you see a steady performance across borders, and you will see some minor movements in Europe, where also there are large dependencies on tender timing.

The chronic therapy areas that we operate in actually allows us a natural buffer and a hedge towards some of this, but the tender opening cycles in different markets will cause some of these differences and lumpiness between quarters. Otherwise, we see this moving in the right trajectory.

Neha Manpuria: And so, is it fair to assume, Shreehas, that the emerging market piece should continue to grow mid -teens, high teens? It's just a matter of the tender phasing between quarters. But the underlying growth is still in line with the trends that we are seeing for the biosimilar business overall .

Shreehas Tambe: Yes. We have seen a strong uptick across markets. It's not just that we have seen growth in North America. And the Emerging Markets is a growth area for us, Neha. So, it is quarter -on-quarter sequentially, you might see that there is some movement between

quarters because of, as I said, when tenders open and when supplies begin. But otherwise, on an annualized basis, you will see that across markets our performances will be pretty strong.

Neha Manpuria: Understood. And my second question is on Aflibercept. Now we have the U.S. FDA approval, obviously, the lower quarter litigation didn't go our way. What are the timelines that we need to monitor this for the appeals for this one? And therefore, does the timeline of launch based on how you are thinking about the appeal?

Shreehas Tambe: Yes. And bAflibercept is an important asset that you draw attention to. It is an exciting asset. It has over USD 10 billion of sales globally in innovator revenue. So, it's clearly a very exciting asset. We have a first-to-file status. We have a first-to-approval status as an interchangeable bAflibercept. We feel very good about it. We have already secured approval for this product in Canada, in the U.K., in Europe and now most recently in the U.S. as well. We are in a good place, scientifically, and in the ability to begin supplies. We recently also announced that in Canada, we will be supplying product come July of next

year, which will be the first in that market. We are, of course, in litigation with the innovator in the United States. And as things progress there, we will be able to talk more about it. But given that we are in a litigation right now, Neha, it would not be appropriate to comment on this. I know you made a comment on how the litigation in the district court played out. There were 3 patents that were litigated. 2 were ruled in our favour. One wasn't ruled in our favour, which, of course, we will take up appropriately so that we can get to the patients as soon as that is behind us, and we are working on that.

Neha Manpuria: And one last question, if I can squeeze in. What is the net debt position in this quarter for BBL as well as the consolidated entity? And if you could give us some colour on likely repayments in the next year?

Shreehas Tambe: Kedar, would you like to take that question?

Kedar Upadhye: Yes, sure. Neha, the net debt for BBL is about USD 1.2 billion. You would see a sequential improvement because of working capital efficiencies, which have come in this quarter.

And Saurabh, can sort of clarify the net debt at the group level. But at BBL, it is about USD 1.2 billion plus, with some incremental efficiency in this quarter.

With respect to the repayments, there is a schedule of repayment that we have agreed.

We are also thinking about ways to optimize both the repayment time lines and the interest rates as well. We are thinking about various options to get that sorted up.

Peter Bains: Neha, let me just add on to that to build on what Kedar said. We have obviously been comfortably servicing our debt position to date. We have made clear that we are looking to reduce it. We have taken action last year reducing acquisition debt by USD 250 million.

It is a clear management priority that we will look to continue to reduce that debt level.

And we have a wide range of options available to do that, and I am sure we will take further action during the year.

Neha Manpuria: Saurabh if I can get the net debt number on the consol level, please?

Saurabh Paliwal: Yes. So net debt at the consol level will be about USD 1.1 billion plus when adjusted for structured investments and optionally convertible debentures linked to equity conversion in Biocon Biologics.

We will take the next question from Surya Patra from Phillip Capital.

Surya Patra: My first question is on the Aflibercept. You have discussed about the potential U.S. opportunity and all particularly the commercial benefit can flow in Europe first.

Could you share what is your competitive positioning there considering the multiple approval already? And when do you think that benefit can start flowing in for us?

Peter Bains: Shreehas, again, I think if you could take that.

Shreehas Tambe: Thanks, Surya, for that question. Just a couple of clarifications. I would not speculate which market will open up first other than the fact that for Canada we have a very clear market entry date, and we are the first to enter there. We also do not think, Surya that,

there are multiple other players who have got approval. I am sure there are multiple players developing the asset. Given that the ticket size is large, we expect competition to be there. We believe we are very well placed given our advantage in terms of the timing and our position in the market, given that we are present in the market as a fully integrated player. We believe that we should be able to provide an option to patients sooner and in a much more efficient manner than has been available so far.

Surya Patra: And sir, just an extension to this, is the 1-year exclusivity opportunity because it is an interchangeable one in the U.S. that will be ensured to us given the 2 other players have also got the approval for U.S.

Shreehas Tambe: I think the interchangeability approval in the exclusive

part that you talk about, Surya, is something that is exclusivity to claim interchangeability. It is not like an exclusivity to commercialize the product like you have in a 505(b)(2) or A NDA kind of an exclusivity where you have the ability to supply the market exclusively. I think this is more of your ability to claim interchangeability on an exclusive basis. So yes, we will have that for a period of 12 months. And once we have got the product to the market, we will look to explore that.

Surya Patra: Sir, my second question is on Adalimumab. In fact, 2 points that I wanted to clarify here. First is that, given the kind of contract that we have signed and that is what we have indicated. So based on this, is there a possibility to share that, okay, what are the kind of volume share that we could be thinking about, let's say, for FY 2025 or FY 2026, whichever way that you can possibly share that. That is one.

And secondly, the interesting development that happened during this quarter relating to adalimumab that one of your competing peers in the adalimumab has exited out of the opportunity by selling all their rights just for USD 40 million. So, whether it is a worrisome factor for the entire Biosimilars opportunity, and in the U.S. market, the way things are happening about the progression of the Biosimilars and all that. If you can share your view on these 2 aspects relating to adalimumab, then that would be useful, sir.

Shreehas Tambe: I think both great questions, Surya. Let me respond to that. The first is, we have not given guidance in terms of our projections in the past and we continue to stay with this. It is not advisable to give guidance on market shares. We will let you know as market evolves and we will see how that progresses. I will refrain from commenting on market shares.

The second question that you talked about, which was regarding a particular player exit the market by monetizing that asset and moving on. I think this is in line with the commentary that we had shared in the past that we do not see this market as 8, 9, 10 - player market for a long time. We expect this market to consolidate, and we expect those players those will have the ability to endure over a period of time, which requires you to be fully integrated. The ability to be in control of your development, your manufacturing, and your ability to supply the market through a strong commercial force, I think that is really what will allow you the ability to be in the market for long. And we believe Biocon

Biologics has that now post the integration of the business that we acquired from Viartis. We believe we are in this for long. So, Surya, that is what we see happening. And we look at this as what was along expected lines.

Surya Patra: Sure, sir. Just one clarification from Kedar. The staff cost this quarter is meaningfully up. Is it entirely because of the field force responsibility or the kind of marketing responsibility that you have taken up from Viartis from last quarter, it is entirely because of that? And hence, this is the kind of run rate going ahead per quarter?

Kedar Upadhye: Yes, Surya, you're right. I think the staff cost was expected to go up to reflect the full quarter effect of the colleagues who have come over from Viartis. So that was expected, and that is in line with plan. You could see a similar reverse switch, in other expenses. That has come down. In fact, if you would have noticed in quarter 3 and quarter 4, the spend run rate was touching USD 110 million for Biologics. That has come down to USD 90 million as we had planned. Staff cost was expected to go up, and it has gone up to reflect the full quarter effect of mainly colleagues who have come over to us. But overall, costs are down by 10% compared to the peak.

Surya Patra: Okay. On the margin front, we have seen a sharp decline this quarter, maybe it could be just a quarter -specific one

, but this is the lowest ever quarter margin over the last 5 years. How would you address this, Kedar?

Kedar Upadhye: Which margin you are referring to, Surya? Is it consol BBL PAT margin, EBITDA margin, which margin you are referring to, please so that we can answer your question.

Surya Patra: I was looking at the EBITDA margin without factoring the Eris transaction.

Kedar Upadhye: Yes. The EBITDA margin is about 23%, and that is consistent with what we reported last year as well. So, core EBITDA is healthy at 30%. EBITDA is at 23%. And you cannot compare the margins for the last 5 years because before FY 2023, business was different. So, the revenue scale was different, and the nature of business was different. We are in line with what we had expected, and we will work through in terms of improvement through revenue and cost levers. But those are not comparable, last 5 years margins are not comparable to what we are reporting this quarter.

Saurabh Paliwal: We will take the next question from Manoj Bahety from Carnelian Capital.

Manoj Bahety: I have just one question for Kedar. If you can highlight maybe as capital raising options, which we are considering and any timelines around that to deleverage our balance sheet. And what is the plan to deleverage our balance sheet in next 1, 2 years?

Kedar Upadhye: So, Manoj, I will make a first attempt and I will request Peter from a group standpoint to sort of clarify as well. As you can expect that a company of this scale and company of this capital structure will have several avenues at our disposal to conduct financing activities. And those activities help us improve our costs of financing, appropriate capital structure and maturities and all that. I think you should expect us, like any other company in our

situation would do to be active on that front. But it's going to be difficult for us to give you specifics unless those are officially approved by board and position to be announced. So, I will pause there, and maybe, Peter, you can.

Peter Bains: Thank you, Kedar. Let me build on that. Thank you, Manoj. And as I said earlier, I mean, clearly, we have been comfortably servicing the debt for the last 2 years related to the acquisition. We continue to be comfortable to do that. We have clearly stated now that several times that debt is obviously a management priority and that we are taking action, and we will continue to take action to manage and reduce that. We took action last year, as I said earlier, with a USD 250 million reduction on the acquisition debt. And we continue to look at ways to manage and reduce the debt. We will be taking further action this year. But as Kedar has said, we will advise you as and when those opportunities mature.

Saurabh Paliwal: We will take your next question from Kunal Randeria.

Kunal Randeria: Sir, on this aflibercept interchangeable exclusivity that you are vying for, would it be a shared one or an exclusive one?

Shreehas Tambe: So, Kunal, the bAflibercept exclusivity is already granted on approval. It is not something that we are applying for now. And that exclusivity is also part of what the guidance provides for. And it becomes only post commercialization. So right now, it is not a relevant point. But given that we are the first interchangeable approved biosimilar, yes, you will certainly look at this when you get the commercialization.

Kunal Randeria: Sure. When you do commercialize it, it will be just you having the interchangeable exclusivity, right?

Shreehas Tambe: We were approved on the same day with another firm, which got an approval along with us. We will have to see how that plays out, and we will keep posted on that.

Kunal Randeria: Sure. And sir, just on Liraglutide potential, should we sort of assume or believe that the potential is bigger in markets outside of the U.S.?

Peter Bains: Sid, would you take that one?

Siddharth Mittal: Well

I, I would not necessarily say it's bigger outside of U.S. U.S. is also a big market. Of course, there is a shift of patients from Liraglutide to Semaglutide in the U.S. But that said, there are patients, large number of patients who continue to take Liraglutide in the U.S. But the way I look at other markets, especially the MOW markets, there is a huge market expansion potential available when you have a generic Liraglutide, which will be launched by our partners. And because the Semaglutide, which is where most of the patients have moved of course, priced at a very high level compared to Liraglutide. And monthly treatment cost, what a generic drug will offer will expand the market. We definitely are working with our partners in various markets, the large MOW markets, to see how there could be an expansion. And Europe continues to be an attractive market for Liraglutide as well. I would say it will be a very evenly distributed numbers in the U.S., Europe and in Most of the World.

Kunal Randeria: And just one more, if I can squeeze in. Just one clarification. Is the Stelara launch a contingent on your plant clearance by Feb 2025?

Shreehas Tambe: I think it requires the FDA approval before you can launch.

Kunal Randeria: Okay. So, let me ask this way, is the FDA approval withheld because of the plant issues?

Shreehas Tambe: No. Nothing is withheld right now.

Saurabh Paliwal: We will take the next question from Ashish Thavkar from JM Financial.

Ashish Thavkar: Sir, are there any timelines to deleverage balance sheet? Because I guess it's eating a lot of the management's bandwidth. Are you putting any certain timelines as to when do you want to deleverage the balance sheet?

Peter Bains: Ashish, thank you for that. Again, I will amplify that we are looking at this as a priority. We intend to take action this year, but I can not be specific on timelines.

Ashish Thavkar: And understandably, obviously, we now have Biosimilars, the Generics business, the API one. At any point in time, would you want to share some of the business elements is that also on your cards the go-forward strategy?

Peter Bains: I think we feel that there are strong opportunities in both the Biosimilars and the Generics business, and there are no plans in that we are looking at to do any divestments.

Ashish Thavkar: And lastly, on Eylea, the injunction that we have, any timelines that you are sharing with the investors?

Shreehas Tambe: We have shared, Ashish, the timelines that we will be looking to launch this in Canada

mid-next year. We have already talked about that. We just discussed that there is an ongoing litigation in the United States. And we will see how it works in Europe and other parts of the world.

Saurabh Paliwal: The next question is from Jamsheed K.

Jamsheed K: I would like to know about the Ustekinumab timeline. In the previous quarter you have already mentioned the submission in the U.S. So can you please provide light on the U.S. and EU timeline?

Peter Bains: Shreehas, would you take that one?

Shreehas Tambe: Thanks, Peter. Jamsheed, thanks for the question. We had indicated that we have made a submission to the U.S. FDA and to the European authorities already for this product and this product is under review with the agencies. Once it is approved, we have also been able to negotiate a risk-free launch date and agreed settlement date with the innovator for Stelara in the United States, and we will be amongst the first wave of companies launching this early next year in the last quarter of this fiscal once we've got the product approval. So that's the status on bUstekinumab, Jamsheed.

Saurabh Paliwal: We'll take the next question from Rahul Jeewani from IIFL Securities.

Rahul Jeewani: Sir, if I am not wrong, there is a deferred consideration, which is payable to Viatis this year related to the deal and our option to in-license Eylea. I think that

consideration which is payable to Viatis is around USD 335 million. So how are we looking to fund that? And given that, how are you looking at your debt at the BBL level by the end of this year?

Peter Bains: I will start and Kedar, Shreehas, you can add in. I think the first payment that you referred to has already been made. And the second payment that you are referring to, we will address when it is due. So, no issues, no problems there. And with regard to the debt in BBL, I think we have addressed that several times to other questions that it is clearly a priority. We intend, as we did last year, to reduce further. We are exploring a number of options. And as and when those mature, we will advise. And other than that, we can't give any more detail, be more specific on what option and what timeline, but we will address that, and I think resolve both the any payments due and work to reduce the debt further during the year.

Rahul Jeewani: Sure, sir. So essentially, the debt at the BBL level, which we have right now is USD 1.2 billion. That is after taking into account the first payment, which we have already made to Viatis?

Peter Bains: Yes, it would be.

Saurabh Paliwal: The next question is from Dhaval Bhalodia, an individual investor.

Dhaval Bhalodia: I had a question regarding mainly for the U.S. biosimilar sector. As Peter mentioned, some with major PBM and specialty pharmacy forming their own subsidiary to market their own biosimilar and capturing the significant markets share with product like the Humira biosimilar. And in the future, while that maybe happen and potentially applying the same strategy for the future product as well. And the remaining major PBM player, I think they are doing the strategic tie up with other pharma. So how Biocon plan to capture a profitable market share for this future biosimilar product because most of like Stelara, Humira, they're most of like the retail specialty product.

Siddharth Mittal: Shreehas, I think that's one for you and perhaps, Matt.

Shreehas Tambe: Dhaval, thanks for your question. It is a very valid one, given what we have seen. Matt, maybe you can also join me in responding to this. So, what you are basically asking here is what we saw in case of Humira where we saw one of the PBMs work through a channel, which was more like a captive to white label or private label or product, which then they can source, and that's been gaining market share. That is certainly one of the things that PBMs have used to capture more share of the pie, that is an activity that we have seen, Dhaval. And that is something that can happen in the market. We are watching this closely. Not every product will, of course, go through that route, and that is not necessarily a practice that we expect to see happening across every product, but it is something that we are seeing PBMs trying to do to protect a larger share of the pie and get a larger piece of the business. But I'll let Matt talk to you more about this. Matt, over to you.

Matthew Erick: Thank you, Shreehas. Some other key things, as Shreehas said, it is not just the commercial environment. There is also a U.S. government business that is not part of any private pay. There are also closed-door networks that we are familiar with. There is also the hospital channel. There are quite a few other channels in which we can play in.

Certainly, as Biocon, we are competing aggressively in these private labels. As you know, there is only one that's been really established. We are seeing some foothold taking part in maybe another PBM establishing one, which we are in conversations with, but then the

third largest is still remaining as a traditional PBM. So once those private payers go with one, the others open up because we have not seen overlap across. There's still opportunity for us in all the Part D programs that are out there.

Saurabh Paliwal: La

dies and gentlemen, that was the last question for the day. Thank you all for joining today's investor call. And if there are any subsequent questions or clarification needed, please do get in touch with us. With that, have a good day, and goodbye.

-Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability.

Call: Nov 2024

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BIO/SECL/S G/2024 -25/121

November 07, 2024

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q2 FY25

This is further to our earlier letter dated October 30, 2024, regarding the presentation of Q2 FY25 Earnings Call held on October 30, 2024, please find enclosed herewith the Transcript of the Earnings Call .

The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/> .

Kindly take the above information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer
Membership No.: ACS 18776

Encl. : as above

Relentless Pursuit.
Differentiated Growth.

Speakers and Participants from Biocon Limited , Biocon Biologics Limited & Syngene International Limited

Mr. Peter Bains – Group CEO, Biocon Limited
Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
Mr. Shreehas Tambe – CEO & Managing Director, Biocon Biologics Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
Ms. Rhonda Duffy – Chief Operating Officer, Biocon Biologics Limited
Mr. Abhijit Zutshi – Chief Commercial Officer, Biocon Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Anuj Goel – Chief Development Officer – Biocon Biologics Limited
Mr. Sibaji Biswas – Chief Financial Officer & Executive Director , Syngene International Limited
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Harith Ahamed – Spark Institutional Equities Private Limited
Surya Patra – Phillip Capital (India) Private Limited
Neha Manpuria – Bank of America Securities India Limited
Palak Shah – Entrust Family Office
Amey Chalke – JM Financial Institutional Securities Private Limited
Jamsheed K – Individual Investor
Niraj Jain – Individual Investor
Naman Bagrecha – IIFL Securities Limited
Tushar Manudhane – Motilal Oswal Financial Services Limited
Yash Darak – RSPN Ventures Private Limited
Kapil Aggarwal – Daksh & Associates
Rumel Dahiya – Individual Investor
Harshit Dhoot – Dymon Asia Capital

Prepared Remarks Session

Saurabh Paliwal:

Good evening , everyone. I am Saurabh Paliwal from Biocon's Investor Relations team, and I would like to welcome you to Biocon's earnings call for the second quarter of fiscal year 2025.

I would like to indicate that all the participants line will be in a listen -only mode, and there will be an opportunity for you to ask questions after the opening remarks conclude. Should you need to ask a question please select the raise hand option in the reaction tab of the Zoom application. We will call out your name and unmute your line to enable you to ask a question. While asking a question please begin with your name and organization. Please note that the chat box is disabled but you can raise any technical issues by sending us an email to investor.relations@biocon.com

I would like to bring to your atten

tion that this conference call is being recorded. The recording will be made

available on the website within a day, and the transcript will be made available subsequently.

Moving to discuss the company's business performance during this quarter and future outlook , we have on this call, our Group CEO, Mr. Peter Bains; Mr. Siddharth Mittal, CEO and MD of Biocon Limited; Mr. Shreehas Tambe, CEO and MD of Biocon Biologics Limited, along with other senior management colleagues across our business segments.

Before we begin, I want to remind everyone about the safe harbour related to today's investor call. Comments made during the call may be forward looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that our business faces that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward - looking statements. After the end of this call, if you need any further information or clarifications, please reach

out to the investor relations team.

With this, I would like to turn the call over to our Group CEO, Mr. Peter Bains, for his opening remarks. Over to you, Peter.

Peter Bains:

Thank you, Saurabh, and good evening, everyone. Can I begin by wishing a very happy Diwali to you all and to your families. We appreciate you taking time out to join us today during this festive time in India.

Ahead of presenting the results in detail, I would like to start with some high-level remarks, led by reported operating revenue growth of 4%, but up 8% on a like-for-like basis after adjusting for revenues from the Indian branded formulation unit in Q2 FY24. The overall Biocon Group performance in Q2 FY25 has come in line with our expectations. While the Biosimilars business reported healthy double-digit growth, overall performance has remained relatively muted due to continued pressures in the Generic business and a marginal decline in Syngene's revenues.

We maintain our outlook for a transition to accelerating growth in the second half of the fiscal year, with Syngene returning to growth-maintained momentum in our Biosimilars business and a recovery in Generics in the latter part of the second half, driven by the launch of our first GLP-1 Generic in the U.K. A clear highlight for the quarter has been the highly successful refinancing of the long-term debt by Biocon Biologics through a bond

issue and a new syndicated loan facility on improved terms. I will expand on this later when discussing the Biosimilars business performance.

Let me now move on to present the financial highlights for the quarter.

Financial Highlights – Q2FY25

At the group level, Total revenue was INR 3,623 crore, a flat performance year-on-year and a degrowth of 21% quarter-over-quarter on a reported basis. However, Total revenue grew 7% year-on-year and 3% sequentially on an adjusted like-for-like basis, after excluding revenues from the divested BFI business and one-time income from Bicara in Q2 FY24 and one-time income from the Eris transaction in Q1 FY25.

Revenue from operations was INR 3,590 crores, up 8% year-on-year and an adjusted basis 5% sequentially. As mentioned in my opening remarks, this reflects a balance of performance at the segment level where Biosimilars revenue from operations grew 19% on an adjusted basis, 11% reported, while Research Services and Generics saw year-on-year declines of 2% and 8%, respectively. On a sequential basis, both Research Services and Biosimilars recorded operating revenue growth with Syngene growing 13% and Biologics growing 5% while Generics declined by 5%.

Group Core EBITDA for the quarter stood at INR 992 crores, down 10% from last year and representing a core operating margin of 28%. Quarterly R&D investment spend stood at INR 200 crore corresponding to 17% of revenues, excluding Syngene. Reported

EBITDA for the quarter stood at INR 718 crores with a margin of 20%. Profit before tax and exceptional items stood at INR 72 crores versus INR 238 crores last year, and reported net loss for the quarter was INR 16 crore on a higher tax basis, geographical split in profits and minority interest. Adjusting for exceptional items, the loss stands at INR 13 crores.

Let me now turn to the business segment highlights and start with Generics.

Generics Business

Revenue from operations was INR 624 crores, a decline of 8% year-on-year and 5% sequentially as a result of maintained demand and pricing challenges and a planned facility shutdown. Core EBITDA for the quarter was INR 98 crores with a margin of 15%. R&D spends at INR 67 crores, representing 11% of segment revenues was up by INR 14 crores for the same period last year, reflecting continued investment in our strategic peptide portfolio as well as other complex molecules. EBITDA for the quarter stood at INR 36 crores with a margin of 6%, reflecting lower core EBITDA and increased R&D investments seen during the quarter. Profit before tax for the quarter was a loss of INR 9 crores.

Moving now to the business update. Let me start with business development. And here, our preparations and mobilization to address the global GLP market opportunity continue to build and we were pleased to sign licensing agreements with 2 leading pharmaceutical companies in the Middle East and Brazil, respectively, for the commercialization of our GLP-1 products in these important regions. A key win during the quarter was securing a tender to supply Everolimus tablets in a MoW market with supplies expected to commence this quarter.

On the regulatory front, there has been significant activity in progress with 7 market filings, including 1 ANDA in the U.S. And we also received 6 approvals, including 2 ANDAs in the U.S. for Sacubitril and Valsartan tablets and Daptomycin for injection, respectively.

In September, the U.S. FDA conducted GMP inspections at 2 of our API facilities, site 1 and 2, both located in Bengaluru, these inspections resulted in the agency citing 3 and 4 observations, respectively. The company has responded to the observations with CAPA plans within the stipulated timelines for both inspections and we await agency feedback. Earlier in June this year, our API sites in Vizag, sites 5 and 6 were inspected by the FDA. Both inspections have been successfully closed with the receipt of establishment inspection reports on both sites. While performance for the quarter has been muted, it is nonetheless consistent with our expectations and previous guidance and reflects the balance of continued pressure on our existing business, phasing of new products and maintained investment in R&D to support pipeline delivery, and of course, especially for our Peptides and our other complex products across both API and formulations.

Looking ahead, we expect recovery in the Generics in the second half of the fiscal year, and we expect this performance to build over the 2 quarters driven by new launches, including the launch of Liraglutide in the U.K. in Q3FY25 as well as injectables such as Micafungin and Daptomycin in the United States. We also expect sales to benefit from the impact of ongoing Cost Improvement Programs (CIPs).

Biosimilars

Moving now to our Biosimilars vertical, where I am pleased to report that Biocon Biologics continues to make good progress as it consolidates the acquired Viatris business and has delivered strong year-on-year growth as well as achieving several key milestones in the quarter.

In the United States, we continue to deliver strong performance across our product portfolio. Our Oncology franchise comprising a Ogivri, Biosimilar Trastuzumab and Fulphila, Biosimilar Pegfilgrastim is witnessing robust demand that we have reported marked year-on-year market share increases, with Ogivri increasing

to 18% from 11% and Fulphila

rising to 21% from 15%. Our Semglee and Insulin Glargine franchise shares continue to be in the mid- to high teens, including closed-door pharmacy networks and government business.

In Europe, market shares have remained largely stable at a regional level with Germany and France continuing to drive value. Strong growth across key markets and products has allowed us to expand patient access. Hulio, our Biosimilar Adalimumab has maintained its market-leading position in Germany with an 18% share, and we hold an 11% share in France. The company has also made significant strides in expanding its footprint with double-digit growth in the U.K. and the Mediterranean cluster, which includes the U.K., Italy, and Spain as well as partner-led markets. We are also seeing positive traction in our JANZ region, as promoting and marketing activities have transitioned to our commercial partner in Japan during the quarter.

On the emerging markets front, Biocon Biologics continues to expand the depth and breadth of its patient reach and has secured market-leading shares in several major countries for example, 74% for Trastuzumab and 86% for Bevacizumab in South Africa. We have seen strong demand for our insulin franchise, especially in Mexico and for Adalimumab and Etanercept in Saudi Arabia. We also had 15 new launches this quarter in the AFMET and LATAM regions including Bevacizumab and Pegfilgrastim in Saudi Arabia. These new launches will be a key driver of growth

going forward. And we've also seen an uptick in market shares across our self-led markets which are a strategic priority for us.

Now coming to the financials for the quarter. Biosimilar Revenue from operations was INR 2,182 crores, up 11% on a reported basis, but 19% on a like-for-like basis, adjusting for revenues in Q2 FY24 from the Branded Formulations unit in India. This growth translated into a Core EBITDA of INR 691 crores, growing 5% year-on-year and with a healthy margin of 32%. Reported EBITDA was INR 469 crores, which grew 4% and delivered a margin of 21%. Adjusting for the Forex impact of the appreciation of the Japanese yen against the U.S. dollar, EBITDA was INR 550 crore with a margin of 25%, reflecting the strong underlying profitability of the core business. We continue to invest in our pipeline with R&D spend at 6% of revenue to drive our mid- and long-term growth ambitions.

As mentioned in my opening remarks, a key highlight during the quarter was the successful refinancing by Biocon Biologics of the USD 1.1 billion or INR 9,347 crores in long-term debt through a combination of a USD 800 million bond issuance and a new syndicated loan facility on improved terms. This strategic financing has significantly strengthened Biocon Biologics' midterm financial foundations and will help improve its liquidity profile, provide enhanced financial flexibility, and improve the opportunity to reinvest cash from operations into the business to drive growth.

The bond was listed on the Singapore Stock Exchange and was the first U.S. dollar-denominated bond issued by any pharmaceutical company in the Asia Pacific region and the largest high-yield debut bond issuance from India over the last decade. The issuance was 3x oversubscribed and witnessed robust participation from marquee global investors, a testament to BBL's investor confidence in its growth potential.

On the regulatory front, I am pleased to share that the U.S. FDA has classified Biocon Biologics drug substance facility at Biocon campus (Site 1) in Bengaluru, as a Voluntary Action Initiated or VAI. This inspection was held in February 2024 and pertains to the supplies of rh-insulin drug substance to the United States. The U.S. FDA also conducted GMP inspection at Biocon Biologics insulin manufacturing facility in Malaysia in September 2024. This included several Biologics manufacturing units and

supporting infrastructure such as quality labs and warehouses.

There were no observations related to data integrity, systemic deficiencies, or quality oversight at any of the units. We have submitted a comprehensive CAPA plan to the agency, and we are confident of addressing these observations expeditiously. We do not expect the outcome of these inspections to impact commercial supplies of existing products.

On regulatory filings, I am pleased to share that the European Medicines Agency, the EMA, has validated our regulatory filing for Denosumab, and we are now on track to complete filings in several other markets later this year.

In August, Biocon Biologics, signed a settlement and license agreement with Janssen and J&J that clears the way to commercialize Yesintek, a Biosimilar Ustekinumab in Europe, the United Kingdom, Canada, and Japan upon regulatory approval.

Looking ahead, we remain focused on consolidating the business and leveraging our vertically integrated model and expanding global footprint to drive value for the organization. Our priority is working with the FDA to address their observations at our Bengaluru and Malaysia facilities, which would pave the way for several new launches in the U.S. in the near term. These new launches, coupled with product launches in other geographies, will serve as the key growth catalyst for both revenue and margins.

Research Services

Turning now to Syngene, our Research Services unit.

Syngene's performance for the quarter was broadly flat again, in line with both our expectations and previous guidance. Revenue from operations was down 2% on a year-on-year basis but grew sequentially by 13% to INR 891 crores. Reported EBITDA was down 5% to INR 261 crores with an EBITDA margin of 29%. Profit before tax at INR 137 crores was down 13% from last year. The performance in the second quarter was driven by a return to growth in Research Services, which benefited from multiple pilot projects in Discovery Services for both large and mid-sized biopharma clients, looking at China alternatives as well as sustained performance from the dedicated centres. There are early positive signs of recovery in Discovery Services with healthy interest from clients and increased request for proposals (RFPs) and on-site visits. Syngene successfully concluded over 60 audits in the first 6 months of the year, representing an increase of 36% as compared to the same period last year.

Syngene continues to add capacity and capabilities in Discovery Services at its Bengaluru and its Hyderabad campuses in areas such as Antibody-Drug Conjugates (ADC), Peptides and Oligonucleotides. In development and manufacturing services, Syngene continued to see good traction in its Biologics business and early-stage process development projects in its small molecules business. Delivery of both the early-stage projects and the pilot projects has been strong, which provides Syngene with now a solid foundation for the future growth. The repurposing of the Biologics manufacturing facility acquired in December last year, remains on track to commence operations in the second half of this fiscal. There are early signs of stabilization and improvement in the early-stage discovery market. There is momentum building from the pilots and with a strong third quarter underway, Syngene remains on track to deliver within its guidance range for the full year.

Novels Business

Turning briefly to Novel Molecules, I am very pleased to report that Bicara Therapeutics, U.S.-based clinical stage biotechnology company in which Biocon has a minority shareholding, successfully closed its initial public offering, its IPO in September this year and raised gross proceeds totalling USD 362 million. On its IPO, Biocon's stake in Bicara was diluted to 10.7%.

I will conclude now by saying that while the group's financial performance for the quarter and the ha

lf year has been

relatively muted, we reiterate our guidance of a transition to acceleration and growth through the second half of the fiscal year. Business and operational trends are pointing in the right direction in Syngene. Robust momentum is being maintained in Biosimilars and new product launches are coming into line of sight for our Generics business. We are looking forward to an improved second half.

With this, I would like to open the floor now to the Q&A session.

Q&A Session

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Saurabh Paliwal: Thank you, Peter. We will wait a couple of minutes for the questions due to assemble.

We will take the first question from Harith Ahamed from Spark Capital. Please go ahead.

Harith Ahamed: My first question is on the reported revenues for Biocon Biologics, which is around INR 2,200 crores for the quarter and almost INR 4,300 crores for the first half. Will you be able to give an indication of the breakup of these revenues between U.S., Europe, and other markets?

Peter Bains: Thank you, Harith. I will pass that over to Shreehas to respond.

Shreehas Tambe : Thanks, Peter. Harith, I appreciate that question. Since you are asking specifically about the comparison of the last quarter to last year quarter and then also about the split between the regions. I will have Kedar respond to that. So , Kedar if could kindly get into that detail.

Kedar Upadhye: Absolutely. So Harith, thanks for your questions. See, you should take roughly – I am giving you rough numbers, about 40% - 41% of the revenues are contributed by North America, about 3 4% by Europe and JANZ and balance 25% by Emerging markets . So that's a rough split across the regions in quarter 2. And that is sort of playing in a narrow band over various quarters of the current year.

Harith Ahamed : Okay. And Kedar if you can provide the R&D spends at Biocon Biologics for the quarter. I could find the R&D spend at the consolidated level. But just for Biocon Biologics , if you could share that, that would be helpful.

Kedar Upadhye: Yes. I t is about USD 17 million Harith. That 's about INR 140 crores for the quarter in Biocon Biologics.

Harith Ahamed : Okay. And last one from my side is on the net debt movement quarter -on-quarter.

In the first half, we received proceeds from Eris to the tune of around INR 1,100 crores. But despite that, there is an increase in net debt at a consolidated level of around INR 400 crores, I understand there is an outflow related to the deferred consideration to Viatrix, but the number I am seeing is around INR 840 crores. So just trying to understand why there is such a high negative free cash flow during the first half.

And in that context, how should we think about Capex given net debt reduction is a priority, shouldn't we be looking at moderated Capex spends? I see that number at around INR 900 crores in the first half.

Peter Bains: Kedar, do you want to pick that up on Biologics ? And Sid maybe you can then pick it up on the Generics side?

Kedar Upadhye: Yes. I mean the Biologics net debt was tracking roughly USD 1.3 billion till now. And as of 30th September, it's lower than that by about USD 50 million. So, the Biologics net

debt has improved. And Capex stays in the zone of about USD 90 million to USD 100 million for this year. And half of that is for maintenance Capex, half of that is on expansion for our insulin capacity in Malaysia, which has a strong business case considering the demand and pricing points that we have in all our global markets. So, I think the Capex for us remains at that zone at a predictable zone. But for the group, maybe Siddharth or Peter you can comment . Thank you.

Siddharth Mittal : At the group level, if you look at March 2024, the net debt was USD 1.35 billion, which has gone up to USD 1.4 billion as of September 2024 . There is also some reclassification of debt from long term t

o short term. But of course, that doesn't change the overall number. But I think Kedar did talk about the Capex investments. Same is the case in Generics business where we continue to invest in some of the Capex projects, which are going on to support our investments, especially in the Peptide area. And we, of course, have taken steps such as refinancing the debt, which gives us immediate relief in terms of the cash repayment.

But in the operational ca sh from all the businesses, what support these investments, and these investments are required to show the growth. So, I think we would see free cash flows starting as you see the businesses grow and the Capex cycles go down.

Saurabh Paliwal : We will take the next question from Surya Patra from Phillip Capital .

Surya Patra : My first question is about the regulatory update, what you had been for your Biologic s facility in Bengaluru. In your opening remarks, you have mentioned that you were Bengaluru's drug substance facility now got VAI. So is it fair to believe that this paves the way for the approval for Bevacizumab, which has been pending since some time.

Peter B ains: It is important that we clarify that very clearly. Shreehas, would you like to take that?

Shreehas Tambe : Thanks, Peter, and thanks, Surya, for the question. And I like the way you think. I am hoping that we move in that direction. But as Peter rightly pointed out, it is important to call out how these things have evolved. If you recollect, we had said that we are actively engaging with the agency, and we had met with them earlier in this calendar year. And following that meeting, we have seen inspections at 3 of our sit es.

The inspection that occurred in February of this year was the inspection of our campus facility, which makes a recombinant human insulin drug substance for the United States and the outcome that we have just notified today is the outcome of that inspection, which is for the drug substance recombinant human insulin. The other 2 inspections were at different locations. Our site in Biocon Park Bengaluru makes Bevacizumab , the

question that you asked. And you're right, that inspection outcome is waited for some time.

We did have that inspection in July, and we are looking forward to the agency giving us the outcome shortly. And this is a good outcome. I would take this the VAI classification of our Biocon Campus site as a good indication that there is confidence that the agency

has in our quality management system. But of course, we 'll have to work on seeing how the subsequent outcomes play out, and we will keep you posted.

Surya Patra : Is it possible to have some sense about the traction in the Biosimilar business, let's say, we have a pipeline of products. We have already Aspart as well as Bevacizumab that has been pending since some time, and now even the Stelara Biosimilar, that is also we have settled for commercialization in the fourth quarter this year. So given that, what kind of traction that one anticipates ? Or what are the key catalysts, for your Biosimilar business considering 3-year timeline till FY27 that you do believe?

Peter Bains: Thank you. Surya, that's a wide -ranging question and one that I think will be very pleased to answer based on the visibility of the pipeline that we have and an outlook in that time frame that would enable us to look at potentially 5 product launches coming up in the near to midterm. And you have picked on some. But Shreehas , perhaps you could expand a little bit more on that in that time frame.

Shreehas Tambe : Thanks, Peter. And Surya, you are absolutely right. You pointed out 3 products that are awaiting approval. That's in the very, very short term. We have a couple of more products in the horizon that you talked about. We are progressing very well. And I think the opportunity ahead of us is very exciting. We do not see any other biosimilar for Aspart at the

point in time.

We have said in the past as well that the agency has clearly given an indication that there is no outstanding question on the science or the dossier at this point in time on Aspart. So, once we get past the inspection, we look forward to launching that product and bringing it to those in the United States. But it is important to point out that these products, both the Aspart and Bevacizumab have been approved by all other agencies, and we continue to grow market share for Bevacizumab in Europe.

So, we are very excited about the Oncology franchise in general. And we are looking to add Bevacizumab to our Oncology franchise in the United States as well. Stelara, as you have pointed out, the Biosimilar that we have developed is to be in the first wave of products that we launch in Q4 of this fiscal year. And once we have the FDA outcome, which we are expecting it to be positive, we will be looking to launch that product. And it is a sizable opportunity again. So, these 3 are, I would say, very near term.

Following this are the 2 other products that you just referred to. One would be Denosumab where we announced today in Peter's opening remarks and talked about the fact that EMA has validated our submission. And we should be in a position to be there at the time of market formation. So, I think that is really going to be putting us in a very strong position and driving growth for us in Europe.

Likewise, you have Aflibercept, which we will be looking to launch in mid of next year in Canada, even as we work through the process in the United States. So clearly, over the next 3 or 4 years, like you have outlined just now until '27, we have 5 or more products that are coming on. And let's not forget, there are several more geographies that we will bring these products to. So clearly, a very exciting time ahead for Biocon Biologics .

Surya Patra : Sure, sir. With your permission, just can I ask 2 more clarifications. One, to Kedar.

Kedar, if you can just clarify what is the kind of finance cost for the newly added debt? That is one. And with regards to Bevacizumab in the Europe, what is the target market size in Europe for Bevacizumab ? These 2 clarifications I just wanted.

Kedar Upadhye: Maybe, Shreehas, you can take the Beva question, and then I can answer the finance.

Shreehas Tambe : We will get back to you, Surya, specifically with the market opportunity on Europe specifically, but it is a sizable opportunity, which we will get back to you offline. Maybe we can respond on the finance cost.

Kedar Upadhye: Surya, we have issued the bonds with a 5 -year tenure and the coupon is about 6.67% to be paid semi -annually. That is USD 800 million component of the whole USD 1.1 billion refinancing. For the balance, USD 320 million it is linked to SOFR , we have a spread of about 175 basis points. And both these initiatives are lower than what we would have paid on the current acquisition debt.

Surya Patra : Okay. This finance cost is lower than the earlier one that you mentioned.

Kedar Upadhye: Yes.

Saurabh Paliwal : We will take the next question from Neha Manpuria from Bank of America .

Neha Manpuria : My first question is on the margin for BBL. We have seen a pretty decent improvement in BBL margins quarter -on-quarter, particularly given we have seen a significant market share expansion also. So, is it fair to assume that a lot of this market share expansion has not come at the cost of lower pricing? Could you give us some colour on the margins for BBL and how we should be thinking about full year core margins?

Kedar Upadhye: Yes. So maybe I can go and then Shreehas you can add.

Kedar Upadhye : Neha, our EBITDA margins have been trending between 22% to 25%, depending upon the product mix and the SG&A pattern in each quarter. In the SG&A, the manning spend for the first 2 quarters is equal to what we spent in quarter 4 of last

fiscal, which means

the increment impact we have been able to absorb through efficiencies in the manning.

That is one.

Outside manning cost, we are lower than the average of the Q2, Q3 and Q4 of last fiscal by more than 15%, which means the integration costs, consulting and many other spends that we have had, we have been able to optimize as we are running the business fully in our hands, right? So, these are the 2 things we have done on the SG&A.

On the gross profit, you are right that we have not seen too much of an impact and you could conclude that the growth has not come at the cost of pricing. And to some extent, whatever price erosion that we had estimated that has played out to that extent, not more. I would leave it there. But as an impact of all of this, the EBITDA margins are trending at that range. And there is no specific guidance that we want to give at this

point of time. But considering the business is stable and the mix of geographies and products stays at the current level, we are likely to sort of operate in that zone.

Neha Manpuria : Understood Kedar. My second question is on Aflibercept. Given that the outcome of Amgen's patent litigation and a likely launch at risk, how does this impact the market opportunity for us depending obviously on our patent litigation outcome, any thoughts there?

Peter Bains: Shreehas, will you take that?

Shreehas Tambe: Thanks, Peter. Thanks, Neha. I think clearly, we are watching this space as you are with a lot of interest. And would not want to speculate what a competitor would do and would not. So, at this point in time, we clearly look at some of the developments that are occurring in this space. It is a very attractive, interesting opportunity. It is close to USD 9 plus billion in sales, in innovator sales. There is a very strong position that we brought at this point in time. We have got a mixed judgment at this stage in the District Court level. And we are very confident in moving this with the options that we have got ahead of us. There is obviously going to be other developments that will keep happening around us. But it just tells you that there is a possibility that these things can be worked around and there will be a possibility where there could be an opportunity for all players. And we continue to remain very excited about it in the time ahead.

Neha Manpuria : Understood. And at the moment, any guidance on timeline of the launch? I know, obviously, the litigation is ongoing, but your sense of what would be the best case.

Shreehas Tambe : No, we do not have an indication of the timeline at this point in time, Neha. But as things evolve through the courts, we will keep you posted.

Neha Manpuria: Understood. And , one last question . On Biosimilar for Stelara, Ustekinumab , given what 's happened with Humira, one of your peers today commented that they could look at a similar sort of contract like they have done for Humira. Does that make the opportunity for Stelara tough in terms of us being able to get market share when we launched the Biosimilar ? Or do you think there are some lessons we have learned from the Humira market formation that could make Stelara a little bit easier for us?

Shreehas Tambe : Certainly, there are lots of learnings for the Biosimilar s industry as well as the regulators and the customers, which is the PBM as well from what 's evolved in the U.S. with the Humira Biosimilar s. So, there is certainly a lot of learning. W e've had our share of learnings as well. We continue to watch this closely, and there will be learnings as well as we go along with new products. We have a very high -quality product and a very strong commercial engine in the United States.

We've been very successful in the medical benefit space, as you can see, when Peter presented in his opening remarks, the market shares that we 've got over the course of the last 1 year, w

here all the products that we brought to the market, both in the medical benefit space and in the pharmacy benefit space, are close to 1/5 and some of them

now trending towards a 1/4 of the market, which is a very sizable gain in terms of market share. So, some of these things will evolve.

Stelara Biosimilar s will fall in the same pharmacy benefit space as the Humira Biosimilar s. And we will be certainly looking to see how to play that game and how to win there. This will evolve over time, Neha.

Neha Manpuria : But is it fair to assume that we will probably get better market share than what has happened in Humira as a starting point?

Shreehas Tambe : That will always be the hope, certainly.

Saurabh Paliwal: We will take the next question from Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is on Humira Biosimilar , Adalimumab. Some recent industry reports suggest that Biosimilar s share in the market has picked up to 20% plus compared to, say, low single -digit market share 6 months back. But that happened mainly on the Cordavis arrangement. So , I just want to understand how market is evolving. What are you hearing from payers, et c.? Because earlier, I understand you mentioned market will open up significantly starting next year and then maybe you will see a much better pickup. But whatever, I guess, market share gain we have seen so far that has gone to Cordavis. So, for a player like Biocon, what are the expectations there in terms of market share gain?

Peter Bains: Perhaps Matt, you can answer that question for Damayanti?

Matthew Erick : Yes. Thanks for the question around that. Remember, as the timing with these payers in the United States, you 're starting to see a progress in regard to Humira now not becoming the sole focus with the payers. So, we're anticipating that as you see the private labellers coming in, like you talked about Cordavis, we are seeing opportunities as we go into the next formulary opportunity where they 're discontinuing or not being favourable to Humira. This puts Biocon in a unique position where we have contracts already in place, I don't want to forget that. And Humira is not on there.

We're seeing success where Humira is not part of the formulary and Biocon Biologics is there. We're seeing an uptick, and nice market share when this is happening. So, as we go into CY25 or even in through July of 2025, you are going to start to see the market open up, I believe, more for products like us. And remember, we are multichannel focused . It is not just commercial. There is also the Medicare, Medicaid, so we are seeing payers reaching out directly to us as they come up on their formulary rebids. And we believe we 're well positioned because of how we 're established with our current sales force, our partners , and the ability to be able to capture that as we go into our next fiscal year. Thank you for the question.

Damayanti Kerai: Sure, Matt. And if you can also comment on the pricing aspects. Are prices getting more competitive as market is more moving towards Biosimilar s?

Matthew Erick: I think you will see the market continue to have swings. It depends on the channel. But I believe within the next 12 months, you will see some settling of the pricing. But as you

know, this is a competitive market, and Biocon is well positioned to continue to compete. But I think it is making that point where we are starting to see some settling in the pricing, which will be good as we go forward.

Damayanti Kerai: Sure. My second question is for Kedar. Kedar, my question is on the working capital status for Biocon Biologics as well as for the consolidated level. I guess, as per the recent releases, we see very little or almost like no progress in terms of receivables, inventory days . Can you comment on it when we can see some improvement coming in there? And also want to understand, was the inventory buildup w

hatever we have seen, is that mostly related to Viatris deal?

Kedar Upadhye : That is correct. In fact, we have a plan, Damayanti, to improve the inventory position by about USD 100 million. So, between April 2024 and March 2025 in this fiscal 12 months, the target is to reduce inventory by about USD 100 million to several ways and means. And as the first half has got completed, we are doing good on that front. Inventory position has improved substantially compared to March. And receivable days are tracking at roughly 80 at a company level between all the 3 geographies. And we do not have any write -offs or any issues of that sort. And in fact, net receivables for our U.S. market, if you take account of all chargebacks, rebates, and reductions, are very minimal. So, if you adjust the gross receivables with chargebacks, rebates and other deductions, the net investment that we make in receivables for the U.S. market is very minimal .

So overall, working capital situation, in fact, is healthy. And offline, we can chat, and I can take you through some of the numbers. But between both inventory, receivables and payables, there is significant improvement that we are seeing, and we will continue on this path.

Damayanti Kerai: Sure. And one last question from my end. Again, I think during the current quarter results, you mentioned you booked around USD 260 million exceptional income, which is related to liquidation of some inventory and then reversal of provision, which you have taken in last fiscal year. Of the remaining provision, how much of that can further see any liquidation? Or what do you think on the provisions which you have already created in there?

Kedar Upadhye : So, if you recollect last year in December quarter, we had created about USD 28 million of provision under exceptional category because that inventory came during the acquisition. And out of that, about USD 3 million we have liquidated this quarter and underlying activity for packaging, relabelling, moving into other markets, that is on at a very brisk pace. I won't be able to give you one specific number, but we are focused on ensuring that eventually, there are no write-offs, or we don't have to destroy that inventory.

And as you go forward in December or March quarter, you will see some numbers getting booked in the same exceptional line. But focus is there. And as I mentioned, the underlying activity on moving it to different markets with different label, all that is continuing with a specific mini project of its own.

Saurabh Paliwal : We will take the next question from Palak Shah.

Palak Shah: I wanted to check on the update on liraglutide filing with U.S. FDA.

Peter Bains: Okay. Liraglutide for the FDA, Sid, can you address that one?

Siddharth Mittal : The liraglutide DMF, since you asked that specific question, the DMF was accepted by the FDA and the ANDA, which was filed for liraglutide is under review. We have made significant progress, and especially in the peptides, the key aspect that the FDA looks at is the API and the API efficiency letter or the DMF efficiency letter is clearly a big win for us, where they have accepted the API impurities and the characterization.

And as far as the drug product is concerned, this product was also filed from Biocon Biologics injectable facility for which, as we have discussed earlier, we are awaiting inspection outcome and the classification. And we expect the approval sometime in the next calendar year. And we are also including another CMO from Bengaluru, where we have taken a batch, and we will be including that site as an alternative site in the file.

Palak Shah : And also, to Kedar. What is net interest cost reduction from this quarter onwards after the refinancing of the debt?

Kedar Upadhye : The acquisition debt was variable linked, and the refinance debt is fixed for the bonds portion and variable for the syndicated facility.

And as you can see that for the syndicated facility, there is a saving of about 15 basis points. Current loan was SOFR plus 190 to 195. The new one is SOFR plus 175. So, there is a 15 to 20 basis point savings there.

And if you compute the spread over SOFR, the new loan is linked to typically 5-year U.S. treasury. That's how the pricing of the bonds is done because you compare that with the tenure, which is 5 years. So, you can't compare exactly like-to-like, but one should assume that it will be a 20 to 30 basis point saving all in all.

Palak Shah : Kedar in terms of rupee, that didn't save absolute number from this quarter onwards, is what I'm looking at.

Kedar Upadhye : Yes. My suggestion, Palak, we should look at December numbers, and we will be able to quantify it better. Because our functional currency is rupee and there is a natural hedge, reported numbers may look different. So maybe from December quarter, we'll be able to track it better, Palak. Yes. But we are looking for reduction. Another thing we have been able to do, Palak is the issuance costs, the debt issuance costs have come down as well from the existing facility versus the new refinancing that we have been able to do.

Saurabh Paliwal : We will take the next question from Amey Chalke.

Amey Chalke : The first question I have is there have been studies in the U.S. that says that the difference between the interchangeable Biosimilars and the normal Biosimilars or the non-interchangeable ones in terms of clinical outcome is not significantly different. So, if at all U.S. FDA makes this interchangeability redundant going ahead, what kind of market dynamics changes you see going ahead? And will it benefit player like us? Or do you think it would be detrimental considering the entry barriers could be low there?

Peter Bains : Thank you, Amey. I mean I think the directional answer there can be seen through the lens of Europe. But let me ask Shreehas to pick that up with regard to the focus on the United States.

Shreehas Tambe: Thanks, Peter. Amey, I think that's a very fair question. This interchangeability is a very U.S.-specific term. And I think that is getting ready to be taken off. We've always been of the view that any Biosimilar as approved should be used interchangeably. We've

seen that happen in all globally. In Europe, it's been there forever. It's the case in Japan. It is the case in most of the other countries, except for the United States. And I think there has been an act of the Parliament, there's been an act now on the FDA. So there is obviously a lot of traction that the agency themselves are seeing because they believe that this is no longer a necessity to be used interchangeably. Once it's approved as a Biosimilar, it should be allowed to be used interchangeably. It does create an artificial barrier for Biosimilars and then barriers for affordability to patients and those in the United States, particularly.

So how does it impact us, which is the second question that you've got. And I think that is really a very important thing in terms of companies like Biocon Biologics, which have been at the forefront of developing these products. We've always been for access and expanding access. So, this plays very much to that objective. And we're very well placed to develop them because it doesn't mean that it will reduce the burden in any way in terms of how the science is developed. What it will take off is the artificial barrier which was created for interchangeability. And I think that is good for the industry, for the patients and also for the company, particularly as well.

Amey Chalke : Sure. And just basically, our investment for the product will go down, what you mean to say, but that might not have a major impact on the number of players there in the market.

Shreehas Tambe : No, we do not think so because as I said, again, and I repeat, this

is a very U.S. -only

phenomena. So, people and companies were developing products anyway globally.

There are examples like, for example, in insulin, we have been able to successfully work with them to even remove a clinical trial Phase III, but that has not overnight meant that you have been in a position to have more people trying to develop it because it's not just the clinical development that is what is important. It is also the ability to have the science to develop it through the labs. The clinical capabilities, but also the large manufacturing scale and most importantly, the commercial capabilities to bring it to the market. So, unless you are a fully integrated player and have all the levers, these things are actually going to work towards helping the patients and the industry at large.

Amey Chalke : Sure. The second question I have is on the Generic side of the business. So Biocon Generic is almost getting around more than USD 300 million kind of sales or at least the quarterly run rate. Over the next 2 to 3 years, what could be the aspirational number here on the revenue side for the Generic side of the business? And apart from peptides, what else are there in the pipeline, which could help us achieve that?

Peter Bains : Thank you. Amey, I will ask Sid to address that one, please.

Siddharth Mittal : Amey, I think we have given a direction that over the next couple of years, we are looking at mid -teen kind of growth. Of course, peptides being a major contributor within that growth coming from Liraglutide in the near term and Semaglutide opportunity opens up in many markets in CY26. And we're gearing up to file in some of these markets in the next calendar year. Apart from that, we have had many other OSDs, which have either been approved by the FDA and awaiting launch given the patent or the market formation. And third is our base business. As we have indicated that we have been impacted by pricing pressure and hence, volume and the demand. And we are working on cost improvement for many of our base products. And as and when we start realizing the lower cost, and we are going to go back to our customers and build back the volume that we have lost.

A combination of additional volumes with a better cost base on existing products, new launches and OSDs and in a few of the injectables, that we mentioned in the commentary, products such as Daptomycin, Micafungin and third and the most important being Peptides.

Amey Chalke : Sure. Just last question I have on the Humira Biosimilar for the U.S. Are we thinking of doing a high concentration filing or that is not on the Board?

Shreehas Tambe : Yes. So that is something that is certainly a part of our development plan, and we will update as things progress.

Saurabh Paliwal : We will take the next question from Jamsheed K. Please go ahead.

Jamsheed K: Regarding Stelara Biosimilars, I know you have a settlement agreement in the last August regarding the launch in EU, Canada, and U.K. So, at this point of time, can you please provide any launch timelines in the respective territories like EU, Canada, and U.K.

Peter Bains : Yes. I think I touched on that in the commentary, but Shreehas, you can build on it.

Shreehas Tambe : Launch timelines. Okay. We've been able to secure a launch upon approval timelines on these countries. So as soon as we secure approval, Jamsheed, we will be looking to bring these products to market. So, I think we've been able to negotiate a very good

position, and we have already said what our launch date in the United States is going to be.

Jamsheed K: Okay , one more question. We can see the origin ator Janssen has already different SKUs like prefilled pen and prefilled Syringes. So, at this point of time, did you have any plan of developing the prefilled pen or some auto -injector devices for the same? I mean Biosimilar s?

Shreehas Tambe : We have always believed

in developing whatever is the product that we believe will be the dominant or the large share of the market. To our understanding at this point in time, Stelara in an auto -injector is not a product that they have launched or maybe if they have, then it has a much smaller market share in some markets. But we, of course, have the capability to develop all of it, and we will do that as and when that is needed.

Jamsheed K: Okay. But one last thing, I know it is very early to ask. If you can provide any rough timeline for the autoinjector device?

Shreehas Tambe : We will develop this and launch it as needed. We do not necessarily have a restriction on being able to launch the device or not. If we do get a device, we will be in a position to launch it.

Saurabh Paliwal : We will take the next question from Niraj Jain.

Niraj Jain: My questions are regarding the Pegfilgrastim market. I would like to understand from the management, what are the ASP and competitive trends they see because of the aggressive pricing policy taken by Amgen for Neulasta? And number 2, recently, one of your main competitors have been facing supply chain issues. Has it worked in favo ur of Biocon that whether we have been able to take some market share because of the issues facing the competitor?

Peter Bains : Thank you, Niraj. I think I will hand that to Matt to address, please.

Matthew Erick : Yes, sure. Thank you for the question. Just to give you the definition around ASP. As ASP declines for others, it doesn't affect other manufacturers. So, it is the reverse of what you would think in the Part D and the retail side. On the ASP, you control the ASP based on your rebates. And how it is been reimbursed, the ASP matters to the prescriber.

So, you first get contracts with the payers, then the prescribers look at the ASP and the ASP favourability from the prescriber standpoint, because of the way they're reimbursed, the highest one or the one that's the highest or the category in which there's other players on that higher ASP becomes something then that the health care provider would consider more than something that is declining. So, in this market, your ASP is individually to you as the manufacturer. So as others rebate or the ASP declines, it does not affect Biocon. And I think tha t is why you are seeing a lot of favourability as Peter and Shreehas both explained in regard to our market share, our ASP continues to be a strategic initiative for us and not just lowering it, but understanding the profitability and how it impacts the market.

As it relates to the secondary question, could you repeat that? I didn't quite hear the second part of it .

Niraj Jain : Yes, sure. One of your main competitors in this market has been facing supply chain issues. So, like my point was that whether it has worked in our favour ?

Matthew Erick : Yes. Look, we are well positioned. Certainly, as other manufacturers have issues, we are here to supply. And certainly, as they continue to report that they are having these issues. We are getting more and more customers reaching out to us. So Biocon is well positioned and ready to fulfil those orders. And certainly, you're seeing our market share tick up. A lot of that is through our strategy. But as the competitor continues to have those issues, we're in a great position to capture more additional share at the right price points. Thank y ou for the question.

Saurabh Paliwal : We will take the next question from Naman Bagrecha .

Naman Bagrecha : Just one question for Shreehas. Shreehas, given that our Malaysia facility is not yet cleared by U.S. FDA, have we kind of lost the contracting cycle for Aspart as well for CY '25 and Aspart could now be CY '26 opportunity?

Shreehas Tambe : At this point in time, we are still looking to see at what time we get that approval. The 2 things to remember, Naman, one, is the contracting cycle as you rightly p

ointed out, will

be in that July to October time frame. So certainly, it is coming towards the end of that time horizon that you look for the subsequent calendar year. But the important piece to remember is that there isn't any other Biosimilar for Aspart at this point in time. So, while it would be true typically for most products where you have options and the payers and

PBMs could look for alternatives and they could tie up. Here, it is a very unique situation that would still keep the opportunity available.

It may not be the full year if it is a little delayed. But it does create an opportunity for us to reach out to customers to see if there is an interest and to our understanding at this point, there's a lot of interest in looking at Biosimilar Aspart at whatever time it gets approved. So yes, we continue to remain excited about it. We are actually looking forward to seeing as the approval coming through as soon as possible .

Naman Bagrecha : Okay. But let's say, today we are in 30th October and the approval comes, in 2 days , given that Malaysia facility also needs to get cleared, but this opportunity will be CY 26, right?

Shreehas Tambe : No. I think what I was saying is th at you would do it in '24, July through October '24 for 1-1-25 through December 2025 . And given that you are at the end of it, you would probably then miss out if you had competition. But given that Aspart, you don't have any other Biosimilar even if you are outside of that window, you will have some opportunity in 2025 also, assuming you get that approval soon.

Naman Bagrecha : Can you help me in terms of, let's say, timelines , of what would be your best-case scenario by when can we get the facility cleared and once the facility is cleared, how many weeks or months will it take for us to launch the product?

Shreehas Tambe : Yes. I mean it is a great question. It is a little bit of an exercise in a hypothetical, Naman, at this time because we can't really speak on behalf of the agency. There are, of course, defined framework in terms of how the agency operates. We have responded to all the observations. As you know, we were given an OAI status earlier this year and the inspection was conducted, so we have responded to that and the CAPAs are with them because they came back for an inspection.

We will look to get a positive outcome out of that inspection like we have just got a VAI status, which is a positive outcome for the India facility, which makes the rhi drug substance. Hoping that we get a similar outcome in Malaysia as well. It would then allow us to respond to the CRL and then get the agency to approve it because that was the only open item that was outstanding at this point. So , it is a little bit of an exercise, as I

said, in the hypothetical, but we would be talking about a few months, not several quarters in the mix if the approval is right.

Naman Bagrecha : And one question to Sid. If you could provide me the net debt number, I missed in the earlier comments. Net debt for Biocon consol including the structure that we had done. And similarly, the net debt for Biocon Biologics , if you could please?

Siddharth Mittal : The net debt for the group i s ~USD 1.4 billion and in Biologics as of September is USD 1.2 billion .

Saurabh Paliwal : We will take the next question from Tushar Manudhane from Motilal Oswal.

Tushar Manudhane : I joined late, so maybe these questions have been repeating. Just wanted to understand this as far as Biocon Biologics , the core EBITDA margin has improved, let's say, quarter -over -quarter. So, if you can throw some light there first?

Peter Bains : Sure, Tushar. We did cover it. But Kedar, maybe you can explain again, please?

Kedar Upadhye : Tushar, it will be difficult to point one specific reason for the improvement in core EBITDA. As you know, core EBITDA is derivative of your geography mix, your product mix, your pricing strategie

s, your inventory movements, and things like that. So, I think it's still in the zone. It's about 32% like what we highlighted on the slide.

Tushar Manudhane : And despite improvement in core EBITDA and subsequently reduction in R&D, we see the EBITDA margin still lower quarter -over -quarter. So, the Opex , which has increased, say, quarter -on-quarter, is that the number to look for on an ongoing basis as far as Biocon Biologics .

Kedar Upadhye : Yes, Tushar. Opex is part of core EBITDA in the sense that core EBITDA reported is after the Opex. So that is not the reason. I think you should adjust the yen -related mark -to-market loss that we had to book this quarter because of a sudden and sharp appreciation in th e dollar -yen, which after September has weakened again. So, some of the mark -to-market that we have booked might potentially reverse. But obviously, we would not be able to quantify that now. But if you adjust that, we are at 25% EBITDA, Tushar.

Saurabh Paliwal : We will take the next question from Yash Darak .

Yash Darak: I missed the average cost of debt for the USD 300 million syndicated loan, if you could just take the same?

Kedar Upadhye : That is that is about SOFR plus 175 basis points. So, depending upon the average 3 months SOFR, it could vary. But currently, it is around 6.75%.

Yash Darak: And secondly, if you could just guide on the revenue growth over financial year 2024 total consol revenue, where could we see ourselves at the end of the

financial year 2025?

Peter Bains : Yash, we do not give quantitative guidance in that regard. I will repeat the guidance that we have given, which is that we are looking at a transition to accelerated growth in the

second half. And as I advised in the opening remarks, that is coming from restored growth in Syngene behind the momentum that we are seeing in Discovery and Research Services and large molecule manufacturing. And we have seen the really good momentum in the Biologics business, led by the market share gains in the United States with the key products. And as Sid has explained, we have line of sight now of liraglutide launch in the United Kingdom and some other injectable formulations before the end of the year, which will underpin a turnaround and a return to growth in the Generics business. We are looking at a year of 2 halves, where the first half was relatively muted, notwithstanding the biologic's performance, which has held up very strongly. But looking with all 3 now cylinders of the engine to pick up over the course of the second half of the year.

Saurabh Paliwal : We will take the next question from Kapil Agarwal .

Kapil Agarwal: This is regarding that is there any plan to raise equity by diluting stake in Syngene or BBL to repay the debt?

Peter Bains : Kapil, I think as we have said, reducing the debt is a priority. We have taken measures to restructure the debt, but we would also indicate that we are going to look to reduce it.

And we have many levers to explore on that. We are. And I think you can expect to see us act before the end of the fiscal, but we will determine which instrument, which opportunity we use as we progress through the year.

Kapil Agarwal: And one more question regarding that there is some clause for Viatris , we can say that there will be some IPO for BBL. Any timeline or when we can expect the IPO of BBL, something. Any we can say guidance over on it?

Peter Bains : Kapil, I will make a comment, but I invite Shreehas also to comment. An IPO clearly remains an option for the BBL business. But the timing of that will be when it's right and that will be a combination of many factors, the market factor, the business momentum and so forth. It is clearly something that we have as an option, and it is clearly something that we will be tracking, but we will only do it when the circumstances are right to achieve a very successful IPO.

Saurabh P

aliwal : We will take a follow -up question from Surya Patra.

Surya Patra: My first question here is about the R&D spend. We have seen both for BBL as well as for Biocon, we have seen a kind of a meaningful reduction on a sequential basis as well as Y -o-Y on the R&D spend side. So now at this level of INR 200 crores, it is around 7% of the ex Syngene revenues. Is this is the kind of a run rate that one should think going ahead, given the kind of margin pressure that we are witnessing? Or and at this level, whether our developmental projects can be easily managed and covered with this kind of spend rate?

Peter Bains : Shreehas. I think that is aimed largely at Biologics , maybe you can address that .

Shreehas Tambe : Thanks, Peter. I think, Surya, the spend that you see at Biocon Biologics level, we would term that as an investment in R&D is we need to look at it as a spend that is in the range. We had said at the beginning of the year as well that it would be in that 7% to 9%

of revenues. And so, we are tracking probably towards the lower bound, but we are very much in the range that we had guided for. And we intend to stay there on a full year basis.

On a quarterly basis, you would see some variance depending on which stage of development, the R &D programs are in. But other than that, we don't see any major change on that aspect. And since I have you back on the line, we looked up the numbers on the European opportunity for Bevacizumab , that is about USD 1.2 billion as reported by independent databases.

Peter Bains : Surya, let me also just add a point of emphasis to Shreehas's response. It is important to understand that R&D spend is not a constant. It reflects the investment behind assets at different phases of their development and not all phases carry the same cost. So, it is perfectly natural for R&D spend to move within a range as you build and evolve and progress your pipeline. So as Shreehas said, we would expect our R&D spend in Biologics to work within that kind of a range, 7% to 9%.

Surya Patra : Sure. Yes. My second question and last question is about the Generic small molecule business. So here, in fact, when we have been only focusing more about APIs. We have been seeing a kind of decent margins there. Of late, we have seen a kind of a moderation there. While we are anticipating a kind of mid -teens growth led by various initiatives that we are taking. So how should we think about the profitability and the margin trending, let's say, over the next 1 - or 2-year period? In

fact, we are now having integrated operation, both API as well as formulation in the market like U.S. and all. Despite that, the profitability or the margin profile has squeezed in the recent period. Any outlook or sense on this would be helpful.

Siddharth Mittal : Surya, of course, profitability has been impacted by the pricing pressure as we have indicated in the past and also during the quarter. As you can see that the majority of our revenues are coming from U.S., unlike many other competing companies, where it is well spread out to other geographical parts of the world, including India, which is a branded business with high margins. But we are quite dependent on the U.S. at this time. And that's why we keep emphasizing on our regional expansion that over a period of time, we would have revenues come from other parts of the world.

Now coming back to U.S., yes, we continue to see pricing pressure, both on our formulation business as well as API, which are being sold to the U.S. customers who are also facing pressure. Now we do expect as I addressed earlier, some of the cost improvement plan, the benefits of these starting to realize, which will not only allow us to regain some of the lost business, but also improve the profitability on the existing products, plus the new launches, of course, it is all finally dependent on the competition

that the products that we launch, if it is highly competitive, the margins are going to be probably on an average similar level as current margins.

But if we do have less competition for some of the molecules that we are going to launch, then we could see a margin improvement. But directionally, the revenue growth that I indicated will come with better margins, but it will be difficult to quantify that what those margins would be, given the still many variables out there.

Surya Patra : Okay. Sir, just one more question about your earlier response to the similar point that you have indicated about cost optimization program for the Peptide products, which will benefit. What is the kind of competitive situation that you are anticipating here? And secondly, on the new Tacrolimus facility, what is the update and what is the kind of a ramp -up, when the real ramp -up that one should anticipate and expect?

Siddharth Mittal : We just got approval from the European regulators sometime back, we also got the EIR from FDA. And we are currently maxed out in Bengaluru as far as the Tacrolimus is concerned. We would be catering to additional volume from Vizag. We are talking to various customers. We have also secured new customer contracts where once the customers ANDAs are updated, we will start supplying products. And Tacrolimus is not the only product. There will be other immunosuppressants which will be manufactured in Vizag. So that is all part of the mid -teen kind of growth, which I indicated, it is all factored in there. Of course, nothing in the near term because we just got the EIR, and our customers are updating their ANDAs. So, for meaningful revenues to start, it would be more end of next half or more in FY 26.

As far as the competitive landscape is concerned, the market is still forming up. We are looking at few approvals, which are already in the public domain in Europe. There is only one approval other than the authorized Generic in the U.S. So, I think it will be quite speculative for me to say how things would be because there is still some time for the launch, especially in the European countries, and we will have to see how the market pans out there.

Saurabh Paliwal : Thank you, Surya. We are coming towards the end of the call. I will request the balance participants, which are 2, to please keep the questions short. We will take next question from Rumel Dahiya.

Rumel Dahiya: The management would very kindly agree that Biocon has been probably one of the greatest wealth destroyers over the last 5 years for the investors. When do you think the investors can expect improved profitability and some kind of a relief from this continued poor financial performance from the company.

Peter Bains : Obviously, we would not agree with you. We have been investing behind building what we believe can become very globally competitive businesses. Syngene has already established that credential with the acquisition of Viatris and the consolidation of that business. We are in the top 5 in the Monoclonal antibodies. And the Generic business, while small, has achieved very significant market shares in its chosen areas. Of course, we understand the financial pressures that we are under, and we are working on that. And of course, we keep in mind our investors and the desire that we have to give them a very competitive return on that investment. Of course, we realize we have much more to do to deliver on that. But I want to assure you that we are all working to that end.

Saurabh Paliwal : Thank you, Peter. We will take the last question of the day from Harshit Dhoot.

Harshit Dhoot : Just a couple of questions. First is, what's going wrong with the plants, the

Bengaluru and Malaysia. Bengaluru is stuck from last 3, 4 years; Malaysia from last 4, 5 years. What is exactly going wrong from the regulatory front here?
Peter Bains : Harshit, I think I'll start.

But again, Shreehas, you can add, I'm sure more detail. Well, clearly, what 's not right at the moment is the 2 CRLs, and we've given quite extensive explanations of the characterization of those, the responses that we've put in and the work we are doing with the United States FDA to progress that to a satisfactory conclusion. But I think it would be proper to say there is a lot that is still right in those facilities. I mean we have comprehensive approvals from many other agencies and have had over very many years. I think it would be improper to say that there's something fundamentally wrong. There are challenges that we are working to overcome in those, but we see them as surmountable challenges that we are working on and behind that we are reassured that the quality of those facilities has been approved by many other recognized global health agencies.

Shreehas, you may want to build on that.

Shreehas Tambe : No, Peter, I think you summarized it well. And Harshit, I think Peter's response is quite holistic. There are several agencies around the world who continue to improve the facility. There is a lot of confidence in the quality management system overall. And even for the United States, we continue to supply product from these very facilities as the market shares that we talked about, these come from the very facilities that we are discussing.

I agree with Peter when he says that there's nothing fundamentally off here. We have never had any of these systemic noncompliance issues. But the fact is we only acknowledged that we have to get over the hump, and we are working very hard to do that. We met with the agency. We had a very transparent conversation with them. And you are seeing that there have been inspections which have followed, which had stopped post -COVID. And we've been able to accelerate that.

We will have to work with them collaboratively, which we are doing. And we believe that we will find success. We believe the first one with VAI classification for the India Campus site for the recombinant human insulin drug substance is a good beginning, a good start. It brings in some confidence. And we're looking forward to see ing how we can build on that. But we will continue to work with the agency. We are confident that success will eventually be ours sooner than later.

Harshit Dhoot : Shreehas, every year, we get some convincing argument from the management regarding the clearance of the plants. But we know that we are getting approvals from other agencies, but main opportunity lies in U.S. FDA, right? It's a long time.

So how should we get the confidence here?

Shreehas Tambe : U.S. is a large opportunity in a large market. But Europe is a large opportunity in a large market, too. And so, I would not discount the others. That is not to say that the U.S. is not important, and we continue to work on it. Our revenue split, which Kedar explained to you is more or less evenly split with U.S. being at 40%. The other 2 geographies that roughly 30% each, broadly speaking. But the U.S. is important. And regardless of that, I

think, as I said, Harshit, it is not about every year we hear this. It is more about every inspection, we learn something. Aseptic processing is something that the agency has looked at very differently post -COVID. We are working with them to see how best we can address it. We have brought in global consultants to do that. We have also brought in folks and experts who used to work for the agency at some point in time to see how we can better adapt to that learning. I know it can be frustrating and it can be very difficult sometimes to see how these things evolve. Believe me, it is very frustrating for us as well. But we are committed to this, and we will continue to work with it before making sure that we get to that finish line sooner than later.

Harshit Dhoot : Yes, because the main story lies for the Biocon Biologics b

usiness in these only

because anyways, we are still struggling to ramp up the market share in the Humira also. Let's see when we will get the clearance of these plants. And second question is on the Generic s part, Siddharth. You said the liraglutide filing, Sacubitril , Valsartan. If I am not wrong, everyone is chasing the liraglutide, right, and probably in every market. So how big this opportunity can be? And the second thing for the Sacubitril , Valsartan, are you manufacturing API on our own? Or are we buying it from someone else?

Siddharth Mittal : So let me answer the second one first. Yes, we are manufacturing the API on our own and as also the formulation. We, of course, by the intermediates separately from our KSM vendors, including Valsartan, which we buy. Coming to your first point, liraglutide is still a global USD 3 billion opportunity. Of course, there is a huge shift of patients to

Semaglutide, which is almost now between USD 40 billion and USD 50 billion opportunity.

As far as Lira is concerned, what you see today is not what we believe is the true representative of the demand because it is not fully serviced given the focus has moved to Semaglutide, and we definitely see with Generic s coming in an opportunity to expand the volume at the right price. And as far as what you said that everybody is chasing this market, but very few have been able to get the approval. I think Peter did allude to the fact that we've got our success was seen when we were the first company to get the approval for Generic liraglutide in the U.K., and that was the first liraglutide approved as Generic product anywhere in any major market. And I also mentioned that we got our DMF sufficiency letter in the U.S., which was again the first company to receive so. There have been many other filers in the U.S. who had filed way ahead of us and they have not been able to achieve this landmark.

We definitely think we are very well positioned. We are also one of the very few vertically integrated companies on the peptides, we do our API, both recombinant route and synthetic route. We do our own formulation. And we, of course, have vendors who have designed different devices for us. So, we are very well positioned to capture the opportunity. But again, I think the whole investment in peptide is what we should look at broadly because this is USD 3 billion small, but in the years to come, there are many, many more attractive opportunities which open up.

Saurabh Paliwal : Thank you, Harshit. That was the last question for this call. Thank you all for joining us today. If you have any further questions or any clarifications, please do get in touch with us. With this, I would like to wish a very happy Diwali to you all and to your families, and we will see you next quarter. Have a good night.

Peter Bains: Happy Diwali everyone.

-Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability

Call: Feb 2025

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BIO/SECL/S G/2024 -25/175

February 07, 2025

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q3 FY25

This is further to our earlier letter dated January 31, 2025, regarding the presentation of Q 3 FY25 Earnings Call held on January 31, 2025, please find enclosed herewith the Transcript of the Earnings Call .

The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/> .

Kindly take the above information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Mayank Verma
Company Secretary & Compliance Officer
Membership No.: ACS 18776

Encl. : as above

Relentless Pursuit.
Differentiated Growth.

Speakers and Participants from Biocon Limited , Biocon Biologics Limited & Syngene International Limited

Mr. Peter Bains – Group CEO, Biocon Limited
Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
Mr. Shreehas Tambe – CEO & Managing Director, Biocon Biologics Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
Ms. Rhonda Duffy – Chief Operating Officer, Biocon Biologics Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Anuj Goel – Chief Development Officer – Biocon Biologics Limited
Mr. Deepak Jain – Chief Financial Officer, Syngene International Limited
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Damayanti Kerai – HSBC Securities and Capital Markets (India) Private Limited
Neha Manpuria – BofA Securities India Limited
Shyam Srinivasan – Goldman Sachs India Securities Private Limited
Amey Chalke – JM Financial Institutional Securities Private Limited
Love Sharma – JP Morgan Securities (Asia Pacific) Limited
Surya Patra – Phillip Capital (India) Private Limited
Vivek Agarwal – Citi Investment Research (India)
Nitin Agarwal – DAM Capital Advisors Limited
Bharat Seth – Quest Investment Advisors Private Limited
Alankar Garude – Kotak Securities Limited

Prepared Remarks Session

Saurabh Paliwal:

Good morning, everyone. Thank you for joining us on this call to discuss Biocon's third quarter results for fiscal year 2025. I am Saurabh Paliwal from Biocon's Investor Relations team.

To discuss the financial business performance for the period, we have on the call today, Mr. Peter Bains, Biocon Group CEO; Mr. Siddharth Mittal, CEO and MD, Biocon Limited; Mr. Shreehas Tambe, CEO and MD Biocon Biologics Limited, along with other senior management colleagues across our business segments.

Before we get started, a few housekeeping points . All the participants line will be in a listen -only mode, and there will be an opportunity for you to ask questions after the opening remarks conclude. If you need to ask a question, please select the raise hand option in the reactions tab of the Zoom application. We will call out your name and unmute your line to enable you to ask a question. While asking a question please begin with your name and organization. Please note that this conference call is being recorded. The recording will be made available on the website within a day, and the transcript will be made available subsequently.

I want to remind everyone about the safe harbour related to today's investor call. Comments made during the call may be forward looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that our business faces that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

With that, I would like to turn the call over to Mr. Peter Bains, for his opening remarks. Over to you, Peter.

Peter Bains:

Thank you, Saurabh, and good morning, everybody. Before presenting the results in detail, I would like to start with some high -level remarks. The third quarter of fiscal 2025 has been both important and progressive across the group companies, reflecting continued executional delivery as well as strategic strengthening in our regulatory, operational, and financial platforms that will underpin our short, medium, and long -term growth objectives.

Highlights include successful outcomes in 4 separate FDA audits across 3 sites in Biocon Biologics and Biocon , key product approvals in both our Biologics and Generics businesses with launches commencing in Q4 this fiscal , and completion of all BBLs deferred milestones under the acquisition agreement with Viatri, marking the full and final remittance of considerations towards the acquisition.

The overall group financial performance for the quarter was in line with our expectations and led by year -on-year

operating revenue growth of 10% on a like -for-like basis after adjusting for revenues and a divestment gain from the India Branded Formulations unit in Q3 FY24. Performance for the quarter was driven by sustained growth in Biosimilars and a return to growth in Research Services with both verticals reporting healthy double -digit growth rates. Generics recorded a marginal year -on-year decline. On a sequential basis, all 3 verticals delivered growth. With performance delivery in line with our expectations and with the strengthening of building blocks for future growth across our businesses, we maintain our outlook for a transition to growth in the second half of this year and into next fiscal with improved visibility across all businesses.

Syngene has returned to growth this quarter and is on the right trajectory for the rest of the financial year. Biosimilars has maintained its good growth momentum and now has a clear line of sight for new and important product launches, while recovery in the Generics business will be driven by the launch of our first GLP generic in the U.K. and EU, coupled with new launches in the United States.

Financial Highlights – Q3FY25

Revenue from operations was INR 3,821 cr

ore, up 10% year -on-year and up 6% sequentially on a like -for-like basis. The like -for-like basis excludes revenues, and a divestment gain from the India Branded Formulations unit in Q3 FY24, and I will use this adjusted reference for comparisons in the course of my remarks.

As mentioned in my opening, this top line performance reflects the balance of performance at the segment level where, on a year -on-year basis, Biosimilars revenues from operations grew 14%, Research Services grew 11%, and Generics saw a marginal decline of 2%. On a sequential basis, all segments reported operating revenue growth with Generics growing by 10%, Research Services by 6% and Biosimilars 5%. Total group revenue for Q3 FY25 was INR 3,856 crore, a growth of 7% last year and 6% sequentially on a like for like basis when excluding revenues and a divestment gain from the India Branded Formulations unit and also a gain from Biocon's stake dilution / fair valuation of its holding in Bicara Therapeutics , in Q3 FY24 .

Group core EBITDA for the quarter stood at INR 1,007 crore, up 4% from last year and with a healthy core operating margin of 26%. Quarterly R&D investment spend stood at INR 199 crore, corresponding to 7% of revenues excluding Syngene. Reported EBITDA for the quarter stood at INR 787 crore with a margin of 20%. This represents a growth of 16% on a like -for-like basis.

Profit before tax and exceptional items was INR 138 crore, improving on a like -for-like basis from a loss last year. Reported Net Profit is INR 25 crore. Adjusting for exceptional items, Net Profit for the quarter stood at INR 13 crores. And here again, there was an improvement in performance as compared with net losses last year when adjusted for the one -off incomes.

Generic s Business Update

Let me now turn to the business segment highlights and start with the Generics business and summarizing the quarter's financial profile .

Revenue from operations was INR 686 crores, growing a healthy 10% on a sequential basis while showing a marginal decline of 2% year -on-year. This performance was driven by higher API sales and supported by an improvement in the performance of generic formulations. While we still see pricing pressures that have persisted, we did see some volume recovery in the product mix.

Core EBITDA for the quarter was INR 102 crore with a margin of 15%.

R&D spend at INR 73 crore and representing 11% of segment revenues was up from INR 65 crore in the same period last year, reflecting our continued investments in the strategically important peptide portfolio and our complex molecules to fuel mid and longer -term growth opportunities.

EBITDA for the quarter stood at INR 39 crore compared with INR 91 crore last year and INR 36 crores the previous quarter, impacted by higher operating expenses linked to new facilities and the increased R&D investments. EBITDA

margin stood at 5%. Profit before tax for the quarter was a loss of INR 14 crores compared to a profit of INR 50 crores last year and a loss in Q2 of INR 9 crore.

Now moving on to operational updates , let me start with regulatory .

On the regulatory front, there have been significant milestones crossed during the quarter. We made progress with multiple market filings, including 2 ANDAs in the United States, and we received 7 approvals, including 1 in the United States.

Notable amongst these approvals was the receipt of the decentralized procedure or DCP approval for the generic GLP, Liraglutide, in the European Union for both diabetes and obesity indications. This approval positions Biocon for strategic growth in the region, and we are preparing to commercialize the product in fiscal 2026 . Additionally, in China, approval was received for Tacrolimus capsules in various strengths, marking the second important drug product approval for Biocon in this strategically important market.

Another highlight in the quarter was the su

ccessful closure of the U.S. FDA inspections of our Bengaluru API sites

conducted in September 2024. For both sites, we received Establishment Inspection Reports, EIRs, with a Voluntary Action Indicated classification from the agency.

Operational Highlights

Coming to operations. I am pleased to share that the oral solid dosage facility in Cranbury, New Jersey, which Biocon had acquired in September 2023 to strengthen its manufacturing infrastructure and footprint in the United States, is

now qualified by the U.S. FDA for 3 of our vertically integrated statin products, and we have commenced commercial supplies. We will be adding more products for commercialization from this site on an ongoing basis. Looking ahead, we expect performance in the fourth quarter and into the next fiscal to build upon the sequential revenue growth in Q3, driven by new product launches across markets, including the launch of our generic GLP, Liraglutide, in the UK and the EU, as well as additional new product launches, particularly in the United States.

Biosimilar Business Update

Let me now move to the biosimilars vertical where I am pleased to report a strong quarter with Biocon Biologics delivering:

- Sustained double-digit like-for-like operating revenue growth last year.
- Delivering strong in-market product performances, particularly in the United States market
- Securing multiple new product launch approvals to fuel growth in the coming year
- Successful closure of both the Bengaluru and Malaysia facilities U.S. FDA inspections with the receipt of VAI status for both sites, while
- We also continued the consolidation and strengthening of the Biologics vertically integrated model.

Let me now look at these highlights in a little bit more detail and start with commercial execution, where we are continuing to deliver a strong performance across our product portfolio in the United States. Our Oncology franchise, comprising of Ogivri, biosimilar Trastuzumab and Fulphila, biosimilar Pegfilgrastim, have seen significant increases in demand with the market share for Ogivri doubling to 22% from 11% last year, while Fulphila rose to 23% from 19% last year. Market shares of our Semglee. Insulin Glargine franchise also continued to be in the mid to high teens, including all channels.

Turning to Europe. Our market shares have remained stable at a regional level with strong uptake in key markets like Germany and France, where we hold double-digit shares for many products, and particularly Hulio, biosimilar Adalimumab, and where we are also now beginning to see the results of our focus on both geographic and product expansion, for example, in the Mediterranean and U.K. Nordics clusters. We are also seeing positive traction in the Japanese and Australian markets through our commercial partnerships.

The Emerging Markets business continues to expand the depth and breadth of its patient reach with 8 approvals and 14 new launches this quarter across key markets in the AFMET, LATAM and APAC regions. The company also won several tenders for its key products, further strengthened its insulin franchise, and has witnessed strong demand in both self-led and partner-led markets, leading to overall market share expansion.

Looking at the financial performance and the regulatory update.

The Biosimilars Revenue from operations was INR 2,289 crore, up a healthy 14% year-on-year on a like-to-like basis, again, after adjusting for the revenues in Q3 FY24 from the Branded Formulations Unit in India and the divestment gain of INR 350 crore. Sequentially, revenue grew 5%.

EBITDA for the quarter was INR 487 crore, and this includes a non-cash Forex translation loss of INR 20 crores. Excluding the Forex impact, the EBITDA margin stood at 22%. Last year's EBITDA was INR 714 crore on a reported basis, which included the gains mentioned related to the BFI investment. On a like-for-like

growth basis, EBITDA grew 44% compared to last year.

We continue to invest in our pipeline with R&D spends at 6% of revenue to fuel the mid- and longer-term portfolio growth.

The company also crossed the milestone in fulfilling all its obligations towards all deferred milestones under the acquisition agreement with Viatrix.

Regulatory Updates

Turning to regulatory, where I am pleased to share that the U.S. FDA has classified our multiproduct Biocon Park facilities in Bengaluru, India, and our insulins facilities in Johor in Malaysia, as VAI, or Voluntary Action Initiated following the inspections held in July 2024 and September 2024, respectively. These outcomes both reinforce the commitment of Biocon and Biocon Biologics to the highest standards of quality for our products. And they also, importantly, pave the way for the approvals of biosimilar Bevacizumab and Aspart products in the United States.

Further strengthening our new product launch outlook, we also received U.S. FDA approval for Yesintek, biosimilar Ustekinumab, a biosimilar to the reference product, Stelara, and are preparing for February 2025 launch next month. Yesintek also received a positive opinion from the European Medicines Agency Committee for Medicinal Products for Human Use, the CHMP and approval from Japan's Pharmaceuticals and Medical Device Agency, the PMDA, through our commercial partner. On the pipeline front, the U.S. FDA has validated our Biologics License Application filing for biosimilar Denosumab, which has also been filed in several other geographies.

Looking ahead, now having successfully secured the VAI classifications for all our manufacturing units from the U.S. FDA and with multiple new product launches now clearly in line of sight, Biocon Biologics operational focus will balance but also evolve between consolidating and strengthening the business, leveraging our vertically integrated model and global footprint and launch planning and preparation for commercial excellence delivery of the very strong pipeline that we now that we are now building up. Our priority will be to ensure that we bring our new products expeditiously to the market to provide patients with access to affordable treatment options. These new launches will serve as key growth catalysts for both revenue and for margin.

Research services update

Now coming to Research Services of Syngene.

Syngene's performance for the third quarter built on its second quarter performance with revenue from operations coming in at INR 944 crores, up 11% on a year-on-year basis and up 6% sequentially.

Reported EBITDA at INR 302 crore was up 16% on a year-on-year basis and 16% also sequentially. The reported EBITDA margin improved to over 31% from 29.5% in the comparable quarter last year and 28.8% in Q2 this year.

Profit before tax was up 27% from last year and 32% sequentially to INR 181 crore. PBT margin stood at 19%. Business performance during the third quarter was broad-based with a return to growth across all divisions within Syngene. Growth in the quarter suggests that market dynamics, particularly in U.S. biotech, are now stabilizing, albeit slightly later than expected.

Discovery Services contributed to growth during the quarter with continued collaborations with many large and midsize pharma companies on pilot projects in the initial China+1 pilots starting to convert to longer-term contracts during the quarter, providing visibility for growth for the next year. These conversions are a demonstration of Syngene's scientific capabilities and high operating and quality standards.

The performance of Development and Manufacturing services was also steady, driven by Biologics with repeat orders from existing customers and through new collaborations on integrated projects.

Overall, performance in Q3 was positive with momentum across all business divisions, positioning Syngene on the right

track for future growth.

Conclusion

In conclusion, and as I said in my opening remarks, this was an important and very progressive quarter for the Biocon Group. The strengthening of operational building blocks for future growth has now provided us with clear improved growth visibility across all our businesses.

Syngene has returned to growth this quarter, is now on the right trajectory for the rest of this fiscal.

The biosimilars business, while maintaining its strong growth momentum, now has a clear line of sight for multiple new product launches beginning in quarter 4 and the recovery in the Generics business will be driven by the launch of our first GLP generic in the U.K. and the European Union, coupled with new launches in the United States.

We maintain our outlook for a transition of growth in the remainder of this year and into next fiscal.

With this, I conclude my remarks, and I would like to open the floor now to the Q&A session.

Q&A Session

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Saurabh Paliwal: Thank you, Peter. We will wait couple of minutes for the questions que to assemble. We will take the first question from Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai : My question is on Stelara biosimilar, which you will be launching soon. So just want to understand, based on your discussion with channel partners, what kind of sense you are getting for potential uptake of this product? Because we understand this is a Part D product, and what we heard from J&J is that they are expecting similar dynamics to play out, what we have seen in case of Adalimumab, Humira biosimilar, plus any change from the Part D redesign. So just want to get some sense what you have heard or any feedback, which you might have got from the channel partners?

Peter Bains: Great. Thank you, Damayanti. Let me address that question to Shreehas and the U.S. team and then Matt. Shreehas, can you pick up on that?

Shreehas Tambe : Yes, sure. Thanks Peter. Thanks Damayanti, for the question. As you can imagine, we are very excited about the upcoming launch for biosimilar, Ustekinumab. We will be amongst that wave of products that will be coming to the United States. But I also want to draw your attention that this is a global launch. So, we will be looking to bring this product to Europe as well. There is a huge opportunity that we are looking forward to.

I do acknowledge what you said about the Part D and the past that has been the case with the biosimilar Adalimumab. Obviously, we are very conscious of that. Our teams are working very hard with customers, both commercial as well as the government customers as well. We believe we will be very competitive in this space, both for Ustekinumab and even as we progress the Adalimumab asset as we go forward. So very exciting times for us as we get into a global launch for a very large asset.

Damayanti Kerai : My second question is on your existing biosimilars, where you continue to see market share gain. However, when we look at the profitability side, it is not in line with, I think, the kind of pickup seen on the revenue side. Can you just comment, like, whether most of the market share gain is on low realization channels? And how should we look at like further scope of increasing market share for these existing products?

Peter Bains: Shreehas, again, I think I will pass that question to you.

Shreehas Tambe: Thanks, Peter. I think, Damayanti, I wouldn't say that it's a low-margin business or we have probably seen growth only in terms of the low profitability channels. If you look at the 2 large markets, and we also have seen huge gains even in emerging markets. But if you look at how growth has panned out, let's start with that perspective. I think growth has come because of the large increase in market share that you just referred to in the United States. That growth has not necessarily come in from low-margin

business.

We have 2 products in the oncology space that operate in the Part B or the medical benefit space. And we have seen significant growth there in terms of how our products have performed both for Pegfilgrastim, which have seen a huge improvement from low double digits to actually mid-20s, which is a substantial shift. And that's come very profitably. So, it's not coming through the lower-margin channels. Likewise, with Trastuzumab as well. This is in the medical benefit space. Our growth in Glargine remains very strong, both in commercial as well as in the government channels, and that's remained the backbone. So that's the United States. It's not come at a lower margin. We had also said and guided in the past that growth will come from new geographies that we will expand into both in Europe which is where the EU 5 is, and you're seeing us play that's starting to play out this quarter. And you're also seeing us win tenders in emerging markets. And there are 8 of those that we had outlined as self-led. And you're starting to see that those are playing out.

The margins for the Biocon Biologics business have been quite healthy. And we continue to invest in R&D in that 6%, 7% to 9% range that we have guided. So that's been also quite healthy. And we continue to have an EBITDA margin of 22% to 23%. So that is, in my view, a very sustainable guidance that we have given in the past, and Biocon Biologics stays to that.

Kedar Upadhye: Shreehas and Peter, just to add. Damayanti, I think, for the quarter, you should model about 150 basis points of revenue as overhead charge on the inventory. So that's a timing in nature. We'll recover it in quarter 4. As we adjusted inventory, I think the overhead hits the gross margin line. So that's the adjustment and modelling you need to do.

Damayanti Kerai : This is at consol level, right, or at the BBL level?

Kedar Upadhye: This is for Biocon Biologics. This is at the BBL level. And costs are in control compared to Q2, Q3 and Q4 of last year. Total Opex, which includes staffing and other Opex is down by almost 10%. Once you model this overhead charge on the inventory adjustment in BBL, I think the number should stack up properly.

Saurabh Paliwal: Thank you, Damayanti. We will take the next question from Neha Manpuria from Bank of America.

Neha Manpuria: My first question is, I think there was a separate announcement about Biocon buying 1.5% stake in BBL. Just wanted to understand what would be our diluted holding fully diluted holding in BBL after this deal? I think the last number was about 70%. And secondly, what would be our net debt? And how this purchase has been funded?

Peter Bains: Sure. Neha, thank you for the question. Let me start and Sid you may want to add in here as well. So, Neha, just to pick up on that. This is the instrument we use as a short-term bridging loan. The purpose was to support meeting an obligation to an investor who exercised the liquidity option. And as you have pointed out, the conclusion of that would be that Biocon would pick up the shares that would be about 1.5% increase in the holding in BBL, which would move, and Sid will provide the numbers, but from roughly 70% to then add on 1.5%. Sid, is that roughly, correct? Do you want to clarify?

Siddharth Mittal: Yes, Peter. I think we will get closer to 7.2% after the acquisition.

Neha Manpuria: Sid, but we were at 70%, right? And we're adding 1%? But on a fully diluted basis,

wouldn't that number be lower?

Siddharth Mittal: We were closer to ~ 70%.

Neha Manpuria: Okay. So now after this, will be closer to 72%.

Siddharth Mittal: Yes.

Neha Manpuria: Okay. Understood. And what would be our net debt post the short-term bridging loan to fund this stake purchase at the consol level?

Peter Bains: So about, I think it is USD 1.23 billion. Sid, again, can you clarify?

Siddharth Mittal: Yes, that is the right number.

So Syngene is USD 100 million net cash positive. In Generics we have roughly similar amount of net debt. And at Biocon Biologics, that's roughly USD 1.25 billion. This is now in December. So, you will add another USD 65 million of the commercial paper, so that will get you to USD 1.3 billion.

Neha Manpuria: Okay. USD 1.3 billion, got it. And my second question is on the Generics business.

Obviously, we are starting to see some improvement quarter-on-quarter on that business. But if I remember, at one point, we had alluded to this business probably growing 15%, mid-teens sort of growth at some point. One, what takes us there?

When do we get there? And when do we start seeing I think Liraglutide launch in the U.K. was supposed to happen in the third quarter. What is the timeline for that?

And how should I think about the recovery in Generics?

Peter Bains: Sid, do you want to pick that.

Siddharth Mittal: As you have seen in this quarter, we have had a 10% sequential growth, and a large part of that growth has come from increase in API business, so very little contribution from peptides yet during the third quarter. And as Peter mentioned in his opening remarks, Liraglutide would be launched in the U.K. in the fourth quarter. We have already shipped the material to our testing site in Europe. The product is getting tested and will get released and launched by a partner and us in the fourth quarter. Post the national approval of Liraglutide in Europe, we are doing national registries in each country, and we expect that launch to happen in the first quarter of next fiscal. We also mentioned that there are a couple of other launches in the United States in the fourth quarter. So, sum total of these would drive growth in the fourth quarter. But I think coming back to your point on teen's growth, that next year is going to be a big growth driver, Liraglutide contributing to that growth in U.K. And of course, U.K. is not that big a market as a standalone country, but when you look at Europe. And then subsequently, during the second half of year, we also expect an approval in the U.S. That product was filed from the injectable facility in Biologics, which has now received the VAI status and the review of the DMF for the API was complete and FDA is now reviewing the other data packs, and we expect that review to complete by middle of this calendar year, followed by a launch.

When you look at the additional capacities also that we have created in our API sites, which will drive incremental volumes. A combination of Liraglutide in U.K., Europe and subsequently U.S., plus the additional API volumes and some of the other OSD launches will drive that growth in next fiscal.

Neha Manpuria: We should get back to mid-teens growth possibly in fiscal 2027, if not earlier, at least?

Siddharth Mittal: Yes. Fiscal 2026 itself you will start seeing this growth.

Neha Manpuria: And one last question on the BBL business. Now that the Malaysia facility is cleared, we also saw the biosimilar, Stelara, approval for both Beva and Aspart. Is there anything else that is pending from the U.S. FDA? Have we heard anything on the Aspart filing? Is there anything else pending for us to get approval for those 2 products?

Peter Bains: Shreehas, I think if you want to take that. I mean obviously, a very important question with line of sight of up to 5 product launches in the U.S. Maybe you can step Neha through that.

Shreehas Tambe: Yes. Thanks, Peter. Thanks, Neha, for that question. We have said in the past as well that the only thing that it really which was open, there was no open question on the science or the dossier, both for Bevacizumab or for Aspart that and the agency had indicated that.

The only piece that was remaining was the site GMP status. With that achieved, we have responded to them saying that we have now completed this. And we want them to reconsider our application at the earliest. So that is the process that is ongoing. And our regulatory team is in conversation with them to see how we can move this in an expedited manner.

Saurabh Paliwal: Thank you, Neha. We will take the next question from Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one, just the Slides 12 and 13 on Biocon Biologics looking at market share and revenue growth, right? And I am just doing very simplistically and maybe I am getting something wrong. Most of our market shares for our commercial molecules in the U.S. have doubled like maybe close to doubled. We've also seen, say, for example, Ogivri in Europe go up in the last 12 months. Just trying to reconcile that with the revenue growth. When I do it in dollar terms, it's probably like 10%, USD 240 million going to some USD 265 million, something like that. Want to understand, has there been price erosion? What is the delta? On our volume shares have gone up significantly, but we have not seen the corresponding revenue growth. That's point one. And if you were to look at our quarterly trajectory, I think Peter had talked about the 5 launches and Shreehas as well. What should we be looking at trajectory in absolute terms of where our business could look like in the next 12, 18 months?

Peter Bains: Shreehas, do you want to take that one?

Shreehas Tambe: Yes, certainly, and I will let Kedar weigh in as well. Shyam, great question. Part of it, I did respond when I was responding to Damayanti at the beginning. These market shares have

grown significantly across geographies. And if you would note, they have come at a steady, healthy contribution to the bottom line. The EBITDA margins have stayed consistent. The market share growth reflects the volume growth. And I think that is certainly a factor of how the market confidence has played out. Now whether that increased volume directly reflects increased revenues as a proportional thing is not an expectation because as you look at how markets evolve, not every product will retain the value that it has a year ago.

We have, obviously, in any market, when you have competition, you will see a steady erosion, but it is not something that has been unexpected or unplanned that has impacted the gross margins, which have moved like Kedar pointed out in the previous call that have moved from Q3 to Q4 to 150 basis points. But beyond that, we have seen a very healthy contribution. To give you more additional colour, maybe Kedar, you can comment on that as well.

Kedar Upadhye: Yes, that is right. I think the price erosion is in line with what we had budgeted for. And in addition, Shyam, I think one adjustment you need to make in the reported numbers is the removal of the BFI revenues.

Shyam Srinivasan: Yes, Kedar, I'm doing the like-for-like growth that you have given, that's 14%. And then I do whatever rupee change depreciation; it comes to 10%. So, I did the right number, I think, but yes.

Kedar Upadhye: Got it. Got it. Number two, I think, like what Shreehas has answered, there is an erosion, but that's in line with what we had budgeted for. And once you make this BFI adjustment, that gives you the like-for-like number.

Shyam Srinivasan: Kedar, so price erosion is would we say, low double-digit kind of price erosion? Or is it even higher?

Kedar Upadhye: See, it varies product by product. The oncology portfolio is holding very strong in fact. It varies product by product, geography by geography. And the mix also comes in, so it is going to be difficult to give you one answer. But like what Shreehas said, we are a very value-based player, as you would know. And we will work based on the existing philosophy in the market.

Shyam Srinivasan: Understood. And the second question is on we have bought back some stake in Biocon Biologics. You are selling stake in Syngene. So just from an overall capital allocatio

n, can you walk us through what's happening? I know this is probably one of the investors asking using the put option. But just want to understand how should we look at some of the shareholdings in our subsidiaries? Syngene, can we go below 50%? so just help us understand and our measures to reduce net debt, right? It seems to be going up, not down.

Peter Bains: Shyam, thank you. I will start on that question. Sid, you may want to come in as well. So, Shyam, I mean, it is a balancing act over time. We have had a series of obligations that we had to meet, and we've been meeting them properly, obviously, the Viatris full and final settlement on the acquisition, we have spoken about. We have had other financial obligations, which we have met. That is been balanced with the investment in the business

to prepare for this next wave of growth, which is now much more clearly in line of sight, both with the work that's been done to get these new products in place, like, Ustekinumab, like Generic Liraglutide and others. And of course, now with the release on Bengaluru facility and the Malaysia facility, we can look at Aspart and Beva in the U.S., but many other product improvements that were held up there. Those CRLs were a break on those 2 major facilities for Biologics. The break is now being released, and we'll see that coming

through. We will continue to balance meeting the obligations that we have as and when they may come due as we have done very recently, as you pointed out, with this short-term loan to meet an obligation for an investor in BBL who exercise their liquidity option. That's a short-term measure of a bridging loan. But we are committed to and will continue to look to pay down debt as we move forward. But it is not a straight line. There will be occasions as this is one where there will be a slight increase. But overall, our commitment will be to continue to pay down debt as we move forward. And of course, there are a number of options that we continue to review that, and we will move forward on that basis. In regard to the specific question about the holding in Syngene, I think we're down now to around 52%. And I think we would like to keep it there, and we'll be exploring other options going forward. Sid, do you want to add anything to that?

Siddharth Mittal: No, I think Peter, you have covered it.

Saurabh Paliwal: Thank you, Shyam. We will take the next question from Amey Chalke.

Amey Chalke: I have 2 questions, one on Sema and another one on the insulin plant. On Sema what would be our status at present? We are seeing patent expiry starting from Jan in Canada, then Brazil, China, and India, so how we are positioned in this product?

Siddharth Mittal: The development is going well. We have already filed our DMF in the U.S. It is already listed on the FDA website. We have done the drug product development batches and charged it on stability. We have also completed India bioequivalence study, which is important for filing in many markets because certain markets require bioequivalence and that successfully passed. From a scientific perspective, the file is ready to file, and we will be looking at filing it in the markets. Some of the markets that you mentioned in first quarter of next fiscal, and of course, the review cycle varies in each of these countries. And depending on the approval, we will be looking at entering, may not be on day 1, but may not be too far from the other competitors who might launch the product on day 1. My expectation is that we should start receiving approvals in some of these markets by end of calendar 2026.

Amey Chalke: Got it. And we will be partnering for any of value addition, let's say, pen assembly or anything or everything would be in-house like?

Siddharth Mittal: Well, right now, the product is manufactured in a CMO. We are building our own injectable facility, which will be commissioned in the

first quarter of next fiscal, followed by, first, the qualification and then we will take the batches. The idea is to bring the products, especially for the U.S. and Europe, in our own facility. But our launch would be from a contract manufacturer where we have already manufactured these batches. And the assembly will happen at the same site.

Amey Chalke: Got it. And the second question I have on the insulin plant expansion, where does it stand? And how much capacity addition can happen, which will help going ahead online.

Peter Bains: Shreehas and Rhonda, do you want to pick up on that one?

Shreehas Tambe: Yes. Thanks, Amey, for that question. The insulin, overall, is a very important product for us. And I think it is a very strategic play globally for us. There is no real biosimilar competition that we see for insulins across geographies. And we are seeing that with only the originator players ruling this for a very long time, we see this as a very large opportunity ahead of us. We made investments over the years and the most recent investment that you are referring to has doubled our capacity for drug product, which is expected to come online any time end of this quarter. So that is something that we expect to significantly boost our capacity for drug product manufacturing.

We are also expanding our insulin drug substance, which we had guided in the past, and that's underway. Once that's completed, we expect to see a doubling of that drug substance capacity in Malaysia as well. So that will take us another couple of years to do, but that's something that we had started about a year ago. And it's important to note that Biocon Biologics is amongst the top 3, 4 players of the insulins in the world. And we believe that's a huge opportunity and a differentiated play for Biocon Biologics going forward.

Saurabh Paliwal: We will take the next question from Love Sharma from JP Morgan.

Love Sharma: I have a question regarding the liquidity option which one of the investors have exercised. Could you elaborate what kind of other such options are still available with those investors? And what could we expect in the near term? Because I believe one of the conditions attached to some of those agreements probably seems to be the IPO of Biocon Biologics. So, any color there would be very useful.

Peter Bains: We have a number of investors. We are working with all of them. We are looking to align their interest and satisfy them. And IPO clearly is one of the options that we have to do that. I think it would be inappropriate to go into details individually here, but I think it would be fair to say that we are working with all those investors to ensure that we align to satisfy them as the business is progressing. And I think we're making good progress on that front.

Love Sharma: Maybe if I could just follow up. Would it be possible to share the amount which you think could be liable to be put back within this year or FY 2026?

Peter Bains: No. I think we can not do that, Sharma. I think we are working through that with our investor partners and ensuring that they are going to be satisfied and along with the progress of the business. I can not break it down and give you a quantification on that.

Love Sharma: Understood. No worries. Okay. Just one more last question for me. I think on the Viatris full and final settlement, could you share what is the amount which has been settled there in December quarter?

Peter Bains: Shreehas, do you want to address that one? Or Kedar?

Shreehas Tambe: I think the Viatris settlement, Love, was about the deferred payment that we had to work on. And like we have said, we have been able to close out the entire USD 335 million, USD 175 million of that we had closed previously, which we had indicated and now we have closed the remaining USD 160 million. So, with this now, there is a full and final settlement and closure of all

transaction that was related to the Viatris acquisition. That is now behind us though.

Love Sharma: Understood. And just given these USD 160 million payments, could you give you a sense of how this was funded?

Kedar Upadhye: So now like what Shreehas said, there were 2 milestones this year and both we have settled and it's not that we have paid the full amount, based upon the existing receivables that we had between both the parties and based on other arrangements, I think that is how the full settlement has been down, and the funding has been done through the existing liquidity sources.

Saurabh Paliwal: We will take the next question from Surya Patra from Phillip Capital.

Surya Patra: My first question is on the biosimilar opportunities only. Could you give some sense of what is the kind of preparedness that you have done about Ustekinumab? And what is the likelihood or what is your expectation on that front? And the second is on the Denosumab when is the launch expectation that you are having for this molecule for U.S. market. These are the first two questions.

Shreehas Tambe: Thanks Surya, for that question. And I will invite my colleague, who is the Chief Commercial Officer for Advanced Markets to respond to this along with me. Surya, we have been in this space now having run the business for a full year after we have integrated it and market shares for all our products have grown significantly over the course of the last year.

So that tells you that there's a lot of customer confidence in what we do and a lot of it is what Matt has led, and the North America team has led there. So, I will let Matt respond to that to your question on our confidence and our preparedness in the biosimilar Ustekinumab launch. Matt, would you like to comment to Surya's question?

Matthew Erick: Yes. Thank you, Shreehas. And I will add on to the original question. We are well underway in our launch planning with our customized with our customers in regard to the channel strategies we have in Part D. We are leveraging the existing relationships we have, and we will be driving the synergies that we have in the United States already established. I think what's clearly different, that's probably on a lot of people's minds is, how is this different than Adali? and how it's different than Adali is we've had plenty of time now to engage and also communicate to customers. Adali had a legal kind of hold where we couldn't speak to them because of all the settlements. The other thing that's different is that there's no way a track record in this immunology piece in which players are more comfortable. And last thing I'll say here is that because of our active engagement, because of our sales force, we have already secured some important contracts that are part of our plan, and we look to continue to expand upon that as it gets closer and closer to our launch date. So, I couldn't be more positive about the team, about the opportunity in Ustekinumab, and we are well positioned. Last thing I will say is that I believe this is the power of our

portfolio, meaning that not only do we have the oncology portfolio in the United States, but we also have our immunology portfolio and we can drive those synergies across as we launch more products, as you are thinking about Bevacizumab or Aspart, all that is additive to our strategy in our platform that we fully integrated and consolidated, and now you're seeing the growth in our market share numbers. Thank you for the question.

Shreehas Tambe: Thanks. Surya, you had another question linked to it in terms of our expectation. I think we do definitely have very good clarity on what we expect from this asset. I only want to kind of guide you to the fact that this is a global launch for us. U.S. is a significant market. But if you look at how our Adali asset has performed for us, it's a global asset. We have been leaders in Europe

e as well. And that's a market that is also strategically very important for Biocon Biologics. So, while we will certainly focus on the U.S. because it is a big market, we are looking at biosimilar Ustekinumab as a global launch in several markets. And we believe that there will be opportunity beyond the United States as well. Sometimes that gets clouded in just focusing on the United States.

Surya Patra: And the Denosumab launch timeline. Is it an FY 2026 opportunity in the U.S. for you?

Shreehas Tambe: Denosumab, we have filed. The product has been filed with the U.S. and with the European authorities and with Japan. And we believe here too, we will be able to accelerate. If you noticed, when I say the Ustekinumab is global, and we are looking to launch that product globally, we have been able to accelerate the Ustekinumab launch by almost 4 months. So, it's moved from the next financial year, which is FY 2026, into maybe early FY 2026. And I think that's been a good positive traction. We expect Denosumab, also, to be something positive where we would be able to gain time so that we can bring the product closer to launch or market formation rates.

Surya Patra: My second question on the Generic business. We have got now the China approval for Tacrolimus. Simultaneously that we have got now this Cranbury facility ready for U.S. manufacturing. How important these 2 developments are for our Generic business progress?

Peter Bains: Sid, can you pick up on that?

Siddharth Mittal: Surya, both developments are important. I think you know China is a very difficult market where Indian companies have not been able to successfully penetrate in a large number of drugs. But Tacrolimus is an important drug for us and is an important drug in China. It is still a large value market in China with a very limited number of local players. Our partner CMS is getting ready to launch the drug in the retail market. Of course, retail penetration is not that easy, and we are looking at the tender, which opens up for this drug. China major volumes are driven by tender the government tender or VBP tender, which is a 3-year tender, and that is where the maximum volume is driven from. And I think we are expecting that tender to open sometime end of this calendar year with supplies commencing in 2026. We will, of course, be up against some of the other local Chinese companies. There are only 2 or 3 other generic approvals, so we will work out a strategy with our partner on how to secure part or full of the tender. We do have capacities. You

know that we have one of the largest manufacturing capacities of Tacrolimus in the world. We have enough product capacity. We are well placed.

In terms of U.S., Cranbury site was acquired because most of these drugs were manufactured at contract manufacturers in various parts of the world, we wanted to consolidate that and be closer to our customers and the facility allows us to participate in the local government business, which requires manufacturing in the U.S. So, we have got 3 approvals from that facility. We are also expanding the capacity of that facility, which will be ready by the middle of this calendar year, and we will use that facility for our future filings.

But in the meantime, there's not going to be revenue increase on account of the facility because we are now going to manufacture the products in this facility, which we were manufacturing earlier at CMS. But it definitely allows us to win the government business. We recently secured a national government contract for one of the statins, because of this facility.

Saurabh Paliwal: We will take the next question from Vivek Agrawal from Citibank.

Vivek Agrawal: My question, it is on biosimilars. Shreehas, you have mentioned that the margins are expected to be in the range of 22% to 23% on a sustainable basis. I was surprised that given that you have cleared the facilit

ies, expected to launch some

of the new products like Stelara and also the other products like oncology segment, insulin etc. Is it not a conservative guidance? Or should we expect the margins to, let's say, over the next 18, 24 months move up from here on substantially?

Shreehas Tambe: I like the optimism, Vivek, and I accept the positive feedback. We certainly have a lot of things moving in the right direction. For a company to be in this place where we've just integrated the business successfully, market share is moving up, keeping that healthy EBITDA was very important for us and we maintained that. The year ahead, we have 5 new launches coming up in the U.S. and 3 globally. So certainly, whenever you have a new product launch, you will see a slightly better-than-expected performance. So yes, your expectation is fair. But we also see that some of our products have been in the market for a while. We want to make sure that we have always said that we will continue to invest about 7% to 9% in R&D. We will have healthy strong gross margins and core EBITDAs in the mid-30s, which is where we are. And the EBITDA would be in the mid-20s, so some 22%, 23%, maybe 25%. I think we have been in that range, and we want to make sure that we continue to deliver to that. As we progress the year, we will probably see how

some of these things play out. But I accept and thank you for your feedback, Vivek.

Vivek Agrawal: This is quite clear. One question I have on Semaglutide. You have mentioned that you are expecting approval in some of the markets in 2026. Is it possible for you to outline which are the markets you are expecting approvals in the year?

Siddharth Mittal : I think Vivek, it will be very difficult to comment on which might the approval comes in. Each regulator has a different lens on how they will review a drug filing and also depends on a number of approvals in that country for Semaglutide. If the number of approvals is less, then they will fast track the review. We do expect Canada to be an important market. The Canadian regulator has been proactive in reviewing the files, unlike maybe a Brazilian

regulator or a Mexican regulator who might take a little longer. As I mentioned, we have successfully also completed our bioequivalence in India, and we will soon be going for a clinical trial and then we will file in India some time once the clinical trial is done. And various other markets where we will be, or our partner will be filing. It will be difficult to say which country would give the first approval. But I think the broad message is the drug has completed its development journey. We have got the scientific data. It meets the requirement. API DMF has been filed. The product has been manufactured, charged on stability, the dossier is under preparation, and we'll start filing in various markets this year.

Peter Bains: I will add a comment in here because I think it ties a few of the questions together. The GLP market opportunity is clearly strategic for us, and it is going to come in waves. The first wave is Liraglutide, where Sid has described market posture with approvals in the U.K. and EU, but that is a phased rollout depending on the national approvals, and then into the U.S. and then globally. This is going to be phased rollouts that are dependent on the national registration timelines. Of course, we are pushing everything we can to be as near the front of the queue and a day 1 launch opportunity as we can. And there will be a wave that will be Lira and that will then overlap with a wave that will be Sema, which will follow a similar pattern, these are global opportunities, global assets, but they will roll out across the global geographies dependent on the regulatory approvals. But we are clearly well placed with Lira, and we are making strong advances with Sema as the second wave and then there will be a wave beyond that.

But Lira, in line of sight now.

Sema, coming up to line of sight and getting exciting there.

Siddharth Mittal: Yes. And if I may add one more thing that we know the volume of the market opportunity for Semaglutide, which is expected at almost USD 50 billion in global sales and not fully penetrated in many parts of the world. The opportunity is huge. We know it, and it is a chronic drug. So even if you are not there on day 1 in a particular market, but there is a huge opportunity in the years to come. I think what is more important that we have seen from Lira is to get the right product in the market and we have seen that for Lira, a lot of companies had challenges for many years. And given the technicality of the drug and the complexity of the drug, not every company that filed were able to get the approval. We believe that given our whole expertise and the credibility now that we have established with Lira, we are very well placed in mid to long term to capture on this opportunity.

Vivek Agrawal: Just one follow-up question on Canada market, right? Where we are in terms of filing? Are we close to filing? Or whether we have already filed into the particular market? That is part one. Second, when you get approval or you launch the product into the particular market, how you see the competitive intensity, right? Is it going to be, let's say, a 4-5 player market or maybe I think the 8-10 player market by the time we launch?

Siddharth Mittal: As I mentioned, the filing has not started in any of the country. It will start by first quarter of next fiscal. Canada will be closer to the second quarter because Canada has additional SKUs, which are not there in some of the other markets. So, by middle of this calendar year when the filing would happen. Now in terms of competitive dynamics, it is very difficult for me to comment. I have read analyst reports which think that by calendar 2026 there

can be 3 to 4 players to be there in the market on day 1 with 5 to 6 players by end of the year. Now as I said that number of filings do not determine the number of approvals and launches. And it is all about supply chain. It is all about the complexity in manufacturing and getting the right profile of your product like that of an innovator. I will not hazard a guess how many of our competitors will be able to cross the finish line and how many will not be. But at least we are ready to face the competition. We expect even if it's not in 2026, but 2027, 2028, that time period, there will be many companies who will be there in the market. And finally, what is important is a cost leadership, having the right capacity, having the right device strategy, having the right focus, and I think we are very well placed. We are one of the few vertically integrated players who does our own drug substance manufacturing, drug product manufacturing, and we have multiple devices off-the-shelf

and customized for some of the markets, and we think we will be very well placed to face the competition.

Vivek Agrawal: Just last question, dragging on here. In terms of accrual complexity, right, so in Canada, how different it is compared to U.S., right? Is it similar in terms of regulatory requirements, timeline, etc? Or is it relatively easier to get approval in Canada compared to the U.S.?

Siddharth Mittal: I would say it's somewhat similar that there's the standards are equal or at the same level. And maybe the number of filings in Canada compared to number of filings with the FDA would be less. So Canadian health regulator might be able to review the file more expeditiously versus FDA who has a huge backlog of files under review.

Saurabh Paliwal: We will take the next question, Nitin Agarwal from DAM Capital.

Nitin Agarwal: My question is on the biosimilar business. We have had a fair bit of discussions around the U.S. opportunity. Two things, one is in our business, what propor

tion is

EU and RoW for the overall biologics? And how do you see these 2 geographies from a strategic perspective? In terms of the growth outlook for both business geographies of overall biosimilar business.

Shreehas Tambe: Thanks, Nitin, for that question. All 3 geographies, we have broken it up as North America, which is U.S. and Canada. We have got Europe, that was very clear. And then we have got emerging markets, which is not in this part of the world. If you look at it roughly, our business is between advanced markets and emerging markets about 75 %-25%. And between the advanced markets, if I were to take a split between North America and Europe, Japan, Australia, you roughly see it biased slightly towards the U.S., maybe 40 %-35% is what it would be between North America and the rest of advanced markets. So that's the rough split, I would say, 40 %-35%-25%. That is how the split would be between these 3 regions. How is our view on Europe and rest of the world? I think we are very, very bullish on these regions because we feel ' we have got 8 products approved. We have got 3 more coming in Europe. We will have a double -digit portfolio will be amongst the 1 or 2 companies, which is having that kind of a portfolio in Europe. We will be the only one which is fully integrated. and the most important thing is that we haven't really explored the full potential of that region yet because we aren't present in very many countries, given that each country is quite diverse. Our presence in Germany, France and a few other countries is very large. But we have devised a strategy where we feel we will expand into

the 27 countries on a staggered basis, starting with the 5 large countries in EU, including the U.K. We feel that there's a lot of headroom for growth, Nitin. So that's why we're very bullish about it.

In emerging markets, we feel there are certain countries which are very strong in terms of the demand, in terms of the volumes, but also pricing is also quite healthy. We feel that those 8, 10 countries that we have identified where we want to be straight with the patients, with the customers, I think those are the countries we feel we will find a lot more traction than we have so far.

Nitin Agarwal: And as a proportion, do you see these proportions continuing? Or you see some of these sorts of changing a bit from a revenue concentration perspective?

Shreehas Tambe: We expect the ratios between this to be more or less the same because the size of the ticket between the U.S. versus the others are skewed that way. You will always see the U.S. taking a larger share than the rest. But given that we are fully integrated as an organization, we have the ability to take advantage of working in the other regions also.

Nitin Agarwal: If I can squeeze in last one on that. On the insulin portfolio, you mentioned about it earlier. Now on the competitive dynamics in the insulin portfolio, you mentioned innovators are there, and not too many buyers, generic players are there apart from the innovators. With this increased sort of focus of the innovators on GLP -1s, what kind of market dynamics are you seeing across in the U.S. and some of the other markets? Are you seeing certain degree of lessening of competitive intensity from the innovators or the other players on insulins? And what does it really mean for us on more like a 3 - 5-year view on this segment?

Shreehas Tambe: Yes. And I would not want to comment on what others are doing as a strategy, but I would certainly say that insulins are here to stay regardless of how the GLP -1 agonist strategy plays out because that is certainly an important therapy area in the segment, and we are very bullish about the GLP -1 segment as well. And you just heard Siddharth walk us through why we believe we're very strongly positioned in the GLP -1 space. But the insulin space is unique, and we believe complementary to what th

e GLP -1s bring

to the table. We are seeing a continued demand. We are seeing an increased focus on this. Globally, there is a requirement for this product, which continues to be there. You're

right, they are out of the 3 large companies which were making insulins, 2 of them have GLP-1s in their portfolio and clearly more remunerative in their mind probably in the near term.

The focus and attention could be, like you said, being in another place. But we are very focused on both. Siddharth just talked about GLP -1s. And Biocon Biologics is very focused on insulins. And given our full integration from drug substance, drug product to devices, we are seeing an increase in the opportunity, particularly in emerging markets and then the United States as well, which is reflected in our market shares.

Nitin Agarwal: And just last one on that, barring Aspart, which is filed now. I mean, how many more products are there in the development which can probably get commercialized in the insulin portfolio in the next, say, 3 years?

Shreehas Tambe: There would be other products, Nitin, that you could develop. But broadly, there are 2 segments that I would look at from an insulin perspective. One would be the basal or the longer -acting segment. And the other one would be the rapid acting or the short -acting segment. One is which will maintain the blood glucose all through the day, which is where Glargine falls in. And the other one would be a post meal or a post -prandial insulin as they call it, and we have Aspart in that segment.

We are playing in both segments. And we believe that these products could occupy the broader space like we have seen with the basal insulin. We believe we will see a very similar trend when we bring the insulin Aspart, which is the rapid acting analog.

Saurabh Paliwal: Thank you, Nitin. We will take the next question from Bharat Sheth from Quest Investment Advis ors.

Bharat S heth: I have one question Shreehas. In the recent times in international forum, we presented that biosimilar adoption is increasing globally as well as we expect that market to grow at that 75% CAGR from FY 2023 to FY 2028. And with coming back to our own company having a good amount of portfolio, having approval as well as both the plants are clear, so I mean, if we have to give little, longer -term trajectory for our biosimilar business? So how do we see that there is a growth?

Shreehas Tambe: Bharat bhai, first off, thank you for your continued patronage. You are right. I think we presented recently at one of the investor conferences that there is a significantly large and exciting opportunity ahead of us. In fact, the opportunity ahead of us for biosimilars is much larger than the one that we've seen in the pas t 5 or 6 years. So, we are certainly very, very bullish about it.

We are also looking at the portfolio that we have developed. We have a large 20 product portfolio. 8 of them are approved or commercial, and we are looking to bring more products into the market. But these products, 5 of them in the U.S. in the next 12 months, 3 of them globally. And then you will see more products coming post 2028 and thereabouts. And that's where also the large assets that we've guided will move out.

The CAGRs that we mentioned are from 2023 onwards. And you're seeing us grow as well. And some of these things will tie up because not all therapy areas are what we represent. We have grown at a healthy clip if you look back from where we came. And while I do not want to provide specific guidance, we believe the future will also be predictably positive as we look to bring more products into the market. So even in the investor presentation at the conference, we h ave not given specific guidance, but it gives you a sense of where the opportunity is and how exciting the future looks like where we, as a company, are quite strongly positioned.

Bharat Sheth: I mean, ballpark, I mea

n, whether will be better off than that 2025 or maybe so if we can give, I mean, some kind of a range?

Shreehas Tambe: Yes, I would love to. And I think we have kind of tried to avoid giving specific guidance. But I think it is fair to say that as an integrated company with so many products being launched, with the opportunity opening up in the next few years, this is a very exciting space, Bharat bhai.

Bharat Sheth: And same question with Siddharth. Siddharth, after investing so much in R&D as well as the capacity expansion and now some of the products that we have got approval, so how do we see from 3 years perspective Biocon standalone business ?

Siddharth Mittal: I had addressed a previous question where I had reaffirmed that we are looking at the mid-teen kind of growth. There could be periods when it's higher, there could be periods when it's lower. But overall, directionally, I think peptides is going to be an important growth contributor over the next couple of years, starting with Liraglutide in FY 2026 and start of Semaglutide in FY 2027. And in FY 2028, we will see a significant contribution coming from both Lira, Sema and even on the synthetic side, whether i t's OSDs or the other injectables that we have or the increased capacities that we are creating for our fermentation products or the synthetic products. So, sum total of all, we definitely expect a good growth over the

next 2 to 3 years.

Bharat Sheth: Siddharth, how will that play out on our margin or profitability side?

Siddharth Mittal: Margins, as you have seen in this quarter, our margins did go down because the Liraglutide facility of the drug substance Liraglutide facility, which we had created got commissioned, approved and that got capitalized during this quarter. We did have expenses come in for that facility. We also had the Vizag new facility, which got capitalized in the second quarter for which, again, we had expenses come in this quarter. So, the margins have gone down a bit. But as you start seeing sales coming from these facilities, we will see margins go up. And directionally, what I have guided for is an EBITDA margin of 10% to 12%. I mean, of course, it's gone down this quarter because of, again, increased R&D and expenses, but we will get closer to 13%, 14% in 1 or 2 years. Of course, the new product launches, margins are dependent on a number of players. If number of players are limited, we would see a better pricing and hence, better margins. But if it gets competitive, like you have seen in typical generic drugs, then the margins would be on an average of that 10%, 12%. So, a lot of unknowns are there to predict the margins accurately. But we are working on cost improvement. That was one of the challenges that we had in the last couple of years with the increased raw material prices, the strengthening dollar, and the selling prices of our APIs go down, we had an impact on margin. We embarked on a journey of cost optimization, raw material cost reduction CIPs. And all these initiatives, over the last 1 to 2 years, we have started seeing the results. And now we will see the volumes pick up again, and that is exactly what's happened in quarter 3 and over quarter 2, we did see an uptick in our API sales, and that momentum will continue. We will see lower raw material costs with better processes in the coming quarters. And all these things will add on to margin improvement.

Saurabh Paliwal: We are coming to the close of the call. And we take the final question from Alankar Garude from Kotak Securities.

Alankar Garude: On the R&D front, you have spoken about the 7% to 9% range. But over the last few quarters, we have been closer to the lower end of that range. Sir, can you take us through the R&D progress on the biosimilar side in the prefilling stage in our portfolio over the next, say, 4, 5 years? And in that context, how should we look at the overall

all R&D spends going forward?

Shreehas Tambe: Thanks, Alankar. I think what we have guided is in line with what the expectation was. Many of these R&D spends, Alankar, as you know, are cyclical in nature. So, as you take products past the clinical stage, then you will see a slightly lower spend in our investment in R&D, then you would see when products are in the clinical phase. Now, incidentally, for us, we had 3 products which were in the clinic at the same time, and which moved out of it also at the same time. What you are seeing effectively we filed for Aflibercept, we moved that out. We filed for Ustekinumab, that got approved. We have done Denosumab and that's got approved, too. You have seen products which would have then peaked at one time and then it's ebbed. And you see the next set of products, which we are developing, some of them undisclosed until we actually move past that stage. Once it gets into the Phase III clinic, where the larger amount of costs actually starts coming in, that's where you will see that move towards the higher end of the range. So, I think it's just a matter of phasing is what I would say. But the programs that we've guided for, we continue to be on track where we are. In fact, we moved some of them ahead of where we had initially guided.

Alankar Garude: So broadly, Shreehas, how should we look at the timelines? I mean, I am not asking for a specific month or a year, but more in terms of how do you see the progress across some of the initial assets today? Is it going to be more 2, 3 years from now that some of these enter Phase III or maybe even longer? Any color on that would be helpful.

Shreehas Tambe: Some of the assets that what we are currently developing in the next 2 years that are supposed to hit the market are already past their clinical phase or getting off it. The ones that are to come to the market post 2026, 2027 actually, I think those are the ones which will be entering the clinic.

If your question is, are we on track for it? To that question, the answer is yes. We would be tracking to it the way we believe. We have talked publicly about a few assets. I will reiterate the asset that we have publicly talked about. We have mentioned Pertuzumab in the public where we have said we are developing that asset. And I can tell you that we are progressing as per the plan that we have made. And as these assets will move towards the clinic, you will see those clinical spend starting to reflect because we expense all our R&D through the P&L. You will start seeing it there.

Alankar Garude: Fair enough. Got it. And the second question for Sid, on the Vizag facility, is it being used more for captive consumption currently? And if you can help us with the

clients lined up to procure APIs from this facility over the next 1, 2 years?

Siddharth Mittal: It will be used for our API customers as well as our captive consumption. Our API customer base is much larger than our own formulations business. We have some very strategic customers in the U.S. and Brazil who are qualifying Vizag as well. And that is also to derisk their own dependency on 1 site, which is in Bengaluru. So that gives them a supply assurance from a second site. And we are also locking in additional customers from Vizag and that will drive the volume growth. And we will, of course, also looking at additional products, which we are going to qualify from this facility. We recently validated Pimecrolimus which did not have in our portfolio, which was again a big product that's

been validated now from Vizag. We will also be validating other Immunosuppressant uses from this facility.

Alankar Garude: Understood. Are you commenting on the broader utilization of this facility at this point of time?

Siddharth Mittal: No. I mean I think in the initial years, it will be low. We are looking at what's the best way of increasing the util

ization from this facility. And the reason for it is in Bengaluru we had a capacity. And when we faced capacity constraints a couple of years back with a huge demand and when we were maxed out, when we were building Vizag and when the Vizag was being built and qualified, we significantly increased the capacity of our Bengaluru facility. So right now, Bengaluru while is fully sold out, we do look at additional volumes coming from Vizag. But as I mentioned, we are qualifying additional customers. And as these customers start taking the supplies from this facility, the capacity utilization will go up and we will be looking at supplying the new products, as I mentioned, Pimecrolimus also from this facility for the years to come.

Saurabh Paliwal: Ladies and gentlemen, that is the last question for the day. Thank you all for joining us today and if you have any follow-up questions, please do get in touch with the team. With that, have a good rest of the day, and thank you.

Peter Bains: Thank you.

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability

Call: May 2025

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BIO/SECL/ TG/202 5-26/32

May 15, 202 5

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q4 FY25

This is further to our earlier letter dated May 09, 202 5, regarding the presentation of Q 4 FY25 Earnings Call held on May 09 , 202 5, please find enclosed herewith the Transcript of the Earnings Call .

The same is also available on the website of the Company at [https://www.biocon.com/investor - relations/financial -information/earning -call-transcripts/](https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/) .

Kindly take the above information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Siddharth Mittal
Managing Director & CEO
DIN: 03230757

Encl. : as above

Relentless Pursuit.
Differentiated Growth.

Speakers and Participants from Biocon Limited, Biocon Biologics Limited & Syngene International Limited

Dr. Kiran Mazumdar Shaw – Executive Chairperson, Biocon Limited
Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited
Mr. Shreehas Tambe – Chief Executive Officer & Managing Director, Biocon Biologics Limited
Mr. Peter Bains – CEO & Managing Director, Syngene International
Mr. Abhijit Zutshi - Chief Commercial Officer, Biocon Limited
Mr. Manoj Kumar Pananchukunnath – Chief Scientific Officer, Biocon Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
Ms. Rhonda Anne Duffy – EVP & Chief Operations Officer, Biocon Biologics Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Susheel Umesh - Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Anuj Goel - Chief Development Officer, Biocon Biologics Limited
Mr. Deepak Jain – Chief Finance Officer, Syngene International
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Damayanti Kerai – HSBC Securities and Capital Markets (India) Private Limited
Neha Manpuria – Bank of America Securities India Limited
Harith Ahamed – Spark Institutional Equities Pvt. Ltd
Surya Patra – Phillip Capital (India) Private Limited
Prapti Gupta – AllianceBernstein (Singapore) Ltd.
Amey Chalke – JM Financial Institutional Securities Private Limited
Tushar Manudhane – Motilal Oswal Financial Services Ltd
Nitin Agarwal – DAM Capital Advisors Limited
Love Sharma – JP Morgan Securities (Asia Pacific) Limited

Prepared Remarks Session

Saurabh Paliwal:

Good morning, everyone. Thank you for joining us on this call to discuss Biocon's fourth quarter and full-year results for FY'25. I am Saurabh Paliwal from Biocon's Investor Relations team.

Before we get started, let me introduce the management team on this call. We have today Biocon Chairperson, Dr. Kiran Mazumdar Shaw; Mr. Siddharth Mittal, CEO and MD of Biocon Limited; Mr. Shreehas Tambe, CEO and MD of Biocon Biologics Limited; Mr. Peter Bains, CEO and MD, Syngene International, along with other senior management colleagues across our business segments.

A few housekeeping points. We will start the call with opening remarks from Kiran, which will be followed by an interactive Q&A session. All the external participants line are muted and will be in a listen

-only mode. There'll be

an opportunity for you to ask questions after the opening remarks conclude. If you need to ask a question, please select the raise hand option in the reaction tab of the Zoom application. We will call out your name and unmute your line to enable you to ask the question. Please note that this webinar is being recorded. The recording will be made available on the website within a day, and the transcript will be made available subsequently.

Before we begin, I want to remind everyone about the safe harbour related to today's call. Comments made during the call may be forward-looking in nature and must be viewed in conjunction with the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

With this, I would like to turn the call over to Kiran for opening remarks. Over to you, Kiran.

Kiran Mazumdar Shaw :

Thank you, Saurabh, and good morning, everyone. I'm delighted to return to hosting Biocon Limited's quarterly earnings calls. I'm pleased to provide a business and financial overview of the Biocon Group's Q4 and full year FY'25 performance. Before diving into the details, I'd like to share a few opening thoughts.

Building on our Q3 performance, our 3 divisions, Generics, Biosimilars and Research Services, ended the financial year on a strong growth trajectory.

Let me start with key highlights for Q4, and these include:

- The appointment of Peter Bains as MD and CEO of Syngene International
- The global launch of our first GLP -1 formulation, Liraglutide, in the U.K., and the introduction of Lenalidomide and Dasatinib in the U.S.
- The launch of Yesintek[™] or biosimilar Ustekinumab was an important launch, which is one of the first biosimilars to Stelara[®] in the U.S. and the fifth product from our portfolio to enter the U.S. market.
- The settlement with Regeneron to secure a market entry date for Yesafili[™], our biosimilar Aflibercept in the U.S., which is expected to be no later than the second half of 2026.
- Syngene's acquisition of a biologics manufacturing facility in the U.S., positioning us to meet the rising demand for biologics CDMO services, this time from a U.S. base.

The group achieved a robust 15% year-over-year and 16% sequential growth in operating revenue on a like-for-like basis. That is after excluding revenues from the India Branded Formulations unit, which was reflected in Q4 of FY'24. This quarter's performance was bolstered by strong growth in Generics, steady progress in Biosimilars and ongoing traction in Research Services.

Q4FY25 Financial Highlights

Revenue from operations reached INR 4,417 crores, reflecting a solid 15% year-on-year increase on a like-for-like basis and a 16% sequential growth. This growth was driven by a 46% year-on-year growth for Generics, 9% for Biosimilars and 11% for Research Services. Sequentially, all segments reported growth. Generics, particularly, was up 53%, while both Biosimilars and Research Services were up 8%.

Core EBITDA for the quarter stood at INR 1,363 crores, a 16% increase from last year with a healthy core operating margin of 31%. R&D investment for the quarter was INR 231 crores, accounting for 7% of revenues, which is, of course, excluding Syngene.

Reported EBITDA for Q4 was INR 1,115 crores, which is a 16% year-on-year growth on a like-for-like basis. Profit before tax, excluding exceptional items was INR 466 crores, a strong 45% increase on a like-for-like basis.

For the full year, revenue from operations totalled INR 15,262 crores, which is a 10% year-on-year increase on a like-for-like basis.

Group core EBITDA for the year was INR 4,264 crores with a margin of 28%.

EBITDA reached INR 4,374 crores, reflecting a 3% year-on-year growth on a like-for-like basis with a margin of 27%.

Reported Net Profit

Profit for FY'25 was INR 1,013 crores, which is a significant turnaround when considering the performance on a like-for-like basis.

I would now like to discuss our business performance in a segmental manner. Let me start with Generics.

Generics Business Update

Q4 has been the strongest quarter for the Generics business in FY'25 with Revenue from Operations reaching INR 1,048 crores, up 46% year-on-year and 53% sequentially, driven largely by the sale of launch quantities of Lenalidomide.

The launch of Liraglutide in the U.K. and Dasatinib in the U.S. also boosted revenue performance this quarter. In addition, we received approvals for Liraglutide in the EU and Everolimus (Zortress

®) tablets in the U.S. We also

commenced supplies of T acrolimus to China, where our partner is expected to initiate commercialization in the first quarter of FY'26.

For the Generics business, EBITDA for the quarter was INR 243 crores, up significantly from last year and the previous quarter, bolstered as I mentioned earlier, by the Lenalidomide launch in the U.S. EBITDA margin stood at 23% this quarter.

For FY'25, Revenue from Operations was INR 3,017 crores, reflecting an 8% year-on-year increase. R&D investments rose to INR 286 crores, which is about 9.5% of segment revenues, aimed at driving future growth. Our peptide portfolio, especially GLP -1s will be our key drivers for future growth. EBITDA for FY'25 was INR 377 crores with EBITDA margin at 12%. EBITDA performance for this year reflected pricing pressure and higher operational expenditure linked to new plant capitalizations, namely the peptide API facility,

the Vizag fermentation capacity expansion, as well as the U.S. Cranberry facility.

Biosimilars Business Update

In Q4, Biocon Biologics marked its first anniversary as a fully integrated global biosimilars company with a footprint in 120 countries.

Key highlights include :

- Key product and site approvals from global regulators, including the U.S. FDA and EMA.
- We received the U.S. FDA approval for Jobevne TM, our biosimilar B evacizumab, and a positive EU CHMP opinion for biosimilar D enosumab.
- Strong commercial momentum was delivered with significant increase in market share across geographies. I would particularly like to call out Fulphila®, which is our biosimilar Pegfilgrastim, and Ogivri®, our biosimilar Trastuzumab, which registered market shares of 30% and 26%, respectively, in the U.S. market, which is a two-fold increase from last year.
- We had a successful launch of Yesintek™, which is our biosimilar Ustekinumab, with broad formulary coverage and physician adoption.
- Also, important this quarter was our announced partnership with Civica Inc., a U.S. -based not -for-profit supporting affordable insulin access for people with diabetes.

We are witnessing a surge in global demand for our insulins. Given our global scale manufacturing capacities, we are well placed to capitalize on this large opportunity. The Biocon Group is also, if I may say, uniquely positioned to address the growing global burden of what we describe as diabetes through its portfolio and pipeline of both insulins and GLP - 1s.

Now moving to financials.

Biosimilars revenue for Q4 was INR 2,463 crores, which is a 9% year -on-year increase on a like -for-like basis. This growth translated into an EBITDA for Q4 FY '25 at INR 540 crores, representing a healthy EBITDA margin of 22%. R&D investments for the quarter were at 6% of revenues.

Full year revenue was INR 9,017 crores, up 15% year -on-year with 4 biosimilars recording revenues of USD 200 million each, demonstrating strong payer and prescriber confidence in our products. Reported EBITDA for the full year was INR 3,028 crores . Excluding the one-time gain from the BFI business divestment , EBITDA for the full year was

INR 1,971 crores with a margin of 22%. This R&D investments for t

he year were at 7% of revenue, which will fuel mid-to long-term growth.

Syngene Business Update

Now lastly moving to R esearch Services .

Syngene ended Q4 with R evenue from O perations of INR 1,018 crores, 11% year -on-year increase. Quarterly operating revenue crossed the INR 1,000 crore threshold for the first time. EBITDA was up 9% year -on-year and 20% sequentially to INR 363 crores with EBITDA margin at a strong 35%.

The acquisition of a state- of-the-art biologics facility in the U.S. enhances our capabilities in the global CRDO market and creates our first U.S. manufacturing footprint.

For FY'25, Revenue from Operations grew 4% to INR 3,642 crores, aligning with guidance following a challenging first half. EBITDA stood at INR 1,114 crores with EBITDA margin at 30%.

Conclusion

So let me conclude by saying that in summary, FY'25 has been a year of consolidation and transition, which has set us up to an exciting inflection point. We are now on a path of accelerating growth with a commitment to innovation, digital augmentation and operational excellence.

Thank you. W ith this, I open the floor to questions.

Q&A Session

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Saurabh Paliwal: Thank you, Kiran. We'll wait a moment for the questions to assemble. We will start the first question with Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai : My first question is on your biosimilar, Stelara, where you recently updated that you have gained access with leading formularies in the U.S. So just want to

understand what kind of market share you are building in view of this update. And if you could also comment on how the pricing scenario is playing out for this particular market?

Kiran Mazumdar Shaw: I would hand this over to Matt to explain and answer your question, Damayanti.

Matthew Erick : Thank you, Kiran. Appreciate it. So as you know, we've had very successful market access. We have over 70% market access with the payers in the U.S. at the beginning of the start. With that comes the opportunity for us to continue to pull the product through in the U.S. We are very bullish on our market share. We haven't really been able to state that directly yet as we're starting to work with physicians and pulling it through. But we have over 100 million lives that are covered in the United States. It's one of our most

successful market access to date. So this allows us to continue to work with physicians, health care providers and pull this through. And as we go through, we'll continue to update you on our abilities and successes that we're having, but we remain very bullish on our opportunities as we go through the remaining quarters because of how we're set up with all the major payers and having that access position.

Damayanti Kerai : Sure. And if you could also comment on the pricing scenario, please?

Matthew Erick : Sorry, I'm not sure why my video is not working, I apologize. There we go. The pricing situation remains stable. We're certainly in a good position. As you know, in the United States, it is somewhat the economics. But clearly, the customers have seen the science

behind this. Also, we built tremendous relationships with the payers and also the health care providers. So the pricing remains stable at this point as we go through the rest of the year. We don't see much changes in compression in the price points in the net selling price going forward.

Damayanti Kerai : Sure. My next question is on 2 other products, Bevacizumab and Aspart. So

Bevacizumab, have you launched in the U.S., or it's yet to be launched? And then what kind of timeline we are looking for Aspart launch in the U.S?

Matthew Erick : Kiran, would you like me to take that or Shreehas? Either way, it's fine.

Kiran Mazumdar Shaw : Well, you can continue, Matt.

Matthew Erick : Sure. So sorry, Shreehas, did you want to say something before I jump in?

Shreehas Tambe: Go ahead, Matt.

Matthew E

rick : On Bevacizumab, we do have positions with Bev and approval. So, you will be seeing that sometime in the first half year of a launch. As you know, with Aspart, we're still waiting on approval, but we are bullish on expectations of having that approval here in the first half and be ready to launch. As you know, we have a tremendous franchise with our biosimilars already in diabetes with our insulin G largine. And our customers are very anxious in engaging with us as Aspart becomes available.

On the Bevacizumab, let me just touch base one more there. On the bevacizumab launch, as you know, we have an incredible Oncology portfolio, as Kiran stated. We have over 30% in Fulphila, 26% in Ogivri. This will be a nice addition to our Oncology portfolio, and we'll be well positioned with our sales force and being able to not only work with the payers, which will have a strategic initiative of getting access, and then we'll be able to work with the relationships, which we've been very successful with the oncologists, to be able to pull that through in certain channels.

Damayanti Kerai : Sure. And my last question is on financial position of Biocon Biologics. So if you can comment on the current debt position? And also, how are the working capital looking compared to last year? So if you can comment anything on, say, inventory

days for Biocon Biologics or on the receivable front, that will be helpful.

Kiran Mazumdar Shaw : Maybe Kedar would like to take this.

Kedar Upadhye: So Damayanti, our working capital position has substantially improved compared to last year. Our receivables look quite healthy. The number of days across each markets vary, but roughly, they are around 90 days in terms of the credit that we offer to customers. Inventory, in fact, has come down dramatically compared to last year. So, the net inventory as on 31st March is about USD 390 million. In terms of the forward days, it's less than about 280. So both inventory, receivables and other parts of working capital has substantially improved. Net debt is about USD 1.1 billion as on 31st March. And if you normalize for the factoring and advance collections that we have done, it's about USD 1.2 billion. So, I think compared to March '24, March'25 position for net debt, inventory and receivables looks quite healthy. And we'll continue on this improvement here.

Damayanti Kerai : Sure, Kedar. And this net debt is excluding the structured instruments, right?

Kedar Upadhye: Yes, this excludes the structured instruments, correct.

Damayanti Kerai : Okay. And just like on the inventory days, you said USD 390 million inventories, but on a forward basis, it's around 280. Just in terms of days, how does it translate?

And then if you can just compare it against FY '24 numbers?

Kedar Upadhye: Yes. So , March '24 DIO, days inventory outstanding, was in excess of 400. And as of March, '25, as I said, it's lower than 280.

Saurabh Paliwal : We'll take the next question from Neha Manpuria from Bank of America Securities.

Neha Manpuria : My first question, Matt, on the Stelara comment that you mentioned that you're working physicians to try to pull through the market share. Realistically, when should we start seeing this reflect in market share trends? Would this take us 2

months, 3 months , much longer than that? Historically, what's been your sense in being able to work? I know this is only the second launch in the physician market, but what's your sense on when we start seeing this in market share trends?

Matthew Erick : Thanks for the question. Certainly, as you know, the U.S. payers have different timing. You're going to see some of the U.S. payers when they decide to not cover the Stelara innovator. Some of this will be starting in July, then some in September, October , and then finally, the majority of them will not be covering the innovator in January '26. As you start looking at the IQVIA data, you'll start se

eing sales already. They've started. And as we go through the remainder of this calendar year and then into the Biocon remainder of fiscal year, you'll start seeing more and more market share as the innovator is not covered by the payers. And remember in this, too, as we reported, we are covered by every major U.S. payer. When I say that, that's your Express Scripts, your Optum, your CVS Health, the major ones. This will allow us to utilize our tremendous sales force that we have already calling on Immunologists, Gastrologists to be able to pull this through. So the expectations you'll start seeing immediately in the information that you can see in the data in IQVIA, and we expect that market share to continue as the innovator Stelara is not covered as we go through the remainder of the calendar year.

Neha Manpuria: Understood. That's very helpful. My second question is, if I look at BBL financials, the revenue growth of 15% for the year versus core EBITDA growth of 10%. When

I look forward, is it fair to assume that some of these new launches will help us grow EBITDA better than revenue trends, either because of operating leverage or better pricing? Any color that you can give on why we are seeing lower EBITDA growth core EBITDA growth? Is it pricing pressure? And how should we look at this from an FY '26 perspective?

Kedar Upadhye: Yes. So Neha, as you are aware, we don't give forward- looking guidance. But you are right. I think as the launches do come in, the incremental gross margin on those launches is going to be higher than the existing business. So some kind of operating leverage as well as gross margin improvement is expected. We're not giving the guidance, but directionally, you are right.

Neha Manpuria : And this year, the lower EBITDA growth is purely pricing pressure on the existing products? Would that be fair to assume?

Kedar Upadhye: Actually, you should adjust for the licensing income that we got last year, Neha. In quarter 3 of last year, if you recollect, we had USD 40 million of profit from sale of brands that was booked as an operating income. So, if you adjust for some of those items, then you'll get an adjusted EBITDA growth which will look quite healthy.

Neha Manpuria : No, but I'm talking about the core EBITDA growth.

Kedar Upadhye: Yes. Core EBITDA reflects, to some extent, the investments that we have to make in the Opex . And yes, there has been some price pressure. But going forward, like what we said, once the new launches do kick in, the incremental gross margin and EBITDA contribution will look quite healthy.

Neha Manpuria : Okay. Got it. And on the Generics business, we have launched L ira in U.K. Any color on when we should expect the launch in the U.S.? And in case of generic Revlimid, should we expect it to be lumpy? Or would it be similar trend in the quarters going forward, at least till the time we see patent expiry in Jan '26? Any color on the generic business, please?

Siddharth Mittal: So Neha, the launch in U.K. was in quarter 4. Of course, we'll be supplying additional volumes in this quarter. And launch in Europe is planned in the second quarter, while we are trying to get the supplies to our partner, Zentiva, in the first quarter. And as far as U.S. is concerned, as you know, we had mentioned earlier that there were certain queries which we have responded to. The facility of Biocon Biologics, from where the product was filed, has been cleared. Again, we have responded to the FDA. And we have a target action date during the second half of this calendar year. And of course, subject to the approval, we will be ready to launch the product immediately after that.

And as far as the generic Revlimid is concerned, you're right. We had a settlement with the innovator where we were allowed a certain market share, and a large part of that market share has already been serviced in the quarter 4. So to that extent, revenues will be lu

mpy before the market opens up in Jan '26, as you mentioned, when, of course, we will be supplying to various customers, along with other generic companies, who will also

be looking at a much larger market share.

Saurabh Paliwal : We'll take the next question from Harith Ahamed from Avendus Spark.

Harith Ahamed: So on insulin Aspart, just a follow-up, the partnership with Civica that you've announced to supply the drug substance. Can you talk a little bit about the rationale for this partnership given that we have our own product, and also the timelines that we can expect in terms of commencement of supplies here?

Shreehas Tambe: Thanks, Harith, for that question. I think the idea was to see how we can get product close to customers as much as possible. And the relationship that we've essentially done with Civica Inc. is where we have local manufacturing of drug product within the United States. So a large part of it is also to see how we can localize manufacturing in the U.S. That's

one. Two is it does give us access to those set of customers that Civica is able to access.

And that income, that essentially is not competitive to Biocon Biologics and our brand but essentially is accretive to what we are trying to do there. And three, I think the cumulative effect of having more than one brand has been already a proven commercial strategy where we've seen the benefits of this in several markets, and we intend to see how we can bring our insulins to more patients across the world. So clearly, it's very synergistic with the strategy that we've developed.

Harith Ahamed : And the timelines, Shreehas?

Shreehas Tambe: From a timeline perspective, given that we will localize this, the sense we have is the initial supplies to make sure that they register the product with the agency would start during the year. And then once they have the approvals in place, then you would see much more of this starting to realize as they commercialize it.

Harith Ahamed : Okay. Got it. And on Pegfilgrastim, good to see the market share inch up to 30%. My question is around some of the disruptions we've seen in this market. One of your competitors had supply issues. So, have those issues normalized? And have their supplies restarted? And in that context, how should we think about market shares going forward?

Shreehas Tambe: So Harith, I wouldn't want to specifically talk about competitor positions and their strategies. But let me give you a sense. In the past also on our earnings call, I've indicated that the management of ASP is something that needs to be done very carefully, because ASP and market share are inversely proportional. So you could essentially move very quickly, gain market share, but then it comes at the cost of ASP, which makes you unattractive to the end provider. And which is why you've seen us steadily grow the market

share, and there's not been a rapid movement in this pickup.

Now as competitors try to win market share, one of the strategies is, of course, discounting the ASP, and that leads to them not being available in the market anymore. That's where our market share has really gained. There are these one-offs that you referred to where

specific competitors could be out of the market and customers do move on, and we've benefited from that. And once we do that, those customers tend to stay with you. So we're not seeing any aberration in terms of this movement. We see consolidation in the market, which we've talked about in the past.

Harith Ahamed : Okay. Last one with your permission. You talked about 4 of your products achieving sales of over USD 200 million. And I am assuming Adalimumab is one of them. So in the past, we've had a few challenges in the U.S. with respect to this product. My question is whether U.S. is a material contributor to the overall USD 200 million sales that we're generating from this product?

Shreehas Tambe: For Adalimumab, we haven't specifically broken

down, Harith, every product by region.

U.S. is a sizable portion for our business. It's about 40% of our overall sales. Adalimumab has been a product, like Matt was referring to, a lot of it depends on how long the originator stays on the formulary. We have seen the originator product, in this case, stay on longer than expected, which is why you have seen that biosimilars in general have not gained as much market share as we've seen in Oncology, where it's over 80% that we have seen

biosimilars have adoption already. So we see that happening during the course of this year. We will see how that changes. Again, being a fully integrated player is very, very important. And that's an area where Biocon Biologics differentiates itself from the market.

So we are here for this for the long. So we will be watching this space very closely as the success of Stelara, Yesintek, that we just talked to you about. The confidence is beginning to show where almost all commercial payers have got the product on its formulary, which is very contrary to how adalimumab.

Saurabh Paliwal : We'll take the next question from Surya Patra from Phillip Capital.

Surya Patra : So my first question is on the Adalimumab. We have certainly got the launch date for U.S. market. Sir, could you please share what would be the profit-sharing arrangement there? And do you have any kind of exclusivity there in that product for any period initially?

Shreehas Tambe: Surya, thanks for your question. We've not specifically disclosed contractual agreements and understandings with our customers. Needless to say, this is a product that we will first be launching in Canada in July of this year, where we will be the first to launch. So we're looking forward to that launch. We are also looking now clearly to a very risk-free, I would say, date for 2026 for aflibercept in the U.S. So I would say on both counts, we are at a place where we have certainty of when and where the product will be launched.

Now how these will eventually translate in terms of exclusivity that you talked about, I think we are the first biosimilar to have been approved. There is, of course, others who have launched. But we have this position where our product will be approved as an interchangeable on approval, which it was when we got the approval from FDA.

Surya Patra : Okay, okay. So then second point is about the Yesintek. See, in fact, it looks like that the formulary position what we have created for Yesintek for the U.S market, it looks like it is the strongest compared to our earlier product launches. So given that scenario, is it fair to expect a better market share position in the initial level itself for Biocon in the U.S.?

Shreehas Tambe: Certainly fair to expect, Surya. I mean we've not guided anything specific, but we're very happy to see that the product has been very well received by all major commercial players in the U.S. market, like Matt just alluded to. And I should also give another piece of

information there that for Stelara, more than 80% of the market in the U.S. is commercial.

And when you have 100% coverage on all commercial payers, then of course, it is fair to say that you will see a good uptick as compared to what we saw for Hulio.

Surya Patra : Okay. Just one clarification, sir. The primary insulin, I believe that has also crossed USD 200 million when you say that, okay, 4 products have crossed USD 200 million.

Am I right? And how sustainable this USD 200 million revenue size for these products given the kind of competition what we have in the recent past seen for various products? And now the kind of a trend change what we are witnessing in the biosimilar market of the U.S. in terms of the adoption by the payers and all that, how sustainable that USD 200 million for the established products?

Shreehas Tambe: Yes. Surya, I think that's a very fair question. I do want to respond to it with fact again. We talked about insulin

in as one of the products. Kiran referred to the tremendous demand that we are seeing for insulin across geographies, where, of course, we are seeing in many countries, the innovators also starting to pull out. So clearly, that demand is exceptionally high. And to give you a sense from an established product perspective, that is a product we launched in 2004. So if you look at it, it's more than 20 years and the product continues to grow, and we expect to see even greater demand for insulin.

Now come to the other products, we launched the oncology products in the U.S. We were the first to launch Pegfilgrastim in 2018. And we were also the first Trastuzumab to be approved, and we launched that too in that same time frame. These products have been there in the U.S. now for almost 6, 7 years. And the market shares that Kiran just talked about in her opening remarks have grown over the course of the last year or so. So clearly, it tells you that the demand is there, the adoption is high and our product, given the fully integrated nature of our business, continues to grow.

In a year where we did not have new product launches for biosimilars, the business continued to grow, not just year-on-year, but also sequentially. And you've seen a very strong core EBITDA and EBITDA growth. And Kedar did clarify where these things are. But I think the important thing to see is that the future clearly is far more exciting than what we've seen before.

Surya Patra : Okay. Just last one point from my side, sir. Regards the R&D and Capex one, particularly on the R&D, we have obviously seen some rationalization throughout FY '25 compared to the earlier year in terms of the spend. Given the accelerated growth what we are anticipating for the biosimilar business, given the kind of new launches, so what trend that we should see whether further kind of a moderation in the R&D spend as a percentage to sales going ahead that we would see? And if you can give some sense about your Capex plan for the next year?

Shreehas Tambe: So let me start, and then Kedar, if you want to add, please do. Surya, I think the first thing is we've clarified even in the past in the terms of the nature of how R&D spends happen is very closely linked to how product development cycles move. And as products are in, say, in Phase III, you will see a far greater spend in R&D as compared to some other quarters. So sequentially, you can see that there is some movement between quarters as

products move through development cycles. For the full year, we had given a guidance of 7% to 9%. And we see that in that range, sometimes towards the lower bound, sometimes towards the higher bound. But one key thing to always note is there is no rationalization because the business itself has grown year-on-year and sequentially as well. So the same

percentage for a higher revenue number will not indicate rationalization, but a reasonable effort in terms of what we have done in terms of the R&D investments. Kedar, if you would like to add something, please go ahead.

Kedar Upadhye: No, I think you have covered well. On the Capex side, like what you said, Surya, we expect to spend about USD 100 million over the next couple of years. After which, it's expected to get moderated down. Large part of this money will go to enhance the capacities in Malaysia, which, for us, is very rewarding given the global demand that we are seeing for the product.

Surya Patra : This is for the consolidated level, sir?

Kedar Upadhye: This is for Biologics. Sid can give you a consolidated view, but this is for the Biologics.

Siddharth Mittal : For Generics, again, we'll be looking at another USD 50 million next year. And I think with that majority of our ongoing Capex programs come to an end and it will be only small bit of maintenance Capex from FY '27 onwards.

Saurabh Paliwal : We'll take the next question from Prapti Gupta from Alliance Be

rnstein.

Prapti Gupta : Just one small question from me is on the recent approvals on your potential capital raise. So if the team could elaborate a little more on what the company is looking to do, what timelines we can expect, progress so far, and potential use of proceeds, please, that would be very helpful.

Kiran Mazumdar Shaw : Siddharth, maybe you should take this question.

Siddharth Mittal : So thanks, Prapti, for the question. I think what we have announced is that we intend to raise INR 4,500 crores through a combination of QIP and private placement, and we have sent out a shareholders' notice last week towards the same. We have started discussing with our bankers and investors and lawyers about the whole process. We expect to complete the first tranche, which we will decide the quantum of that first tranche in a few weeks. But this first tranche is expected to be complete by middle of June.

And proceeds of the fund as you know, Biocon has certain financial obligations towards the commitments and the put options from the structured debt that we had from the investments in Biocon Biologics. So the proceeds of the fund will primarily be used to meet these obligations. And we will, of course, keep the investors updated in terms of the exact quantum and how we will accomplish the fundraise over the next few months.

Prapti Gupta : Okay. And just as a follow-up. So is the company looking to clear the structured instruments in its entirety from your balance sheet?

Siddharth Mittal : No, not in its entirety. I think the investors, of course, have a put option. So for those investors who have exercised their put option, we will look at giving them an exit, but it doesn't mean that all the investors are looking at exercising the put option.

Prapti Gupta : Okay. Got it. One more, if I may, is on your Generics business. What I see is the Q4 has taken a lot of heavy lifting in terms of good performance vis-a-vis the other quarters. Just wanted to get some sense on how do we see, is this a quarterly trend? Or we can expect more normalization going forward?

Siddharth Mittal : As I had indicated earlier that we did have launch supplies for generic lenalidomide in quarter 4. And whatever allocation we had from the innovator for the first few months of the launch, we have supplied majority of that in quarter 4. We do still have some volume

that will be supplied in FY '26, but we have many more launches coming up in FY '26. So, as I had mentioned earlier that liraglutide in Europe would be launched in quarter 1 and quarter 2. We also expect to launch liraglutide in the U.S. We are expecting approval for generic Copaxone in the U.S. We recently announced the approval of generic Everolimus

or Zortress in the U.S. All these launches will drive growth. So, while you would not see a large component of Lenalidomide in FY '26, because we all have to wait till January '26 when it becomes an unlimited volume launch by all the generic companies. But until then, we will see growth coming in from all the other launches I mentioned.

Saurabh Paliwal : We'll take the next question from Amey Chalke from JM Financial.

Amey Chalke: So during the call, we heard our commentary on the insulin demand, which could increase in coming years. Is it possible to tell how much insulin capacity we are currently operating at in terms of volumes, and the utilization for the current capacity, and with Malaysia expansion, where this capacity would be at?

Shreehas Tambe: Amey, thanks for that question. I think one of the things that we've refrained from giving is the specific insulin capacity for competitive reasons. So it would not be fair to talk about what exactly our capacity is. We do have made comments to indicate what our capacity expansions look like. And we've talked about the fact that at this point in time, we've just brought online another drug product facility in Malaysia, which increases our capacity of

manufacturing drug product twofold. So it's a doubling of capacity that we have just completed, and we will go through the regulatory approval process to bring that product to patients. We are also in the midst

of the capacity expansion, which will again twofold increase our capacity in Malaysia for our drug substance, which Kedar was referring to in that USD 100 million of Capex that we see being invested. So a large part of that Capex was already underway, and we will look to complete that Capex as we go forward. We believe that outside of the originators, we would be amongst the largest player of insulins, the largest manufacturer of insulins and the one which is fully integrated, not just drug substance, drug product, but also the devices that are required to deliver this, all these insulins and analogs across. So a very comprehensive capability and a large capacity to do so as well.

Amey Chalke: The second question I have is on the GLP -1 specifically, because I heard the comment that on the generic side of the business, except the USD 50 million Capex, largely it would be a maintenance Capex. So if we are looking at a big opportunity in GLP -1, are we not looking to put up a capacity for GLP -1 as well? And what is our existing capacity for GLP -1 pens?

Siddharth Mittal : So, we have already invested in a large-scale drug substance capacity of GLP -1s, which was capitalized in FY '25. That was one of the reasons that also led to increase in expenses. We have the new injectable facility for GLP -1s, which will be commissioned in FY '26. Now when you really look at the market opportunity for GLP -1s, there are 3 large drugs, as you are all aware, Ozempic or Semaglutide, Tirzepatide and Liraglutide. And Liraglutide is the smallest in terms of the market revenues and the volume, but we have Semaglutide, which goes off patent in the U.S. and Europe starting 2031. And then you have Tirzepatide, which opens up after 2036. So of course, a large part of the volume over the next couple of years is going to be driven by Liraglutide and Semaglutide in emerging markets. So when you look at the capacities that we have created, of course, we have created capacities to address what we need over the next couple of years. But as the market expands, which is the biggest thing that we are seeing, given that innovators have been focusing on supplying these drugs mainly in the advanced markets or U.S., Europe, there's still a large unaddressed market, especially in the emerging markets. And we are, of course, keeping a track of the demand that we have in these markets, and we will look at expanding. But over the next 2 to 3 years, we don't need capacities for the demand that we expect in the near term. But at some point, in time as again, to reiterate that beyond '31 when Semaglutide opens up in the U.S., Europe and Tirzepatide after 2035, we will need additional capacities.

Amey Chalke: At present, the Liraglutide is totally internally manufactured? Or we are outsourcing some of the services?

Siddharth Mittal : No. Everything is internally manufactured as far as drug substance is concerned. We do have external CMOs, as far as drug product is concerned. We, of course, also manufacture this in our own biologics facility.

Saurabh Paliwal : We'll take the next question from Tushar Manudhane from Motilal Oswal.

Tushar Manudhane : On Insulin Aspart now that all facilities are cleared, is there anything holding up or pending for approval in the U.S.?

Shreehas Tambe: There is nothing that is pending. We have a goal date coming up in a month or so. And then once the goal date is reached, we should receive the approval on or before that goal date. That's our expectation. Of course, we have to wait for the decision of the agency, but we are quite hopeful.

Tushar Manudhane : And let's say the goal date and approval happens on time, then subsequently the regulatory action and all that.

So effectively, is this still an FY '26 opportunity, or...

Shreehas Tambe: So you are right that the decisions for any calendar year happen in that July to October time frame. But given that there is no real biosimilar option available at this point of time for payers, there is an interest in '26 as well. So we will see how to launch this product in fiscal '26 in the U.S., and we'll see how that commercial opportunity shapes up. We'll keep you posted.

Tushar Manudhane : Sure, sir. And secondly, on Copaxone also, like if you could share where are we in terms of queries, responding to U.S. FDA?

Siddharth Mittal : We had indicated earlier, there were no outstanding scientific queries. It was only pending inspection outcome of the biologic facility, which got cleared in December. We have responded to the FDA. We again have a new target action date in a few months, a couple of months. So we are hoping to receive an approval by then. So there are no impediments in our mind.

Tushar Manudhane : And this product is also manufactured entirely in-house?

Siddharth Mittal : Yes, entirely, drug substance as well as the formulation.

Saurabh Paliwal : We'll take the next question from Nitin Agarwal from D AM Capital.

Nitin Agarwal : Shreehas, on the presentation in the press release, we talked about launching 5 new biosimilars over the next 12 to 18 months. If you can just probably spell out which are these names that you have in mind for this calendar?

Shreehas Tambe: Certainly, Nitin, thanks for that question. The 2 products that we just talked about even in

the opening remarks, actually, Kiran did cover all of them. We've launched Stelara biosimilar, which is one of them. The other one is we've got approval for bevacizumab. We talked about Aspart just to Amey's question. So that's the third one. We discussed the Aflibercept settlement and the launch in July. We launched that in Canada. We have a clear launch date in the back half of '26. So that's the fourth one. And Denosumab was another product where we've just received approval from the European authorities, the CHMP positive opinion. We look to get that approval in a couple of months, which is the procedural piece for EMA. FDA approval is also expected by the end of this year. So these

are the 5 products we expect to launch in that 12-to -18-month window.

Nitin Agarwal : Helpful. And how do you see the pipeline of newer launches subsequently if you take a 2- to 3-year block subsequent to FY '27?

Shreehas Tambe: Nitin, in the past, we've said that -- I mean, apart from the bunching up that has happened in the current time period because of whatever reasons, we've said that from '25 to '30, we saw ourselves launching a product a year, which is what you're seeing us do now.

Nitin Agarwal : Okay. And secondly, on the insulin, you touched upon that earlier, the recent instances of some of the innovators, largely Novo and Lilly, looking to go a little slow on some of their launches, some of the products in certain markets. I mean this was an instance definitely which happened in India. But are you seeing more of instances of the withdrawing certain SKUs across a range of emerging markets as well as developed markets in the insulin franchises?

Shreehas Tambe: Yes. Again, I refrain from talking specifically about competition, but these are public events where, you are right, there are examples where innovators have withdrawn products. I mean the India example that you've just cited is true. And then there are other geographies

as well where we see it happening. But that certainly creates a large opportunity for Biocon Biologics, because we are already present in many of these countries. We sell in over 80 countries at this point in time, and we see that demand increasing already.

Nitin Agarwal: Last one. On Aflibercept, when we launch it next year, obviously, Amgen has already launched. Around the time, how do you see the competitive d

ynamics? It's

going to be -- everyone else who's got approval comes in around the same time as you, or we get some sort of limited competition around the time when we come in a second wave?

Shreehas Tambe: Yes. I think the first piece is that we see this as a very large market. Globally, this is a \$9 billion opportunity. So it's a very large asset, and we are very well placed. We have a risk-free position. So we don't really see and discuss what competition would do when they launch at risk and the outcomes and consequences of that. So I would not want to comment on anybody else at this stage. But we certainly see ourselves in a very secure position there. And from how we've been able to competitively settle the litigation or the way our settlement terms are, I think, Nitin, you would appreciate that for competitive reasons, it's not fair for me to discuss.

Nitin Agarwal : If I just squeeze in one last one, Saurabh. In the press release, we mentioned about a committee being appointed to evaluate a restructuring, including a possible merger of B L and BBL. Any color on the thought process behind that? And what are we - in terms of exploring that option?

Kiran Mazumdar Shaw : So let me respond to that by saying that given the market volatility that we are seeing on the IPO front, I think the Board was of the opinion that we should look at other strategic options, which also includes evaluating a merger. So at this point in time, the Board has constituted a committee. We will evaluate all strategic options and then get back to you in a few months with what the Board recommend -- I mean what the committee recommends to the Board. So at this point in time, that's all I can share with you.

Saurabh Paliwal : We will take the next question from Love Sharma from JP Morgan.

Love Sharma: Just wanted to follow up on some of the debt metrics or debt numbers. So I think if you could just highlight, I think on the short-term debt, which I think has increased somewhere close to, let's say, in dollar terms about USD 630 million, USD 640 million. Could you just give a breakdown how much is working capital related or how much is any other repayment which is coming due for FY '26?

Kiran Mazumdar Shaw : May I suggest that you take these questions offline, because it will be easier for Kedar and Siddharth to explain this to you in more detail.

Love Sharma: Yes, that's okay.

Saurabh Paliwal : That was the last question for the day. Kiran, any final remarks?

Kiran Mazumdar Shaw : Well, thank you very much for all your questions. And if you have any further clarifications or queries, please do reach out to my colleagues, and we will be very happy to clear any of your queries. So, with that, I thank you for taking this analyst call, and I look forward to being with you again next quarter.

Saurabh Paliwal : Thank you, everyone. This concludes the call. Have a good day.

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability

Call: Aug 2025

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To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON
Dear Sir/Madam,

Subject : Transcript of Earnings Call Q1 FY26

This is further to our earlier letter dated August 08 , 202 5, regarding the presentation of Q 1 FY26 Earnings Call held on August 08 , 2025 , please find enclosed herewith the Transcript of the Earnings Call.

The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/quarterly-reports/fy-2025-26/>.

Kindly take the above information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Ekta Agarwal
Interim Company Secretary and Compliance Officer
Membership No.: FCS 11388

Biocon Limited Q 1 FY26 Earnings Conference Call
Transcript
Aug 08 , 202 5

Speakers and Participants from Biocon Limited, Biocon Biologics Limited & Syngene International Limited

Dr. Kiran Mazumdar Shaw – Executive Chairperson, Biocon Limited
Mr. Siddharth Mittal – CEO & Managing Director, Biocon Limited

Mr. Shreehas Tambe – CEO & Managing Director, Biocon Biologics Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
Ms. Rhonda Duffy – Chief Operating Officer, Biocon Biologics Limited
Mr. Abhijit Zutshi - Chief Commercial Officer, Biocon Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Susheel Umesh - Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited
Mr. Anuj Goel - Chief Development Officer, Biocon Biologics Limited
Mr. Deepak Jain – Chief Finance Officer, Syngene International
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Damayanti Kerai – HSBC Securities and Capital Markets (India) Private Limited
Surya Patra – Phillip Capital (India) Private Limited
Neha Manpuria – Bank of America Securities India Limited
Harith Ahamed – Spark Institutional Equities Pvt. Ltd
Shyam Srinivasan – Goldman Sachs India Securities Private Limited
Tushar Manudhane – Motilal Oswal Financial Services Ltd
Neha Kharodia – Abakus Asset Manager LLP
Vipulkumar Shah - Sumangal Investments
Nitin Agarwal – DAM Capital Advisors Limited

Prepared Remarks Session

Saurabh Paliwal:

Good morning, everyone. Thank you for joining us on this call to discuss Biocon's first quarter results for FY '26. I am Saurabh Paliwal from Biocon's Investor Relations team. Before we get started, let me introduce the management on this call. We have today Biocon's Chairperson, Dr. Kiran Mazumdar Shaw ; Mr. Siddharth Mittal, CEO and Managing Director, Biocon Limited; and Mr. Shreehas Tambe, CEO and Managing Director of Biocon Biologics, along with other senior management colleagues across our business segments.

A few housekeeping points. We will start the call with the opening remarks by Kiran, which will be followed by an interactive Q&A session. All the external participants' lines are muted and are in the listen-only mode. There will be an opportunity for you to ask questions after the opening remarks conclude. If you need to ask a question, please select the raise hand option under the reaction tab of your Zoom application. We will call out your name and unmute your line to enable you to ask a question. Please note that this webinar is being recorded. The recording will be made available on our website within a day, and the transcript will be made available subsequently.

Before we begin, I want to remind everyone about the safe harbour related to today's call. Comments made during the call may be forward-looking in nature and must be viewed in relation to the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

With this, I would like to turn the call over to Kiran for her opening remarks. Over to you, Kiran.

Kiran Mazumdar Shaw :

Thank you, Saurabh. Good morning, everyone. I'm pleased to present an overview of the Biocon Group's performance for the first quarter of FY '26. And before we get into the segmental and financial details, let me highlight some of the key developments during the quarter.

Equity Fund raise

As a part of our strategy to strengthen the group's financial position and reduce our exposure to structured equity investments, we successfully completed a qualified institutional placement or QIP, of INR 4,500 crores, which is our first equity raise since Biocon's IPO in 2004. The offering was oversubscribed and received strong interest from a diverse and a mix of global and domestic institutional investors, reflecting confidence in our long-term strategy and value creation potential. The funds raised will enable us to increase our stake in Biocon Biologics by facilitating the exit of structured equity investors, which reinforces our strategic focus on the huge biosimilars opportunity ahead.

Product Launches and Approvals

We achieved several significant milestones this quarter that strengthened our global biosimilars portfolio.

- The U.S. FDA approved Kirsty™, our biosimilar Insulin Aspart, making it the first and only interchangeable rapid-acting insulin in the U.S. This marks a major regulatory milestone and builds on the strong foundation established by Semglee our long-acting insulin further reinforcing our leadership in the U.S. Insulins market.

- We launched the first biosimilar Aflibercept, Yesafili™, in Canada. And this marks our tenth biosimilar to reach commercial markets globally, underscoring our expanding global footprint.

- We also secured approvals for biosimilar Denosumab from both the European Commission and U.K. MHRA. And these approvals mark Biocon Biologics anticipated entry into the bone health therapy area, opening up a new therapeutic segment for our biosimilars business.

Facility Expansions and Strategic Capability Building

- Our injectables facility primarily focused on GLP-1s has been commissioned with commercial supply expected to begin in FY '27. This facility strengthens our position in the fast-evolving Metabolic and Diab

etes care space

and is part of our broader commitment to building advanced manufacturing capacity aligned with future portfolio needs.

- At Syngene, we inaugurated a state -of-the-art Peptide laboratory, adding to our integrated discovery and development platforms, which already include Monoclonal Antibodies, Antibody Drug Conjugates, Oligonucleotides and PROTACs, thus reinforcing our position as a technology -driven research partner.

Sustainability

We continue to make meaningful strides in our sustainability journey.

- Biocon received a Gold rating in the 2024 EcoVadis Corporate Sustainability Assessment with an improvement score of 77 up from 70 last year. This places us in the top 5% of companies globally and represents our highest sustainability rating to date.

- Syngene was recognized by Time Magazine and Statista as one of the world's most sustainable companies in 2025, and it ranks #1 among Indian pharma and biotech firms, placing it in the top 20 globally within its sector. This recognition underscores our collective commitment to responsible growth, environmental stewardship and sustainable business practices.

Performance Summary

We commenced FY '26 on a strong note.

Adjusting for the one -time gain from the divestment of our Branded Formulations India business in Q1 FY '25 on a like-for-like basis, the group delivered 15% year -on-year growth in operating revenue, led by accelerated growth in biosimilars, continued growth in CRDMO and a steady performance in generics .

Let me walk you through the financial highlights .

Operating revenue stood at INR 3,942 crores , up 15% year -on-year. Biosimilars grew 18% on a year -on-year basis; CRDMO, which is really our research services business, and pertains to Syngene, grew 11% year-on-year; and Generics grew 6% year-on-year.

Core EBITDA was INR 1,003 crores , up 11% year -on-year, with a margin of 25%.

R&D investments were at INR 205 crores or 7% of revenues (excluding Syngene), reflecting continued pipeline investment. Reported EBITDA grew 19% year -on-year to INR 829 crores on a like -for-like basis. And profit before tax , excluding exceptionals, rose 7 2% to INR 97 crores on a like -for-like basis.

Q1FY26 Segmental Business Performance

Generics

Generics business delivered in line with expectations. The exceptional revenue spike that we saw in Q4 of FY '25 was driven by the launch of Lenalidomide or gRevlimid, which should be viewed as a onetime upside. Growth in Q1 was supported by

- New product launches, including Liraglutide in the EU, and Lenalidomide and Dasatinib in the U.S.
- Stronger volumes in key APIs were seen this quarter
- Continued traction in our Peptide portfolio with Liraglutide approved for Diabetes in India is expected to be launched shortly through our commercial partners.

When it comes to revenue from operations , it was at INR 697 crores, up 6% year -on-year. Product sales grew 13% year -on-year.

EBITDA reflects ramp -up costs linked to operationalizing new facilities, including

- Our peptide API plant
- Our expanded fermentation capacity in Vizag ; and
- Our Cranbury, New Jersey facility in the U.S.

And while these costs impact margins in the near term, these new capacities are expected to deliver strong ROCE as utilization ramps up, especially in GLP -1s.

R&D Sp end was at INR 70 crores or 10% of segment revenue, primarily directed towards advancing our GLP -1 portfolio.

Higher interest and depreciation costs from recent Cap ex also impacted PBT performance.

Biosimilars

Q1 FY '26 marks our sixth quarter as a fully integrated global biosimilars company. And following our last year's consolidation, we have now entered the accelerate phase , where we are focusing on:

- Scaling existing commercial products
- Deepening our presence in key markets
- Preparing for future launches to drive sustainable and profitable growth.

Before we dive into

Biocon Biologics business performance, I'm very pleased to share that we have had a successful outcome with NHS , securing 4 out of 7 regional awards for Yesafili . This marks a 100% success rate across our national tender submissions in the U.K. and highlights the team's consistent strategic execution.

Now coming to key highlights.

North America :

- Received U.S. FDA approval for Kirsty [™], our interchangeable biosimilar Insulin Aspart, the first and only rapid acting Insulin with this designation in the U.S.
- I would like to also talk about partnering with Civica, Inc. to locally manufacture Insulin Aspart in the U.S., enhancing supply security and affordability.
- Our Oncology portfolio delivered strong performance with Ogivri®, our biosimilar Trastuzumab and

Fulphila®, biosimilar Pegfilgrastim, both maintaining 27% market share.

- Yesintek™, our biosimilar Ustekinumab, emerged as a leader in early Immunology uptake with strong formulary coverage across major payers, including CVS, UnitedHealth, Express Scripts and Blue Cross Blue Shield plans.

Europe :

- Hulio®, which is our biosimilar Adalimumab, continues to be one of the market leaders in Germany with a market share of 18%.
- Our Oncology portfolio led by Abevmy®, our biosimilar bevacizumab, and Ogivri®, biosimilar Trastuzumab, demonstrated strong momentum on the back of successful tender wins in major markets.
- Yesintek®, our biosimilar Ustekinumab, received a very strong reception in key EU markets, including Germany, Spain, Italy and Portugal.

Emerging markets :

- Growth was led by our strategic focus on 8 high -impact, self -led markets, significantly increasing revenue share.
- We secured large tenders, including a multiyear contract with Malaysia's Ministry of Health for rh - Insulin and Insulin Glargine.

When it comes to segmental financials,

- Revenue was up 18% year -on-year at INR 2,458 crores.
- EBITDA was up 36% year -on-year on a like -for-like basis at INR 645 crores.
- EBITDA margin, excluding For ex and other items, was at 24% with an approximately 300 basis points year-on-year expansion, reflecting improved operating leverage and the benefits of economies of scale.

CRDMO

Our Research Services business segment has been renamed as CRDMO, representing the new profile of Syngene's business. Syngene had a positive start to FY '26 with revenue of INR 875 crores, which is 11% year -on-year increase. EBITDA of INR 224 crores, which is 19% year -on-year increase with a 25% margin, and growth was driven by pilot programs transitioning into long -term contracts as well as continued client trust in Syngene scientific and operational excellence.

Biologics manufacturing has made good progress in terms of capacity expansion. Unit III, which is our biologics facility in Bengaluru, is now operational. The Bayview facility in the U.S. remains on track for commissioning later this year. Despite macroeconomic uncertainties, Syngene sees robust demand from large and midsized pharma clients and remains on track to deliver FY '26 guidance.

So, to wrap up I would like to end with some Concluding Remarks where I would like to summarise a few key points

1. All three businesses, namely our Biosimilars, CRDMO and Generics, are seeing accelerated growth. Each has clear growth drivers and focused leadership, working to strengthen fundamentals and improve return ratios. The progress we've made on product launches, market share and customer traction demonstrate that we are winning in the market.

2. Our balance sheet is stronger.

Through our QIP, we've enhanced financial flexibility to increase our stake in Biocon Biologics, provide an exit to structured equity investors and reduce interest burden and improve leverage ratios.

3. We are aligning our business with shifting global policy and supply chain dynamics.

Biocon and Syngene have now two manufacturing setups in the U.S.

The oral solid dosage facility in

Cranbury, New Jersey whose capacity has been significantly expanded to support our U.S. sales is going to be shortly inaugurated. Through our Civica alliance in the U.S., local manufacturing of insulin will assure access and affordability. And Syngene's Bayview biologics facility will enhance capacity and give direct access to the U.S. biologics CRDMO market. Additionally, the facility will also be utilized by Biocon Biologics for select biosimilars for the U.S. market.

Our growing global manufacturing and commercial footprint reflects our agility and readiness to serve patients and partners worldwide in an increasingly localized world.

In terms of an Outlook, I'd like to say that we made a strong start to FY '26.

- Biosimilars is well positioned to build on its momentum with recent launches and approvals expected to fuel accelerated growth.
- CRDMO continues to benefit from favourable demand trends, and Syngene is actively investing to future -proof its capabilities.
- And in generics, our early investments in GLP -1s and peptide APIs are indeed gaining traction. Multiple product launches are planned in the coming quarters, which will support strong double -digit growth for the full year.

And with this, I would like to now open it up for a Q&A. Q&A Session

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Saurabh Paliwal: Thank you, Kiran. We'll wait a moment for the questions queue to assemble. We will start the first question with Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My first question is, when we look at your performance year -on-year for biosimilars segment, you have recorded growth of 18%. At the same time, Generics and Syngene also grew year -on-year. But when we look at the gross margin part, there is a decline of, say, 150 basis points or so. So just want to understand, especially from biosimilars sale, whatever incremental sales you are

recording, is that coming from more discounted tender channels, et cetera? And how should we look at the trend ahead? If you can explain this, please?

Kiran Mazumdar Shaw : Over to you, Shreehas and Kedar.

Shreehas Tambe: Damayanti, we thank you for the question. I think if you noted Kiran's commentary, the biosimilars, Biologics business has performed very strongly in the quarter, not only has the revenue grown 18% year -on-year. There's also been an improvement in the EBITDA margin. There's a 36% increase in EBITDA on a quarter -on-quarter basis. There's a 300-basis point improvement that we are demonstrating, which is actually coming on the back of operating leverage that you see starting to play out.

So, I would say the biosimilars business, Damayanti, has really been in a very good shape. We are starting to see margins improvement as we go forward. And as this business scales up further with the new launches that we are expecting to start to show towards the later part of the year and in the subsequent financial year, we see this only getting better from where it is today.

Damayanti Kerai: Shreehas, I understand at the EBITDA level, but I was trying to understand more at the gross level performance.

Shreehas Tambe: Kedar, do you want to comment on this? I think my sense is the gross margins are also quite strong, but...

Kedar Upadhye: Yes, I can do. I'll just add to what Shreehas said, the gross margins, Damayanti, Biologics business have held quite steady, and operating leverage has played out.

That's why EBITDA growth is stronger. We can take this off -line, Damayanti, but the Biologics gross margins have held steady and Op ex, as a percentage of revenue has started seeing an improving trend.

Damayanti Kerai: Sure. So I just have another question on interest expense. So before that, if you can say like what is the debt level at the parent as well as the Biocon Biologics Limited level. And we have been talking about debt reduction for a couple of quarters. But when we

look at the interest expense for the quarter, I think it has gone up. Can you explain that as well?

Kedar Upadhye: Yes. Maybe Siddharth, do you want to take the group level interest questions?

Siddharth Mittal: Sure. So I think, Damayanti, the debt, I think we have said that mainly it's at Biocon Biologics level. We have a net debt of roughly USD 1.1 billion in June at biosimilars level, approximately USD 100 million at the Generics level and USD 120 million cash positive in Research. And the funds that we have raised through QIP, as you're aware, has been used partially to retire the OCD of Goldman Sachs and the interest that we were accruing on that OCD would start showing a reduction from quarter 2 onwards. But the bank interest will continue for a foreseeable future because these are primarily on the bonds, which are 5 years bond, which will be due for repayment in '29. So -- as

we also retire some of the NCDs with Kotak and Edelweiss during the course of this fiscal, we will gradually start seeing interest costs come down, but there's been no increase per se in the interest costs compared to Q1 of last year. So, it's remained stable because the amount linked to instruments whether OCD, NCD, the bank debt has remained at the similar levels in Q1 at least.

Damayanti Kerai: Okay. So, with some of these repayments under way, should we assume interest burden to go down from 2Q itself or it will happen in a more gradual manner?

Siddharth Mittal: See, Q2 will definitely go down for Goldman Sachs, which had the 5% coupon on USD 180 million. So that would go down. And as I mentioned, Kotak and Edelweiss will be more later part of this fiscal.

Damayanti Kerai: Okay. So just like this USD 1.1 billion net debt, that is at the parent level? Sorry, I missed that.

Siddharth Mittal: That is at the Biologics level. So Biocon Biologics has USD 1.15 billion of our net debt.

Damayanti Kerai: And the parent?

Siddharth Mittal: Parent, as I mentioned, Biocon has USD 100 million of debt.

Damayanti Kerai: Okay, USD 100 million. Okay. Got it. And my last question is for biosimilars.

Kiran Mazumdar Shaw : I'd like you to take this off -line because your understanding of increased interest is not correct. So, I think you should take this off -line with the team.

Damayanti Kerai: Sure. Sure. I'll do that. My last question is for biosimilars, can you give us the regional split, say, like U.S. and other markets?

Kedar Upadhye: Yes. See, this quarter, Emerging Markets is about 23%. Advanced Markets is about

77%. But on a full year basis, you should factor 75%, 25%, Damayanti. And within 75% of the Advanced Markets, U.S., then North America will be 40% plus and the balance will be Europe.

Saurabh Paliwal: We'll take the next question from Surya Patra from Philip Capital.

Surya Patra: First, again, a clarification on the gross debt, sorry, I missed that. So what is the gross debt level that we are having right now, on the consolidated level basis?

Siddharth Mittal: That's that USD 1.1 billion. So again, I'll repeat. Biocon Biologics has a net debt of USD 1.15 billion, USD 100 million debt in generics, USD 100 million cash in Syngene. So when you add the se 3, it's USD 1.15 billion, which is primarily the debt in Biocon Biologics.

Surya Patra: And continuing with the Generics business. So we have seen in that in this current quarter, there is a kind of impact on the EBITDA level, both Y-o-Y as well as sequential level. So two things, sir, whether there is no Revlimid sale in this

quarter, that is one. And is there any onetime kind of spend because of the facility commercialization and all that and which may not be there in the subsequent quarters? Is it that right understanding? And if that is yes, can you quantify the onetime impact?

Siddharth Mittal: So the Revlimid launch impact, as we mentioned, was in quarter 4 of last year, which had boosted the p

rofits and revenue in fourth quarter of FY '25. We did have a very small component of sale in quarter 1 which, of course, did not have a significant impact. So Till the product is launched in an unlimited quantity, which is going to happen at the beginning of next calendar year, we are not going to have any more continuing sales of Lenalidomide for at least the first 3 quarters of this fiscal.

And as far as the cost is concerned, we did have 3 facilities, as Kiran mentioned in her opening remarks, which were capitalized in last fiscal. These are very large investments, the Immunosuppressants facility in Vizag, the drug substance facility for Peptides in Bangalore, as well as the new Cranbury facility that we had acquired in the U.S. And the impact of all these facilities operating costs is in the P&L, which is going to be on an ongoing basis. The impact is roughly INR 60 crores a quarter. So, when you look at the EBITDA or the margins or gross margins from the sales that Generics business has recorded, it is in line with the quarter 1 of last year EBITDA, but that has been impacted by these facility payroll and other operating costs for these 3 facilities, and which will continue for now going forward.

Surya Patra: Okay. Sir, then if I just extrapolate it about the margin for the consolidated business level because we are anticipating a kind of a moderated margin scenario for the Syngene business due to the capacity implementation the status unit and sure generics that we will have some pressure, while we would be seeing a kind of a ramp-up on the biologic front. So on a consol basis, how should one think about the margin kind of expansion or kind of moderation, if you can give some clarity for the full year?

Siddharth Mittal: Okay. I'll quickly give my comments on Generics and maybe Deepak can add his comments for Syngene margins. But see, the first quarter and first half will be under pressure. We have multiple launches coming up. We are launching liraglutide in the Europe this quarter, along with our partners, Zentiva, we are expecting a few other launches. In fact, we also launched Sacubitril/ Valsartan or Entresto in the U.S. on day 1 recently, which will be reflected in our Q2 numbers. And the margins are going to ramp up, by H2 is when you will see the impact of all these launches coming in. And on a full year basis, again, I do expect generics to get back to the profitable and growth trajectory on the margins front. And I think Kiran already alluded in her concluding remarks that with all these upcoming launches, generics will have a strong double-digit growth on a revenue front.

Kiran Mazumdar Shaw: I think Surya, I also want to add. I think what you're seeing right now is the impact of operating cost expenses on some of these capitalized facilities. But I think as I mentioned, starting Q2, you're going to start seeing these capacities being utilized. And

once you ramp up these capacities, you will start seeing a very good delivery of profitability.

Surya Patra: Sure, ma'am. Okay. One clarification further about this fund raise and the repayment to Goldman Sachs and others. What is the minority interest then Biocon would be having enhanced in Biocon Biologics now?

Siddharth Mittal: See, we've raised INR 4,500 crores, of which we have used roughly USD 200 million to repay Goldman Sachs. The repayment has been done as of end of June. We have a commercial paper, which we had borrowed money to repay ADQ in January earlier this year, and that commercial paper is due in September. Now apart from that, the

remaining funds will be used to repay Kotak and Edelweiss as their payments become due. But on a fully diluted basis, assuming all these I mean, Goldman and Kotak/ Edelweiss is paid out, we'll be up to 78% stake in Biocon Biologics.

Surya Patra: Okay. With this, sir, is it fair to believe that there is no compulsion on Biocon Biologics to go for

or a listing?

Siddharth Mittal: No, there's no compulsion. I think we have said that IPO is -- I mean the commitment to Viartis that we had was the best effort, and we have time to give exit to investors, which is in few years. So there's no compulsion as such.

Surya Patra: Sure, sir. Just last one point, sir, from my side about the biosimilar business. So two points basically. One is the Ustekinumab, whether we have seen any kind of a ramp-up or any revenue contribution from the U.S. market from that? And second point was about the launch of Aspart when we would be having dual brands from Civica as well as from our own. So whether the pricing would be similar or whether we will have the advantage of the limited competition as well as the interchangeability benefit or not because Civica pricing is likely to be relatively lower.

Shreehas Tambe: Let me respond to both your questions, Surya, I think very relevant questions. Let me first talk about the Ustekinumab, Yesintek launch that we've had in the U.S., and it's been a very successful launch led by our U.S. team there. I think one of the key things to bring to your attention is that we've had very strong formulary coverage for this product. We've got all of the big commercial payers, whether it is CVS, United Health, Express Scripts, all of them have listed Yesintek on their main formularies. So that's a very strong positive sign.

Two is we are also starting to see initial trends in terms of how prescriptions have moved. And we have seen that a very large share of the prescriptions have moved towards Yesintek, which is a good thing. Apart from the fact that it's actually an interchangeable product, which helps that is showing that the product is starting to gain initial early leads as biosimilars start taking more market share once the originator product gets knocked off from the formularies starting July and then progressively towards the end of the year. So we feel good about how Yesintek has performed, Surya,

and we are looking forward to a sustained performance in the coming quarters as well. On the second question that you asked about insulin Aspart, we are very proud of being the first and the only interchangeable rapid-acting insulin analogue in the U.S. market at this point. So it's not just the Aspart market, but we also believe there's a larger rapid-acting opportunity that Insulin Aspart can target.

With regards to your question on Civica, I think that's a very, very smart strategy, I would think the U.S. commercial team has come up with, where we are bringing product closer to patients in the United States. So the product will be manufactured locally in the U.S. giving us an opportunity to have 2 products and 2 product brands to be in a position to supply to the patients in the U.S. in a more comprehensive way.

You've seen some articles where originators have made statements that they may be looking to withdraw some of these products, particularly in the rapid-acting insulins in the near term or towards the end of this calendar year. And we want to be in a position, and we believe we will be in a position to meet that demand as it comes up in calendar '26 and beyond.

Saurabh Paliwal: We will take the next question from Neha Manpuria from Bank of America.

Neha Manpuria: Shreehas, just another question on Stelara. If I look at the IQVIA number, we've seen very strong market share trends. But this does not necessarily reflect all of the contracts as yet, right? So we could continue to see this momentum build as we see new contracts coming in, in July, and I think you mentioned some in Jan.

So is there a fair bit of runway to improve market share still in Stelara?

Shreehas Tambe: Yes. And Neha, I think that's a fair observation. As I said, these are still early days.

We've got a good start. I think Matt Erick, who is our Head of Commercial in Advanced Market has been leading this effort

from the front. And maybe I would want him to jump

in here to add some more color to give you a sense of how we see this ramping up.

Matt, if you could jump in, that would be helpful.

Matthew Erick: Thanks, Shreehas So, as the products continue to transition the Stelara from the payer starting July 1, you're starting to see what Shreehas said, early uptake of Ustekinumab.

So these products will continue to see one full basis point that has contributed to that increase in June.

Remember, most of these products where Stelara will come off of the payer starts in July and then will continue to accelerate as we go through the end of the year. So we've

got a great start. We have a massive amount of coverage from the payer side, and our sales force are in tune out there already talking to health care providers, and you're seeing this opportunity take place. So you'll see more growth as we go through the remainder of the quarter and into next calendar year. Thank you, Shreehas.

Neha Manpuria: Matt, just an extension to that question. Given that this is a fairly competitive product, how should I think about the stickiness of the market share for Stelara?

I'm just trying to understand, is there a risk that you could see the competition probably chip away on share come of the next contract cycle. I mean from a physician perspective, how sticky is the Biocon BBL biosimilar?

Matthew Erick: Great question. Look, we're early leaders like we are with Biocon. Doctors are getting used to writing Yesintek. And remember, interchangeability is not to each biosimilar. It's only to the brand. So as the patients and doctors get used to utilizing the Biocon Yesintek, it becomes very sticky. And I can tell you, we're in a great position, as we've spoken about before, being vertically integrated. We are well positioned to continue to compete and compete profitably in this market as the dynamics change and shift. But early on, we have the next 12 months, of a great run rate because of what Shreehas has indicated in our coverage, and we have all expectations of continue to brand ourselves with Yesintek and getting patients familiar and doctors familiar to keep that stickiness as we go into that next pay or cycle.

Neha Manpuria: My second question is the oncology biosimilars. Given that we are seeing competition now come back into the market. So some of the gains that we've seen earlier this year seems to be coming off, given there is more competition expected in Oncology biosimilars, should we expect that margins for BBL will probably be at these levels with whatever the gain in Stelara being offset by the Oncology biosimilars seeing pressure?

Shreehas Tambe: Let me respond to this, and if needed Matt can give you additional color. I think first up, Neha, we can look at the data points that you're referring to, but we believe that the oncology franchise for us in the U.S. has been very, very strong. In fact, we still have over 1/4th of the market with the 2 biosimilars that we've launched and continues to be very, very profitable. It's seven years since we've launched these products, and they continue to hold value. Another way of looking at it is to see how do you really operate in the medical benefit space, the Part B archetype of the market and I think that's a credit to the North America team in managing how to gain market share and retain value. And I think the team has really been able to demonstrate that. We continue to retain market share, grow that to 1/4th of the market and continue to hold value. So that continues to be an area of strength. As we bring Abevmy, which is our biosimilar bevacizumab into the market, it only further strengthens our oncology franchise. We've talked to you about our approvals that are coming in, in other parts of the world and U.S. shortly with Denosumab, which will be branded Vevzuo and Evfraxy, which will also then bring in.

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Matthew E

rick: Did Shreehas freeze there?

Kiran Mazumdar Shaw : I think you can continue, Matt.

Matthew Erick: Yes. What he was building upon is that we're continuing to have our franchise of oncology, and we'll continue to build on these launches that he was speaking about in regard to Denosumab. So in regards, just to recap that, we still see strong performance in our oncology portfolio with the addition of Bevacizumab. And then we're going to start layering on new product launches within our full portfolio, not just in the United States, but across the rest of the globe in Advanced Markets and also Emerging Markets.

Neha Manpuria: Just one last question. When do we launch Aspart and what's the timeline for the Beva launch?

Matthew Erick: Sure. Sure. On the Aspart piece, we'll be launching immediately. We have approval. We'll start seeing more pull-through. As you remember, the U.S. is set on a July basis and a January basis. So aspart will be strategically launching between now and the end of the year and leveraging our relationships and our great franchise that we set up with Semglee. But that will be a ramp-up because of timing in regard to the pay or cycles. And in regard to Bevacizumab, you'll see this launching towards the end of the summer around the October time frame and which will continue to start leveraging our oncology portfolio and ramping up our pay or strategies as we go into the first of the year.

Saurabh Paliwal: We'll take the next question from Harith Ahamed from Avendus Spark.

Harith Ahamed: So my first question is regarding the opportunity in recombinant human insulin, which you've talked about in the past and how Novo's plans to exit during this year can translate to a meaningful opportunity for us. So if you can talk a little bit

about how we are positioned to capture this opportunity from a capacity standpoint and especially on the drug substance side. And if you could also, in this context, touch on the Phase II expansion that's ongoing in Malaysia and where exactly are we in that.

Kiran Mazumdar Shaw: So since Shreehas not yet been able to rejoin, let me start by saying that the Malaysia facility, as you know, we have doubled the expansion of the drug product line, and that is going to be operational very imminently. However, it obviously will only cater to certain markets till all the regulatory inspections are through.

Having said that, I think from a positioning point of view, the insulin opportunity is very, very large, and we are addressing this as much as we can. We do have a growing capacity in Malaysia in terms of I think drug substance, we have adequate supplies, but it's really the drug product that we need to ramp up. We have a large global network of drug product manufacturing.

But I think from the Malaysia facility, we are really focusing on Advanced Market supplies largely with some of it going to certain Emerging Markets. So to answer your question, yes, we are ramping up. We are trying to address the large opportunity that is emerging in the best way possible. I think by the end of the year, we'll be in a much better place to address most of this demand that we are seeing.

Harith Ahamed: Excellent. That's helpful. My second question is on the Generics business.

Siddharth, you touched on Liraglutide launch in Europe. Can you give an update on the status of our filing in the U.S. for this product? And on Semaglutide, as we are approaching market formation across various emerging markets, can you give us some color on our preparedness to launch the product?

Siddharth Mittal: So the Lira U.S. file is under review with the FDA, and we should hear back shortly. We definitely do expect the approval to come in sometime this fiscal. I cannot comment on the timing exactly, but we do expect a launch in the U.S. during this fiscal. And as far as Semaglutide is concerned, I think even in the last quarter, we had said th

at development is done. We are going to file in quarter 2, which is this quarter in many emerging markets in Canada. And we are expecting early approvals in some of the markets where we'll file this quarter by end of calendar '26/early calendar '27. So while the market, as you rightly said, is going to open up in calendar '26, we do not expect many companies to have received the approvals, but we will not be too far from those companies.

Saurabh Paliwal: We'll take the next question from Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one on what's happening to Adalimumab in the U.S. So it's been two years since we have launched. I know there's been a lot of issues from a market share, not only for you, for everyone. But how does this pan out in the next 12 months? And could you also comment on like the pricing trends have been because of private label influence has also been not as per original thought process. So how should we look at Adalimumab progress for us in the U.S.?

Matthew Erick: Kiran, do you want me to take that one, real quick?

Kiran Mazumdar Shaw: Yes, please.

Matthew Erick : Okay. Yes. So first of all, thanks for the question. The Adalimumab for Biocon continues to be work in progress. We are going through a pay or cycle in which we're bidding aggressively. But the attributes in the U.S. are still high concentration. But don't forget, we have a huge franchise in Europe in which Adalimumab has been very successful, as Kiran has stated in her opening remarks. So we are definitely leveraging our global platform. As we see the trends, as you asked, with Adalimumab, we see the pricing starting to soften, meaning that we believe the market price is settling on Adalimumab. And we won't see these huge swings that we saw in the beginning. So more to come after the January 1, but we're in the mix. We continue to fight. But the attributes that are currently being driven in the U.S. preferred by most of the pay ors are still the high concentration. And then, as we see you talked about the private label s. As you know, Sandoz and CVS have the majority of that share. They just recently decided to not report that. So it's going to be hard for all of us to see it in IQVIA. But we do see a trend of Humira starting to fall off of the pay or contracts starting at 1/1/26. So the market will continue to be open. Biocon will continue to compete, and we'll continue to press

forward on Adalimumab. But we do have a lot of products coming, not only in the U.S. but around the globe in which we're very successful, and we'll continue to leverage.

Shyam Srinivasan: Got it. Just a second one again on Yesafili in Canada. I think the press release talks about it. So how should we look at that particular launch?

Matthew Erick: In what way, looking at it from what perspective? I mean, we're ready, we're launching. We've already started working with key customers in which we're putting in bids now in

Canada. Primarily, the business is in two spots, Quebec and Ontario, which we have our sales force, which we're very familiar with. We remain very optimistic in our opportunity, because of our position in that launch and being the first one of the first in the market in Canada.

Shyam Srinivasan: Helpful. This last question is for Siddharth. Just on the Generics. Siddharth, you talked about the Lenalidomide not appearing again in quarter 1. And you also alluded to the double-digit growth. So what are the product launches we are looking forward to? And I think Lira in India, is it going to be a significant opportunity or the Sema next year is the one that's going to be the one to watch out for?

Siddharth Mittal: I think, the biggest growth driver is going to be Lira in Europe, where we have already supplied partially in quarter 1. We will continue to supply to Zentiva and to other markets where we are direct in quarter 2 onwards. So we have, in fact, won some

tenders also

in Europe for liraglutide directly. And that would be the main growth driver. Apart from that, we do have a couple of other launches. I think we have spoken about Micafungin injection being launched in quarter 2. We also have Norepinephrine injection coming off a launch in quarter 2. We had received an approval for Everolimus Zortress, which is being launched in quarter 2. I mentioned about Entresto or Sacubitril Valsartan launched in quarter 2. Like that, there are a few other small molecule OSDs and injectables on top of Lira in Europe. And again, Lira U.S. is, of course, a big opportunity; still a very lucrative 700 million, 800 million market with limited number of players. And as I mentioned earlier that we do expect an approval in the U.S., and we will launch it in the U.S. after the approval is received.

Shyam Srinivasan: Yes. And Siddharth, sorry, just continuing on the Sema in Canada or other markets and your update for from Biocon for Canada, Brazil, rest of the markets?

Siddharth Mittal: So as I addressed the previous question that we will be filing in Canada, Brazil and many other markets this quarter, and with an expected best-case approval by end of calendar '26, but more likely launch in '27.

And India, just to close your question on India. We will be launching liraglutide also in India this quarter through our partners. And of course, there's a limited opportunity before Semaglutide is commercialized sometime in calendar '26. But still, we believe that given the whole availability of drug from innovators, whether it's for Ozempic or

from Mounjaro in India, there is a huge market that can be created by our partners in India before Semaglutide comes in.

Saurabh Paliwal: We'll take the next question from Tushar Manudhane from Motilal Oswal Securities.

Tushar Manudhane: Sir, firstly, on Canada Semaglutide, like tentatively, what would be the timeline to get the approval?

Siddharth Mittal: I just mentioned that best case would be by end of calendar '26. We'll be filing this quarter. And so far, let me remind you, Canada has not approved a single GLP -1, whether it is generic liraglutide as well. So Canadian health regulator is taking its own time to approve the GLP -1. So even with Liraglutide filing done by many other companies, at least 5, 6 years back, there's not a single approval, and there's not a single approval yet for Semaglutide. So we have been interacting with Health Canada on a Liraglutide file. We, of course, understand a little bit better in terms of what they are expecting. And our teams are addressing proactively now for Semaglutide as we file that drug this quarter. And the review cycle, while is short in Canada, it's post filing, it's 8 to 9 months, if it's a first cycle approval. But as I mentioned that given Health Canada has not approved a single generic GLP -1, we do best case, expect an approval by end of calendar '26, but more likely in calendar '27, followed by the launch.

Tushar Manudhane: Sir, So just curious to understand the thought process in terms of what concern they have as far as GLP -1 approvals for, let's say, generics or biosimilars is concerned?

Siddharth Mittal: That's difficult for me, Tushar, to comment. Each regulator has their own way of reviewing the files. Of course, I mean, our own liraglutide, which was approved by MHRA and EU regulator, of course, U.S. has asked a different set of questions. Canadian regulators have asked for different set of questions. And I think it's also sometimes if it's the first or second drug in a particular class, they just want to make sure that their guidelines and their review process is aligned with what they are expecting. So if we can take it offline in terms of some of the questions that they ask which probably the other regulators have not asked, but again, it's something that's a part of standard review procedure for a new class of drug that

gets approved in these major countries.

Tushar Manudhane: Got it. And sir, just on the Generic side, approximately how do you think about the operational cost, while you have highlighted on the new launches pipeline, but let's say, how much in terms of quantum, one should think about the operational cost? Is that more or less settled as far as new capacity, new facility is concerned? Or we will see still some increase in the operational cost?

Siddharth Mittal: See, the cost which is there in quarter 1 P&L relating to the three new facilities, roughly INR 60 crores. So on a full year basis, it's roughly INR 240 crores. Now we have a few more facilities which will get capitalized during the later part of this year. Of course, the injectable facility, which we have just commissioned and where we're going to do the

qualification and the filings, that facility will get qualified next fiscal. But we will see some increase during the remaining quarters for the new facilities that will get capitalized. But not a significant change. But as I said, that the impact of all these new launches and increase in gross margin would offset these additional costs that have hit the P&L and more from H2 onwards.

Tushar Manudhane: Got it. Sir, thirdly, on the Lira U.S. FDA, any queries which is pending to be addressed and hence, some time for the approval?

Siddharth Mittal: We have addressed all the queries. We had two open points with the FDA in the last CRL. One was related to the facility clearance, which, of course, the facility has been subsequently cleared, received VAI. And there was some specific data that the FDA asked, which we had responded to, and we have a target action date being assigned by FDA, and we will wait to hear back from them on the outcome. As far as Biocon is concerned, there's no outstanding query that we are working on.

Tushar Manudhane: And sir, just lastly, like Biocon, as such has been, sort of, experts interestingly on the biologics side as well as on the synthetic side as far as GLP set of products is concerned. We're still sort of trying through the generic route, whereby the cost of operation seems to be much, much lower when it goes to the biologic route. So, if you could throw some light in terms of, we could have done in terms of, at least, cost of manufacturing, much lower, it would have gone by biologic route.

Siddharth Mittal: So as cost of manufacturing, but you also have to look at the regulatory part figure. If you look at GLPs today, in the generics, whether it's in Europe or U.S., comes under the synthetic part. Of course, the recombinant route of making drug substances the re, Biocon does have recombinant API as well. And we, of course, look at the time to develop a drug and the regulatory part to get it approved versus the cost of manufacturing the drug substance. And we are very competitive in terms of manufacturing our drug substance. We are vertically integrated. We know what the Chinese companies, who are supplying to a few other generic companies, what cost what selling price they're supplying the drug substance, and we know our own costs. So we think we are very well placed compared to our competitors as far as the costing is concerned. The recombinant API is definitely going to be required for the Oral Semaglutide. Because there, the cost of goods sold is primarily influenced by a drug substance cost, unlike injectable where drug substance does have an important influence, but not that it's not going to make a big difference, whether it's synthetic or recombinant as far as injectable is concerned.

Saurabh Paliwal: We'll take the next question from Dr. Neha Kharodia from Abakkus.

Neha Kharodia: So my question is on the biosimilar business, more from a longer-term perspective. So in our previous corporate presentation, it refers to Frost & Sullivan report, which mentions that global biosimilar market it's

If can become

3x over FY 2024 to 2029. So just wanted to understand our biosimilar business

growth versus the industry growth, can we grow better? And how are we looking at this growth considering the part of the patent expiry that we are catering to?

Shreehas Tambe: Neha, thanks for that question. Let me respond to that. I think the report that's been put out by Frost & Sullivan is very fair. Because it does cite two things. One is that the biologics opportunity itself is very large, which is before it gets to biosimilars, given that biologics are increasingly becoming the standard of care. So I think that is clearly set out. But the report also establishes the fact that biosimilars are here to stay, and that's the next large opportunity where Biocon Biologics is very well placed in the current set of circumstances where we have one of the largest portfolios, one of the deepest in certain key therapy areas, which is in Oncology, in Diabetes, and in Autoimmune diseases. So these are the three large areas that the report talks about where investments are happening. And if you look at our portfolio, we've got a very, very rich portfolio in these therapy areas. So from an outlook perspective, we've always said that we'll invest in debilitating diseases. We are getting products to market. We've got five

products ready for launch in the next 12 to 18 months is what we had guided. Four of those five are already now getting to launch, four of them we've launched. Fifth is on the way from an approval standpoint. We have approval in the U.S. and in the EU and in Canada. U.S. approval should follow, which is for bevacizumab. That tells you that we are well on our way to realizing the opportunity that lies ahead of us. And I've said probably several times that the opportunity ahead is far more exciting than what we've seen at Biocon Biologics so far.

Neha Kharodia: But to understand it more quantitatively, as an even ballpark numbers are fine.

So can we grow better based on your commentary, somehow, I sense is that, our growth can be better. But is that understanding, correct?

Shreehas Tambe: 100% share your sentiment. And I appreciate that your confidence in how our trajectory should be. So Neha, I think we are aligned in terms of how we see the future.

Saurabh Paliwal: We'll take the next question from Vipulkumar Shah from Sumangal Investments.

Vipulkumar Shah: Yes. Can you give the market share movement for various biosimilars in various geographies? And what were the same last year in the same quarter?

Shreehas Tambe: So Vipul, I think let me give at a headline level, let me give you a sense of how our market shares have grown. Let me start with the United States, which is a large part of our business. It's about 35% to 40%.

Oncology portfolio, as I've said earlier on the call, has been leading the way. I think we've got two products, which is Fulphila and Ogivri. Fulphila is a Pegfilgrastim, which has a market share of close to 27% or a little more than that. It was -- if you look back a year, it was trending in that 15-odd % rate. So it's grown significantly. If you look at Ogivri, which is our biosimilar trastuzumab, that's at 25%. A year or a little more than a year ago, it would have been at that 10%, 11% range. Again, you are seeing a very strong growth in terms of how the market has grown. Again, they continue to grow

profitably, so you can take that confidence in terms of how we are growing that business. We continue to maintain steady market share in our Insulins portfolio, both in the U.S. and in the rest of the world because it's really up to us. We do not see a major competition. We actually see no competition from any biosimilar Insulin makers. We are the only biosimilar insulin that's approved in the U.S. So we continue to see good demand as much as we can make.

In terms of Europe, which is the other large geography, I would point you

out to some

of the other previous guidances that we had shared. I talked about it in Q3 of last fiscal where we had said, we have a very good performance with our Hulyo adalimumab in Germany, where we have a leading market share of 18%. And we've held that steady. But we will grow into other geographies and in other therapy areas. And if you look at the recent reported market shares, our Oncology portfolio, led by Abevmy, which is our Bevacizumab, and Ogivri, which is Trastuzumab, have shown significant growth of 15% and 20%, which gives you, again, a sense that while we've said that we will grow beyond our therapy areas, it is actually starting to play out, which is as per the guidance we had provided before.

We continue to see Europe as an opportunity for growth. We have more than 10 products approved in Europe and in the U.S., now in Canada, and we are looking to see how we can build this given that there is headroom for growth.

Vipulkumar Shah : So then, why it is not reflected in the profitability, this market share gains .

Shreehas Tambe: And Vipul, we will discuss this offline. If you would need to, we will be happy to spend time with you and see how the operating leverage is beginning to show. Kedar can, of course, come in and talk to you more on this. Kedar, feel free to jump in. But you're already starting to see the EBITDA margin starting to improve, and we expect this to strengthen, Vipul, over a period of time.

Vipulkumar Shah: And my last question is for Kiran ma'am. So when we conceived the acquisition of this Viatris business, so do we feel that it has met all the goals which we had set at that time? Because when you look at the stock price, when you look at the market cap, it is below that debt, although we have spent close to USD 2 billion on that. We had to dilute Syngene stakes twice. We had to dilute stake in Biocon.

So as an investor who is with the company since IPO, I don't find that it has worked that way. So I would request, Kiran, ma'am, to have her views .

Kiran Mazumdar Shaw: So let me respond to it by saying that I think the acquisition has been a very important acquisition for us. I think, without the Viatris acquisition, we could never be a global biopharmaceutical company. You are right that the debt burden is what is dragging down the perspective or the perception of what investors feel about this acquisition. But let me assure you that we are now in a very healthy financial state. I think the fact that we have done the QIP and the bond issue has made us far more financially robust. And I can tell you that you will see a huge improvement in the way we are approaching

this business in the coming quarters and coming years. And this is going to be a game -

changing transformative acquisition that we have made that will actually make us true global leaders. As you already know, we're in the top 5 biosimilars companies in the world, and I think we are very well positioned to really surge into a leadership position in the next 5 years. That is what our aim is.

I don't think you should, as an investor, keep focusing on near-term perceptions about servicing the debt. We have done everything we can to lower this particular apprehension. And I think what we've done, thus far, is extremely encouraging as far as I'm concerned as a promoter. I think, you will see that this is also a time where you're seeing profitable growth in the biosimilars business. And as the provisioning of interest comes off, it goes straight to the bottom line. So I think you should really look at this business and understand what we're trying to do. I think, the problem is that we are just looking at broad numbers and panicking. But I think if you look at the real business health, if you look at the way the numbers are improving, the leverage is improving. I think you will get far more confidence. Right now, you can see that in this quarter alone, the biosimi

lars business has turned positive, which up until now was only sort of either flat or negative. So this actually tells you about the kind of business prospects that are emerging before us. So I would not really comment on this business like you are commenting. I would like you to basically understand the business. And maybe I think you should take this offline to understand how the business is growing, how we are becoming far more profitable. And in the coming years, you will see that everything that we are doing is going to go straight to the bottom line.

Saurabh Paliwal: We'll take next question from Nitin Agarwal from DAM Capital.

Nitin Agarwal: Shreehas, on the long-acting insulin, you talked about certain product certain competitors withdrawing from the market. And we also have seen certainly, there's been a sharp improvement in Novo sales on Novo Rapid in the first half of the year. So if you can just throw some light on what are the dynamics which is driving this uptick in the value of the market itself over the last few quarters?

Shreehas Tambe: See, Nitin, thanks for the question. Usually we have refrained from commenting on any innovator specifically or any company other than us specifically. But there are public domain reports where the ones that you cited have actually made public communications, that certain SKUs and certain products will be withdrawn to certain markets, particularly in the U.S. by the end of this calendar year. And until stocks last, they will continue to make supply. So that was the reference that I'm making.

And we've also seen that in the past, it's not one. We've seen both the large insulin manufacturers who make such comments. And they are probably they are driven by their priorities and focus. So we wouldn't want to comment on that.

But it does present us with two situations. One is, we are in a position to provide that requirement for patients who are looking for this life-saving drug. And we have always been willing to step in when such an opportunity arises. So we are very conscious of the humanitarian aspect as well and the business opportunity as well. And we have made the investments. You know that we are making investments to double our

capacity in our drug product line in Malaysia. We have increased our drug substance manufacturing, which should come online shortly in the coming years. And we have tied up with Civica, who's a local United States manufacturer, so that we can even localize manufacturing closer to patients. So, we really see this, I wouldn't want to comment on short-term blips in realizations, but I certainly see this as a long-term sustainable growth opportunity where there's very limited to none in terms of competition.

Kiran Mazumdar Shaw: I would also like to add to that, Nitin, that we are seeing this rising demand just not in North America, but also across the world. I think even if you look at our partner, commercialization partner in India, I think that demand has also increased significantly. So I think the insurance story worldwide, I think all of you just focus on one market, but the insulin story worldwide is really, really a very interesting one for us. Emerging markets, I can tell you that demand is only rising, and there are very, very few insulin players in the world to really cater to this rising demand. So we are very excited with what the insulin story has to offer us.

Nitin Agarwal: Just sticking on that, hypothetically, while given the some of the way, some of these positive trends are playing out in the insulin market, while we are doubling our capacity in Malaysia at this point of time, do we actually, at some point in time, foresee a situation that we need to go in for some more capacity additions in this plant? Or this is, this capacity enhancement will be enough for us to fit whatever that you have in mind for the next foreseeable future?

Kiran Mazumdar Shaw: We

are taking all the necessary steps for addressing this market, this large market opportunity in various ways. Not just through our own capacities, but also through partnerships and other networks that we are developing.

Nitin Agarwal: And secondly, on the denosumab, when do we see our approval sort of coming through in the U.S.? And secondly, how do you see this the dynamics in this market, given the fact that probably, is a little bit of a late entry here?

Shreehas Tambe: So, two things, Nitin, again here, we've indicated in the past that we will have the approval before the end of this calendar year. And we are tracking well to that date in the U.S. So we see that approval imminent. And once we see that, we'll have both these products coming in. Again, the opportunity continues to be still very strong in terms of how we will get into the market. There are a couple of players like you seem to have indicated that whether there will be an opportunity for us. Let me give you a sense that there are two products here. One is a Part D product, and the other one is a Part B product, given that there are two brands, Prolia and XGEVA. And they are operated very differently. So one is impacted a little bit by time and also in how the archetype operates, which is a Part D product. But the other one is really played to our oncology franchise strength, and we feel very good about it. Timing may not necessarily be a big difference in how we eventually realize success out of this asset.

Nitin Agarwal: And last one, Kedar, in the presentation, you talked about the like -to-like margins for the biosimilar is 24% versus the 26% that you reported. What would be the adjustment be of 2 -odd %?

Kedar Upadhye: Yes, Nitin, these are all the items below Op ex, R&D and gross margin. So that includes Forex, that includes the derivative accounting that we do, and that includes other income and expenses. So you should take 24% on a normalized basis for the quarter.

Nitin Agarwal: And Kedar, as we have mentioned a few times in the past, as the operating leverage begins to kick in this business, what are the typical sustainable margins that we can hit in the business going forward?

Kedar Upadhye: Yes. So typically, we have awarded giving guidance, Nitin, on the margins going forward. But as the new launches kick in and the operating leverage plays out, that improvement will reflect in the numbers going forward. But we don't want to guide specifically at this stage.

Nitin Agarwal: So what I meant is from a range or does it become like a 20%, 25% margin business? Or is that a 25%, 30% margin business on a more sustainable basis? Is there a way to characterize the inherent profitability of the business?

Kedar Upadhye : Yes, yes, directionally, I think improvement is what will kick in, but we don't specifically guide for any range, Nitin. But you are right, directionally, I think you should see improvement in gross margins, because of new launches and the Op ex as a percentage of revenue.

Saurabh Paliwal: That was our last question, ladies and gentlemen, for this call. We thank you very much for joining today and hope to see you in next quarter. Have a good day.

-Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability

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November 18, 202 5

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 050
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q2 FY26

This is further to our earlier letter dated November 12 , 202 5, regarding the presentation of Q 2 FY26 Earnings Call held on November 12 , 202 5, please find enclosed herewith the Transcript of the Earnings Call.

The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/quarterly-reports/fy-2025-26/>.

Kindly take the above information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Rajesh U. Shanoy
Company Secretary and Compliance officer
ICSI Membership Number: A16328

Biocon Limited Q 2 FY26 Earnings
Conference Call Transcript
November 12th, 2025

Speakers and Participants from Biocon Limited, Biocon Biologics Limited

Dr. Kiran Mazumdar Shaw – Executive Chairperson, Biocon Group
Mr. Siddharth Mittal – Chief Executive Officer & Managing Director, Biocon Limited
Mr. Shreehas Tambe – Chief Executive Officer & Managing Director, Biocon Biologics Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited
Mr. Saurabh Paliwal – Head - Investor Relations, Biocon Limited

External Participants during Q&A session

Tushar Manudhane – Motilal Oswal Financial Services Ltd
Harith Ahamed – Spark Institutional Equities Pvt. Ltd
Sidharth Negandhi – CWC Advisors
Love Sharma – JP Morgan Securities (Asia Pacific) Limited
Surya Patra – Phillip Capital (India) Private Limited
Abdul kader Puran wala – ICICI Securities Limited
Imtiaz Shefuddin – Barclays Bank
Nitin Agarwal – DAM Capital Advisors Limited

Prepared Remarks Session

Moderator:

Ladies and gentlemen, good day, and welcome to Biocon Limited's Q2 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you would like to ask a question, please click on the ask a question tab. Please note that this conference is being recorded. I now hand the conference over to Mr. Saurabh Paliwal from Biocon Investor Relations. Thank you, and over to you Mr. Paliwal .

Saurabh Paliwal:

Good morning, everyone. Thank you for joining us today to discuss Biocon's second quarter results for FY26.

Before we get started, let me introduce the management team on this call. We have Biocon Chairperson, Dr. Kiran Mazumdar Shaw; Mr. Siddharth Mittal, CEO and MD, Biocon Limited; Mr. Shreehas Tambe, CEO and MD, Biocon Biologics Limited, along with other senior management colleagues across our business segments.

A few housekeeping points - We will start the call with the opening remarks from Kiran, which will be followed by an interactive Q&A session. All participants lines are muted and are on listen only mode. There will be an opportunity to ask questions after the remarks conclude and if you need to ask a question, please select the ask a question tab on your webcast screen. The operator will call out your name and unmute your line to enable to ask a question.

Please note that this webinar is being recorded. The recording will be made available on our website within the day, and the call transcript will be made available subsequently.

Before we begin, I want to remind everyone about safe harbour related to today's call. Comments made during the call may be forward-looking in nature and must be viewed in relation to the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

Now I would like to turn the call over to Kiran for her opening remarks. Over to you, Kiran.

Kiran Mazumdar Shaw:

Thank you, Saurabh, and good morning, everyone. I'm pleased to present an overview of the Biocon Group's performance for the second quarter of FY '26. I'm pleased to inform you that we have had a strong quarter led by good performance in biosimilars. Both biosimilars and generics delivered double-digit Y-on-Y growth, while the CRDMO business reported performance in line with plan.

Now before we get into segmental and financial details, let me share the key highlights for this quarter.

- We have strengthened our balance sheet by settling structured debt obligations with Goldman Sachs and Kotak from the QIP proceeds and by executing an agreement with Edelweiss.
- We have already started to see margin improvement in Q2 following the Goldman Sachs exit, and we expect this trend to continue through quarters 3 and 4 as we see the impact of both Kotak and Edelweiss exits. The full benefit, however, of this debt reduction will be visible from FY '27 with annual savings of around INR300 crores in interest costs.
- In Q4 FY '25, we had guided to launch five biosimilar products over the next 12 to 18 months, and I'm pleased to report that we have delivered on this commitment with successful launches of b Ustekinumab, bAspart, bBevacizumab and bAflibercept across geographies, and we expect an imminent launch of bDenosumab.
- We achieved a key milestone with U.S. FDA approval of bDenosumab and entered into a license agreement with Amgen, enabling commercialization of the product in the U.S.
- We have entered into a pioneering partnership with the government of California through Civica Inc., a

not-for-profit organization, to initiate the supply of affordable insulin glargine under the CalRx initiative. This strategic partnership enables us to reach underserved populations through new channels.

And while

we started with California, we will and we do hope to enter other similar agreements with other state governments as well.

The group recorded notable improvements in its ESG scores, reaffirming our commitment to responsible and sustainable growth. Biocon scored 71 in the 2025 S&P Global Corporate Sustainability Assessment, reflecting an improvement of 3 points over last year. The CSA score is as of 31st October 2025. Syngene saw its EcoVadis 2025 score rising to 74, up from 66 last year. This places the company in the 91st percentile, ranking it among the top companies worldwide for sustainability practices. Biocon Biologics won the prestigious Golden Peacock Award for Excellence in Corporate Governance for the year 2025, conferred by the Institute of Directors in London recently.

Financial Highlights

We built upon the strong performance in Q1.

In Q2, the group delivered 20% year -on-year growth in operating revenue led by a continued strong performance in biosimilars, revenue growth in generics and a steady performance in the CRDMO segment.

- Operating revenue stood at INR 4,296 crores, up 20% year -on-year. Biosimilars saw a 25% year -on-year growth, Generics a 24% year -on-year growth and the CRDMO business, a modest 2% year -on-year growth.
- Core EBITDA was INR 1,218 crores, which is up 23% year -on-year, with a margin of 28%.
- R&D investment was INR 251 crores or 7% of revenues, excluding Syngene. And this reflects continued pipeline investments across both biosimilars and generics.
- EBITDA grew 29% year -on-year to INR 928 crores with a margin of 21%.

- Profit before tax, excluding exceptionals, rose 153% year -on-year to INR 183 crores. Net of tax and minority interest reported net profit stood at INR 85 crores.

I would now like to discuss our business performance in a segmental manner.

Biosimilars Q2FY26 Update

Let me start with our strongest performing segment, which is Biosimilars. Q2 FY '26 marks our seventh quarter as a fully integrated global biosimilars organization. And we are now well into what we describe as the 'Accelerate' phase of our journey with multiple product approvals and launches over the last several months, an adaptive commercial engine across geographies and strong product pipelines will drive sustainable and profitable growth. The business consistently delivered healthy sequential growth backed by increased market shares across regions and of course, new launches.

Now coming to key highlights.

North America:

- Yesintek, our bUstekinumab, gained strong commercial traction with a market -leading position in the U.S., securing broad coverage across major channels, supported by ongoing contract wins and exclusive formulary placements.
- Our Oncology franchise continued to deliver strong performance with Ogivri®, (bTrastuzumab) and Fulphila® (bPegfilgrastim), holding over one-fourth of their respective market shares. We further strengthened our oncology portfolio with the launch of bBevacizumab.
- Our multiyear arrangement with the government of California to supply affordable insulin glargine under the CalRx initiative is the first of its kind in the U.S. And we anticipate this model to scale to other states.
- We also broadened our insulin portfolio with the successful launch of the first and only interchangeable biosimilar Aspart with the large integrated delivery network, further strengthening our position in providing affordable high- quality insulins to patients in the U.S. In Canada, our Yesafili, or bAflibercept, secured public funding on the drug benefit formulary for Ontario, the country's most populous province. Now since launching in Canada, Yesafili has had strong market adoption and has been designated in a preferred position in 3 provinces.

Europe:

- Our portfolio maintained stable market shares across products with upticks in Ogivri and Abevmy market shares, strengthening our

leadership in Oncology biosimilars on the back of successful tender wins, including the Spanish national tender and in other key European countries.

- We continue to advance our Immunology franchise, launching biosimilars Ustekinumab across 7 markets in Q2, marking a strong start to commercialization and setting the stage for accelerated growth with additional launches planned in the second half.

Emerging Markets:

- Our Emerging Market business delivered strong performance. We continue to deepen our presence and expand patient reach, achieving 9 new approvals and 8 product launches across key markets in AFMET, LATAM and APAC.

Segmental Financial Highlights (Biosimilars)

Biosimilar revenues for Q2 FY '26 stood at INR 2,721 crores, representing a 25% year -on-year increase. This growth in revenue translated into an EBITDA at INR669 crores, representing growth of over 40%. Business sustained EBITDA margin expansion for the second consecutive quarter, with Q2 FY '26 margins at 25%, up approximately 400 basis points, representing improvement in operating leverage as we continue to realize the benefits of economies of scale.

R&D investments for the quarter stood at 7% of revenues, reaffirming our ongoing commitment to innovation and pipeline advancement. And for the second consecutive quarter, profit before tax exceeded INR100 crores. Generics Q2FY26 Update

The generics business delivered strong revenue performance during the quarter growing both year -on-year as well as sequentially. The performance in Q2 was supported by recent product launches in generic formulations both in the U.S. and EU as well as growth in the base business across both generic formulations and APIs.

As part of our growth strategy, Biocon commenced with global filings of Semaglutide or gOzempic across markets, including in Canada and Brazil.

On the operations front, a key highlight of this quarter was the inauguration of Biocon's oral solid dosage manufacturing facility in Cranbury, New Jersey, which significantly expanded capacity to support our vertically integrated portfolio for patients in the U.S. The facility underwent the U.S. FDA GMP inspection during the quarter and the inspection concluded with one minor observation, response to which has already been submitted to the agency.

Segment Financials (Generics)

- Revenues registered INR 774 crores, a 24% year -on-year increase and 11% sequential revenue growth.
- R&D investments stood at INR 71 crores or 9% of segment revenues with continued progress across our GLP -1 and injectables portfolio.
- EBITDA stood at INR 43 crores , an improvement over last year and the previous quarter, driven by higher revenues.

CRDMO Q2FY26 Update

Syngene's performance in Q2 was in line with plan.

- Revenue of INR 911 crores, up 2% YOY ,
- Reported EBITDA at INR 215 crores with a 23% margin.

Performance in the quarter is reflective of the underlying revenue growth driven by research services, which has compensated for the impact of anticipated inventory correction in biologics manufacturing. The performance in the first half has been in line with expectations, and Syngene is maintaining its annual guidance for FY '26.

Strategically, Syngene continues to strengthen capabilities and expand its global footprint.

- Syngene secured its first global Phase III clinical trial from a U.S. -based biotech company. The trial will recruit patients across clinical sites, both in India and the U.S., reflecting Syngene's growing capabilities in the global clinical trials market.
- It also expanded its clinical trials footprint to Australia, New Zealand, U.K., Sri Lanka and Eastern Europe, strengthening global trial execution capabilities through strategic partnerships as well as established CROs in these regions.
- Syngene is set to expand its biologic facility in Bengaluru by adding a GMP bioconjugation suite, enabling seamless end -to-end manu

facturing of Antibody drug conjugates, or ADCs. This integrated setup will accelerate development timelines by housing both monoclonal Antibody production and GMP -grade bioconjugation at a single location while also enhancing Syngene's existing capabilities in payload and linker manufacturing.

So, to wrap up, I would like to emphasize the strong and sustained momentum across our biologics business.

- With a structured debt settlement through QIP proceeds, our balance sheet is stronger, and we expect a continued improvement in profitability in the quarters ahead.
- Our expanding biosimilar portfolio is differentiated, focused on high- value, high-growth therapy areas of diabetes, oncology and immunology.
- Our integrated go-to -market engine enables expanded patient access and affordability through varied channels, reaching over 120 countries worldwide.
- In addition, we have delivered 5 consecutive quarters of revenue growth, underscoring the resilience and scalability of our business.

For the Generics business, we expect performance in the second half of the fiscal to strengthen further on the back of new product launches and continued focus on expanding the reach of key products across global markets.

Our CRDMO business, Syngene, which has diversified service offerings and integrated presence across the value chain is well positioned to capitalize on emerging opportunities and drive medium - to long -term growth.

With a solid foundation and a clear strategic road map, all our businesses are well poised to build on their momentum to deliver sustainable long-term value for all stakeholders.

And with this, I now open it up for questions. Thank you!

Q&A Session

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Tushar Manudhane.

Tushar Manudhane: Good morning. Myself Tushar Manudhane from Motilal Oswal. So, firstly, on the Insulin Aspart now that we have launched the product. So, if you could just sort of help us understand the kind of traction that can be expected from this product, given that we are the only interchangeable player in this space. That's my first question?

Kiran Mazumdar Shaw: Over to you, Shreehas and Matt.

Shreehas Tambe: Yes. Thanks Tushar, for the question. And you're absolutely right. We are the first interchangeable bAspart that the FDA has approved. It is indeed a very proud moment for us. We are seeing a very strong traction for our insulin products, not just in the U.S. but globally. We will and we have already launched Aspart in a very responsible manner, first with an integrated player in the U.S., where we can responsibly supply that. We will continue to see a full year '26 demand that comes in. As you know that we will be working with these commercial payers through '25. And then as we get into '26, you will see the traction grow. But I do want to point out to you that we are seeing also an increasing demand for insulin Glargine, which continues to gain market share in several parts of the world. But Matt, if you want to add anything to that, please go ahead.

Matthew Erick: No, Shreehas. Thank you very much.

Tushar Manudhane: So effectively, let's say, second half FY '26, still to sort of do the procedural aspect and then to look at the commercial traction. Is that the way to think about it?

Shreehas Tambe: So, as I've said, Tushar, before as well, for the subsequent calendar year, you need to work between July and September or August and October in that time frame to gain commercial payer formulary status. We are the only biosimilar Insulin approved in the U.S. So clearly, there's a massive opportunity for us. And you will then get a full calendar '26 opportunity, which as you transition out

the existing product, you will start gaining market share. When I said responsible, these are chronic therapies, and you want to make sure that

you bring on patients and then you hold on to them for a very, very long period of time.

Tushar Manudhane: Understood, sir. That's helpful. Secondly, just on the R&D spend for the biosimilars business, we've seen scale up in terms of sort of as a percentage of biosimilars revenue, if you want to sort of guide for, let's say, full year '26, '27 in terms of the R &D spend on the biosimilar side, either on an absolute basis or as a percentage of revenue?

Shreehas Tambe: We've said, Tushar, that we would be in that 7% to 9% of revenues for R&D, and we continue to be in that range even now and on a full year basis, you will see us in that 7% to 9% range.

Tushar Manudhane: Got it. And just lastly, if I may, on the gross margins on the Generics business, what kind of gross margin we are tracking. And similarly, what kind of R&D spend one should sort of build for the generics business?

Siddharth Mittal: So, the R&D spend again, last quarter was at 9% of Generics revenue. And I expect it to be in a similar trajectory of 8% to 10% of revenues. And as far as the gross margins are concerned, we are looking at mid-40s. Of course, this fluctuates depending on what kind of product launches come up and what kind of pricing we get. We are, of course, expecting improvement in gross margin in the coming quarters. But at least in H1, we have seen mid-40s margin.

Tushar Manudhane: Got it, sir. I have few more I will join back in the queue. Thank you.

Moderator: Thank you. The next question is from Harith Ahamed. Kindly introduce yourself and proceed with your question sir.

Harith Ahamed: Hi, this is Harith from Spark Avendus. So, my first question is on the recent revised or updated guidance document from the FDA on the lowering requirements around comparative efficacy trials. And do we expect this to be a positive for us in terms of the R &D spends that we do

on developing each biosimilar product?

Kiran Mazumdar Shaw: So, to answer your question, it is certainly a positive for us, but I will ask Shreehas to further expand on this.

Shreehas Tambe: Thanks, Kiran. Harith, thanks for that question. If you refer to the previous conversations we've had on this topic, we clearly have said this is a very progressive move by the FDA. We appreciate these progressive steps that the agency has taken. We also see this as an opportunity for established players like Biocon, who've got an excellent track record of bringing products to market.

Having the Phase III or the CES trial, as they say, taken off, that doesn't necessarily lower the barriers to entry, which is the common perception, it certainly lowers the cost to development, and it certainly shortens the time to bring products to market, both beneficial for patients. So that's why it's an exceptional move. But it increases the focus and the burden on CMC development and facility GMP clearance for biologics. And on both these counts, companies which have been doing this for a very long period will essentially see more products getting to market sooner than in the past.

Harith Ahamed: And would you expect some of the newer players to accelerate their development and hence, more competitive intensity in the space?

Kiran Mazumdar Shaw: I think as Shreehas mentioned, Harith, whilst people will obviously try to invest in biosimilars much more exuberantly than they have done in the past because of cost of development, established players like Biocon Biologics will have a clear advantage of bringing more products to the market. So, we expect our pipeline development to be more expanded and extended and faster to the market. So, we don't necessarily see this as a competitive threat, but we see this as a great opportunity of expanding our portfolio.

Harith Ahamed: Got it. My second question is on the generics business. I see a fairly decent loss reduction versus the last quarter at the EBITDA level. So

,
trying to understand what exactly drove this group performance? Is it the newer launches like liraglutide and Dasatinib or is it the ramp-up that we've seen at some of these newer capacities at Vizag, Cranbury, the new peptide facility. So, if you can give some color, that will be helpful?

Siddharth Mittal: I think as we had indicated that we had 3 new facilities, which were capitalized in FY '25 and the fixed cost of those facilities are in the P&L starting quarter 1, and that's what led to the loss and we also said that as these capacities and the new launch comes up and the profitability improves, the loss, of course, or the profits would start looking better. I think we are delivering in line with that guidance. And, of course, the facilities getting capitalized is one thing. We also must lock in customers, especially for our APIs from these facilities, which would take some time, but the main uptick in the margin is because of the GLP-1 Liraglutide launch in the European market. And we, of course, have other products as well, which contributed to the revenue growth and the profit growth.

Dasatinib was launched in quarter 4 of last fiscal FY '25. So, it continues to do well for us. We had an important launch in quarter 2, which was

Sacubitril/Valsartan as well, which led to the growth in quarter 2 and the margin. And we would continue to see margin improvement and revenue growth traction in the second half of this fiscal.

Harith Ahamed: Got it. And last one, with your permission, on the interest costs. It's just broad in the consolidated P&L, it's broadly in line with what we saw in 1Q. And you had commented that there would be a reduction in line with the repayment of the Goldman Sachs debt. So, when can we see a reduction in this line item? Should we look at some kind of a quarter-on-quarter lower number in Q3?

Kiran Mazumdar Shaw: Yes. I think I mentioned in my comments, if you heard, that we've already started reflecting the Goldman Sachs impact on our margins. And I think Q3 will reflect the Kotak and then Q4 should reflect the Edelweiss.

Harith Ahamed: Thanks, Kiran. I will get back in the queue.

Moderator: Thank you. We will take the next question from Sidharth Negandhi. Please introduce yourself and proceed with your question, sir.

Sidharth Negandhi: Hi, this is Sidharth Negandhi from CWC. Firstly, congratulations on a very strong set of numbers and an improved balance sheet. I had two questions. First, there have been certain formularies that have excluded Aspart as a class. And in certain cases where NovoLog is at a superior tier to Kirsty. How do we look at sales for Kirsty and for Aspart in that case going forward? That was question number one.

Question number two was given the upcoming patent cliffs and specifically on Keytruda, which is really the largest one. There is no record of any clinical trials ongoing for Biocon. So, is that going on through a partnership? How should we think of your participation in biosimilar Keytruda? That was question number two

Kiran Mazumdar Shaw: Shreehas, over to you.

Shreehas Tambe: Let me answer the second question, and then maybe, Matt, you can comment on the bAspart question on the formulary status. So Sidharth, the question that you had was on the record on clinicaltrials.gov. I think it's very timely that the conversation that we've been having with the agency has resulted in the agency coming back and saying that the CES trial is no longer a mandatory requirement. In fact, it's not required for products to be approved. There are a couple of companies or more who've committed to this trial, and they have publicly stated that they are stepping back from those trials as well. Have we moved along that path, we would have probably incurred cost and exposed patients to that.

So, I think we've been forward-looking on this. We've taken the lead, as always, on the scientific conversations that

at we've had with the agency on saying that we have enough CMC data, enough characterization analytical data to demonstrate that our product should be approved without clinical study Phase

III. And what you've seen now, and we just talked about it, that the agency has taken a very progressive step. So clearly, it validates our views, and I do not think we are at a disadvantage. In fact, we believe we are in a position of strength at this point in time on these products, but over to you, Matt, for the first question.

Matthew Erick: Thank you, Shreehas. Thanks for the question. Look, as it relates to Aspart, as Kiran started in the opening comments, it's interchangeable. And as you realize, this is an extension of our diabetes franchise with the insulin glargine also being interchangeable. In the U.S., as it relates to formulary or opportunities, customers are continuing to be very bullish on Aspart from Biocon and we're working through those. But we don't see any limitations because of the channels. There's still a lot of opportunity for Kirsty, our Insulin Aspart. And we know those channels very well. And as Shreehas said, as we continue to be that responsible player and ramp up as formularies come, we'll be very aggressively pursuing those, and customers are anxiously awaiting and as we continue to roll out our Insulin Aspart. So, I don't see this as a concern as we look to move forward with our franchise.

Sidharth Negandhi: Sure. Matt, just wanted to understand given that it is the top 2 formularies, Optum Rx, premium formulary and the Express Scripts, which have, in one case, excluded Aspart as a class itself, does that, in any way, inhibit or limit the TAM for Aspart?

Matthew Erick: I would say no because certainly, we would love to have 100% market share in biosimilars. But as you look across the U.S., there remains a significant amount of payors and a significant amount of opportunity within the GPOs or integrated delivery networks to be able to grow our business and achieve very similar aspects into the current market share that we see with insulin glargine and continue to grow that franchise.

And as Kiran said, we have a unique relationship with Civica on Insulin Glargine. So, this is adding to our opportunities within our franchise as we go forward and looking to expand other programs either nationally or even state by state. So, I see this as a tremendous opportunity and are not concerned with some of these initial formulary decisions. It doesn't mean they're permanent.

Shreehas Tambe: I do want to add one point, though, Sidharth, to what Matt was saying. Important to note is that when the FDA talked about our Aspart approval, it said that it was the first interchangeable biosimilar rapid-acting analog. They did not approve it just as interchangeable to Aspart. So, there's a broader fungible market is what we believe. So, it's a bigger piece of the pie.

Sidharth Negandhi: That's useful. Thank you, Shreehas.

Moderator: Thank you. The next question is from Love Sharma. Please accept the prompt and introduce yourself and proceed with your question.

Love Sharma: I just wanted to just reconfirm what would be the current outstanding structured debt on the books as of September quarter?

Kedar Upadhye: Love, so the only instrument, which is outstanding as on 30th September is the Edelweiss instrument. Goldman Sachs exit happened on 30th June, and the

Kotak exit happened on 1st of October. And we have agreed with Edelweiss to exit on or before 31st January.

Love Sharma: Okay. Great. And in terms of the CP issuances, could you highlight how much has been the amount been issued so far?

Kedar Upadhye: Yes. So, the CP issue was for about INR 6 billion. That also has been repaid.

Love Sharma: Understand. Okay. Very good. Thank you so much. That's all from me.

Moderator: Thank you. The next question is from Surya Patra. Please introduce yourself and

proceed with your question.

Surya Patra: Thank you for the opportunity and congratulations for the great set of numbers. My first question is about the generic business. So obviously, we have seen a strong ramp up there. But now is it possible to share, sir, what is the split between the formulation and API business right now?

And, if you can talk a bit more about the margin profile, which has been relatively low currently given the kind of historical margin profile trend what we have been having, even though we have been having that on the

API business at the time?

Siddharth Mittal: Yes. Surya, so I think we have indicated that the margins are impacted because of the new facilities. And of course, formulation business margins are slightly

lower compared to the API business. But we are, of course, working on all the other cost improvement programs on the API also to further improve the

margins. I mean there is a class of products such as Statins, which is a challenging scenario. And we do continue to face a lot of pricing pressure there unlike Immunosuppressants, which continues to be high-margin business, and of course, Peptide continues to drive growth for us, which is primarily on the formulation side.

To answer your question in terms of the split, if you look at today, almost 60% of the business continues to come from API and 40% is coming from formulation. And then over the last couple of quarters, formulations are what's driving the growth and will continue to drive the growth as we move forward in the second half of this fiscal and also in the next fiscal.

Surya Patra: Got you. Extended point on the GLP capability and all that. We know that Biocon is one of the very limited players having the end-to-end manufacturing capability, starting from the drug substance to device to fill finish and all that. So since now this Semaglutide filing, the Liraglutide opportunity fill finish, all those are kind of in the visible range. So, could you share some idea that, okay, what is the device capacity that we would be having, what is the fill finish capacity that we would be having or in a different term, like what device capacity or what vial capacity that we are working with right now?

Siddharth Mittal: See, let me add that capacity will not be a constraint on the formulation side or the device side. We have multiple facilities, we have shared infrastructure, shared facilities with Biocon and Biocon Biologics. We have just commissioned our new injectable facility, which is, again, dedicated or focused on GLP-1s. We have external manufacturing network, CMOs and whatever is the demand which we anticipate over the next couple of years, we are very confident that we will not have capacity constraints, whether it's coming from API, whether it's coming from formulations or device assembly. And I think we are very well placed on all these fronts to capture the opportunity over the next couple of years. And, as you know, Ozempic opportunity is near term in the emerging markets, and the opportunity in the U.S. and Europe in various other markets start in '31. And I think the investments that we have made over the last couple of years puts us in a very comfortable position to capture the opportunity for next decade plus period, Surya.

Surya Patra: Okay. Your commentary about Yesintek progress and Aspart potential, really, it looks positive and strong. So, sir, is it possible to share that, okay, what is the kind of market share now we would have achieved on the Yesintek side? And on the Aspart side, although your commentary is fairly positive, but I'm just trying to understand, given the kind of past penetration potential scope, given interchangeability and all that, is it fair to believe that we'll start with the kind of market share, what we are having for Semglee?

Shreehas Tambe: Surya, first, thanks for that question. And let me start first with Yesintek. I think

let me get two, three points clear, just so that we can move on how this is. The first piece is that as a community, there was a concern that whether Stelara

would move in the similar direction as an Humira and it's encouraging to see that, that's not happened. You are seeing far more formularies listing biosimilars. Particularly, we've had tremendous success with Yesintek with over 70% of the commercial formularies listing the product. And that is very encouraging. So, it behaves very differently than what we had seen in the past, a couple of years ago. So that is one encouraging sign. The second piece is given that there are private label players and both do not report exact market share, it's hard to talk about what market shares would look like. But the

formulary coverage and the fact that we see uptick of the product indicates that Yesintek has an early lead on the biosimilar players. And it's taken a large portion of the biosimilar market, the market share, and you are seeing the brand starting to recede from formulary coverage. So, both these points, I would say, are very encouraging. We will also note that it takes a while for biosimilars to start showing in the market share projections. And the third and the last comment I will make is that and again, I'll take you back in time on what I've said about this is that market shares and ASPs are inversely proportional. And as a strategy, we've always looked at how do you value, maximize an opportunity, particularly in the chronic therapy area. We know we are in for the long, we have a massive opportunity. We are a fully integrated player. For Yesintek, we are fully integrated as we are for Aspart. So, we are not in a rush. We will do this in a responsible manner. And there is no reason for us to think that we should get any different market shares than the success that we've had with Insulin Glargine for Insulin Aspart as well. Surya Patra: Okay. One more point, sir, with your permission. About Denosumab and Bevacizumab, what is restricting us from commercializing the product? And in fact, we have been talking about the commercialization of the Bevacizumab by this time. So, any update on that? And how do you see the Denosumab since that is also kind of pharmacy benefit product. What competitive scenarios that you were anticipating there?

Shreehas Tambe: Yes. It's good that, Surya, you brought us to this product. This product is a little special. There are two brands that Denosumab is commercialized. One, like you rightly said, is in the pharmacy benefit space. And there's another brand which is in the medical benefit space. Both compete for a different share of the market, and there are different archetypes in how those are commercialized. One of them will follow the route that we just talked about where pricing will play a big role. And the other, which is in the medical benefit place, will follow a route similar to our oncology franchise, where pricing alone is not important. You will have to gain traction with the IDNs or the buyers so that you can value maximize it. They are linked commercially from a source of what WAC prices you come up with and how do you chase market share. There are 5 players in the market today and five more in the pipeline. So, there are going to be people chasing this. If we pursue just market share, there is going to be a risk of losing value very quickly. We understand this market very well, Surya. You have seen us do this with other products. And we will do this in a very measured manner. Matt and Josh who leads North America for us are familiar with this. And as I said before, we are in this for the long, so we will look to do this over a period of time, and we believe we will be very successful at.

Surya Patra: Sure, sir. Thank you. Wish you all the best.

Moderator: Thank you. The next question is from Abdulkader Puranwala. Please accept the prompt, introduce yourself

If and proceed with your question.

Abdulkader Puranwala: Yes, hi. Thank you for the opportunity. This is Abdul Puranwala from ICICI Securities. So just a couple of questions as a follow-up on the draft guidance. So, sir, what is your reading in terms of the market share improvement to what biosimilars can see post these norms on the interchangeable status kind of fading away or the study is no longer required. And a second one on that front, when we talk about rise in market share being inversely proportionate with the selling price, going ahead, what is the kind of erosion now you see in this particular arena as the competition intensity kind of picks up?

Shreehas Tambe: Yes. Abdul, thanks for your questions. Let me respond to your first question, which is we are just saying that how do you see the guideline impacting market share. I think the two biggest things that the guideline that the FDA has put out intends to achieve, one, is it intends to reduce the cost of development which it will do immediately, which is a positive sign. And two is, it will bring the time

down for development which will bring these products to patients sooner. So, it will cut down that development time significantly. So biosimilars getting to patients faster and the cost of these products for development being lower are the two primary benefits of this, both from a developer standpoint, a manufacturer standpoint, and actually a bigger benefit to the patients.

Now how each of the products will gain market share is a capability of your commercial platform. But it certainly will benefit patients because of these two

elements. Now coming to the other aspect where you talked about the inverse proportional relationship of market share and ASP, which I have been pointing out. The erosion in price is usually always an artifact of competition. And we have seen it everywhere. We welcomed it. We have been very successful at it. You need to be a fully integrated player to be able to leverage all aspects of that value chain. And we develop our products. We manufacture them. We have commercial capability, so we can be competitive in this space. We have not seen erosion, which is outside of that expectation that we had, had. So, it has been a gradual curve, and we continue to see when it stays competitive. It is not a cliff that we would have seen in some of the other parts of the business, not in biosimilars.

Abdulkader Puranwala: Got it. And just one final one, if I may. So, with this net debt reduction now, are we kind of laying out a road map for where we see the overall debt levels or net debt levels in the next couple of years?

Shreehas Tambe: So, we had always indicated, Abdul, that we have been committed to reducing debt at an overall level. And what you saw us do during the course of the last few quarters is we have retired all the structured debt. We have been able to

retire Goldman Sachs. We have been able to do that with Kotak. And more recently, we are talking about Edelweiss as well. So, you will see the structured debt go off, and that will have a positive impact on the numbers starting in the coming quarter, and you'll see it improve as we get towards the end of the year. So, you heard Kiran talk about the benefit that will accrue to the P&L as we move. We are also looking at seeing how we can work through a low interest piece. So, the interest costs overall, I see coming down in the coming quarters.

Abdulkader Puranwala: Thank you .

Moderator: Thank you. The next question is from Imtiaz Shefuddin. Please accept the prompt, introduce yourself and proceed with your question.

Imtiaz Shefuddin: Thank you. Great. I just have one question, and it's with regards to your debt. Would you be able to give us a breakdown of your gross debt? How

much is at a parent level? How much is at a BBL level? And the second one is on the short -term debt maturities. You have reported as of

September close to INR 69 billion. If you could just highlight what are some of your major short -term debt maturities and how do you plan to fund them?

Kedar Upadhye: Imtiaz, some of these questions, maybe we can take it off -line, and we'll give you all the details with respect to the debt in the subsidiary and debt at the parent level. But like what we have been saying all throughout , most of the net debt payable to bondholders and the banks is in the Biosimilar s subsidiary. That is about USD 1.1 billion as of September. The short -term maturities are really revolving credit. So those are not like payable. But the full details, why do not we take it offline.

Imtiaz Shefuddin: Great. Thank you.

Moderator: Thank you. The next question is from Nitin Agarwal. Please accept the prompt on your screen, introduce yourself and proceed with your question.

Nitin Agarwal: This is Nitin from DAM Capital. Shreehas, two questions. One is on biosimilars, can you give us a color on how does the revenues for the half year split across various geographies, U.S., Europe , and emerging markets?

Kedar Upadhye: Yes, Nitin, that ratio is roughly the same that we have been indicating, 40% in North America, 35% in Europe and 25% for Emerging Markets. That is the rough split.

Nitin Agarwal: Okay. And secondly on -- we've had a lot of discussion around the biosimilars in the U.S. But just if you can spend some time on giving us how you're seeing the progress on EU and emerging markets as far as

the portfolio is concerned? What kind of post the integration and where do you see these 2 things -- these two sort of geographies headed from

a portfolio perspective?

Shreehas Tambe: Nitin, thank you for that question. I appreciate it because we usually talk about the U.S. Europe has been a focused area for us. It is a big opportunity that we've talked about even in the past. In the initial phases, we have talked about moving this business into select markets in the European region, and you are starting to see that happen. You are starting to see the market shares grow in our oncology product.

It is significant progress over the recent quarters. And that is a part of it is because of our focus in that region. We've also believed that in Emerging Markets, while we have a very strong network of partners and we'll continue to build on it, there is a certain challenge when it comes to the tendering process, which brings in some predictability and concerns around how that business operates.

So, we are focused on two things in the Emerging Markets where we are looking to be self-led in more countries than we have been in the past. And two

is we are looking to bring in more balance of retail business in addition to our tender business, which brings in more predictability than we had in the past.

So, I believe both these regions, the European region as well as the Emerging Markets, have a tremendous opportunity for us as we continue to bring more products to patients in these regions.

Nitin Agarwal: And Shreehas, do you see this mix changing, the mix that Kedar alluded to currently as we go forward, with the launches in U.S. sort of set to scale up next year, do you see the mix changing meaningfully or you largely see both businesses growing as well as the U.S. does.

Shreehas Tambe: First up, we have a very balanced mix, if you see what you just said, it is about 40% or thereabouts in the U.S., 35% in Europe, and 25% in the rest of the world. And that is a very healthy distribution. There is no exposure in any one particular market. We expect all regions to grow. You may see a differential growth across, but we expect the balance to be in a similar range that we are seeing at this point in time.

Nitin Agarwal: And lastly, on insulins, the broader conversation around Insulins with some of the innovators looking to deprioritize insulins a little bit. I mean, if you want to just pr

obably just put in perspective the global opportunity that is there for players like us to step in?

Shreehas Tambe: Yes. You point out to a very, very important point. Biocon is very, very strategically placed in this particular opportunity. If you look back and see who the GLP-1 players are today, they are the insulin companies. Insulin companies

have brought in the Semaglutide. It is the insulin companies who brought the Tirzepatides to the market. The only other player outside of that which is a biosimilar insulin player and is in a position to bring in GLP-1s is Biocon. So, it does place us in a very unique position. There are several companies developing the peptide portfolios, but it requires a significant understanding of how the insulin space will evolve. We do see a growing opportunity in the insulin space. We have not seen any other biosimilar insulin really in the U.S.

at this point in time or in Europe. So, the opportunity is tremendous. During the call earlier today, we have heard questions on Aspart. We see that there is really no biosimilar player other than us at this point. And it is really up to us to take this market share in a very responsible manner so that we can provide options to patients for a very, very long time.

So the color I would provide on this is that not only is the insulin opportunity limitless, but there's the opportunity of having the peptide portfolio which

requires a tremendous amount of education and working with patients to understand each of the device that they will get, which will be different than the originator device is an experience that is invaluable because of our insulin commercialization capability and we see a huge success on that background.

Nitin Agarwal: Thank you so much. Best of luck.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Paliwal for closing comments.

Thank you, and over to you, sir.

Saurabh Paliwal: Thank you, everyone for joining us today. If you have any further questions, please feel free to reach out to us. Have a good day.

Moderator: Thank you, members of the management. On behalf of Biocon Limited, that concludes this conference. We thank you for joining us and you may exit the meeting now. Thank you.

-Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability

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BIO/SECL/TG/2025-26/180

February 17, 2026

To,

The Secretary

BSE Limited Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001 To,

The Secretary

National Stock Exchange of India Limited Corporate Communication Department

Exchange Plaza, Bandra Kurla Complex

Mumbai – 400 050

Scrip Code- 532523 Scrip Symbol- BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q3 FY26

This is further to our earlier letter dated February 13, 2026, regarding the presentation of Q3 FY26 Earnings Call held on February 13, 2026, please find enclosed herewith the Transcript of the Earnings Call. The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/quarterly-reports/fy-2025-26/>.

Kindly take the above information on record.

Thanking You,

Yours faithfully,

For Biocon Limited

Rajesh U. Shanoy

Company Secretary and Compliance officer ICSI Membership Number: A16328

Biocon Limited Q 3 FY26 Earnings

Conference Call Transcript

February 13th, 2026

Speakers and Participants from Biocon Limited, Biocon Biologics Limited

Dr. Kiran Mazumdar Shaw – Executive Chairperson, Biocon Group

Mr. Siddharth Mittal – Chief Executive Officer & Managing Director, Biocon Limited

Mr. Shreehas Tambe – Chief Executive Officer & Managing Director, Biocon Biologics Limited

Mr. Kedar Upadhye – Chief Financial Officer, Biocon Biologics Limited

Ms. Rhonda Duffy – Chief Operating Officer, Biocon Biologics Limited

Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Biologics Limited

Mr. Susheel Umesh - Chief Commercial Officer – Emerging Markets, Biocon Biologics Limited

Mr. Abhijit Zutshi – Chief Commercial Officer, Biocon Limited

Mr. Anuj Goel – Chief Development Officer , Biocon Biologics Limited
Mr. Deepak Jain – Chief Finance Officer, Syngene International
Mr. Prashant Nair – Head Investor Relations, Biocon Biologics Limited

External Participants during Q&A session

Neha Manpuria – Bank of America Securities India Limited
Damyanti Kerai – HSBC Securities and Capital Markets (India) Private Limited
Surya Patra – Phillip Capital (India) Private Limited
Shyam Srinivasan – Goldman Sachs India Securities Private Limited
Tushar Manudhane – Motilal Oswal Financial Services Ltd
Harshit Dhoot – Dymon Asia Capital
Sachin Jain – Prahas Capital
Sidharth Negandhi – CWC Advisors
Vishal Manchanda – Systematix Institutional Equities
Abdul kader Puran wala – ICICI Securities Limited
Vipulkumar Shah – Sumangal Investments

Prepared Remarks Session

Moderator:

Ladies and gentlemen, good day, and welcome to Biocon Limited's Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you would like to ask questions, please click on the raise hand option. Please note that this conference is being recorded. I now hand the conference over to Mr. Prashant Nair from Biocon Investor Relations. Thank you, and over to you, Mr. Nair.

Prashant Nair :

Thank you, Michelle. Good morning, everyone. Thank you for joining us today to discuss Biocon's third quarter results for financial year 2026. A press release and presentation related to the same have been sent to the exchanges and are uploaded on our website for your reference.

Before we get started, let me introduce the management team on this call. We have Biocon Chairperson, Dr. Kiran Mazumdar -Shaw; Mr. Shreehas Tambe, CEO and MD, Biocon Biologics, Mr. Kedar Upadhye, CFO Biocon Biologics, and along with other senior management colleagues across our business segments.

We will start the call with opening remarks from Kiran, which will be followed by an interactive Q&A session. Please note that this webinar is being recorded. The recording will be made available on our website within a day, and the call transcript will be made available subsequently.

Before we begin, I would also want to remind everyone about the safe harbour related to today's call. Comments made during the call may be forward -looking in nature and must be viewed in relation to the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

And now I would like to hand over the call to Kiran for opening remarks. Over to you, Kiran.

Kiran Mazumdar Shaw:

Thank you, Prashant. And I would also like to mention that Siddharth Mittal, CEO of Biocon and his senior colleagues will also be on this call.

Good morning, everyone. The strategic transformation we set in motion with Biocon Biologics ' acquisition of Viatri's biosimilars business is now reaching its conclusion through the planned merger of Biocon Biologics with Biocon. This milestone transaction valued Biocon Biologics at USD 5.5 billion and will establish an integrated biopharma enterprise with global reach and scale, combining world -class capabilities in biosimilars with our established strength in specialty generics. As we bring these businesses together, we are creating a platform positioned to accelerate growth , drive operational synergies and unlock significant long -term value for all our stakeholders. This resonates with the Finance Minister's recent emphasis on strengthening the biologics and biosimilars ecosystem in India through the Biopharma Shakti initiative. Biocon has been leading this agenda since the early 2000s investing steadily in R&D talent and globally benchmarked manufacturing. These long -term commitments

have enabled us not only to become a global leader in biopharma from India but also to drive India's emergence as a credible global biopharma hub, delivering affordable, high -quality, complex therapies at scale for noncommunicable diseases. Alongside this long -term strategic agenda, we have taken decisive steps over the past year to strengthen Biocon's balance sheet and simplify its corporate structure. These actions have transformed Biocon into a fundamentally stronger, simpler and more investable global biopharma platform. Over the past year, we proactively addressed acquisition -related leverage through 2 successive QIPs cumulatively raising nearly \$1 billion. This enabled the full retirement of the structured debt associated with the Viatri's transaction, materially derisking our capital structure, enhancing financial

flexibility and removing a key overhang that had weighed on investor sentiment.

The integration of Biocon Biologics into Biocon is a strategic step that brings together our biosimilars and specialty

generics business into a single globally scaled platform. This creates a differentiated business model with greater diversification across therapy areas, geographies and product lifecycles, while also enabling unified governance, disciplined capital allocation and consolidated cash flows within one listed entity.

Importantly, Biocon is uniquely positioned at the intersection of 2 of the fastest-growing global metabolic segments, interchangeable biosimilar insulins and generic GLP-1 peptides. Combined with our deepening biosimilars pipeline in oncology and immunology. This positions us well and truly at the forefront of affordable innovation in Chronic and Specialty Care.

Q3 FY '26 represents an important operational inflection point for Biocon. With major capex now largely behind us and operating leverage beginning to play out, we are progressing from a phase of balance sheet resilience into a cycle of sustainable growth, margin expansion and cash flow led value creation.

With this strategic foundation in place, let me now share the key business and performance highlights for the group this quarter.

Portfolio and Pipeline updates

During this quarter, we delivered significant milestones, enhancing the depth and reach of our global biosimilars and generics portfolio.

- We recently disclosed 3 new biosimilar oncology assets, Trastuzumab sub Q, Nivolumab and Pembrolizumab. These are among the largest oncology biologics scheduled to lose exclusivity over the next 5 years. These are part of our existing portfolio of 17 oncology medications which includes Pertuzumab or bPerjeta that was recently submitted to the U.S. FDA, as well as several small molecule cancer therapies. Our oncology portfolio, including undisclosed products, represents an almost US\$ 75 billion opportunity or approximately 35% of the global oncology pharma market.

- We launched generic Liraglutide for diabetes and obesity in the Netherlands as our first 'direct -to-market' GLP-1 in the EU.

- We also signed an out-licensing agreement with Ajanta Pharma to market our vertically integrated drug product, Semaglutide, in 26 countries across Africa, Middle East and Central Asia.

On 27th January, S&P Global Ratings upgraded Biocon Biologics long-term issuer credit rating from BB to BB+ with a stable outlook. As S&P noted, the stable outlook reflects its view that Biocon will sustain good earnings momentum over the next 12 to 18 months, enabling it to maintain its improved financial position. More recently, Fitch Ratings also revised its outlook on Biocon Biologics' Long-Term Foreign-Currency Issuer Default Rating (or IDR) from stable to positive, citing expectations of a sustained reduction in Biocon Limited's financial leverage. These upgrades serve as strong external validation of the progress we have made in strengthening the balance sheet. Interest cost has already started coming down and as indicated earlier, we should see annualized savings of approximately INR 300 crores from FY '27.

Now let me walk you through the financial highlights

In Q3 FY '26, the group delivered 9% year-on-year growth in operating revenue, led by steady growth in Biosimilars and Generics that offset challenges in the CRDMO segment.

- Operating revenue stood at INR 4,173 crores, up 9% year-on-year.

- o Biosimilars grew 9% year-on-year

- o Generics had a strong showing at 24% year-on-year growth

- o Our CRDMO business had a decline of 3% year-on-year

- Core EBITDA was INR 1,221 crores, up 21% year-on-year with a margin of 29%. This improvement was primarily driven by favourable revenue mix and operating leverage benefits in biosimilars.

- Our R&D investment was INR 249 crores, at 8% of revenues,

excluding Syngene, reflecting continued

pipeline investments across generics and biosimilars.

- EBITDA grew 21% year-on-year to INR 951 crores with a margin of 22%.

- Profit before tax, excluding exceptionals, rose 64% year-on-year to INR 226 crores.

- Reported net profit for the quarter was INR 144 crores.

- For the 9 months of FY '26, operating revenues and EBITDA grew at 14% and 24%, respectively, on a like-for-like basis. Core EBITDA margin stood at 27% versus 26% in the same period last year.

- Reported net profit for the 9 months stood at INR 260 crores.

I would now like to discuss our business performance in a segmental manner.

Let me start with Biosimilars

Our fully integrated global biosimilars business has been consistently delivering healthy growth backed by market share gains across regions and new launches. Over the last 9 months, we have successfully launched Yesintek, which is our biosimilar Ustekinumab, Kirsty, our biosimilar Aspart, Jobevne, our biosimilar Bevacizumab and

Yesafili, which is our biosimilar Aflibercept across geographies and expect an imminent launch of Vevzuo and Bosaya, which is our biosimilar Denosumab.

As we look to scale up these products, we have taken some steps this quarter to upgrade our operational manufacturing and quality backbone in line with best-in-class standards. While this moderated the pace of growth in Q3, it positions us very well for a more efficient and sustained ramp-up ahead. We also prioritized supply toward higher-margin markets which, along with stable demand and pricing, ensured higher profitability as you will see in the financial details covered later. We expect to continue our growth trajectory and are well positioned for stronger growth in the next financial year.

In terms of pipeline updates :

We finalized patent settlements with Regeneron, Bayer and Amgen, clearing the way for the global launches of Yesafili, which is biosimilar Aflibercept, and Vevzuo and Bosaya, which is our biosimilar Denosumab, respectively. With these developments, we have clear visibility on market entry and are well positioned to capture meaningful share in two large, fast-growing therapeutic categories.

In another strategic move that enhances flexibility and cost efficiency, we have secured full and exclusive global rights for Hulio®, which is our very successful biosimilar adalimumab, from Fujifilm Kyowa Kirin Biologics Company Limited, or FKB, Japan. Biocon Biologics will assume end-to-end responsibility for manufacturing and commercialization along with rights for any additional development activities.

Now coming to key highlights by geography.

Starting with North America :

- The business delivered another strong performance in Q3. Our established oncology portfolio of Ogivri® and Fulphila® continues to hold nearly a fourth of the market in the U.S.
- Yesintek® continued to gain meaningful traction in the biosimilar ustekinumab category, maintaining leading market share among biosimilars and over 70% market access commercial coverage.
- We expanded our strategic collaboration with the government of California through Civica Inc. during the quarter. This multi-year transformational agreement enabled Civica to launch affordable insulin glargine in California to expand access under the CalRx initiative.

Moving to Europe :

- We maintained stable market shares across products with the oncology franchise led by Abevmy® and Ogivri® delivering strong growth, supported by robust tender and contracting performance.
- Yesintek® (bUstekinumab) continues to receive strong reception in key EU markets.
- We also achieved two important regulatory milestones, which were the MHRA approval for Yesafili® prefilled syringe and the EMA approval for Yesintek® auto-injector.

When it comes to Emerging Markets :

- Our business delivered a stable performance, supported by steady demand in high-impact segments

in emerging markets.

- We successfully launched Yesafili in Turkey, achieving almost 20% market share.
- We secured key tender wins across APAC, Middle East, North Africa and Latin America for insulins and mAbs.

Segment Financials (Biosimilars) :

Moving to the financials, Biosimilar revenues for Q3 stood at INR 2,497 crores, representing a 9% year-on-year increase, driven primarily by North America market. EBITDA for the quarter stood at INR 700 crores, representing growth of 44% on a year-on-year basis. This translates into an EBITDA margin of 28%. Margin improvement in this quarter reflects better product and geography mix as well as operating leverage benefits as we continue to realize the benefits of economies of scale.

R&D investments for the quarter stood at 7% of revenues, reaffirming our ongoing commitment to innovation and pipeline advancement.

And for the third consecutive quarter, profit before tax exceeded INR100 crores.

For the 9 months FY '26, biosimilars revenue and EBITDA grew at 17% and 42%, respectively, on a like-for-like basis.

Now coming to Generics

The generics business continued to see momentum in the third quarter, delivering a year-on-year revenue growth of 24%. This performance was supported by ongoing launches of generic liraglutide across EU markets and an improved performance in the generic formulations base business.

R&D and operational updates :

We achieved strong regulatory progress with multiple market filings, including 10 generic formulations and nine API DMFs across U.S., EU, U.K. and key rest of the world markets.

In the U.S., we received final approval for tofacitinib extended-release tablets and Everolimus tablets for oral suspension.

On the operations front, we successfully completed the first commercial dispatch produced under the Phase II expansion at Cranbury, New Jersey.

Regulatory updates :

We received an EIR with VAI status from the U.S. FDA for our OSD facility in Cranbury, U.S.A., following an audit

conducted in October 2025. The API plant in Visakhapatnam also received an EIR from U.S. FDA with VAI status following a GMP inspection conducted in November 2025. Our API plant in Bangalore received a GMP certification from ANVISA Brazil post an audit conducted in July 2025.

Segmental financials (Generics) :

Revenue of the generics division recorded INR 851 crores, which is a 24% year-on-year increase. Sequentially, revenues grew 10%.

R&D investments stood at INR 76 crores or 9% of segment revenue with continued progress across our GLP -1 and injectables portfolio.

EBITDA stood at INR 47 crores, an improvement over last year and the previous quarter, driven largely by higher revenues.

For 9 months FY '26, generics revenue grew at 18% year-on-year, while EBITDA declined by 32%, attributable to higher costs related to the new facilities we have commissioned in the recent past.

Now coming to the CRDMO business

- FY '26 Nine months revenue from operations stood at INR 2,702 crores, up 3% year-on-year. Third quarter revenues from operations were at INR 917 crores, down 3% year -on-year.

- As has already been disclosed, the business has been impacted by challenges faced due to one customer. While this pressure will take some time to fully ease, it is transient. Syngene's differentiated scientific capabilities, long -standing client relationships and diversified model across research services and CDMO continue to underpin the business and give us strong confidence in its medium -to-long-term growth trajectory.

Business Performance:

During the year, Syngene extended its longstanding partnership with Bristol -Myers Squibb, or BMS, which runs through 2035, broadening the scope of its integrated services across discovery, translational sciences, pharmaceutical development, manufacturing and clinical trials. The company commissioned a commercial scale facility for liquid -filled hard gelatin capsules,

strengthening its oral solid dosage platform and enabling precise, reliable manufacturing of complex medicines.

Syngene also expanded its advanced chemistry capabilities at Hyderabad with catalytic screening and flow chemistry labs, enabling faster, safer and scalable synthesis of high -quality drug substances. With a renewed focus on diversifying its customer base in CDMO, Syngene expects to increase capacity utilization of its manufacturing facilities, both in India and the U.S.

Now, to wrap up

I would like to emphasize the progress we have made on multiple fronts, including our product basket and pipeline, go-to-market execution, and building a strong long -term operating model. Today, we are well positioned globally across high -growth segments of diabetes, oncology, and immunology, supported by a differentiated portfolio spanning biosimilars, insulins, generics and peptides, including GLP -1s.

As we look ahead, our focus remains clear : driving steady, sustainable growth, expanding margins, and consistently improving return on capital employed. We are confident in our ability to drive and deliver long -term value for our stakeholders through the Biocon One strategy.

With that, I now invite your questions.

Q&A Session

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Moderator: Thank you very much ma'am . We will now begin the question -and-answer session. The first question is from Neha Manpuria. Please introduce yourself and proceed with your question, ma'am.

Neha Manpuria: This is Neha from BofA Securities. First question on the biosimilar business, the upgrade of production and quality that you have mentioned, is it fair to assume that this is largely done and behind us? And second, what led to this need for this upgradation of production? Because these approvals were expected to come through this year. So , any specific reason that drove the upgradation at this point of time?

Kiran Mazumdar -Shaw: So maybe I will ask Shreehas to answer that question.

Shreehas Tambe: Yes. Thank you, Kiran. Thank you, Neha, for the question. I think that question is fair.

And as you've seen us talk over the last few quarters, you would have seen us receive several approvals of new products across geographies. We are also launching several products. You heard Kiran in her opening remarks talk about several launches that are upcoming.

We're also seeing a very substantial demand for our products across the U.S. and in Europe. So , what we've done in the current quarter, which was a planned operation, where we've upgraded our facilities to be able to scale up and be able to deliver on this increased demand as we go along.

So, in the coming quarter, of course, it continues in our growth trajectory like we had

projected. And as we focused on this current quarter, which you saw in our financials, we were able to also, given that we had a good demand for our products, prioritize high-margin markets which preserved the margins.

In fact, you will see that those margins have been higher than what our guidance has been in the mid -20s. So, we believe that this has gone as we had projected. And on a full year basis, we'll of course be in the mid -20s on our margins as well.

Neha Manpuria: Shreehas, then how should we think about growth from here? Like you said, that for the full year, we're still guiding mid -20s. Next year, given we have a bunch of these launches that will flow through, should we get back to, you know, the 20 plus percent growth trajectory for the biosimilar business with the mid -20s margin, or should that margin also improve going into next year?

Shreehas Tambe: Yes, I mean, as I've said, we've refrained from giving specific guidance for the future. We did say that we will have the mid -20s for the current financial year. Neha, I think if

you look back at what the growth has been, it's been strong growth in the last several quarters that we've had.

And with the launches now s

et up, which we've just talked about, with the demand growing across geographies, it's obvious that some of these things are expected to improve, but I'll refrain from giving any specifics on how the margins are expected to improve. But clearly, the future is more exciting than what the past has been, is a fair way to look at it.

Neha Manpuria: Understood. And sorry, if I may squeeze in one more question. I think we mentioned about capex being largely behind, and a lot of the focus now on cash flow generation. Could you help us through what the capex would look like for the consolidated entity in fiscal '26 and '27? And should we expect that to moderate as we look at the next two, three years?

Shreehas Tambe: I think maybe Kedar can come in on this one. At Biocon Biologics, Neha, as you know, most of our investments were behind us. The only real investment that we were focused on was our insulin capacity that we were looking to double. The drug product capacity comes online in the coming fiscal year, so we expect to double our capacity. So that investment is clearly behind us, and capacity will significantly increase in the coming fiscal. The only other thing which was going on was our insulin drug substance, so there is nothing new that we are investing on capex. But maybe, Kedar, if you want to add some more colour on this.

Kedar Upadhye: So, that's right, Shreehas. At a group level, we were tracking roughly \$ 275 million plus, Neha, if you recollect, of capex every year. That has moderated to less than \$225 million. And going forward, as the Malaysian capacity build-up gets over, I think we will see further moderation, because largely hereafter it will be maintenance capex across three companies.

Kiran Mazumdar -Shaw: I think, Siddharth, if you want to mention also that our investments in the peptides also is largely behind us.

Siddharth Mittal: Yes. So, I think we have invested, of course, in many facilities, including peptides, expanding our drug substance facility, and last year we commissioned our drug product facility. So, large part of capex in generics is over, and now it will be mainly the maintenance capex, which will be there, which is going to be very small compared to the previous investments.

Neha Manpuria: Understood. Thank you so much.

Moderator: The next question is from Damayanti Kerai. Please introduce yourself and proceed with your question, ma'am.

Damyanti Kerai: Good morning, all. Thank you for the opportunity. This is Damyanti from HSBC Securities. So, my first question is I just want to understand your other operating

expense during the quarter. So last time when we were discussing, we understood most of your costs are in the base. But sequentially here also, we saw a 10% jump. If you can help us understand that and how should we look at operating expense trajectory in coming quarters?

Kiran Mazumdar -Shaw: Kedar, would you like to take that?

Kedar Upadhye: Yes. So, Damyanti I think if you are referring to this other expense row, which is about INR1,178 crores, that comprises the expenditure across manufacturing facilities quality expenses, commercial expenses across three entities. And that is largely fixed in nature. There is some element which is linked to the sales across all the three companies. And the growth of that particular line will be lower than the revenue growth. That's how I think it's going to trend hereafter because most of the base spends on commercial setup, regulatory setup, all the global infrastructure for manufacturing quality enabling functions, all that is already in.

Damyanti Kerai: Okay. So , the current quarter number is a new base, if you have to look at and it will be mostly linked to the top line movement, the variable part?

Kedar Upadhye: That's true, yes.

Damyanti Kerai: Okay. So Kedar, can you also update us on the net debt position as of December 31 or as of, say, current

?

Kedar Upadhye: Yes. So , the net debt that we owe to the bondholders and the banks, it shifts in a narrow range of \$1.1 billion to \$1.2 billion. We have said that all the structured debt has been retired. So , end of June, the Goldman instrument got retired . On 1st October , the Kotak instrument got retired. And in the first week of January, we have retired Edelweiss as well. So , all that is over. This quarter, you've seen a decrease in the finance costs by more than INR 62 crores sequentially. And if you recollect, before we started this exercise, the annualized run rate of interest cost was trending upwards of INR 1,150 crores, INR 1,200 crores. And we have been able to substantially bring it down

Damyanti.

Damyanti Kerai: Okay. Sure. My last question is what is your rationale to acquire the full global rights for Hulio, adalimumab given it was a challenging market in the U.S.? And then that was a key market we were looking forward. But if you can just discuss that as well?

Kiran Mazumdar -Shaw: Shreehas, you might want to take that.

Shreehas Tambe: Yes. Thanks, Kiran. Damyanti, thank you for the question. See, Hulio for us is , contrary to perception, how you qualified , it's been a very, very successful franchise. We've consistently for the last five years and this is probably the sixth year that we've grown that franchise in Europe. It continues to be one of our products that delivers in excess of US \$200 million for us on an annual basis. So , adalimumab, Hulio is a very successful

franchise for us in the portfolio. And given that, that was a product that we continue to invest in, we wanted to always be a fully integrated player. So , this is a product we developed very closely with our partners in Japan. It's been very successful. And as we take it forward and increase our portfolio in the onco -immuno spaces, it made a lot of sense for us to integrate that product as well. So, that's the rationale and the thinking behind bringing Hulio into the fold as a fully integrated player.

Damyanti Kerai: So Shreehas, will that also improve our expectation for the U.S. market, or it will be mostly for ex U.S. market, which would be meaningful?

Shreehas Tambe: It would be meaningful for global markets , Damyanti . It will also give us the opportunity to also widen our offerings. As you know, we currently only have the low concentration product in the market. We will also have the opportunity to develop beyond that. And those are things we've talked about in the past as well with the community. And clearly now Biocon has the ability to determine its future and the destiny with this product.

Moderator: The next question is from Surya Patra. Please introduce yourself and proceed with your question.

Surya Patra: Thank you. Thanks for this opportunity, sir. Sir first clarification to the earlier commentary that you have made. Adalimumab (Hulio) is a \$200 -plus million business for us. Is that correct? And a couple of quarters back that you had mentioned, you have three molecules which have crossed \$200 million. So , whether this is one of that?

Kedar Upadhye: Yes. In fact, we had four molecules in the zone of 200 million annualized as of last year.

And yes, adalimumab is one of those molecules.

Surya Patra: I believe you are muted.

Kedar Upadhye: Yes. Can you hear me, Surya? What I was saying is that, yes, we had four molecules in the zone of \$200 million annualized revenues and adalimumab was one of that.

Surya Patra: Sorry, Kedar I cannot hear you.

Kiran Mazumdar -Shaw: If you can't hear Kedar, let me say that – Kedar was saying that it's not three, but four molecules, which are \$200 million plus, and adalimumab is one of them. Can you hear?

Moderator: Mr. Patra, I would request you to kindly check your network and your setup. I think there is a network issue or maybe the audio issue at your end? I would request you to kindly rejoin the

meeting. In the meanwhile, we'll take the next participant Shyam Sri nivasan.

Please introduce yourself and proceed to the questions.

Shyam Srinivasan: This is Shyam Srinivasan from Goldman Sachs Research. Just first question is just on the trajectory of the biologics business. Maybe I'm not looking at like

quarterly variations. But yes, there's been a slight slowdown in growth. I think

Shreeyas, you alluded to higher growth going forward.

So, what are some of the drivers that gives us confidence. I know I'm not asking

for a quantitative number, but just what drives revenue up. So, 9 months is also 17%. And I'm assuming very difficult to see what the underlying constant currency growth is, right? There has been a rupee depreciation impact also. So, I just want to see when are we moving to a slightly faster trajectory of revenue growth in the biologics business?

Shreehas Tambe: Thanks, Shyam, for your question. I think let me respond to you in a couple of points that you've made and let's look at what data points we will refer. I think the first up being that if you look back almost 7 or 8 quarters, I think there's been year -on-year growth that we can look at and we'll also look at sequential growth that we've had quarter -on-quarter.

Now we know that the last full year, we didn't have any new launches. And yet we saw that there was a significant increase in revenues year -on-year as well. So, we can go through the numbers. We can look at that data for you. But I think characterizing it as a slowing down of growth is probably something we'll have to sit down and look at.

Now coming to where it is headed, I was responding to a question which Neha asked earlier, we've clearly bought 5 new products, some of them we've launched. You've seen the uptick of Y esintek in the U.S. seeing a tremendous response. We've seen over 70% formulary coverage, we've been amongst those few biosimilars in the U.S., which is now about double -digit market shares.

So clearly, there's a step up from where it was. And growth will obviously be expected when you have new product launches, which would have then also higher knock -on effect on the margins that we were talking about earlier. We've refrained from giving specifics because there would also be some erosion in the legacy products, which have been in there in the market. So, we'll have to wait and watch, but we clearly feel very good about how things are trending sharply.

Shyam Srinivasan: Helpful, Shreehas. Just a second question on the generics business. I think a very solid performance this quarter. If you could kind of break it down into just the new what is traction on the new launches, including the GLP -1s? And how should we look at, say, again, outlook for this business?

Siddharth Mittal: Yes. So, Shyam, I think as Kiran mentioned in her opening comments, the growth was driven primarily by liraglutide launch in European markets, which was through our partner Zentiva as well as direct to market and couple of countries. And I think that traction would continue. We will be launching this product in a few more European countries in fourth quarter. We will also be supplying more product to our partner.

And apart from Europe, we are, of course, looking at other markets. So, our filing is under advanced stages of review in various markets, including the U.S. and depending on, of course, the FDA action, we are hopeful that we should be able to launch the product in U.S. and other Latin American markets in the coming quarters. So, the demand is still very solid. Of course, it's a de -growing market because a lot of patients over the last couple of years have moved to Ozempic, but we still see that there is a lot of demand, there is limited competition, and we have a very good play that will drive the growth.

Apart from Liraglutide, we had a couple of other products also that were launched. These are OS Ds, and w

e have a couple of more launches coming up -- and the base business also is doing good, the market share of our products is holding up in the U.S. So, I think overall, things are good, primarily contributed by Lira but other products will also continue to drive growth.

Shyam Srinivasan: Helpful, sir. Just one sub -question on the GLP -1 and semaglutide in Canada, elsewhere, if you could give us an update?

Siddharth Mittal: So, we had mentioned in quarter 2 that the filings have begun. We have filed in Canada, Brazil, Saudi, Turkey. And we continue to file in other markets. Of course, the review cycle is long drawn, especially in markets such as Canada, where we have not seen a single generic GLP being approved, including liraglutide, which has not been approved by Health Canada. So, we are hoping that sometime next calendar year, we should be in a position where we at least make advanced progress on semaglutide.

And I think the market still is very attractive. We have seen the actions taken by Health Canada on some of the earlier filers. And it continues to be a bit complex, but we are hopeful that next year, we should be able to make a good progress with Health Canada.

Moderator: The next question is from Tushar Manudhane. Please introduce yourself and proceed with the question.

Tushar Manudhane: Yes. Myself, Tushar Manudhane from Motilal Oswal Financial Services. Sir, firstly, just extending Shyam's question on Canada. So, if you could share your perspective in terms of what's holding on Canada as a regulatory authority for approving the GLP biosimilars or generics? That's my first question?

Siddharth Mittal: So biosimilar, of course, Shreehas can comment on it. We have seen many approvals of biosimilars in Canada. I think the GLP -1, of course, has a separate guideline path that Health Canada follows. And it is a bit different compared to what a European regulator or U.S. FDA follows. And I think, as I mentioned, that despite filings, multiple filings on liraglutide and other GLP's the Health Canada has not approved a single file there.

I think they are still trying to understand the risk associated with this product and the preclinical work that generic filers have to do. And I think we have done back and forth with Health Canada on our previous filing of liraglutide. So, we do understand a bit of what they are expecting. And I think we are hopeful that over a period of this year, they should be able to be very fixed and firm in terms of what they're looking at. And that's why we have confidence that by next year, that we should be able to get the approval.

I think we have mentioned in the past, we know we are a vertically integrated player on GLP. So, we have very strong characterization and development capabilities. We have our own drug product facility. We have our own device facility. So, we understand the science behind it. And I think we have to work with the regulator to explain that why it's a high-quality product, while it's a comparable product. And as I said, navigate the challenges. And it's not the generic filers. I mean we have seen other very credible companies who also filed and have had challenges. And I think working with the regulators is what's required. And I think they also understand that they have to approve it. If you look at the Canadian market, which is US\$25 billion today, Ozempic and Wegovy are, give or take, 8% to 10% of that market. So, bringing down the cost and making the drug affordable is, of course, a priority for the regulator as well. And I'm sure that we will, along with other filers, navigate that challenge soon.

Tushar Manudhane: So here, is this because innovators might have acting through biological routes where filers have done it through Synthesis route. Is that an area of concern?

Siddharth Mittal: No, I think that is very clear globally that everywhere, including U.S. and Europe, everybody

is developing with a synthetic route. So that is not a concern.

Kiran Mazumdar -Shaw: Yes, I think, if I may just jump in Tushar. Liraglutide has been approved by Europe. So, if you look at that as a case in point, then I don't think that is the issue. I think Health Canada really has to have a regulatory final view on what it requires to approve. And I think that is not very clear on all GLP ones. So, I think that is where the real issue is. But I think it should be resolved soon is our expectation.

Tushar Manudhane: And just on the progress on the insulin aspart, if you could share?

Kiran Mazumdar -Shaw: So, insulin aspart has been approved. In the U.S., as you know, it is the first interchangeable insulin aspart. It is already approved in Europe, and maybe I'll ask Shreehas to comment on what is it that you exactly want to know.

Tushar Manudhane: How the commercial scale-up is expected to happen over the next 12 to 18 months?

Shreehas Tambe: Yes. Thanks, Kiran. Thanks, Tushar, for the question, and we can add more color to what we were just saying when Kiran commented on it. We're very proud of the fact that we are the first interchangeable rapid acting analog that the FDA has approved. We've got prior approvals in other jurisdictions as well. We've said in the past that we had a

very responsible insulin company where clearly, there's tremendous opportunity here again, like some of our other products. We see that there's just the originator and us that are looking to target this -- we've had a very, very successful entry into the U.S. market with the closed-door hospital networks that has already been very successful. We see close to 100% conversion to our product. So that's been a very good response that we've seen. And they're now as Matt, who is our Chief Commercial Officer for Advanced Market and Josh Sasly, who leads the North America team, deal with the responses coming up, you will see more progress into a wider group of customers as we expand our presence in the North America market with this asset.

Tushar Manudhane: So effectively, will that convert into, let's say, the business in this calendar year or this process will sort of have its own gestation period. And accordingly, the business scale-up will be somewhere maybe like 3 to 5 months down the line, how do you think about that?

Shreehas Tambe: We would certainly look to move this product into this financial year. As you know, our

demand for insulin Tushar has been growing. And we are looking to add more capacity. I just talked about doubling our drug product capacity this fiscal. Our insulin glargine capacity demand continues to expand. So, we are looking to now bring more product in so that we can be a reliable supplier and a partner to our customers and patients as we bring more products in the insulin franchise. So, this should happen in the current fiscal, and we look to expand that to more customers beyond what we've done so far.

Moderator: We'll take the next question from Surya Patra.

Surya Patra: Yes. Thanks for the opportunity. This is Surya from Philip Capital. Sorry for the repetition of the question. I could not hear last time. So, I was asking that whether adalimumab is one of the top three products which have crossed 200 million for us?

Kiran Mazumdar -Shaw: So, let me answer that by saying that Kedar said, it's not three, but four molecules, which have got over \$200 million in revenue and adalimumab is one of them. I think you will have to take this offline because he cannot hear for some reason.

Moderator: Yes, ma'am. We'll move on to the next question from Harshit Dhoot. Please introduce yourself and proceed with your question.

Harshit Dhoot: Okay thanks a lot for the opportunity ma'am. Harshit Dhoot from Dymon Asia Capital. Just one bookkeeping question. Our EBITDA of INR700 crores in biosimilars business, is there any inclusion of the exceptional

gain, which we

have put in the notes to accounts in this INR 700 crore number?

Kedar Upadhye: No, Harshit, that gain is in the exceptional line. It's not part of the ordinary business. So that gain that we have realized by virtue of the integration transaction is not in the EBITDA line, Harshit.

Harshit Dhoot: So, INR 700 crores is the clean EBITDA, Kedar?

Kedar Upadhye: Yes, for biosimilars.

Harshit Dhoot: So, can you please elaborate what has changed? Because sequentially, top line was down and EBITDA shot up. So, what were the improvements that drove this the good number in biosimilars business?

Kedar Upadhye: Yes. So, Shreehas has clarified that this quarter, we have prioritized high-margin markets. So usually, the North American geography mix out of total biosimilars is roughly 40%. This quarter, it's beyond 46%, 47%. And that's the reason we have been able to get both higher gross margin and EBITDA as a percentage terms.

For your simulation and modelling, you should consider, let's say, full year average because the other regions will shape up in the coming quarters. So maybe you should go around with our usual margin and a full year average margin and not this quarter's margin.

Harshit Dhoot: Okay, thanks Kedar. Thanks a lot.

Moderator: The next question is from Sachin Jain. Please introduce yourself and proceed with your question. Your audio is low. If you could be a little bit louder.

Sachin Jain: Sir, I want your view on the insulin market. Is it now a supply-constrained market, particularly when innovators moved their capacity towards weight-loss drug. So how is the current scenario? Can you just give some overview on that?

Kiran Mazumdar -Shaw: Shreehas you might want to answer.

Shreehas Tambe: Yes, I only could hear you, Sachin, briefly. You said is it a supply constrained or a demand constrained market? Did you refer any specific product or product?

Kiran Mazumdar -Shaw: No, he said, the question he asked was, given that GLP-1 is where the innovators have been focusing on, is insulin a supply constrained market, or what is happening? He wants to know.

Shreehas Tambe: Well, I think the way I would classify this is, that the insulin demand has continued to be robust, Sachin. And given that there is just the innovators and Biocon, it is a very unique situation to be in. We've made significant investments in our unique technology platform. So, we have a proprietary platform on which we make our insulins, which is innovative in that sense.

And we also have very large-scale manufacturing capacity, device capabilities, which is needed for insulin. So, demand is absolutely not a challenge here at all. And it is as much as we can make, which is why when I was responding to Tushar, we've been very responsible in taking on more patients because this is something when you take on a chronic therapy, you do it for life.

And we are doubling our capacity in the drug product insulin capacity, and you will see that franchise grow in the coming quarters as we take on more market share. We do not expect that the insulin demand globally will reduce. And we expect us to be a very, very significant player in the insulin space.

Sachin Jain: Sir, when you likely believe Malaysia expansion will commercialize.

Shreehas Tambe: Sorry, you are very feeble, but my understanding of your question is when do you see the Malaysia expansion go commercial? If that is your question, then the drug product is expected to go commercial in the coming fiscal, which is fiscal '27, and the drug substance expansion, which is also expected to double our capacity will come in a year or 1.5 years after this.

Sachin Jain: Thank you so much.

Moderator: The next question is from Siddharth Negandhi. Please introduce yourself and proceed with your question.

Siddharth Negandhi: This is Siddharth Negandhi from Chanakya. Just a couple of nuances on the bios

similar business. Given we launched new products in this quarter and the previous quarter, could you give us a sense of how the year-on-year and quarter-on-quarter growth plays out between the existing products and the new launches? That was the first part of the question.

And similarly, would it be fair to assume, given the higher sales in the US that we've seen a year-on-year or quarter-on-quarter decline in EU? So that was one.

The second was if you could share some colour on the market share of the products, both the legacy products and some of the new products and insulins?

Shreehas Tambe: I think multiple questions in that. See, the first one, is how do you look at the quarter-wise progress of these numbers. My sense is, I think Kedar responded previously is the way to look at this is a wider window of four quarters. And as new products launch and get to market, we've said even in the past that some of these take, four to six quarters, some of them take, maybe up to six to eight quarters to reach their peak sales.

But you will start seeing the ramp-up. You'll start seeing the numbers play into the P&L as products start gaining traction. Fiscal '27 is the first time that you will see some of these launches that we did in '26 begin to play out as the numbers get into the quarter. So that is as far as we can go because it's hard to give a quarter-by-quarter prediction on how every launch in every market will play out. That's number one.

I didn't quite follow your question on the European piece. We are looking to grow the European market as well. This particular quarter, you heard Kedar say that we've prioritized profitability. We've looked at higher margins, which is reflected in the financials. But we see demand across regions. And as more products come online, you

will see all our regions, North America, Europe and even the rest of the world, emerging markets show a very strong growth. That is expected to happen.

And the third piece which you were referring to in terms of what our market shares have been, I think they've been very strong. Kiran, in her opening remarks, mentioned that we can refer to them as legacy products, continue to have over 1/4th of the market in oncology products that we launched back in 2018. So, I think we've continued to hold that market share, continue to be profitable, again, reflected in the numbers.

And if you look at the European trends, again, in oncology, we were under 6%. Now those are trending in double digits again. So, clearly, demand is strong. And as we look at the coming quarters, supply will grow as well as we qualify more facilities. So, all in all, quite promising what the coming quarters look like. I hope, I responded to all your questions.

Siddharth Negandhi: Thanks Shreehas. Just one follow-up on that -- and sorry, one additional question. On semaglutide in India, right, given the prior transactions with Eris, etcetera, what is the play in India looking like from Biocon's perspective for semaglutide?

Shreehas Tambe: Maybe Siddharth, you would come in and respond to that?

Siddharth Mittal: Yes. So, I think what we have heard other companies that, of course, there have been approvals and they're going to launch the product soon, and the pricing here will be very competitive compared to global pricing. So, we do have our clinical approval to start our Phase III clinical in India.

And our strategy typically in India is through a partner, since we had divested our business, the branded formulations business to Eris, we did tie up for liraglutide with two other companies in India. One of the partners had launched the product last year through a reusable pen. And if we do a clinical trial in India, and if we do still see a good economical value and return on the clinical investment, then of course, the go-to-market strategy will be through a partner.

But I think, let me tell you that India is on

e of the only markets in the world where you need a full-blown clinical trial, unlike Europe, US and other markets where you don't need clinical trial. That's why it's a decision whether we wait for one of the ICH country approvals and then apply for a clinical waiver, like we did for liraglutide versus spending

that money, which is not small. It's a significant investment in Phase III clinical. So that decision will be taken. And one way or the other, we will apply for marketing approval in India in due course, and the commercialization will be through a B2B partner.

Shreehas Tambe: Thanks Siddharth, that was helpful.

Prashant Nair : Michelle, can we take the last two questions, please?

Moderator: Yes, sir. Ladies and gentlemen, we'll be taking last two questions in the interest of time. The next question is from Vishal Manchanda. Please introduce yourself and proceed with your question.

Vishal Manchanda: Hi good morning. This is Vishal Manchanda, Systematix Institutional Equities. On adalimumab, could you give a timeline as to when the regulatory process and tech transfer can get completed and broadly, the rationale for doing this deal?

Shreehas Tambe: If I may respond to that question. Damayanti had probably a similar question, and we just respond on the rationale. So, I can go through it if needed again. But clearly, we have much better control on the product now, Vishal. We have end-to-end integration that allows us to do more with that asset than we had or we were able to until now. It's a very important product in our portfolio. So that probably that rationale is something that is very strong and continues to guide our investment in the asset. In terms of how it's going on, tech transfer is already initiated. It will happen in phases because there's an element of the device. There's an element of the syringe itself, these are on the drug product side.

And there's the element which is related to tech transferring the clone and the drug substance. And all of these are going on, and we will work with regulators globally to see that these things evolve. There is close coordination and collaboration with FKB in Japan. And this is a process that is more collaborative than hands off. So, we expect this to happen in a very collaborative manner, Vishal.

Vishal Manchanda: And just one more on Aflibercept. Just wanted a clarification whether we own 100% of the rights here or we'll have to give out some profit share to J&J or Momenta?

Shreehas Tambe: Maybe Kedar, you want to comment on this?

Kedar Upadhye: Yes, Vishal, whatever the royalty, there's no profit share, there is a small royalty. We are not public about the quantum, but it's not very significant.

Vishal Manchanda: Understood. Thank you. That's all from my side.

Moderator: This will be the last question for today, which is from Abdulkader Puranwala. Please introduce yourself and proceed with your question.

Abdulkader Puranwala: Just two questions from my end. First, on the generic space. So, Novo Nordisk is now talking about launching vials in next year, citing generic threats. So how do we perceive this and versus the investments what we have done currently?

Siddharth Mittal: Well, if the innovator does launch a different format or a different form of formulation, we will, of course, assess whether we need to develop it and for which market. And I think the disposable pen is what's the standard in most developed markets in US and

Europe, and they might have a different strategy for emerging markets. And I think at this stage will be difficult to comment, but we will, of course, track what makes most sense.

Abdulkader Puranwala: Understood. And just a final one on your biosimilar growth. So sorry for hampering on this. But if we look at the nine-month number of 17%, would it be possible to split this across, your older products versus the new products what you have launched

in the last six to nine months?

Kedar Upadhye: Yes. Abdul, as we have explained in the past, the scale-up of biosimilars is a bit staggered over multiple quarters. So, a large part of the growth that we have demonstrated in the nine months is based upon the strength of the existing franchise.

Abdulkader Puranwala: Got it, Kedar. Thank you for the clarification.

Moderator: We'll take one more last question for the day, which is from Vipul Kumar Shah. Please introduce yourself and proceed with your question.

Vipul Shah: I'm an individual investor. So, you named you have four molecules with \$200 million-plus revenue. So, can you name them? Is it possible to name them? And second question is, we were pursuing oral insulin program long back. So, are we still pursuing it or we have dropped it?

Kiran Mazumdar -Shaw: So, let me first answer the first question, and then Kedar can answer the second, your other question about which are the four molecules that have crossed \$200 million. As far as oral insulin is concerned, physiologically, it worked, but financially, it didn't make sense because insulin is a very low-cost product from that point of view. And to make it work, it was going to cost a lot more. So financially, it was not viable. And hence, we dropped the program.

Kedar Upadhye : Thanks, Kiran. Vipul, the four molecules we have named last year, so I think trastuzumab, pegfilgrastim, insulin franchise, including glargine and adalimumab. These are the four molecules which have crossed \$200 million in FY '25.

Vipul Shah: And Kedar, last question, what is the debt reduction road map?

Kedar Upadhye: Yes. So , in the last two quarters from June till now, you have seen all the structured debt getting retired. And cumulatively, that will be upwards of almost \$550 million to \$600 million. So that has happened. Now the debt ratios have improved. You have seen upgrade from both S&P and Fitch.

So, we are happy about it. And effectively, what remains is the debt that we owe to bondholders and syndicated loan that we are on the journey for reduction in the subsequent quarters based upon organic cash flow generation.

Vipul Shah: Same \$500 million reduction can be expected in next financial year?

Kedar Upadhye: See, we are not quantifying. And in one year, such a large quantum is not possible. But look, that's our one of the biggest and top priorities.

Vipul Shah: So net debt is how much?

Kiran Mazumdar -Shaw: I think you should Vipul ji, you should actually look at what is your reduction of debt -to- EBITDA ratio. I think if you look at it, it has come down substantially. It is now below 2.5x. And I think what we will look at is to see how we can take that down further.

Moderator: As that was the last question for today, I would now like to hand the conference over to Mr. Prashant Nair for closing comments. Thank you, and over to you, sir.

Prashant Nair: Yes. Thank you, Michelle, and thanks, everyone, for joining the call. If there are any questions unanswered, please get in touch with the IR team. Thank you.

Moderator: Thank you, members of the management. Thank you, ma'am. On behalf of Biocon Limited, that concludes this conference. Thank you for joining us, and you may exit the meeting now. Thank you.

-Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability

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May 14, 2026

To,
The Secretary
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To,
The Secretary
National Stock Exchange of India Limited
Corporate Communication Department
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 05 1
Scrip Code - 532523 Scrip Symbol - BIOCON

Dear Sir/Madam,

Subject: Transcript of Earnings Call Q4 FY26

This is further to our earlier letter dated May 08, 2026 , regarding the presentation of Q 4 FY26 Earnings Call held on May 08, 2026 , please find enclosed herewith the Transcript of the Earnings Call .

The same is also available on the website of the Company at <https://www.biocon.com/investor-relations/financial-information/earning-call-transcripts/> .

Kindly take the above information on record.

Thanking You,

Yours faithfully ,

For Biocon Limited

Rajesh U. Shanoy
Company Secretary and Compliance officer
ICSI Membership Number: A16328

Biocon Limited Q 4 FY26 Earnings
Conference Call Transcript
May 08th, 202 6

Speakers and Participants from Biocon Limited

Dr. Kiran Mazumdar Shaw – Executive Chairperson, Biocon Group
Mr. Shreehas Tambe – Chief Executive Officer & Managing Director, Biocon Limited
Mr. Kedar Upadhye – Chief Financial Officer, Biocon Limited
Mr. Anuj Goel – Chief Development Officer, Biocon Limited
Mr. Matthew Erick – Chief Commercial Officer – Advanced Markets, Biocon Limited
Ms. Rhonda Duffy – Chief Operating Officer, Biocon Limited
Mr. Susheel Umesh – Chief Commercial Officer – Emerging Markets, Biocon Limited
Mr. Amit Kaptain – Head - Global API Commercials & FDF – EM, Biocon Limited
Mr. Deepak Jain – Chief Finance Officer, Syngene International
Mr. Prashant Nair – Head Investor Relations, Biocon Limited

External Participants during Q&A session

Neha Manpuria – Bank of America Securities India Limited
Damayanti Kerai – HSBC Securities and Capital Markets (India) Private Limited
Sanjay Kohli – Goldstone Capital
Avnish Burman – Vaikarya Change LLP
Sidharth Negandhi – CWC Advisors
Tushar Manudhane – Motilal Oswal Financial Services Ltd
Imtiaaz Shefuddin – Barclays
Surya Patra – Phillip Capital (India) Private Limited
Vishal Manchanda – Systematix Institutional Equities
Nitin Agarwal – DAM Capital Advisors Limited

Prepared Remarks Session

Moderator:

Ladies and gentlemen, good day, and welcome to Biocon Limited's Q 4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you would like to ask a question, please click on the raise hand option. Please note that this conference is being recorded. I now hand the conference over to Mr. Prashant Nair from Biocon Investor Relations. Thank you, and over to you, Mr. Nair.

Prashant Nair :

Thank you, Michelle, and good morning, everyone. Thank you for joining us today to discuss Biocon's Fourth quarter and full year results for financial year 2026. A press release and the investor presentation relating to today's results have been filed with the exchanges and are also available on our website for your reference.

As a reminder, in fiscal '25, we had certain one-time benefits, including contributions from generic lenalidomide in the U.S. and divestment of our India branded formulations business. To enable a like-for-like comparison, we have provided adjusted financials, excluding these items in our fact sheet and presentation.

Let me now introduce the management team on today's call. We are joined by Biocon Chairperson, Dr. Kiran Mazumdar-Shaw; Mr. Shreehas Tambe, CEO and Managing Director of Biocon Limited; Mr. Kedar Upadhye, CFO of Biocon Limited, along with other senior members of our management team.

We will begin with opening remarks from Kiran, following which we will open the call for an interactive Q&A session. Please note that this call is being recorded. The recording will be made available on our website within a day, and the transcript will be shared shortly thereafter.

Before we begin, I would also want to remind everyone about the safe harbor related to today's call. Comments made during the call may be forward-looking in nature and must be viewed in relation to the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

And now I would like to hand over the call to Kiran for opening remarks. Over to you, Kiran.

Kiran Mazumdar Shaw:

Thank you, Prashant, and good morning, everyone. I would like to start by saying that Q4 marked a strong close to an important year for Biocon. We delivered a resilient operating performance despite a very volatile macro environment while also completing one of the most significant strategic transitions in our journey.

The external environment remained challenging throughout the quarter with geopolitical uncertainty continuing to impact supply chains, logistics and energy costs. What stands out for me is the way our team stayed focused on execution and delivered a good performance, reinforcing the underlying resilience of our business.

I want to particularly acknowledge our team for the way the integration of our biosimilars and generics business was concluded seamlessly in under 100 days with no disruption to business operations, customers or patients. It reflects the strength of our execution engine and the discipline with which we run this organization. This was a very complex organizational and financial undertaking, and it has been delivered with speed, discipline and clarity of intent.

With this, we are now operating as one unified biopharma entity with a stronger balance sheet, improved leverage metrics and a more integrated global commercial footprint. As I've said before, this is a value-accretive step that creates a simpler, stronger and more efficient operating model, unlocking synergies across our supply chain,

commercial engine and capital allocation.

We are now moving from a phase of integration and investment to one focused on execution, operating leverage and value creation.

From a capital and

investment perspective, the heavy lifting is largely done and behind us. Over the past few years, we have invested materially to build global scale capabilities and capacity, particularly in biosimilars, insulins, peptides and complex generics. As we stand today, this major investment phase is substantially complete. The emphasis now is on improving utilization, expanding margins and driving steady improvement in return on capital employed.

A key pillar of this transition has been the continued strengthening of our balance sheet. During the year, we made further progress on deleveraging and improving financial flexibility. With the buyout of minority shareholders in Biocon Biologics and the repayment and refinancing actions already taken, we now have full economic ownership of our largest growth engine. Importantly, interest cost savings have begun to accrue, and the full annualized benefit will be visible from FY '27, further supporting profitability and cash generation.

Now let me come to key business developments.

Now before moving to the financial performance, let me highlight a few business developments that reinforce the strategic progress we are making across our portfolio.

- We achieved important product approvals in biosimilars and generics, further strengthening our presence in regulated markets.
- We received Health Canada approvals for Bosaya™ and Vevzuo™, our denosumab biosimilars to Prolia® and Xgeva®, expanding our footprint in bone health and oncology and adding momentum to this important franchise.
- After the close of the quarter, we announced the U.S. commercial launch of Bosaya™ and Aukelso™, our denosumab biosimilars in the U.S.
- We also received U.S. FDA approvals for liraglutide during the quarter, covering both diabetes and weight management indications.

Taken together, these developments reflect continued progress in advancing our portfolio across oncology, immunology and metabolic diseases, while steadily translating approvals into commercial scale up.

Let me now walk you through the financial highlights. In Q4 FY '26, the group delivered a biosimilars-led 10% year-on-year growth in operating revenue, excluding the onetime bonus of generic lenalidomide in Q4 FY '25.

- Biosimilars grew 12% year-on-year.
- Generics, excluding lenalidomide, grew 13% year-on-year
- CRDMO business grew 2% year-on-year.

EBITDA was at INR1,073 crores with a margin of 23%. Adjusted for generic lenalidomide in the base, this was up 29% year-on-year. The improvement was primarily driven by favourable revenue mix and operating leverage benefits in biosimilars.

The reported net profit for the quarter before exceptionals was INR179 crores.

For FY'26, adjusted for generic lenalidomide, operating revenues and EBITDA grew at 13% and 25%, respectively.

EBITDA margin stood at 22%, which is up around 200 basis points year-on-year on a like-to-like basis.

Reported net profit for FY '26 before exceptionals stood at INR436 crores.

I would now like to discuss our business performance in a segmental manner.

Let me start with biosimilars.

The biosimilars business enters FY '27 on a strong footing with a broader portfolio, expanding global footprint and improving profitability, positioning it well for the next phase of growth.

In North America,

- Yesintek continued to gain traction in the U.S. market. This is our biosimilar ustekinumab with growth supported by expanding formulary coverage and increasing physician confidence. The brand continues to build momentum in line with expectations, reinforcing our confidence in its longer-term potential.
- We also made progress with the launches of Bosaya™ and Aukelso™, which are our biosimilars of denosumab in the U.S.

Now moving to Europe,

- During the quarter, we broadened our immunology footprint with the launch of Yesintek® across multiple markets, expanded our ophthalmology presence with Yesafili®,

which is our biosimilar aflibercept in the

U.K. and other key countries, and continue to expand our oncology franchise with Abevmy®, which is our biosimilar bevacizumab and Ogivri® biosimilar trastuzumab. We also launched Evfraxy®, which is our biosimilar denosumab for bone health in Germany.

- On the regulatory front, Swissmedic approved our ustekinumab biosimilar Yesintek® and in the U.K. and the MHRA granted approval for the Yesintek® auto-injector, enhancing patient convenience and supporting broader uptake.

Coming to emerging markets,

- Execution during the period was driven by tender wins, new product filings and selective launches across priority markets.
- We continue to scale the business through a mix of self-led operations in key countries and partnerships

in others.

Coming to segment financials,

- Biosimilars revenue for Q4 FY '26 stood at ₹2,756 crores, representing a 12% year-on-year increase, driven primarily by advanced markets.
- EBITDA for the quarter stood at ₹720 crores, representing growth of 33% on a year-on-year basis. This translates into an EBITDA margin of 26%. Margins in this segment continue to reflect the benefits of improved revenue mix as well as operating leverage.
- R&D investments for the quarter stood at 7% of revenues, reaffirming our ongoing commitment to innovation and pipeline advancement.

For FY '26, Biosimilars revenues and EBITDA grew at 16% and 40%, respectively, on a like-to-like basis.

Now coming to generics

We secured multiple approvals across key markets led by products in diabetes, oncology and immunology. This included liraglutide across the U.S., which is gVictoza® and gSaxenda®, Europe (gVictoza®) and Australia (gSaxenda®).

In addition, we received approval for everolimus tablets in the U.S. and for tacrolimus across Latin American markets.

When it comes to segment financials for generics,

- Revenue stood at ₹847 crores and adjusted for the one-time generic lenalidomide supplies in Q4 of FY '25, revenues grew 13% year-on-year, driven by generic liraglutide sales in Europe.
- EBITDA stood at ₹75 crores. EBITDA margins were at 8%, improved nearly 300 basis points over Q3 of this fiscal, driven by higher volumes and operating leverage.
- For FY '26, adjusted for generic lenalidomide, generic revenues and EBITDA grew 17% and 73% year-on-year, respectively.

And now coming to the final part of my presentation, which is our CRDMO business.

- In Q4 FY '26, revenues from operations were at ₹1,037 crores, up 2% year-on-year and up 13% quarter-on-quarter.

- FY '26 revenue from operations were at ₹3,739 crores, up 3% year-on-year.

- Operating EBITDA margin at 25% for the year was in line with Syngene's revised full year guidance.

- Overall numbers reflected the specific impact from a single large molecule biologics client with the underlying business showing steady momentum.

- Syngene completed 14 client and regulatory audits during the quarter, bringing the full year total to 85. It also obtained the GCP NABL accreditation during the quarter, reinforcing adherence to globally recognized standards for clinical research and data quality.

Now, I would like to wrap up with my concluding remarks.

FY '26 marked a pivotal year for Biocon. With the integration complete, the major investment phase behind us and the balance sheet significantly strengthened, we have entered the next phase of our journey. Our focus now is

firmly on disciplined execution, driving growth, expanding margins and delivering sustained improvement in return on capital.

As we look ahead to FY '27, we expect to increasingly benefit from the foundations that have been laid with performance improving progressively as the year unfolds, especially as our new products scale up meaningfully in the second half.

- In Biosimilars, recent launches across markets are beginning to scale, which should support continued growth

and operating leverage.

- In Generics, the emphasis will be on improving profitability as newer assets stabilize and utilization improves.

- And at Syngene, following the challenges seen in FY '26, the focus remains on execution and translating recent investments in CRDMO capabilities into more stable performance.

With a stronger foundation in place, we believe Biocon is well positioned to deliver consistent performance and long-term value creation.

And with that, I now invite questions.

Q&A Session

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Moderator: Thank you very much ma'am. Ladies and gentlemen, we will now begin the question and answer session. The first question is from Neha Manpuria. Please introduce yourself and proceed with your question, ma'am.

Neha Manpuria: This is Neha from Bank of America. Two questions from me. First, on the biosimilars revenue, given that we spoke about execution in the opening remarks, how should we think about FY '27, FY '28 given we have had some launches in the back end of '26. Also, there was an impact of the planned shutdown that we took in third quarter and a bunch of launches, but we haven't really seen material improvement in biosimilars revenue fourth quarter versus second quarter, if that is a comparable number, given we have also seen market share increases. So, is it fair to assume that full stabilization of that disruption

that we saw in the third quarter is not yet done?

Shreehas Tambe: Let me answer that Kiran. can I go ahead? Let me respond to that, Neha. I think thank you for your question. I think this is important to look at when we did the Q3 last quarter, we had indicated like you rightly said that we are slowing down some of these things to get ready for a greater supply capability in the coming fiscal.

And I think if you look at the numbers between Q3 and Q4, you have seen a sequential change, where we moved from a quarter which was \$279 million, \$280 million to about \$300 -plus million this quarter. So, there's a sequential growth of 12% that you are seeing on a rupee basis in the revenues. So that's the first indication. We're also seeing

the margins stable for the full year basis, which has been consistent. So that's I think the first indication that the business has ramped up in the right direction.

The second question that you asked is that how is it from an outlook perspective for '27, '28. And while we've not guided specifically on any numbers, I think the fact that we've got several products launching in the coming fiscal, which is '27, '28, the ramp -up starts moving from the coming financial year in '27, '28 towards the later part of the year. And that's why you set yourself up building capacity, increasing scale and that is what you will see going through the year.

Last quarter, we also said that Aspart will start seeing a ramp -up which will come in towards the second half of the current fiscal year, and you'll see that happen. We've publicly stated we have a negotiated settlement date with the originator for our aflibercept launch in the United States. And you will see that play out in the coming fiscal year.

We've seen tremendous success with our biosimilar ustekinumab, which continues to gain market share. And in fact, if you've seen the IQVIA numbers as of February and the overall market is close to a fifth already, which is a very strong showing for a product which has several competitors there.

Recent news of payers have also shown that we've been able to secure a good formulary placement. So, we are quite bullish about how our products are shaping up. And we've said that fiscal '27, '28 as we get towards the later part of the year, we'll start seeing the ramp -up that we prepared ourselves for in Q3.

Neha Manpuria: Shreehas, I understand you don't want to give specific guidance, but if I were to think about fourth quarter FY '27 exit run rate, given the launches that we have, what in your mind would be

a comfortable number based on the launch pipeline?

Shreehas Tambe: I know that you've asked that question in different ways. But I think the important thing, and again, if you go back to what I've said in previous conversations as well, this is not a quarter -on-quarter conversation. Look at it on a broader window, if you look at the business that we've built over the last 8 quarters or even 4 quarters, you will see a substantial shift.

If you see just this year's numbers that we posted on a rupee basis, there has been a 16% growth over last year. And you've just seen Yesintek, which is our biosimilar Stelara starting to show numbers in the P&L. You will start seeing that flow through in the second half of fiscal '27 as more products come in.

So, I can only point you towards how we've done in the past, which is a strong showing already and then tell you that look at the 4 quarters going forward, which will be a good way to see how the business ramps up.

Neha Manpuria: Understood. And Kedar, how should we think about deleveraging in fiscal '27 now that Biocon -- the merger Biocon Biologics is done? And is it fair to assume that all of the free cash flow generation that we have would be largely used for deleveraging? Any colour there?

Kedar Upadhye: Yes, that's true, Neha. I think every dollar that we generate out of free cash, the first claim is going to be to reduce debt, and we are pretty serious about it. If you remember in March '25, including structured instruments, we had, in fact, more than \$1.5 billion of net debt. That's down to \$1.1 billion now.

So, it will hover between \$1.1 billion to \$1.2 billion subject to working capital. And free cash that we generate hereafter will go towards reduction of net debt, Neha. That's right. We also Kiran refer to interest cost reduction. If you remember, first quarter of FY'26, we had booked INR280 crores in that quarter. It was trending upwards to INR300 crores. And from those levels, now we are down to about INR210 crores, INR220 crores. It will have some currency impact because a large part of our debt is in dollar. But in that sense, about INR70 crores, INR75 crores per quarter of interest cost reduction is being reflected in the P&L.

Moderator: The next question is from Surya Patra. As there is no response, we will move on to the next question, which is from Damayanti Kerai.

Damayanti Kerai: My first question is again on biosimilars. So first, if you can give a split for FY '26 sales between developed market and rest of the world. And then if you can comment on 2 specific products, aflibercept, where you will be coming soon in the market as per your settlement date. So there, we have seen one of the earlier entrant going very aggressive in terms of taking market share, etc. So how do you see that opportunity?

And second question is on Aspart, which you indicated is a key product for FY '27. So, what kind of visibility we have in terms of higher demand or like your capability to supply this product to gain meaningful market share from here on?

Shreehas Tambe: I think let me respond to the first one and Kedar can come in. In the past, we've said our distribution is pretty diversified between advanced markets and emerging markets. If I give you a split, it's been roughly North America at 40%, 35% in Europe and 25% emerging markets. You see sometimes a little bit of a shift between North America and Europe.

You see sometimes North America slightly higher, but roughly 75% -25% if you're asking advanced markets and emerging markets, could be between 78%, 22% in a particular quarter, but that's the broad split. Kedar can give any specifics if there's anything.

The other question that you asked in terms of our product launches, as I said, we are looking to bring our biosimilar aflibercept branded the Yesafili to the United States in the second half of this year. I think what you rightly cited

is that there is a biosimilar

today, and it's been quite successful is a very encouraging sign because this is a niche product, a specialty one, which is injected in the eyeball.

So, one of the questions around it was will ophthalmologists be comfortable using a biosimilar. I think that has been busted that there is comfort in using that and there is a willingness to use biosimilars. So, it's paved that path for us given our track record of high-quality products, we believe that there will be a significant interest as we move forward. So, we feel good about our Yesafili launch and as the product ramps up in fiscal '27, we'll be in a position to talk to you more about that.

Other question was related to biosimilar Aspart, insulin Aspart that we talked about. Our brand name there is Kirsty. Again, it's a product we've discussed several times with you. We see a tremendous opportunity. We've been very careful as it's a chronic product. We've said multiple times both for peptides and for insulin that we are very uniquely placed as the only company with a biosimilar insulin and a peptide portfolio.

So, we never look at it as a sprint. It's a marathon for us. We have 100% share in certain closed door networks that are there in the U.S. already, and we've built our credibility there. And we're looking to expand that to the commercial play in the second half of this fiscal year '27. So, watch this space, we will keep you posted on how Aspart ramps up in the current fiscal year.

Damayanti Kerai: And the second question I wanted to ask is on your capital allocation going ahead. So, as you mentioned, you are done with majority of investment in capex, etc., and focus ahead will be on cash generation. But just wanted to have some more color on your focus in R&D. What kind of products you can add on to your portfolio, say, 2 to 3 years down the line? And apart from the Malaysia plant, do you have any other capex remaining from your end?

Shreehas Tambe: See at the beginning of the conversation, Kiran called out very clearly that we are in a space, where capital allocation is largely behind us or capital investments are largely behind us. And given that we've now merged the biosimilars business and the generics business, it strengthened our balance sheet right away, immediately straight out the gate that's happened.

Operating leverage is starting to kick in, which you'll see flow through in the first quarter that will come out, you will start seeing it. You heard Kedar talk about the fact that the use of proceeds has allowed us to bring in INR300 crores of interest savings over the year, which will mean INR75 -odd crores per quarter. So, you are seeing a strengthening on the P&L.

Now coming to the portfolio side, that allows you to do a lot of other things outside of this because you're no longer making investments in capex. You're trying to now see how you can get those assets to deliver maximum profitability for you. And that's what we've done with the biosimilars business. If you track us, which I know you have for the last 3 years, where we're starting to see that play out as operating leverage. And you

will see that in our generics business as well because we have a very strong portfolio that we've built in the generics business as well, which is very complementary to our biosimilars business. And that will kind of feed off the biosimilars capability we've built across several countries. So that is what we expect to do. We consolidate the business

in the next 4 quarters and set it up for acceleration in the coming fiscal.

Moderator: The next question is from Sanjay Kohli.

Sanjay Kohli: Yes. This is Sanjay from Goldstone Capital. We are a private investment group based out of the NCR region. I have a specific question on the reported numbers in the income statement, not being able to figure out under the head the items that will be reclassified

to P&L later. There's a large number of INR760 crores for the quarter and then which will be re-classified, and which will not be reclassified about INR210 crores. So, what exactly is this?

Kedar Upadhye: Yes, Sanjay, if you're referring to what is captured in the other comprehensive income, there are some adjustments that you do there, which don't appear in the normal P&L.

I'll take it offline. Why don't we take it offline Sanjay?

Sanjay Kohli: How do I do that?

Kedar Upadhye: Let's get in touch after the call, let's speak and we'll explain. We have full backup.

Moderator: We'll take the next question from Avnish Burman.

Avnish Burman: This is Avnish Burman from Vaikarya. Shreehas, sir, just one question for you. In March, I think we saw some draft guidelines coming from the FDA, which talked about significantly reducing the R&D cost to get like new biosimilars in the market. So, I just wanted your opinion on how that impacts, one, Biocon's existing products, commercialized products; and second, the pipeline?

Shreehas Tambe: Well, thanks, Avnish, for your question. I think you've been tracking this well. We've been talking about this for a while where we believe that the FDA, which has led the way and it's saying that do not need a Phase III clinical trial to approve these high-quality biosimilars. And that has significantly allowed us to do 2 things. One is it has reduced the development cost by 50%. It's half the development cost. And it's accelerated products from a development standpoint by at least 3 to 4 years, which is again cutting down time for products, which can get into market.

The common belief there is that it's lowered the bar to the market, which is incidentally not accurate because what has happened is while the clinical Phase III trial requirement has been taken away, there has been an expectation of higher comparability standards, analytical comparability standards that have been set up, so that you prove before you get to the clinical stage that your product is highly similar to the originator drug.

So, the companies who've been developing this are clearly at an advantage. While it does look attractive to get into this market, and which is why you see also lots of interest in this, which is again another thing we've said for a while that biosimilars is the next growth area, and you've seen investments happen again with a lot of interest. It does give companies like Biocon an advantage given our proven track record in CMC comparability and analytical characterization, which will be brought to bear as we go forward.

Avnish Burman: So, I understand it being beneficial for Biocon in terms of the products that you are still yet to bring in the market. But what about the products where Biocon has a good position in the market? I mean, where you are the incumbent and you might be facing some incremental challenges in those products?

Shreehas Tambe: We do not see an incremental challenge because the products that we already have brought to market. And if you were to look at the products that have been in the market, have got a very strong leadership position. If you look at the ones in the U.S., which we usually all collectively track on this call, our oncology portfolio, which is in the medical benefit space, have fourth of the U.S. market today. And one is to get an approval. The other is to be able to reliably supply it. Third is to do it consistently. And fourth is to be able to be a reliable partner to the physicians, to the health caregivers and be a reliable supplier to the patient who is looking forward to these products. And that takes time. Credibility is built over a period of time.

I think we've been fortunate because it is something that we work hard towards being a fully integrated player, Avnish, has given a lot of levers to Biocon to operate and be successful in this space. So, we do not see a challenge

because of this revised guideline. In fact, it's advantage Biocon the way I see.

Moderator: The next question is from Sidharth Negandhi.

Sidharth Negandhi: This is Sidharth Negandhi from CWC. A couple of questions. One, could you give us an understanding of the constant currency sales in each of the divisions? The second one was if you could give us some colour in terms of market shares and the \$200 million benchmark that you had shared last year. If you could give us an update on both of those, the market shares as well as the number of products that are above \$200 million in biosimilars.

Kedar Upadhye: Yes. Maybe I can take that. So Sidharth, the growth numbers in rupees that we have reported, if you could roughly take about 3%, 4% out you'll get a dollar number. For example, biosimilars, we are saying it's 12% growth year-on-year in this quarter. The dollar growth will be about 7% or so. So that's the constant currency number. In terms of the products that were beyond \$200 million, we have done good progress. Insulin now has crossed \$300 million this year. So that's the bracket that it has crossed and that includes Glargine, Aspart, human insulin, DS and DP. So total insulin franchise is now beyond \$300 million.

Adalimumab is now beyond \$250 million and Pegfilgrastim, Trastuzumab are hovering around \$200 million or slightly lower than that. Bevacizumab has crossed \$100 million now. This is without contribution from U.S. because the launch has just been made. And then there are products like etanercept, Yesintek is inching up now. So that's how Siddharth the progress on these 4 products that we had spoken last year.

Sidharth Negandhi: Great. And Kedar, if you could also help with any update on the market shares that you had shared last year. And the margin improvement that we are seeing in the generics business adjusted for Revlimid, I just wanted to understand, is that a function of the change in the API and formulation mix or is there something else?

Kedar Upadhye: Yes. So your first question, Sidharth, was about the biosimilars margin. Sorry, I missed that.

Kiran Mazumdar -Shaw : I think he wanted market share.

Sidharth Negandhi: Market share.

Kedar Upadhye: Yes, sorry. So, market shares are steady. I think the oncology market shares are steady around 23% to 25%. Glargine market share is also what's reported is about 11% so that's fine. And the next question was in terms of generics margins. We had guided for the fact that from the first quarter till fourth quarter sequentially, as the sales do inch up, there will be a margin improvement.

So, I think quarter 4, you are seeing roughly under 10% EBITDA margin, and that's because of both. The overall sales have gone up. So, we have operating leverage benefit as the facilities get utilized. And there is a positive product mix as well.

Moderator: The next question is from Tushar Manudhane.

Tushar Manudhane: This is Tushar from Motilal Oswal. Just on the biosimilars, what could be the capacity utilization currently?

Shreehas Tambe: Kedar, do you want to take that?

Kedar Upadhye: Yes. I think Tushar, it will obviously vary plant by plant. So, there is no one number that we could give it to you now. But I think capacities do remain healthy. And like what we mentioned last quarter in terms of upgrades, we are getting ready for the growth now. But there's no one number that we can give. In Malaysia, we now have 2 lines. In Bangalore, there are multiple suits as we have been speaking. So, there's no one number, but I think utilizations are healthy.

Tushar Manudhane: The direction which I'm trying to get through is that while we have a very robust portfolio and subsequent new approvals that might come through. But from a

capacity standpoint, do we really need further capacity expansion, or the current capacity would be good enough to drive growth for FY '27, '28 in particular?

Kedar

Upadhye: Yes. So as the Malaysia capacity doubles both for drug substance and drug product, I think we are fine there. Plus, we have some external CMOs as well, as you know. And in Bangalore, I think there could be minor bottlenecks here and there. But as of now, we don't see any need for a large greenfield capex, Tushar.

Tushar Manudhane: And this Malaysia doubling, the timeline for this?

Kedar Upadhye: The DP has happened. The Line 2 has is getting qualified as we are speaking and will get operational soon. DS, the drug substance doubling will happen towards the end of this financial year.

Tushar Manudhane: So effectively, so for full year '27 compared to what we have in '26, this DP Malaysia in particular, is what will drive and some amount of bottlenecks at Bangalore from a capacity standpoint is what will drive growth for FY '27. Is that the safe assumption?

Kedar Upadhye: Yes, and after that as well, correct.

Tushar Manudhane: And just to complete this point, like considering the earlier commentary in terms of product launches largely second half FY '27. So, is it that the first half is going to be largely stable, maybe currency benefit is what will drive growth for biosimilars business?

Kedar Upadhye: I mean, we don't guide specifically Tushar, but like what Shreehas said, you should budget for incremental growth from new launches more towards second half. And yes,

there will be a currency advantage in the first half.

Shreehas Tambe: Just to add to what Kedar said, Tushar, just now you asked about the capacity and then the linkage to Aspart, to the Malaysia drug product line that comes on stream this quarter. And as you bring products, as I said to the market, this line starts supplying product to the market, which is why the ramp -up you will see happen through the year.

And as product moves up, you will see it ramp up towards the later half. That's the conversation we are having. The capacities are already invested in, and you will see the ramp -up as it grows. It's not like there is no demand or capacity in the beginning . It just ramps up because the demand is set up and capacity comes on stream starting Q1.

Tushar Manudhane: Great, sir. And just lastly to connect on this particular aspect. So , will this require reinspection or we are good to go in terms of commercials?

Shreehas Tambe: No, no, we are good to go in commercials.

Tushar Manudhane: So that's on biosimilars. On the generic s side, just to understand a good amount of investments largely behind both in terms of capex as well as product development. And now we are scaling up in terms of business without any, let's say, a niche product, so to say, how to think about the scale -up of this business and subsequently the margin improvement? Maybe if you can just help us understand what's the gross margin currently and how the operating leverage will play out, let's say, in the coming time?

Shreehas Tambe: I lost the question Kedar. Can you step in. I can step in after that.

Kedar Upadhye: Yes, yes. I think, Tushar, the gross margins are in early 40s, and that's two -third API, one-third generics, that's kind of a split today. And as you know, the GLP -1 revenues, which was about less than 10% of the overall business last year in FY '26, that will scale up and multiple launches that we alluded that will scale up. I think Shreehas, the question was what's the direction on generics growth and margins?

Shreehas Tambe: Yes. So Tushar, I think if you heard the opening remarks that Kiran started with, if you want to look at the base business itself, I think that is where you are starting to see growth on a sequential basis, which is the first good indicator that you are seeing leaving out the exceptional that we saw on lenalidomide.

The focus for us going forward is very clearly going to be on margin improvement because we built state -of-the-art facilities. These facilities

have now come on stream.

And as demand ramps up and capacity utilization is there, you will start seeing the margin improvements flow through. But the focus is clearly going to be on, on making sure that, that operating leverage kicks in the coming quarters.

Tushar Manudhane: Sir that would be supported by a scale -up of existing product or will require new approvals to come through?

Shreehas Tambe: So, it is a mix of both. Many of these products, the approvals come in ahead of time, unlike the biosimilar business, where product approval and launch are fairly close depending on the patent negotiations or the patent dance.

The generics portfolio benefits from earlier visibility and hence, we are looking forward to launches in the coming years, which is why the capacity investment was done ahead of time, allowing us to do a lot more things, which you just referred to the peptide portfolio. Biocon would be set up in a very different way, where you have fungibility for drug substance for the peptide portfolio as it gets into the fermentation space, which is, again, there is hardly any competition there.

And then you have fungibility for the drug product facilities, which have also been set up. So as that demand ramps up in the coming quarters and coming years, you will start seeing better utilization and a better return on that investment that we made.

Tushar Manudhane: Got it, sir. And just lastly, Bevacizumab I missed the sales for FY '26, if you could just repeat?

Kedar Upadhye: It's 100 million, Tushar. It's entered in that bracket now. This will be without the contribution from U.S. geography.

Moderator: The next question is from Imtiaaz Shefuddin.

Imtiaaz Shefuddin: Can you hear me? Yes. This is Imtiaaz Shefuddin from Barclays. A couple of questions from me with regards to your U.S. dollar bonds. Would you be able to provide some colour on your hedging policy? I know you have currency benefits, but any specific hedging policy you have on the U.S. dollar bonds? That's my first question.

Kedar Upadhye: Yes. Imtiaaz on the bonds, we don't have to hedge because we have a natural hedge. We are largely a dollarized company. So , we have significant dollar cash flows. So , we don't hedge our loan book actually.

Imtiaaz Shefuddin: Good, sir. Secondly, also on your U.S. dollar bonds, I mean, your bonds become

callable from October this year, although at a premium price. But how are you thinking on the bonds given that your U.S. dollar bonds are at 6.67% coupon and you have talked about a focus on reducing your average cost of debt?

Kedar Upadhye: Yes. Imtiaz, we are tracking the situation. We are happy that bonds are trading at a premium. And you must have noted in the last few months, both the rating agencies have upgraded the rating. So, we are watching the situation.

I think we have to evaluate whether it makes sense to pay the call premium in the first year. There is, as you know, this 50% call premium in the first year, 25% in the next year. So that's the 5NC2 structure that we had. So, at this point of time, Imtiaz, we are watching the situation. We are happy with the way things have progressed, and we are happy with the upgrades, and the idea will be to continue on this journey.

Moderator: The next question is from Surya Patra.

Surya Patra: This is Surya from Phillip Capital. A couple of questions. First, with the ramp-up that we are likely to see in the biosimilar portfolio, although we have started seeing strong growth in the U.S. business front given the kind of products that has been launched during FY '26 and the products like the Eylea that is there along with denosumab contribution in the current financial year. So, what is the kind of momentum that we would see for the U.S. business?

And what is the likely share of U.S. business in FY '27 versus FY '26? Because basically, what we are seeing that, okay, so far, it is th

e non -U.S. would have

supported the growth meaningfully. But now there is a strong lever for the U.S.

to perform and really contribute meaningfully to the margins also. So how the mix likely to see the shift.

Shreehas Tambe: Surya, for your question. And I think this is very important, 2 things that I will say. One is in the past, you heard me say that market share is not necessarily the only proxy for success. And the other thing that I've said is that market share and ASP has always been inversely proportional in a medical benefit product. And we've been very clear about making sure that we will grow business profitably. Growth is only when it's profitable.

So, we've been very careful as we picked up market shares. The medical benefit products that you see today, where we've had fourth of the market, we've focused on making sure that that we retained that profitably.

We would be fine if that market share is not the proxy for where we are, but we will grow that slowly. The market has examples, where you have tried to gain market share very quickly, but then you crash out also very fast because that's how the medical benefit space operates because you have a declining average selling price, which is very contrary to how the pharmacy benefit space operates.

We can have an offline discussion to walk you through the model. But last quarter when we had a conversation on how we are approaching denosumab, which is another important asset that we've launched in the U.S. It's branded. Kiran just talked about it in our opening remarks, it's branded Bosaya and Aukelso, we will be very careful in doing it because one of the brands is in the pharmacy benefit space and the other one is in medical benefit. And last quarter, as I was saying, our Chief Commercial Officer, Matt Erick, walked the team on the call about our strategy to commercialize them.

So, our focus is always profitable growth and not necessarily market shares. So, we'll be very careful in doing that. So, I wouldn't necessarily look at market shares as the only proxy for success. Numbers will play out over the year, and you will see them being more enduring over a period of time.

So yes, I would advise you to look at that. My guidance would be look at a broader time frame rather than trying to look at this as a quarter-on-quarter immediate launch and an impact on market share kind of a business.

Surya Patra: Sir, any clarity on the exclusivity that it could have for Eylea now?

Shreehas Tambe: So, for Eylea, our biosimilar position that we've got, as I said at the beginning, there is a biosimilar that is there in the market already. And we've seen encouraging numbers from there, which tells us that we can actually commercialize that market very well, which is good news.

The second part is we have our terms for negotiation and settlement are confidential.

And likewise, we wouldn't want to comment on others, but we believe we will be in a

good position when we get out of the gates for the launch in the U.S. As that plays out, Surya, you can see it come through, but it wouldn't be fair on my part to comment on the terms of the settlement.

Surya Patra: Okay. This insulin opportunity has been a kind of market situation in the global market given the GLP play and all that. So, this is making us or position us very

strongly in the insulin side. And the doubling capacity what we are talking of, so that is also complementing that story. So hence, now this expanded capacity, what we are talking, sir, what is the kind of lever that it is adding to the current insulin revenue of around \$350 -odd million what Kedar just mentioned?

Shreehas Tambe: So again, we've been very clear right from the beginning that we are, in that sense, the only insulin company which has a peptides portfolio. And that's something that we've heavily indexed on. We've built a very strong insulin franchise globally. There are

several markets. I know we discussed the U.S. and certain European countries in this call, but there are several countries in emerging markets, where our market shares are in excess of 50%. And we are a very responsible supplier. We've continued to grow that franchise.

So, in dollar terms, we've refrained from giving numbers, but we see a very encouraging response in terms of how the product has grown, both for the long -acting and the short -acting insulin or even the recombinant human insulin, which we have constantly reminded is a very large requirement in several countries. So , we remain committed, Surya. And we made these investments ahead of time. So , you will see us get those products to market. It will start playing out in the numbers starting second half of this year is our view.

Surya Patra: Last question from my side, sir. So having seen the integration well and also having done investment into the generics in advance. So , what should be the investment priorities for FY '27 now for you?

Shreehas Tambe: See I think if you heard Kiran in the beginning, most of our investments are behind us, Surya. And our focus is always going to be now that you have a strong balance sheet and you're looking to have operating leverage that's come in.

The focus is going to be capital allocation at this stage will only focus on how you profitably sustainably grow the business. We're not looking at very big -ticket greenfield kind of expansion because we don't need it to support the business plan that's going forward.

So, focus is now on execution, consolidating the business and walking it through the quarters as we bring the business up in a sustainable manner. You will see the EBITDA growth that you've seen already in the margin profile improvement. The focus will be to sustainably do that on a consistent basis.

Surya Patra: Sure. That means capex is likely to subside.

Shreehas Tambe: Yes. We've already said that.

Moderator: The next question is from Vishal Manchanda.

Vishal Manchanda: This is Vishal from Systematix. Can you break up your biosimilar sales between U.S., emerging U.S., Europe and the rest of world?

Kedar Upadhye: Yes, Vishal. For the last 2 quarters, the mix of North America is slightly higher. In the past, we have said North America is about 40%, Europe and a little bit of Japan, ANZ 35% and emerging market 25%. Our hunch is over the long term, that's how it will stay. Last 2 quarters, because of prioritization and higher growth, North America is higher, and that helps us obviously in the margins. So , let's watch how this pans out. We obviously want all 3 geographies to grow equally.

Vishal Manchanda: And which would be our largest product as of now within the biosimilar portfolio?

Kedar Upadhye: Yes. Within the biosimilars, NorAm led by U.S. is about 46% this quarter. Last quarter, it was slightly higher.

Shreehas Tambe: Kedar, I think his question was on products. I think you've given the product piece, I guess. Which products?

Kedar Upadhye: Yes, yes. So , product -wise, globally, Vishal, we have already spoken the insulin franchise, adalimumab. Now we don't break products into geography. That will be too much of a granularity, but happy to talk.

Vishal Manchanda: I mean globally, globally, which is your largest biosimilar product?

Kedar Upadhye: Yes, we just spoke about Vishal. Total insulin franchise globally is crossed \$300 million. Adalimumab globally, again, is beyond \$250 million. And then the other 2 key oncology assets are a little less than \$200 million. Bevacizumab is now \$100 million pl us. And then there is Yesintek, there is etanercept. That's the mix.

Vishal Manchanda: And are we seeing annual price decline in the base portfolio or that is more or less flat and if you could share some color on the base business erosion or that remains flat?

Kedar Upadhye: Yes. So I think each geography has its own patten

n. Europe is usually very steady. And

North America, because of the strategy that we deployed on the ASP for the last 3 years, we have not seen much erosion. But yes, I think we should budget for some

erose on, Vishal. But tough to tell you one specific number because it will vary depending upon the product life cycle.

Vishal Manchanda: Understood. And just one final one. What percentage of our biosimilar sales is manufactured in -house?

Kedar Upadhye: Yes. I mean the whole portfolio is in -house, except adalimumab and etanercept, yes. And we do take some help from CMOs in the human insulin, but we can come back to you with a specific number, Vishal.

Moderator: The next question is from Nitin Agarwal.

Nitin Agarwal: So, my question is on the insulin business. Can you just give us a sense, you talked about you have now the short -acting, long -acting as well as recombinant insulin. What is the addressable market globally across these 3 insulin put together from a size perspective?

Shreehas Tambe: From a dollar number perspective, I think we can get you the numbers, but it will be around at \$7 billion, \$8 billion overall insulin. RHI is about \$1.5 billion globally, and you'll see the other 2 be in the region of about \$3 billion.

But the fact is that these numbers are not as reported by IQVIA. It changes significantly as you get towards the emerging markets and tender businesses. But needless to say, it is a significant business with just the originators and a limited number of players.

In the U.S., you have just us, which is a biosimilar insulin. So that's a tremendous franchise to be focused on. There are other attractive assets that certain innovators are focused on, which interest them. That leaves a very large playing field for Bioc on.

Nitin Agarwal: And Shreehas, on that account, there have been off late some recent approvals with Chinese companies which have come through. How should one think about that? In the past, Chinese have had a tendency to disrupt markets. So , do you foresee some of those challenges for us in the broader insulin space?

Shreehas Tambe: The first indication of this is that it signals the fact that what we've been saying, and it validates that it's an extremely attractive market for people to come in. And we've seen certain European companies wanting to enter as well, partnering with other companies from China.

And this is clearly what we've been saying. It's a tremendous opportunity. The product remains in business in requirement several decades after it's commercialized. There are limited players and the product is going to be there forever. So , it kind of validates our thesis on insulin.

And again, it also tells you that it takes a long time to develop it unless you're fully integrated and have the scale that we've built over decades . Being successful is not just having a product or an approval , you need to be consistent , you need to be in a position to have fermentation capability, the drug product capability, device capability to navigate the IP space. So , it's a long -term commitment, which Biocon has done over the decades, and we have accommodated this business.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to Mr. Prashant Nair for closing comments. Thank you, and over to you, sir.

Prashant Nair: Yes. Thanks, Michelle. Thank you, everyone, for joining the call. If you have any additional questions, please get in touch with the IR team, and we'll be happy to address them. Thank you.

Moderator: Thank you, members of the management. On behalf of Biocon Limited, that concludes this conference. Thank you for joining us, and you may exit the meeting now. Thank you.

-Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability